CHAPTER 1 NATURE AND SCOPE OF ECONOMICS

UNIT I: INTRODUCTION

CLASS QUESTIONS FOR PRACTICE

1. Economists regard decision making as important because:
   (a) The resources required to satisfy our unlimited wants and needs are finite, or scarce.
   (b) It is crucial to understand how we can best allocate our scarce resources to satisfy society's unlimited wants and needs.
   (c) Resources have alternative uses.
   (d) All the above.

2. Business Economics is –
   (a) Abstract and applies the tools of Microeconomics.
   (b) Involves practical application of economic theory in business decision making.
   (c) Incorporates tools from multiple disciplines.
   (d) (b) and (c) above.

3. In Economics, we use the term scarcity to mean -
   (a) Absolute scarcity and lack of resources in less developed countries.
   (b) Relative scarcity i.e. scarcity in relation to the wants of the society.
   (c) Scarcity during times of business failure and natural calamities.
   (d) Scarcity caused on account of excessive consumption by the rich.

4. What implication(s) does resource scarcity have for the satisfaction of wants?
   (a) Not all wants can be satisfied.
   (b) We will never be faced with the need to make choices.
   (c) We must develop ways to decrease our individual wants.
   (d) The discovery of new natural resources is necessary to increase our ability to satisfy wants.

5. Which of the following is a normative statement?
   (a) Planned economies allocate resources via government departments.
   (b) Most transitional economies have experienced problems of falling output and rising prices over the past decade.

(c) There is a greater degree of consumer sovereignty in market economies than planned economies.
(d) Reducing inequality should be a major priority for mixed economies.

6. In every economic system, scarcity imposes limitations on:
(a) Households, business firms, governments, and the nation as a whole.
(b) Households and business firms, but not the governments.
(c) Local and state governments, but not the federal government.
(d) Households and governments, but not business firms.

7. Macroeconomics is also called _____ economics.
(a) Applied (b) Aggregate
(c) Experimental (d) None of the above

8. An example of 'positive' economic analysis would be:
(a) an analysis of the relationship between the price of food and the quantity purchased.
(b) determining how much income each person should be guaranteed.
(c) determining the 'fair' price for food.
(d) deciding how to distribute the output of the economy.

9. A study of how increases in the corporate income tax rate will affect the national unemployment rate is an example of -
(a) Macro-Economics. (b) Descriptive Economics.
(c) Micro-economics. (d) Normative economics.

10. Which of the following does not suggest a macro approach for India?
(a) Determining the GNP of India.
(b) Finding the causes of failure of ABC Ltd.
(c) Identifying the causes of inflation in India.
(d) Analyse the causes of failure of industry in providing large scale employment

11. Ram: My corn harvest this year is poor.
Krishan: Don't worry. Price increases will compensate for the fall in quantity supplied.
Vinod: Climate affects crop yields. Some years are bad, others are good.
Madhu: The Government ought to guarantee that our income will not fall. In this conversation, the normative statement is made by-
(a) Ram (b) Krishan (c) Vinod (d) Madhu

12. Consider the following and decide which, if any, economy is without scarcity:
(a) The pre-independent Indian economy, where most people were farmers.
(b) A mythical economy where everybody is a billionaire.
(c) Any economy where income is distributed equally among its people.
(d) None of the above.

13. Which of the following is not a subject matter of Micro-economies?
(a) The price of mangoes.
(b) The cost of producing a fire truck for the fire department of Delhi, India.
(c) The quantity of mangoes produced for the mangoes market.
(d) The national economy's annual rate of growth.

14. The branch of economic theory that deals with the problem of allocation of resources is-
(a) Micro-Economic theory. (b) Macro-economic theory.
(c) Econometrics. (d) None of the above.

15. Which of the following is not the subject matter of Business Economics?
(a) Should our firm be in this business?
(b) How much should be produced and at price should be kept?
(c) How will the product be placed in the market?
(d) How should we decrease unemployment in the economy?

16. Which of the following is a normative economic statement?
(a) Unemployment rate decreases with industrialization
(b) Economics is a social science that studies human behaviour.
(c) The minimum wage should be raised to ₹ 200/- per day
(d) India spends a huge amount of money on national defence.

17. Which of the following would be considered a topic of study in Macroeconomics?
(a) The effect of increase in wages on the profitability of cotton industry
(b) The effect on steel prices when more steel is imported
(c) The effect of an increasing inflation rate on living standards of people in India
(d) The effect of an increase in the price of coffee on the quantity of tea consumed

18. The difference between positive and normative Economics is:
(a) Positive Economics explains the performance of the economy while normative Economics finds out the reasons for poor performance.
(b) Positive Economics describes the facts of the economy while normative Economics involves evaluating whether some of these are good or bad for the welfare of the people.
(c) Normative Economics describes the facts of the economy while positive Economics involves evaluating whether some of these are good or bad for the welfare of the people.
(d) Positive Economics prescribes while normative Economics describes.

19. Which of the following is not within the scope of Business Economics?
(a) Capital Budgeting (b) Risk Analysis
(c) Business Cycles (d) Accounting Standards

20. Which of the following statements is incorrect?
(a) Business economics is normative in nature.
(b) Business Economics has a close connection with statistics.
(c) Business Economist need not worry about macro variables.
(d) Business Economics is also called Managerial Economics.

21. Economic goods are considered scarce resources because they.
(a) cannot be increased in quantity.
(b) do not exist in adequate quantity to satisfy the requirements of the society.
(c) are of primary importance in satisfying social requirements.
(d) are limited to man made goods.

22. Macro Economics is the study of _____.
(a) all aspects of scarcity.
(b) the national economy and the global economy as a whole.
(c) big businesses.
(d) the decisions of individual businesses and people.

23. Scarcity definition of Economics is given by-
(a) Alfred Marshall (b) Samuelson
(c) Robinson (d) Adam Smith

24. The definition "Science which deals with wealth of Nation" was given by:
(a) Alfred Marshall (b) A C Pigou
(c) Adam Smith (d) J B Say

25. There is need of economic study, because –
(a) The resources are limited (b) The wants are unlimited
(c) The resources are unlimited (d) Both a and b

26. The benefit of economic study is –
(a) It ensure that all problems will be appropriately tackled
(b) It helps in identifying problems
(c) It enable to examine a problem in its right perspective
(d) It gives exact solutions to every problem

27. The managerial economics –
(a) Is Applied Economics that fills the gap between economic theory and business practice
(b) Is just a theory concept
(c) Trains managers how to behave in recession
(d) Provides the tools which explain various concepts

28. Which of the following statements is correct?
(a) Micro economics is important for study of a particular household and a particular firm
(b) Macro economics is important for study of economic conditions of a country
(c) None of the above
(d) Both a and b

29. Mr. Satish hired a business consultant to guide him for growth of his business. The consultant visited his factory and suggested some changes with respect to staff appointment, loan availability and so on. Which approach is that consultant using?
(a) Micro economics (b) Macro economics
(c) None of the above (d) Both a and b

30. Which of the following statements is/are correct regarding business economics?
(a) Business economics attempts to indicate how business policies are firmly rooted in economic principles.
(b) Business economics uses micro economic analysis of the business unit and macro economic analysis of business environment.
(c) Business economics takes a pragmatic approach towards facilitating an integration between economic theory and business practices.
(d) All the above.

31. Unlimited ends and limited means together present the problem of _____.
(a) Scarcity of resources (b) Choice
(c) Distribution (d) None of the above

PAST YEARS EXAM QUESTIONS

2008 - DECEMBER

1. Normative aspect of Economics is given by :
   (a) Marshall (b) Robbins
   (c) Adam Smith (d) Samuelson

2010-JUNE

2. Microeconomics is also known as_____ .
   (a) public economics (b) price theory
   (c) income theory (d) demand theory

3. Which one is the feature of Marshall's definition?
   (a) Limited ends
   (b) Scarce means
   (c) Study of wealth as well as study of man
   (d) Study of allocation of resources

2010 - DECEMBER

4. Which one in the following is not correct:
   (a) There are limited wants
   (b) Means are scarce
   (c) Resources have alternative uses
   (d) Economics is science

5. Micro Economics is concerned with:
   (a) Consumer Behaviour (b) Product pricing
   (c) Factor Pricing (d) All of the above

2011-JUNE

6. Which of these is a part of microeconomics?
   (a) Factor pricing (b) National Income
   (c) Balance of payment (d) None

7. Which of these is an example of macroeconomics:
   (a) The problem of unemployment in India
   (b) The rising price level in the country
   (c) Increase in disparities of income
   (d) All of the above

2012 –JUNE

8. Normative Economics is based on:
   (a) Ethical considerations (b) Facts and Generalisation
   (c) What is? (d) All of the above

2012 -DECEMBER

9. Which of the following is a part of the subject matter of macro economics?
(a) Study of firms
(b) Aggregate profits of a firm
(c) Market demand for a product
(d) Net national product.

2013- DECEMBER

10. Positive science only explains
(a) What is? (b) What ought to be?
(c) What is right or wrong (d) None of the above

2014 -DECEMBER

11. The most important function of an entrepreneur is to_____.
(a) innovate (b) bear the sense of responsibility
(c) finance (d) earn profit

2015 -DECEMBER

12. Who is the author of 'The Nature and Causes of Wealth of Nations"?
(a) Karl Marx (b) Adam Smith
(c) J B Say (d) A C Pigou

13. Microeconomics does not study
(a) Consumer behaviour (b) Factor pricing
(c) General price level (d)Firms equilibrium.

14. Find out the correct statement
(a) Higher the prices, lower the quality demanded of a product is a normative statement
(b) Micro and macro-economics are interdependent
(c) In a capitalist economy, the economic problems are solved by planning commission
(d) In deductive method logic proceeds from particular to the general

15. Microeconomics is the study of :
(a) Individual parts of the economy
(b) The economy as a whole
(c) Choice making
(d) Development of the economy

2016 – DECEMBER

16. The definition of economics given by Robbins does not deal with one of the following aspects. Indicate that aspect.
(a) Scarce means (b) Limited ends
(c) Alternative uses (d) Economics is a science

2018- MAY

17. Concept of business economics was given by:
(a) Joel Dean (b) Alfred Marshall
(c) Adam Smith (d) L. Robbins

18. Features of the book wealth of nations:
(a) It was the first book written on economics
(b) It was created in 1776
(c) It was also known as 'wealth of nations'
(d) All of the above

19. Under inductive method logic proceeds from:
(a) General to particular (b) Positive to narrative
(c) Normative to positive (d) Particular to general

2018- NOVEMBER

20. Business Economics is also known as?
(a) Applied Economics(b) Managerial Economics
(c) Micro Economics (d) All of the above

21. A business economy involves the theory of business economics with _____.
(a) Normative Economics (b) Business practices
(c) Micro Economics (d) Macro Economics

22. Which is not included in Economics?
(a) Family structure (b) Managerial economics
(c) Micro economics (d) Macro economics

23. Business Economics involves the elements of:
(a) Micro environment (b) Macro environment
(c) Both (a) and (b) (d) None of the above

24. Which factor is included in business economics?
(a) Business economics is an art
(b) Interdisciplinary in nature
(c) Normative in nature
(d) All of the above

2019- MAY

25. Business Economics is
(a) Normative in nature (b) Intradisciplinary in nature
(c) Both (d) None

26. Macroeconomics includes
(a) Product pricing (b) Consumer behavior
(c) External value of money (d) Location of industry

27. Shyam : This year due to heavy rainfall my onion crop was damaged
Krishna : Climates affect crop yields. Some years are bad, others are good
Hari : Don't worry – Price increase will compensate for the fall in quantity supplied
Radhe : The government ought to guarantee that our income will not fall.
In this conversation, the normative statement is made by
(a) Shyam (b) Krishna (c) Hari (d) Radhe

28. Applied economics includes
(a)Regression analysis & mathematical linear programming
(b) Capital budgeting
(c) Both (a) and (b)
(d) None

2019- NOVEMBER

29. A study of have increase in the corporate tax rate will affect national unemployment rate is
(a) Macroeconomics (b) Descriptive economics
(c) Microeconomics (d) Normative economics

30. The branch of economic theory that deals with problem of allocating resources.
(a) Microeconomics (b) Macroeconomics
(c) Econometrics (d) None

31. Which of the following is not within the scope of business economics?
(a) Capital budgeting (b) Risk analysis
(c) Business cycle (d) Accounting standards

32. Which is the first book of Economics named as_____
(a) The Wealth of Nations (b) Economics
(c) Nations of Wealth (d) Political Economy

33. Which type of scarcity is referred to in economics
(a) Relative scarcity (b) Absolute scarcity
(c) Both (a) and (b) (d) None

2020- NOVEMBER

34. Who defines Economics in terms of Dynamic growth and development?
(a) Robbins (b) Paul A Samuelson
(c) Adam Smith (d) None

35. _____economics explain economic phenomenon according to their cause and effects.
(a) Normative (b) Empirical
(c) Positive (d) Applied

36. The study of behavior of different individuals organisations within an economic system is known as:
(a) Micro Economics (b) Macro Economics
(c) Welfare Economics (d) None

37. The nature of Business economics is:
(a) Positive in nature (b) Pragmatic
(c) Pure science (d) Independent

38. Economics is term of Dynamic Growth and development defined by:
(a) Alfred Marshall (b) Adam Smith
(c) Robbins (d) Paul A Samuelson

39. _____are responsible for all economic problems.
(a) Unlimited wants (b) Alternative resource
(c) Scarcity of resource (d) Others

2021- JANUARY

40. Macro-economic is also called_____ economics:
(a) Applied (b) Aggregate
(c) Micro (d) Experimental

41. The book “Wealth of Nations" was written by:
(a) Alfred Marshall (b) Join Robinson
(c) Adam Smith (d) Robert Malthus

42. Rama : My corn harvest this year is poor.
Manoj : Don’t worry. Price increase will compensate for the fall in quantity supplied.
Meera : Climate affects crop yield. Some years are bad, others are good.
Bharti: The Government ought to guarantee that our income will not fail. In this conversation, the normative statement is made by:
(a) Rama (b) Manoj (c) Meera (d) Bharti

43. An economy exists because of two basic facts., i.e._____.
(a) Human wants are limited and resources are unlimited
(b) Human wants are unlimited and resources are unlimited
(c) Human wants are unlimited and resources are scare
(d) Human wants are limited and resources are abundant

44. Which one of the area comes under macro-economics?
(a) Product pricing
(b) Consumer behavior
(c) The general price level and interest rates
(d) Economics conditions of a section of people

45. In economics, we use the term scarcity to mean:
(a) Absolute scarcity and lack of resources in less developed countries
(b) Relative scarcity i.e. scarcity in relation to the wants of the society.
(c) Scarcity during times of business failure and natural calamities
(d) Scarcity caused on account of excessive consumption by the rich

46. Micro economics is also known as:
(a) Public economics (b) Price theory
(c) Income theory (d) Demand theory

2021- JULY

47. The famous book abbreviated as "The Wealth of Naitons", which is also considered as the first
modern work of Economics, was written by
(a) Frederic Engels (b) Karl Marx
(c) David Ricardo (d) Adam Smith

48. Study of the behaviour of different individuals and organizations within an economic system is called?
(a) Industrial Economics (b) Macro Economics
(c) Micro Economics (d) Welfare Economics

49. Which one of the following is not the scope of business economics?
(a) Cost standards (b) Cost analysis
(c) Demand analysis (d) Inventory management

50. Business economics is pragmatic in its approach because?
(a) It tackles practical problem which the firm faces in real world.
(b) It tackles practical problem which the faces due to WTO policies.
(c) It tackles practical problem which the firm faces due to lack of directors.
(d) Business economics is abstracts purely theoretical

51. Business Economics is essentially a component of Applied Economics as it includes application of selected quantitative techniques. Which technique is not included in it?
(a) Regression analysis (b) Capital budgeting
(c) Economic analysis (d) Linear programming

52. Which of the following is not a study of Macro-economics?
(a) Consumer behavior (b) National Income
(c) General price level (d) Level of employment

2021- DECEMBER

53. Mr. Rohit invited a consultant for knowing staff requirement, consumer behavior and product pricing. The approach consultant is looking-
(a) Micro Economics (b) Applied Economics
(c) Macro Economics (d) Econometrics

54. Which of the following is not included in Micro economics?
(a) Wages of workers in steel industry
(b) Location of a particular firm
(c) General pricing level in the market
(d) Price of a product

55. Which of the following is not within the scope of Business Economics?
(a) Capital Budgeting (b) Risk Analysis
(c) Business Cycle (d) Accounting Standards

56. Economics is _____
(a) Driven by profit (b) Driven by sentiments
(c) Driven by emotions (d) Driven by altruism

57. Scarcity definition in economics in given by
(a) Lipsey (b) Adam Smith
(c) J.B. say (d) Robinson

58. Normative economics can be explained through:
(a) fairness to tax
(b) incidence to tax
(c) effect of tax on incentive to work
(d) none of these

2022- JUNE

59. Micro economics is also known as:
(a) public economics (b) price theory
(c) income theory (d) demand theory

60. Normative science refers to:
(a) What to produce (b) How to produce
(c) Whom to produce (d) What should be

61. Business economics is pragmatic in approach:
(a) True (b) False
(c) Uncertain (d) None of the above

62. Business economics being _____ in approach tackles practical problems.
(a) Interdisciplinary (b) Normative
(c) Positive (d) Pragmatic

63. Which of the following is incorrect?
(a) Economic activity is productive
(b) Economic activity is self motive
(c) consumption is an economic activity
(d) All of the above

2023- JUNE

64. Economics is classified into:
(a) Normative and Positive (b) Micro and macro
(c) Internal and external (d) None of the above

65. Which of the following is not the subject matter of micro economics?
(a) Consumer behavior (b) Foreign exchange rate
(c) Behaviour of firms (d) Location of industry

2023- DECEMBER

66. _____ wrote "An inquiry into the nature and causes of wealth of nations"
(a) Adam smith (b) Marshall
(c) Pigou (d) Hicks

67. What implications does the resource scarcity of economy have ?
(a) Political Problems (b) Economic Problems
(c) Geographical problems (d) Cultural problems

68. Which one of the following is not a scope of business economics
(a) Demand forecasting & Analysis
(b) Cost and production analysis
(c) Profit Analysis
(d) Capital budgeting

69. Impact of balances of trade and balances of payments on GDP are studied a part of _____
(a) Microeconomics (b) Consumer economics
(c) Trade economics (d) Macro economics

70. The India's Employment rate has increased in March 2023 as compared to March 2022. The study of this aspect comes under _____
(a) Microeconomics (b) Macro Economics
(c) Price theory (d) Market Economics

71. The word economics owes its origin with the Greek word Oikonomia which means
(a) Commodity (b) Price
(c) Household (d) Consumer expectation

72. 'Innovation' theory of entrepreneur ship is propounded by
(a) Schumpeter (b) Frank Knight
(c) john Stuart Mill (d) Jeremy Bentham

73. Which economist said that money is the measuring rod of utility?
(a) A.C Pigou (b) Marshall
(c) Adam smith (d) Robbins

2025- SEPTEMBER

74. Which of the following is NOT covered under Macro Economics?
(A) Balance of Payment
(B) The overall level of savings and investment
(C) The level of employment
(D) Behaviour of Firms

75. An ice cream company is planning to expand its business. Before making decisions, it studies various economic factors, such as consumer preferences, pricing strategies, employee wages and the ideal location for its outlets. Which level of the economy does the company analyze for expansion?
(A) Macro Economy
(B) Micro Economy
(C) International Economy
(D) National Economy

2026- JANUARY

76. Which of the following is a normative statement?
(A) Public healthcare increases public expenditure
(B) Higher interest rates as set by the government's economic policy will reduce house prices
(C) If consumer income drops, consumers will have less money to spend
(D) The government should provide healthcare for all

77. Which of the following is not covered in microeconomics?
(A) Product pricing
(B) Factor pricing
(C) The general price level and interest rates
(D) The economic conditions of a section of people

2026- MAY

78. Which of the following factors does not relate to the central economic problem?
(A) What to produce (B) How to produce
(C) When to produce (D) For whom to produce

79. Which of the following areas is related to macroeconomics?
(A) Consumer behaviour (B) Factor pricing
(C) External value of currency (D) Behaviour of firms

QUESTION FOR PRACTICE

1. Micro-economics is concerned with
   (a) the economy as a whole
   (b) the electronics industry
   (c) the study of individual economic behavior
   (d) the interactions within the entire economy

2. Which of the following statements is incorrect?
   (a) Unlike normative economics, positive economics is based on objective analysis of economic issues.
   (b) The opportunity cost of a good is the quantity of other goods sacrificed to get another unit of that good.
   (c) Microeconomics emphasizes interactions in the economy as a whole.
   (d) None of the above.

3. Which of the following statements is normative?
   (a) Large government deficits cause an economy to grow more slowly.
   (b) People work harder if the wage is higher.
   (c) The unemployment rate should be less.
   (d) Printing too much money causes inflation.

4. Which of the following falls under Micro Economics ?
   (a) National Income (b) General Price level
   (c) Factor Pricing (d) National Saving and Investment

5. Which of the following statements is correct?
   (a) Employment and economic growth are studied in micro-economics.
   (b) Micro economics deals with balance of trade
   (c) Economic condition of a section of the people is studied in micro-economics
   (d) External value of money is dealt with in micro-economics

6. The law of scarcity
   (a) does not apply to rich developed countries
   (b) applies only to the less developed countries
   (c) implies that consumers wants will be satisfied in a socialistic system
   (d) implies that consumers wants will never be completely satisfied

7. The book "The Wealth of Nations" is written by:
   (a) Adam Smith (b) Arthur Pigou
   (c) Robinson (d) Ragnar Nurske

8. The Nature of Business Economics:
(a) Business Economics is a science
(b) Incorporate elements of Macro Analysis
(c) Interdisciplinary in Nature
(d) All of the above

9. An applied Economics that fills the gap between economic theory and business practice:
(a) Business Economics (b) Macro Economics
(c) Welfare Economics (d) None of these

10. Scarcity of resources of occurs due to:
(a) High demand of resources
(b) Absence of substitutes
(c) Mismanagement and inequality
(d) All of these

11. The branch of economic theory that deals with the problem of allocation of resources is
(a) Micro- Economic theory
(b) Macro-economic theory
(c) Econometrics
(d) None of the above

12. Which of the following statements would you consider to be a normative one?
(a) Faster economic growth should result if an economy has a higher lever of investment
(b) Changing the level of interest rates is a better way of managing the economy than using taxation and government expenditure
(c) Higher levels of unemployment will lead to higher levels of inflation
(d) The average level of growth in the economy was faster in the 1990s than the 1980s

13. Which of the following is not within the scope of Business Economis?
(a) Capital Budgeting (b) Risk Analysis
(c) Business Cycles (d) Accounting Standards

14. A study of how increases in the corporate income tax rate will affect the national unemployment rate is an example of
(a) Macro- Economics (b) Descriptive Economics
(c) Micro- Economics (d) Normative economics

15. The difference between Positive and Normative Economics is:
(a) Positive Economics explains the performance of the economy while normative economics finds out the reasons for poor performance
(b) Positive Economics describes the facts of the economy while Normative Economics involves evaluating whether some of these are good or bad for the welfare of the people
(c) Normative Economics describes the facts of the economy while positive Economics involves evaluating whether some of these are good or bad for the welfare of the people
(d) Positive Economics prescribes while normative economics describes

16. Which of the following is included in study of Micro economics:
(a) Product pricing (b) Factor pricing
(c) Both (a) and (b) (d) None of these

17. Scarcity definition is economics is given by
(a) Lipsey (b) Adam Smith
(c) J B Say (d) Robinson

18. Business Economics in its approach is
(a) Pragmatic (b) Idealistic
(c) Normative (d) None of these

19. In the beginning economics was named as :
(a) Political Economy (b) Welfare Economics
(c) Economies of Wealth (d) None of these

20. Which are the areas that come under Micro economics_____
(a) External Value of currency
(b) The general price level and interest rate
(c) Location of the industry
(d) National Income and National Output

21. Business Economics is a:
(a) Normative Science (b) Interdisciplinary
(c) Pragmatic (d) All of these

22. Scarcity of resource has to be dealt in:
(a) Capitalist economy (b) Socialist economy
(c) Mixed economy (d) All of these

23. Allocation of resources is dealt in:
(a) Macro economic (b) Micro economics
(c) Public finance (d) None of these

24. "Business Economics is the use of economic analysis in the formulation of Business policies" is defined by –
(a) Giffen (b) Marshall
(c) John (d) Joel Dean

25. Which of the following points describe the nature of Business economics.
(a) It is a Science
(b) It is pragmatic in approach
(c) It is Inter disciplinary in nature
(d) All of the above

26. Business Economics makes use of microeconomics analysis such as,
(a) Demand Analysis and forecasting,
(b) Production and cost analysis
(c) Inventory management
(d) All of the above

27. Decision making involves:
(a) Evaluation of feasible alternatives
(b) rational judgment on the basis of information
(c) choice of a particular alternative
(d) all of the above

28. The management of a business unit generally needs to make strategic, tactical and operational decisions. A few examples of issues requiring decision making in the context of business are:
(a) should our firm be in this business
(b) should the firm make the components or buy them from other firms
(c) how to combat the risks and uncertainties involved
(d) all of the above

29. Which of the following is incorrect:
(a) Business economics referred to as managerial economics
(b) Business economics refers to the integration of economics
(c) Business economics is applied economics that fill the gap between economic theory and business practice
(d) None of the above

ANSWERS-

Class Question for Practice					
1	D	11	D	21	B
2	D	12	D	22	B
3	B	13	D	23	C
4	A	14	A	24	C
5	D	15	D	25	D
6	A	16	C	26	C
7	B	17	C	27	A
8	A	18	B	28	D
9	A	19	D	29	A
10	B	20	C	30	D
				31	B

Past Years Exam Questions							
1	A	21	B	41	C	61	A
2	B	22	A	42	D	62	D
3	C	23	C	43	C	63	C
4	A	24	D	44	C	64	B
5	D	25	A	45	B	65	B
6	A	26	C	46	B	66	A
7	D	27	D	47	D	67	B
8	A	28	C	48	C	68	D
9	D	29	A	49	A	69	D
10	A	30	A	50	A	70	B
11	A	31	D	51	C	71	C
12	B	32	A	52	A	72	A
13	C	33	A	53	A	73	B
14	B	34	B	54	C	74	D
15	A	35	C	55	D	75	B
16	B	36	A	56	A	76	D
17	A	37	B	57	D	77	C
18	D	38	D	58	A	78	C
19	D	39	C	59	B	79	C
20	B	40	B	60	D		

Question for Practice					
1	C	11	A	21	D
2	C	12	B	22	D
3	C	13	D	23	B
4	C	14	A	24	D
5	C	15	B	25	D
6	D	16	C	26	D
7	A	17	D	27	D
8	D	18	A	28	D
9	A	19	A	29	D
10	D	20	C		

CHAPTER 1 NATURE AND SCOPE OF ECONOMICS

UNIT II: BASIC PROBLEMS OF AN ECONOMY & ROLE OF PRICE MECHANISM

CLASS QUESTIONS FOR PRACTICE

1. In a free market economy the allocation of resources is determined by
   (a) voting done by consumers.
   (b) a central planning authority.
   (c) consumer preferences.
   (d) the level of profits of firms.

2. A capitalist economy uses _____ as the principal means of allocating resources.
   (a) demand (b) supply (c) efficiency (d) prices

3. Which of the following is considered as a disadvantage of allocating resources using the market system?
   (a) Income will tend to be unevenly distributed.
   (b) People do not get goods of their choice.
   (c) Men of Initiative and enterprise are not rewarded.
   (d) Profits will tend to be low.

4. Which of the following statements does not apply to a market economy?
   (a) Firms decide whom to hire and what to produce.
   (b) Firms aim at maximizing profits.
   (c) Households decide which firms to work for and what to buy with their incomes.
   (d) Government policies are the primary forces that guide the decisions of firms and households.

5. In a mixed economy -
   (a) all economic decisions are taken by the central authority.
   (b) all economic decisions are taken by private entrepreneurs.
   (c) economic decisions are partly taken by the state and partly by the private entrepreneurs.
   (d) none of the above.

6. The central problem in economics is that of
   (a) comparing the success of command versus market economies.
   (b) guaranteering that production occurs in the most efficient manner.
   (c) guaranteering a minimum level of income for every citizen.
   (d) allocating scarce resources in such a manner that society's unlimited needs or wants are satisfied in the best possible manner.

7. Capital intensive technique would get chosen in a
   (a) labour surplus economy where the relative price of capital is lower.
   (b) capital surplus economy where the relative price of capital is lower.
   (c) developed economy where technology is better.
   (d) developing economy where technology is poor.

8. Which of the following is not one of the four central questions that the study of economics is supposed to answer?
   (a) Who produces what? (b) When are goods produced?
   (c) Who consumes what? (d) How are goods produced?

9. Larger production of _____ goods would lead to higher production in future.
   (a) consumer goods (b) capital goods
   (c) agricultural goods (d) public goods

10. The economic system in which all the means of production are owned and controlled by private individuals for profit.
   (a) Socialism (b) Capitalism
   (c) Mixed economy (d) Communism

11. Freedom of choice is the advantage of -
   (a) Socialism (b) Capitalism
   (c) Communism (d) None of the above

12. Exploitation and inequality are minimal under:
   (a) Socialism (b) Capitalism
   (c) Mixed economy (d) None of the above

13. Administered prices refer to:
   (a) Prices determined by forces of demand and supply
   (b) Prices determined by sellers in the market
   (c) Prices determined by an external authority which is usually the government
   (d) None of the above

14. In Economics, the central economic problem means:
   (a) Output is restricted to the limited availability of resources
   (b) Consumer do not have as much money as they would wish
   (c) There will always be certain level of unemployment
   (d) Resources are not always allocated in an optimum way

15. Profit motive is a merit of:
   (a) Socialism (b) Capitalism
   (c) Mixed economy (d) None of the above

16. _____ is also called as command economy
(a) Socialist (b) Capitalist
(c) Mixed economy (d) None of the above

17. Which of the following is not one of the features of capitalist economy?
(a) Right of private property
(b) Freedom of choice by the consumers
(c) No profit, No Loss motive
(d) Competition

PAST YEARS EXAM QUESTIONS

2006 –NOVEMBER

1. Capitalistic Economy uses _____ as principal means of allocating resources.
   (a) Demand (b) Supply
   (c) Price (d) All of the above

2007 –MAY

2. Under a free economy, prices are:
   (a) Regulated
   (b) Determined through a free interplay of demand and supply
   (c) Partly regulated
   (d) None of these

3. In a free-market economy, when consumers increase their purchase of a goods and the level of _____exceeds _____ then prices tend to rise:
   (a) Demand, supply (b) Supply, demand
   (c) Prices, demand (d) Profits, supply

2007 - NOVEMBER

4. According to Robbins, 'means' are:
   (a) Scarce (b) Unlimited (c) Undefined (d) All of these

2008 - JUNE

5. A mixed economy means :
   (a) Co-existence of small and large industries
   (b) Promoting both agriculture and industries in the economy
   (c) Co-existence of rich and poor
   (d) Co-existence of public and private sectors

2008 - DECEMBER

6. A Free Market- economy, solves its Central Problems through.
   (a) planning authority (b) market mechanism
   (c) both (d) none

2009- JUNE

7. Which one is not the characteristic of a capitalistic economy?
   (a) Profit motive (b) Income inequality
   (c) Free employment (d) Collective ownership

8. Mixed economy means
   (a) All economic decisions are taken by the Central Authority
   (b) All economic decisions are taken by private entrepreneurs
   (c) Economic decisions are partly taken by the state and partly by private entrepreneurs
   (d) None of these

2009- DECEMBER

9. Economic Problem arises when :
   (a) Wants are unlimited (b) Resources are limited
   (c) Alternative uses of resources (d) All of the above

2010-JUNE

10. A developed economy uses_____ technique in production.
   (a) labour intensive (b) capital intensive
   (c) home-based (d) traditional

2011-JUNE

11. A mixed economy means :
   (a) Coexistence of both private and public sector
   (b) Coexistence of poor and rich people
   (c) Both (a) and (b)
   (d) None

2011 -DECEMBER

12. In a capitalist economy the allocation of resources is performed by:
   (a) Producers (b) Government
   (c) Planners (d) Price mechanism

13. Inequalities of income do not perpetuate in _____.
   (a) Socialism (b) Mixed economy
   (c) Capitalism (d) None

2012 –JUNE

14. Which of the following are the features of a mixed economy?
   (a) Planned economy
   (b) Dual system of pricing exists
   (c) Balanced regional development
   (d) All of the above.

15. The dual system of pricing exists in:
   (a) Free market economy (b) Socialistic economy
   (c) Mixed economy (d) None of these

16. In a capitalist economy, allocation of resources is done by:
   (a) Producers (b) Government
   (c) Planners (d) Price mechanism

2012 -DECEMBER

17. A Capitalist Economy follows the policy of:
(a) Laissez- faire (b) Regulated markets
(c) Promoting public sector (d) None of the above.

18. 'Economics is the science of choice- making' implies:-
(a) No choice is to be made
(b) The choice to be made between alternative uses
(c) The choice to be made between means and ends
(d) None of the above

19. A capitalist economy is by and large_____.
(a) a closed economy
(b) a free market economy
(c) a centrally controlled economy
(d) an economy in which a government neither collects any taxes nor incurs any expenditure

2013- JUNE

20. A free- market economy's driving force is:
(a) Profit motive
(b) Welfare of the people
(c) Rising income and levels of living
(d) None of the above

21. A system of economy in which all the means of production are owned and controlled by the private individuals for the purpose of profit is called:
(a) Socialist Economy (b) Capitalist Economy
(c) Mixed Economy (d) All of the above

2013- DECEMBER

22. Where does the price mechanism exist?
(a) Capitalist Economy (b) Socialist Economy
(c) Both types of economies (d) None of the above

23. Economics which is concerned with welfare propositions is called
(a) Socialistic economics (b) Capitalistic economics
(c) Positive economics (d) Normative economics

24. In which among the following systems the 'right to property' exists
(a) Mixed economy (b) Capitalist economy
(c) Socialist economy (d) Traditional economy

25. Socialist Economy is also known as
(a) Mixed Economy (b) Centrally Planned Economy
(c) Capitalist Economy (d) None of the above

2014 - JUNE

26. Which of the following is not a feature of a capitalist economy?
(a) Right to private property
(b) Restrictions on consumers right to choose
(c) Profit motive
(d) Freedom of enterprise

27. The term "Mixed Economy" denotes:
(a) Co-existence of both consumers and producers good's industries in the economy.
(b) Co-existence of both private and public sectors in the economy.
(c) Co-existence of both rural and urban sectors in the economy.
(d) Co-existence of both large and small industries in the economy.

2015 - JUNE

28. All wants of an individual are not of:
(a) Equal importance (b) Immediate importance
(c) Fixed importance (d) All of the above

2016 – DECEMBER

29. Freedom of choice is the advantage of
(a) Socialism (b) Capitalism
(c) Mixed Economy (d) Communism

30. An economic system in which all means of production are owned and controlled by private individuals for profit is called:
(a) Mixed Economy (b) Socialist Economy
(c) Capitalist Economy (d) Developed Economy

2017- JUNE

31. Which economic system is described by Schumpeter as 'capitalism in the oxygen tent'?
(a) Laissez-Faire economy (b) Command economy
(c) Mixed economy (d) Agrarian economy

32. The central problem in every economic society is:
(a) To ensure a minimum level of income for every individual
(b) To Allocate scarce resources in such a manner that society's unlimited wants are satisfied in the best possible manner.

(c) To ensure that production occurs in the most efficient manner
(d) To provide job to every job seeker

2018- MAY

33. Socialist economy was propounded by:
(a) Karl Marx (b) Samuelson
(c) A.C. Pigou (d) Adam Smith

34. In India, Mixed Economy exists due to:
(a) coexistence of public sector and private sector
(b) individual forces of demand and supply
(c) orders by government
(d) None of these

35. Which economic system is described by Schumpeter as capitalism in the oxygen tent?
(a) Laissez- faire Economy (b) Command Economy
(c) Mixed Economy (d) Agrarian Economy

36. Capitalistic Economy uses _____ as principal means of allocating resources:
(a) demand (b) supply
(c) price (d) all of the above

2018- NOVEMBER

37. Human wants are_____ in response to satisfy their wants?
(a) Unlimited (b) Limited
(c) Scarce (d) Multiple

38. Price Mechanism is the main feature of which economy?
(a) Capitalistic Economy (b) Mixed Economy
(c) Socialist Economy (d) All of the above

39. In which economy market and government both play an important role?
(a) Mixed economy (b) Socialistic economy
(c) Capitalistic economy (d) Business economy

40. Which out of these are the features of capitalism?
(i) Profit motive
(ii) Human welfare
(iii) Work through price mechanism
(a) (i) and (ii) (b) (ii) and (iii)
(b) (c) (i) and (iii) (d) All of these

2019- MAY

41. Socialism ensures
(a) Rapid growth and balanced development
(b) Right to work
(c) Incentives for efficient economic decisions
(d) Both (a) and (b)

42. Exploitation and inequality will be more in_____
(a) Socialism (b) Capitalism
(c) Mixed (d) All of the above

43. A capitalist economy consists of
(a) Central planning authority
(b) A mechanism to decide as to what, how and for whom to produce
(c) Both (a) and (b)
(d) None of the above

44. Economics goods are considered as scarce resources because _____
(a) Inadequate quantity to satisfy the needs of the society
(b) Not possible to increase the quantity
(c) Limited hands to make goods
(d) Primary importance in satisfying social requirements

45. Freedom of choice is the advantage of_____
(a) Socialism (b) Capitalist
(c) Mixed economy (d) None of the above

46. _____ refers to the work area where surplus manpower is employed out of which some individuals have zero or almost zero marginal productivity, such that if they are removed the total level of output remains unchanged.
(a) Voluntary (b) Disguised
(c) Structural (d) Technological

47. Socialist economy is_____
(a) Self- regulation
(b) Profit Oriented
(c) Command economy
(d) Allocation of resources as per market requirements

2019- NOVEMBER

48. A capitalist economy uses _____ as a principal means of allocating resources.
(a) Demand (b) Supply (c) Efficiency (d) Price

49. In a Market economy all assets are held by:
(a) Investors (b) Privately
(c) Government (d) Jointly by government

50. Consumer sovereignty is which of the following characteristics?
(a) Capitalist economy (b) Mixed economy
(c) Socialist economy (d) Democracy

2020- NOVEMBER

51. A socialistic economy is also called as:
(a) Profit oriented economy
(b) Self regulatory economy
(c) Centrally planned economy
(d) Unorganized economy

52. In capitalistic economy _____and _____will be more.
(a) Inequalities, exploitation
(b) Exploitation, equalities
(c) Equalities, Non exploitation
(d) Non exploitation, inequalities

53. In which economy, cost benefit analysis is used to answer the fundamental questions of economy?
(a) Mixed economy (b) Socialistic economy
(c) Capitalistic economy (d) Regulatory economy

54. A system of economy in which all the means of production are owned controlled by the private individuals for the purpose of profits is called:
(a) Socialist economy (b) Capitalist economy
(c) Mixed economy (d) All of the above

55. In which economic system production and distribution of goods and services aim at maximizing the welfare of community as a whole?
(a) Capitalistic economy (b) Normative
(c) Mixed (d) Socialist economy

2021- JANUARY

56. Capitalist system offer incentives for:
(a) Efficient business decisions
(b) Efficient government decisions
(c) Efficient non-government decisions
(d) Efficient economic decisions

57. In a mixed economy, their are_____ sectors of industries.
(a) Two (b) Three (c) Four (d) Five

58. An economy is called capitalist economy, when _____is given.
(a) Right to private property
(b) Freedom of government interference
(c) Freedom of business choices
(d) Discrimination

59. Coexistence of public and private sector is the feature of_____.
(a) Capitalist economy (b) Mixed economy
(c) Socialist economy (d) Federal economy

60. Laissez-Faire economy is also known as:
(a) Capitalist economy (b) Socialist economy
(c) Mixed economy (d) Communist economy

2021- JULY

61. The economic system in which production and distribution of goods are aimed at maximizing the welfare of the community as a whole is known as:
(a) Capitalism (b) Socialism
(c) Mixed economy (d) Communist Economy

62. Which of the following statement is correct?
(a) Mixed economy is not always a 'golden path' between capitalism and socialism.
(b) Socialistic economy is not always a 'golden path' between mixed and capitalism.
(c) Capitalistic economy is not always a 'golden path' between mixed and socialism.
(d) Mixed economy is always a 'golden path' between capitalism and socialism.

63. The concept of Socialist economy was propounded by
(a) Karl Marx and Adam Smith
(b) Frederic Engels and Adam Smith
(c) Frederic Engels
(d) Karl Marx and Frederic Engels

64. The 'Central Economics Problem' does not deal with which of the following economic problems?
(a) What to produce? (b) How to produce?
(c) For whom to produce? (d) Where to produce?

65. The central economic problem of an economy arises due to:
(a) Scarcity of resources relative to the wants
(b) Co-existences of private and public sector
(c) Govt, interference in economic activities
(d) Federal structure of Constitution

2021- DECEMBER

66. Socialist Economy is also known as_____
(a) Private Economy (b) Consumer Economy
(c) Centrally Planned Economy (d) Mixed Economy

67. The term socialist economy was coined by
(a) Alfred Marshall (b) Albert Einstein
(c) Joel Dean (d) Karl Marx and Friedrich Engles

68. Most important feature of capitalist economy is _____?
(a) Price Mechanism
(b) Competition
(c) Inefficient allocation of resources
(d) Consumer sovereignty

69. A mixed economy refers to_____
(a) all economic decisions are taken by the central authority
(b) all economic decisions are taken by private entrepreneurs
(c) co-existence of both private and public sector
(d) none of these

70. Which of the following is demerit of capitalism:
(a) There is precedence of property rights over human rights
(b) It functions in domestic frame work
(c) High degree of operative efficiency
(d) None of these

2022- JUNE

71. Socialist Economy is also known as_____
(a) Private economy (b) Consumer economy
(c) Command economy (d) Mixed economy

72. Predominance of bureaucracy under which system?
(a) Mixed economy (b) Socialist economy
(c) Capital economy (d) None of these

73. Find the correct statement:
(a) Mixed economy is not a golden path between socialist & capitalist economy
(b) Socialist economy is not a golden path between mixed & capitalist economy

(c) Capitalist economy is not a golden path between socialist economy & mixed economy
(d) None of the above

74. Central problems of economics-
(a) Scarcity of resources (b) Poverty
(c) Unemployment (d) All of the above

2022- DECEMBER

75. Indian economy is classified as:
(a) Mixed economy (b) Capitalist economy
(c) Socialist economy (d) Free market economy

76. _____ involves the predominance of bureaucracy and resulting in inefficiencies and delays.
(a) Socialistic economy (b) Capitalist economy
(c) Mixed economy (d) Free market economy

77. Capitalist system offers incentives for:
(a) Efficient business decisions
(b) Efficient government decisions
(c) Efficient non-governmental decisions
(d) Efficient economic decisions

78. 'Analysis of impact of COVID-19 on the Indian economy' is a part of-
(a) Macro economics (b) Micro economics
(c) Economics slicing (d) Normative economics

79. The 'communist manifesto' related to socialist economy propounded by Karl Marx and Frederic Engles was published in:
(a) 1950 (b) 1848 (c) 1849 (d) 1951

80. 'Consumer sovereignty' is a feature of:
(a) Capitalist (b) Socialist (c) Mixed (d) Command

81. Which one of the following is not a central problem of an economy?
(a) What to produce (b) How to produce
(c) When to produce (d) For whom to produce

82. _____ economic system is self-regulating and run by invisible hands.
(a) Mixed (b) Socialistic
(c) Capitalistic (d) Planned

83. The basic problem of scarcity gives rise to:
(a) technological problems (b) social problems
(c) cultural problems (d) economic problems

84. Which of the following is NOT a basic problem of all economy?
(a) Whether to produce more of consumer goods or capital goods
(b) Whether to lay emphasis or labour intensive techniques or no capital intensive techniques
(c) Whether to produce for rich people or for poor people
(d) Whether to accept foreign direct investment in the economy

2023- JUNE

85. Which of the following is the central problem of economy?
(a) Scarcity of resources (b) Unemployment
(c) Poverty (d) Inflation

86. Under which of the following economy the consumer have limited freedom of choice?
(a) Socialist (b) Mixed
(c) Capitalist (d) Restricted

87. Which of the following is one of the merits of socialism?
(a) Importance given to productivity
(b) Importance given to personal efficiency
(c) Rapid Growth and balanced economic development
(d)Incentive for economic decision

88. Capitalist Economy solve their economic problems through which of the following?
(a) Central planning authority
(b) Price Mechanism
(c) Administered prices
(d) Voting by consumers

89. An Economic system in which all means of production are owned and controlled by private individuals is called as?
(a) Free Economy (b) Capitalist economy
(c) Normative economy (d) Both (a) and (b)

2023- DECEMBER

90. 'The communist Manifesto ' published in 1848 by Karl Max and Federic Engles propounded the concept of _____.
(a) Capitalist economy (b) Socialist economy
(c) Laissez-faire economy (d) Free market economy

91. In which type of central economic problem, an economy must decide whether more Indian electric toys should be produced and how many units of each toy should be produced .
(a) How to produce
(b) What to produce
(c) For whom to produce
(d) What provision should be made for economic growth

92. Match the following.

Types of economic system	Tool to solve economic problem
(a) Capitalist economy	(i) Central planning
(b) Mixed economy	(ii) Price Mechanism
(c) Socialist economy	(iii) Mix of price mechanism and central planning

(a) (a) – (i); (b) – (ii); (c) – (iii)
(b) (a) – (iii); (b) – (i); (c) – (iii)
(c) (a) – (i); (b) –(iii); (c) – (ii)
(d) (a) – (ii); (b) – (iii); (c) –(i)

93. In a _____ the producer is free to set up any type of firms produce goods and services of his choice.
(a) Capital economy (b) Command economy
(c) Centrally planned economy (d) planned economy

94. Which type of industries not primarily profit oriented but are set by state for the welfare of the community?
(a) Combined sector (b) Privet sector
(c) Independent sector (d) Publish sector

2024- JUNE

95. Under pragmatic approach, micro economics is abstract and purely_____ nature and takes _____ assumptions.
(a) Practical, Unrealistic (b) Practical, Realistic
(c) Theoretical, Unrealistic (d) Theoretical, Realistic

96. Which of the following is subject matter of macroeconomics?
(a) Behaviour of firms
(b) Factor pricing
(c) Overall level of savings and investments
(d) The economic growth of section of people

97. Mr. X had been given a task to segregate normative and non-normative statements. Help him to identify which one of these is normative economic statement?
(a) Pollution level is rising day by day because of urbanization

(b) The part time working hours of students should be increased to 25 hours per week
(c) Due to the increased number of cars on roads, people will be stuck in traffic jams
(d) The government has allotted a major portion of revenue in defense.

98. What is the nature of business economics, which is an applied branch of economics?
(a) It is positive in nature
(b) It is normative in nature
(c) It is neural in nature
(d) It is both positive as well as normative in nature.

99. Which statement differentiates business economics from economics?
(a) It is abstract in nature
(b) It is narrow concept than economics
(c) It is no different from economics
(d) It is pragmatic in nature

2024- SEPTEMBER

100. Which of the following is related with the total arrangements for the production and distribution of goods and services in a society?
(a) Economic Problem (b) Economic Choice
(c) Economic System (d) Economic Institution

101. Business Economics is basically concerned with:
(a) Marginal Economics (b) Applied Economics
(c) Micro Economics (d) Macro Economics

102. Price in capitalist economy is determined by:
(a) Small private firms (b) Big corporates
(c) Market forces of demand and supply (d) Government

103. Sarah, runs a lemonade stall, her decision-making profess involves assessing the demand for her lemonade, pricing strategies, and maximizing her profit within the limited scope of her small business. Which level of the economy does Sarah's lemonade stall represent?
(a) Marco Economy (b) Global Economy
(c) Micro Economy (d) National Economy

104. In which economy, the material means of production i.e. factories, capital, mines, etc. are owned by the whole community represented by the State?
(a) Socialist Economy (b) Capitalist Economy
(c) Mixed Economy (d) Communist Economy

2025- JANUARY

105. Which of the following does not describe the nature of business economics
(a) It is normative in nature
(b) It is abstract and purely theoretical
(c) It is an art
(d) It incorporates elements of Macro Analysis

106. "Buyers ultimately determine which goods and services will be produced and in what quantities." The given statement is the meaning of:
(a) Planned economy
(b) Consumer Sovereignty
(c) Freedom of economic choice
(d) Freedom

107. Which of the following is not one of the four basic economic problems of an economy?
(a) What to produce?
(b) Where to produce?
(c) For whom to produce?
(d) What provisions are to be made for economic growth

108. Finance minister was discussing, balance of trade and balance of payments. This area comes under:
(a) Micro Economics (b) Macro Economics
(c) Capitalist Economy (d) Mixed Economy

109. Which of the following is an example of normative statement?
(a) The demand for a goodwill increase if its price decreases
(b) The government should increase taxes on liquor to reduce its consumption
(c) A decrease in interest rates will lead to an increase in investment
(d) An increase in government spending will reduce the unemployment rate.

2025- MAY

110 The microeconomic theory mainly does not deal with which of the following issues:
(A) Stage of business cycles
(B) Demand analysis and forecasting
(C) Production and Cost Analysis
(D) Inventory management

111. Which of the following is not correct about business economics with reference to economics?
(A) Business economics helps in proper decision making in a particular business entity.
(B) Business economics has a narrow scope in comparison to economics.
(C) Economics is an applied branch of business economics.
(D) Business economics includes the analysis of micro level issues like demand, supply etc.

112. Command Economy is another name for:
(A) Capitalist Economy
(B) Socialist Economy
(C) Mixed Economy
(D) Macro Economy

113. Which of the following is not a merit of Capitalist Economy?
(A) Faster economic growth
(B) Collective ownership
(C) High degree of operative efficiency
(D) Incentives for innovation and technological progress

114. An economy exists on which of the following two facts?
(A) Human wants are limited and the resources are unlimited.
(B) Human wants are limited and the resources are scarce.
(C) Human wants as well as resources are unlimited.
(D) Human wants are unlimited but the resources are relatively scarce.

2025- SEPTEMBER

115. Which of the following statement is true in relation to the socialist economy?
Statement-I: Relative inequality of income distribution in the society.
Statement-II: Freedom from hunger is guaranteed, but consumers' sovereignty gets restricted.
Statement-III: Market forces have a major role in the allocation of resources.

Statement-IV: Buyers ultimately determine which goods and services will be produced and in what quantities.

(A) Statement-II (B) Statement-IV
(C) Statement-I (D) Statement-III

116. The important feature of a mixed economy is the:
(A) Co-existence of both manufacturing and service sectors
(B) Co-existence of both agriculture and industries
(C) Co-existence of both private and public sectors
(D) Co-existence of both small and large industries

117. Which one of the following is not the characteristic of a capitalist economy?
(A) Profit motive (B) Competition
(C) Freedom of enterprise (D) Collective ownership

2026- JANUARY

118. Predominance of bureaucracy and the resulting inefficiency and delays which may lead to corruption, red tapism is a demerit of:
(A) Capitalist economy (B) Socialist economy
(C) Consumer sovereignty (D) Normative economy

119. Match the following:

Column A	Column B
(i) Capitalist Economy	(a) Command Economy
(ii) Socialist Economy	(b) High Degree of operative Efficiency
(iii) Mixed Economy	(c) Encourages enterprise and Risk taking

(A) (i)-(a), (ii)-(b), (iii)-(c)
(B) (i)-(b), (ii)-(c), (iii)-(a)
(C) (i)-(b), (ii)-(a), (iii)-(c)
(D) (i)-(c), (ii)-(a), (iii)-(b)

120. Precedence of property rights over human rights is a demerit of which type of economy?
(A) Micro economy (B) Macro economy
(C) Capitalist economy (D) Socialist economy

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121. 'Consumer Sovereignty' is a feature related to which of the following economic system:
(A) Laissez Faire Economy (B) Socialist Economy
(C) Mixed Economy (D) Command Economy

122. Mixed economy in the real world comprises of _____.
(A) Only market
(B) Both market and government

(C) Both market and private individuals
(D) Only government

123. 'The right to work is guaranteed, but the choice of occupation gets restricted.' Select the correct set of options which is related with the above statement.
(A) Absence of consumer choice, Capitalist economy
(B) Absence of consumer choice, Socialist economy
(C) Right to private property, Capitalist economy
(D) Right to private property, Socialist economy

QUESTION FOR PRACTICE

1. Which of these country is a purely socialist economy?
(a) USSR (b) China
(c) Vietnam (d) None of these

2. Rational decision making requires that:
(a) One's choice be arrived at logically and without error
(b) One's choice be consistent with one's goal
(c) One's choice never vary
(d) The consumer plan's to attain the highest possible level of satisfaction

3. The problem what to produce relates to:
(a) choice of goods and services
(b) distribution of income
(c) choice of technique
(d) market value of goods and services

4. Administered price are determined in socialism by:
(a) Market Forces (b) Government
(c) Both (a) and (b) (d) None of these

5. Which of the following is not a demerit of Capitalism?
(a) The pattern of demand does not represent the real need of the society
(b) Strikes and lockdown are very common under capitalism
(c) Capitalism usually functions in a democratic framework
(d) None of these

6. Socialist economy does have:
(a) Right to work and minimum standard to living
(b) Absence of competition
(c) Right to private property
(d) Both (a) and (b)

7. Choice s created by the-
(a) Abundance of resources
(b) Scarcity of resources
(c) Urgency of needs
(d) Non-Availability of resources

8. Capital intensive techniques would get chosen in a
(a) Labour surplus economy where the relative price of capital is lower
(b) Capital surplus economy where the relative price of capital is lower
(c) Developed economy where technology is better
(d) Developing economy where technology is poor

9. Exploitation and inequality are minimal under:
(a) Socialism (b) Capitalism
(c) Mixed economy (d) None of the above

10. In mixed economy the feature include existence of
(a) Private Sector (b) Public Sector
(c) Combined Sector (d) All of these

11. Which of the following is demerit of capitalism:
(a) There is precedence of property rights over human right
(b) It functions in a domestic framework
(c) High degree of operative efficiency
(d) None of these

12. The indusratlization and economic development of the USA Great Britain and other Western European Countries here taken place under the condition of_____
(a) Capitalism and Laissez Faire
(b) Mixed Economic Structure
(c) Socialism and Planned Structure
(d) None of these

13. Which of the following is not a characteristic of capitalist economy:
(a) Right to Private Property (b) Freedom of Enterprise
(c) Consumer sovereignty (d) Combined sector

14. How to produce is related to:
(a) Product's choice (b) Choice of technique
(c) Either (a) or (b) (d) None of these

15. Which of the following is not the merits of capitalist economy.
(a) High profit (b) Hight economic growth
(c) High Profit (d) High cost of production

16. An enterprepreneur will produce goods and services choosing that technique of production which renders his cost of production minimum. If labour is relatively cheap, he will use labour- intensive method and if labour is relatively costlier he will use capital – intensive method, thus, the relative prices of factors of production help in deciding :
(a) for whom to produce
(b) deciding about consumption, saving and investment
(c) how to produce
(d) what to produce

17. Which of the following is the demerits of socialism, except:
(a) predominance of bureaucracy and the resulting inefficiency and delays
(b) takes away the basic rights such as the right of private property
(c) not provide necessary incentives to hard work in the form of profit
(d) comprehensive social security

18. "Since the resources are limited, every society has to decide which goods and services should be produced and how many units of each good (or service) should be produced. An economy has to decide whether more guns should be produced or more butter should be produced; or whether more capital goods like machines, equipments, dams etc., will be produced or more consumer goods such as, cell phones will be produced." This statement indicate the central economic problem of –
(a) What to produce?
(b) How to produce?
(c) For whom to produce?
(d) What provision should be made for economic growth?

19. Which of the following is not the merits of capitalist economy.
(a) High profit (b) High economic growth
(b) High productive (d) High cost of production

20. Collective ownership and absence of consumer choice are the feature of:
(a) Capitalistic economy (b) Socialistic economy
(c) Mixed economy (d) non of the above

ANSWERS:-

CLASS QUESTION FOR PRACTICE

1	C	6	D	11	B	16	A
2	D	7	B	12	A	17	C
3	A	8	B	13	C		
4	D	9	B	14	A		
5	C	10	B	15	B		

PAST YEAR EXAM QUESTIONS

1	C	26	B	51	C	76	A	101	A
2	B	27	B	52	A	77	D	102	C
3	A	28	A	53	A	78	A	103	C
4	A	29	B	54	B	79	B	104	D
5	D	30	C	55	D	80	A	105	B
6	B	31	C	56	D	81	C	106	B
7	D	32	B	57	B	82	C	107	B
8	C	33	A	58	A	83	D	108	B
9	D	34	A	59	B	84	D	109	B
10	B	35	C	60	A	85	A	110	A
11	A	36	C	61	B	86	A	111	C
12	D	37	A	62	A	87	C	112	B
13	A	38	A	63	D	88	B	113	B
14	D	39	A	64	D	89	D	114	D
15	C	40	C	65	A	90	B	115	A
16	D	41	D	66	C	91	B	116	C
17	A	42	B	67	D	92	D	117	D
18	B	43	B	68	B	93	A	118	B
19	B	44	A	69	C	94	D	119	C & D
20	A	45	B	70	A	95	C	120	C
21	B	46	B	71	C	96	C	121	A
22	A	47	C	72	B	97	B	122	B
23	D	48	D	73	A	98	B	123	B
24	B	49	B	74	A	99	D		
25	B	50	A	75	A	100	C		

QUESTION FOR YOUR PRACTICE

1	D	6	D	11	A	16	C
2	D	7	B	12	A	17	D
3	A	8	B	13	D	18	A
4	B	9	A	14	B	19	D
5	C	10	D	15	D	20	B

CHAPTER 2: THEORY OF DEMAND & SUPPLY

UNIT I: LAW OF DEMAND AND ELASTICITY OF DEMAND

CLASS QUESTIONS FOR PRACTICE

1. Demand for a commodity refers to:
   (a) Desire backed by ability to pay for the commodity.
   (b) Need for the commodity and willingness to pay for it
   (c) The quantity demanded of that commodity at a certain price.
   (d) The quantity of the commodity demanded at a certain price during any particular period of time.

2. Contraction of demand is the result of:
   (a) Decrease in the number of consumers.
   (b) Increase in the price of the good concerned.
   (c) Increase in the prices of other goods.
   (d) Decrease in the income of purchasers.

3. All but one of the following are assumed to remain the same while drawing an individual's demand curve for a commodity. Which one is it?
   (a) The preference of the individual.
   (b) His monetary income.
   (c) Price of the commodity
   (d) Price of related goods.

4. Which of the following pairs of goods is an example of substitutes?
   (a) Tea and sugar. (b) Tea and coffee.
   (c) Pen and ink. (d) Shirt and trousers.

5. In the case of a straight line demand curve meeting the two axes, the price-elasticity of demand at the mid-point of the line would be:
   (a) 0 (b) 1 (c) 1.5 (d) 2

6. The Law of Demand, assuming other things to remain constant, establishes the relationship between:
   (a) income of the consumer and the quantity of a good demanded by him.
   (b) price of a good and the quantity demanded.
   (c) price of a good and the demand for its substitute.
   (d) quantity demanded of a good and the relative prices of its complementary goods.

7. Identify the factor which generally keeps the price- elasticity of demand for a good low:
(a) Variety of uses for that good.
(b) Very low price of a commodity
(c) Close substitutes for that good.
(d) High proportion of the consumer's income spent on it.

8. Identify the coefficient of price-elasticity of demand when the percentage increase in the quantity of a good demanded is smaller than the percentage fall in its price:
(a) Equal to one. (b) Greater than one.
(c) Less than one. (d) Zero.

9. In the case of an inferior good, the income elasticity of demand is:
(a) positive. (b) Zero. (c) Negative. (d) infinite.

10. If the demand for a good is inelastic, an increase in its price will cause the total expenditure of the consumers of the good to:
(a) Remain the same. (b) Increase.
(c) Decrease. (d) Any of these.

11. If regardless of changes in its price, the quantity demanded of a good remains unchanged, then the demand curve for the good will be:
(a) Horizontal. (b) Vertical.
(c) Positively sloped. (d) Negatively sloped.

12. Suppose the price of Pepsi increases, we will expect the demand curve of Coca Cola to:
(a) Shift towards left since these are substitutes
(b) Shift towards right since these are substitutes
(c) Remain at the same level
(d) None of the above

13. All of the following are determinants of demand except:
(a) Tastes and preferences.
(b) Quantity supplied.
(c) Income of the consumer
(d) Price of related goods.

14. A movement along the demand curve for soft drinks is best described as:
(a) An increase in demand.
(b) A decrease in demand.
(c) A change in quantity demanded.
(d) A change in demand.

15. If the price of Pepsi decreases relative to the price of Coke and 7-UP, the demand for:
(a) Coke will decrease.
(b) 7-Up will decrease.
(c) Coke and 7-UP will increase.
(d) Coke and 7-Up will decrease.

16. If a good is a luxury, its income elasticity of demand is:
(a) Positive & less than 1. (b) Negative but greater than -1.
(c) Positive & greater than 1. (d) Zero.

17. The price of hot dogs increases by 22% and the quantity of hot dogs demanded falls by 25%. This indicates that demand for hot dogs is:
(a) Elastic. (b) Inelastic.
(c) Unitarily elastic. (d) Perfectly elastic.

18. If the quantity demanded of mutton increases by 5% when the price of chicken increases by 20%, the cross-price elasticity of demand between mutton and chicken is
(a) -0.25 (b) 0.25 (c) -4 (d) 4

19. Given the following four possibilities, which one results in an increase in total consumer expenditure?
(a) Demand is unitary elastic and price falls.
(b) Demand is elastic and price rises.
(c) Demand is inelastic and price falls.
(d) Demand is inelastic and prices rises.

20. Which of the following is an incorrect statement?
(a) When goods are substitutes, a fall in the price of one (ceteris paribus) leads to a fall in the quantity demanded of its substitutes.
(b) When commodities are complements, a fall in the price of one (other things being equal) will cause the demand of the other to rise
(c) As the income of the consumer increases, the demand for the commodity increases always and vice versa.
(d) When a commodity becomes fashionable people prefer to buy it and therefore its demand increases

21. Suppose the price of movies seen at a theatre rises from ₹ 120 per person to ₹ 200 per person. The theatre manager observes that the rise in price causes attendance at a given movie to fall from 300 persons to 200 persons. What is the price elasticity of demand for movies? (Use Arc Elasticity Method)
(a) .5 (b) .8 (c) 1.0 (d) 1.2

22. Suppose a department store has a sale on its silverware. If the price of a plate-setting is reduced from ₹ 300 to ₹ 200 and the quantity demanded increases from 3,000 plate- settings to 5,000 plate-settings, what is the price elasticity of demand for silverware? (Use Arc Elasticity Method)
(a) .8 (b) 1.0 (c) 1.25 (d) 1.50

23. When the numerical value of cross elasticity between two goods is very high, it means
(a) The goods are perfect complements and therefore have to be used together
(b) The goods are perfect substitutes and can be used with ease in place of one another
(c) There is a high degree of substitutability between the two goods
(d) The goods are neutral and therefore cannot be considered as substitutes

24. If the local pizzeria raises the price of a medium pizza from ₹ 60 to ₹ 100 and quantity demanded falls from 700 pizzas a night to 100 pizzas a night, the price elasticity of demand for pizzas is :(Use Arc Elasticity Method)
(a) .67 (b) 1.5 (c) 2.0 (d) 3.0

25. If electricity demand is inelastic, and electricity charges increase, which of the following is likely to occur?
(a) Quantity demanded will fall by a relatively large amount.
(b) Quantity demanded will fall by a relatively small amount.
(c) Quantity demanded will rise in the short run, but fall in the long run.
(d) Quantity demanded will fall in the short run, but rise in the long run.

26. Suppose the demand for meals at a medium-priced restaurant is elastic. If the management of the restaurant is considering raising prices, it can expect a relatively:
(a) Large fall in quantity demanded.
(b) Large fall in demand.
(c) Small fall in quantity demanded.
(d) Small fall in demand.

27. Point elasticity is useful for which of the following situations?
(a) The bookstore is considering doubling the price of notebooks.
(b) A restaurant is considering lowering the price of its most expensive dishes by 50 percent.

(c) An auto producer is interested in determining the response of consumers to the price of cars being lowered by ₹ 100.
(d) None of the above.

28. A decrease in price will result in an increase in total revenue if:
(a) The percentage change in quantity demanded in less than the percentage change in price.
(b) The percentage change in quantity demanded is greater than the percentage change in price.
(c) Demand is inelastic.
(d) The consumer is operating along a linear demand curve at a point at which the price is very low and the quantity demanded is very high.

29. An increase in price will result in an increase in total revenue if:
(a) The percentage change in quantity demanded is less than the percentage change in price.
(b) The percentage change in quantity demanded is greater than the percentage change in price.
(c) Demand is elastic.
(d) The consumer is operating along a linear demand curve at a point at which the price is very high and the quantity demanded is very low.

30. Demand for a good will tend to be more elastic if it exhibits which of the following characteristics?
(a) It represents a small part of the consumer's income.
(b) The good has many substitutes available.
(c) It is a necessity (as opposed to a luxury).
(d) There is little time for the consumer to adjust to the price change.

31. Demand for a good will tend to be more inelastic if it exhibits which of the following characteristics?
(a) The good has many substitutes.
(b) The good is a luxury (as opposed to a necessity).
(c) The good is a small part of the consumer's income.
(d) There is a great deal of time for the consumer to adjust to the change in prices.

32. Suppose a consumer's income increases from ₹ 30,000 to ₹ 36,000. As a result, the consumer increases her purchases of compact discs (CDs) from 25 CDs to 30 CDs. What is the consumer's income elasticity of demand for CDs? (Use Arc Elasticity Method)
(a) 0.5 (b) 1.0 (c) 1.5 (d) 2.0

33. What will happen in the rice market if buyers are expecting higher rice prices in the near future?
(a) The demand for rice will increase and the demand curve will shift to the right
(b) The demand for rice will decrease and the demand curve will shift to the left
(c) The demand for rice will be unaffected as it is a necessity
(d) The demand for wheat will increase and the demand curve will shift to the right

34. In the case of a Giffen good, the demand curve will usually be:
(a) horizontal. (b) downward-sloping to the right.
(c) vertical. (d) upward-sloping to the right.

35. For a normal good with a downward sloping demand curve:
(a) The price elasticity of demand is negative; the income elasticity of demand is negative.
(b) The price elasticity of demand is positive; the income elasticity of demand is negative.
(c) The price elasticity of demand is positive; the income elasticity of demand is positive.
(d) The price elasticity of demand is negative; the income elasticity of demand is positive.

36. Conspicuous goods are also known as
(a) Prestige goods (b) Snob goods
(c) Veblen goods (d) All of the above

37. The quantity purchased remains constant irrespective of the change in income. This is known as
(a) negative income elasticity of demand
(b) income elasticity of demand less than one
(c) zero income elasticity of demand
(d) income elasticity of demand is greater than one

38. As income increases, the consumer will go in for superior goods and consequently the demand for inferior goods will fall. This means inferior goods have
(a) income elasticity of demand less than one
(b) negative income elasticity of demand
(c) zero income elasticity of demand
(d) unitary income elasticity of demand

39. When income increases the money spent on necessaries of life may not increase in the same proportion. This means
(a) income elasticity of demand is zero
(b) income elasticity of demand is one
(c) income elasticity of demand is greater than one
(d) income elasticity of demand is less than one

40. The luxury goods like jewellery and fancy articles will have
(a) low income elasticity of demand
(b) high income elasticity of demand
(c) zero income elasticity of demand
(d) none of the above

41. A good which cannot be consumed more than once is known as
(a) Durable good (b) Non-durable good
(c) Producer good (d) None of the above

42. A relative price is_____
(a) price expressed in terms of money
(b) what you get paid for babysitting your cousin
(c) the ratio of one money price to another
(d) equal to a money price

43. Demand is the
(a) the desire for a commodity given its price and those of related commodities
(b) the entire relationship between the quantity demanded and the price of a good other things remaining the same
(c) willingness to pay for a good if income is larger enough
(d) ability to pay for a good

44. Suppose potatoes have (-).0.4 as income elasticity. We can say from the data given that:
(a) Potatoes are superior goods.
(b) Potatoes are necessities.
(c) Potatoes are inferior goods.
(d) There is a need to increase the income of consumers so that they can purchase potatoes.

45. The price of tomatoes increases and people buy tomato puree. You infer that tomato puree and tomatoes are
(a) Normal goods (b) Complements
(c) Substitutes (d) Inferior goods

46. Chicken and fish are substitutes. If the price of chicken increases, the demand for fish will
(a) Increase or decrease but the demand curve for chicken will not change
(b) Increase and the demand curve for fish will shift rightwards.
(c) Not change but there will be a movement along the demand curve for fish.
(d) Decrease and the demand curve for fish will shift leftwards.

47. Potato chips and popcorn are substitutes. A rise in the price of potato chips will ———— the demand for popcorn and the quantity of popcorn sold will ————————
(a) increase; increase (b) increase; decrease
(c) decrease; decrease (d) decrease; increase

48. If the price of orange Juice increases, the demand for apple Juice will.
(a) increase because they are substitutes
(b) decrease because they are substitutes
(c) remain the same because real income is increased
(d) decrease as real income decreases

49. An increase in the demand for computers, other things remaining same, will:
(a) Increase the number of computers bought.
(b) Decrease the price but increase the number of computers bought.
(c) Increase the price of computers.
(d) Increase the price and number of computers bought.

50. When total demand for a commodity whose price has fallen increases, it is due to:
(a) Income effect. (b) Substitution effect
(c) Complementary effect (d) Price effect

51. With a fall in the price of a commodity:
(a) Consumer's real income increases
(b) Consumer's real income decreases
(c) There is no change in the real income of the consumer
(d) None of the above

52. With an increase in the price of diamond, the quantity demanded also increases. This is because it is a:
(a) Substitute good (b) Complementary good
(c) Conspicuous good (d) None of the above

53. An example of goods that exhibit direct price-demand relationship is
(a) Giffen goods (b) Complementary goods
(c) Substitute goods (d) None of the above

54. In Economics, when demand for a commodity increases with a fall in its price it is known as:
(a) Contraction of demand (b) Expansion of demand
(c) No change in demand (d) None of the above

55. An increase in the number of sellers of bikes will increase the_____
(a) The price of a bike (b) Demand for bikes
(c) The supply of bikes (d) Demand for helmets

56. A decrease in the demand for cameras, other things remaining the same will
(a) Increase the number of cameras bought
(b) Decrease the price but increase the number of cameras bought
(c) Decrease in quantity of camera demanded
(d) Decrease the price and decrease in the number of cameras bought.

57. Which of the following statements about inferior goods is/are false?
I. Inferior goods are those that we will never buy, no matter how cheap they are.
II. Inferior goods are those that we buy more of, if we become poorer.
III. Inferior goods are those that we buy more of, if we become richer.
(a) I and III only. (b) I only
(c) III only. (d) I, II, and III.

58. Comforts lie between
(a) inferior goods & necessaries
(b) luxuries & inferior goods
(c) necessaries and luxuries
(d) none of the above

59. The price of a commodity decreases from ₹ 6 to ₹ 4 and the quantity demanded of the good increases from 10 units to 15 units. Find the coefficient of price elasticity.
(a) 1.5 (b) 2.5 (c) -1.5 (d) 0.5

60. 'No matter what the price of coffee is, Arjun always spend a total of exactly 100 per week on coffee.' The statement implies that:
(a) Arjun is very fond of coffee and therefore he has an inelastic demand for coffee
(b) Arjun has elastic demand for coffee
(c) Arjun's demand for coffee is relatively less elastic
(d) Arjun's demand for coffee is unit elastic

61. A firm learns that the own price elasticity of a product it manufactures is 3.5. What would be the correct action for this firm to take if it wishes to raise its total revenue?
(a) Lower the price because demand for the good is elastic.
(b) Raise the price because demand for the product is inelastic.
(c) Raise the price because demand is elastic.
(d) We need information in order to answer this question.

62. At higher prices people demand more of certain goods not for their worth but for their prestige value – This is called
(a) Veblen effect (b) Giffens paradox
(c) Speculative effect (d) None of the above

63. If the price of air-conditioner increases from ₹ 30,000 to ₹ 30,010 and resultant change in demand is negligible, we use the measure of to measure elasticity.
(a) Point elasticity of demand since it is a small change
(b) Arc elasticity of demand since it is a small change
(c) Price elasticity based on average prices method
(d) Any of the above

64. Given the following four possibilities, which one will result in an increase in total expenditure of the consumer?
(a) Demand is unit elastic and price rises
(b) Demand is elastic and price rises
(c) Demand is inelastic and price falls
(d) demand is inelastic and price rises

65. Which of the following statements is correct?
(a) When the price falls the quantity demanded falls
(b) Seasonal changes do not affect the supply of a commodity
(c) Taxes and subsidies do not influence the supply of the commodity
(d) With lower cost, it is profitable to supply more of the commodity.

66. If the demand is more than supply, then the pressure on price will be
(a) Upward (b) Downward
(c) Constant (d) None of the above

67. The cross elasticity between Rye bread and Whole Wheat bread is expected to be:
(a) Positive (b) Negative (c) Zero (d) Can't say

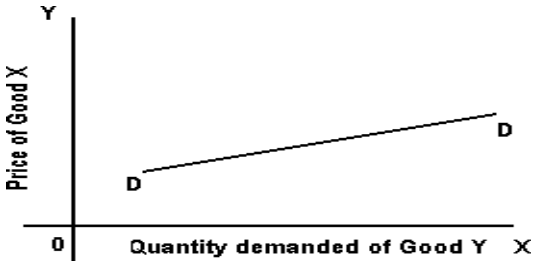
68. The cross elasticity between personal computers and soft wares is:
(a) Positive (b) Zero (c) Negative (d) One

69. The cross elasticity between Bread and DVDs is:
(a) Positive (b) Negative (c) Zero (d) One

70. Which of the following statements is correct?
(a) With the help of statistical tools, the demand can be forecasted with perfect accuracy
(b) The more the number of substitutes of a commodity, the more elastic is the demand.
(c) Demand for butter is perfectly elastic.
(d) Gold jewellery will have negative income elasticity.

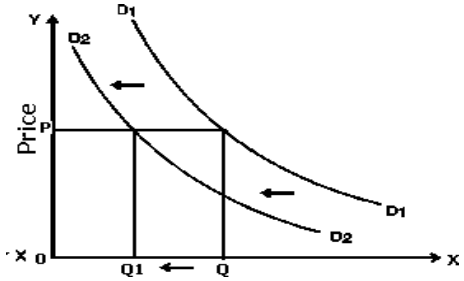
71. Suppose the income elasticity of education in private school in India is 3.6. What does this indicate:
(a) Private school education is highly wanted by rich
(b) Private school education is a necessity.
(c) Private school education is a luxury.
(d) We should have more private schools.

72. The following diagram shows the relationship between price of Good X and quantity demanded of Good Y. What we infer from the diagram is;



(a) Good X and Good Y are perfect complements
(b) Good X and Good Y are perfect substitutes
(c) Good X and Good Y are remote substitutes
(d) Good X and Good Y are close substitutes

73. The diagram given below shows



(a) A change in demand which may be caused by a rise in income and the good is a normal good
(b) A shift of demand curve caused by a fall in the price of a complementary good
(c) A change in demand which is caused by a rise in income and the good is an inferior good
(d) A shift of demand curve caused by a rise in the price of a substitute and the good is a normal good.

74. The demand curve of a normal good has shifted to the right. Which of the four events would have caused the shift?
(a) A fall in the price of a substitute with the price of the good unchanged
(b) A fall in the nominal income of the consumer and a fall in the price of the normal good
(c) A fall in the price of a complementary good with the price of the normal good unchanged
(d) A fall in the price of the normal good, other things remaining the same

75. If roller- coaster ride is a function of amusement park visit, then, if the price of amusement park entry falls
(a) The demand for roller- coaster rides will rise and the demand curve will shift to right
(b) The demand for roller coaster ride cannot be predicted as it depends on the tastes of consumers for the ride
(c) There will be an expansion in the demand for roller coaster drive as it complementary
(d) None of the above

76. The average income of residents of two cities A and B and the corresponding change in demand for two goods is given in the following table. Which of the following statements is true?

City	%Increase In Income	% change in demand for Good X	% change in demand for Good Y
A	12	6.5	- 2.3
B	9	5.6	1.6

(a) Both goods are normal goods in both cities A and B
(b) Good X is a normal good in both cities; good Y is an inferior good in city A
(c) Good X is a normal good in both cities; good Y is an inferior good in city B
(d) Need more information to make an accurate comment

77. During a recession, economies experience increased unemployment and a reduced level of income. How would a recession likely to affect the market demand for new cars?
(a) Demand curve will shift to the right.
(b) Demand curve will shift to the left.
(c) Demand will not shift, but the quantity of cars sold per month will decrease.
(d) Demand will not shift, but the quantity of cars sold per month will increase.

PAST EXAM QUESTIONS

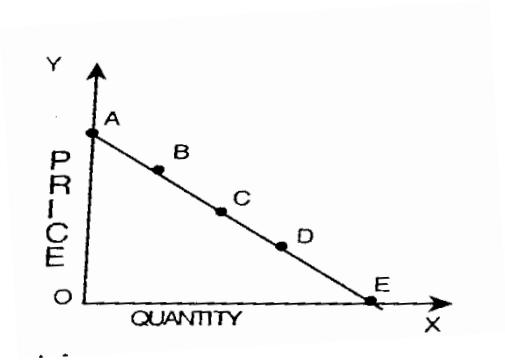
2015 - JUNE

1. The meaning of time element in economics is:
   (a) Calendar time
   (b) Clock time
   (c) Operational time in which supply adjusts with the market demand
   (d) None of the above

MAY- 2018

2. "High priced goods consumed by status seeking rich people to satisfy their need for conspicuous goods" is:
   (a) Veblen effect (b) Bandwagon effect
   (c) Snob effect (d) Demonstration effect

3.



   (a) Elasticity at point A = ∞, at B = > 1, at C = 1, at D = < 1 and at E = 0
   (b) Elasticity at A = 0, at B = < 1, at C = 1, at D = > 1 and at E = ∞
   (c) Elasticity at A = 0, at B > 1, at C = 1, at D = < 1 & at E = 0
   (d) None of these

4. An increase in demand can result from:
   (a) A decline in the market price
   (b) An increase in income
   (c) A reduction in the price of substitutes
   (d) An increase in the price of complements

5. Cross elasticity of perfect substitutes is
   (a) Zero (b) Negative (c) One (d) Infinity

6. For what type of goods does demand fall with a rise in income levels of households?
   (a) Inferior goods (b) Substitutes
   (c) Luxuries (d) Necessities

7. Elasticity between two points:
   (a) point elasticity (b) Arc elasticity
   (c) Cross elasticity (d) None

2018- NOVEMBER

8. When price of a commodity increases what will be the effect on quantity demanded?
   (a) Increase (b) Decreases
   (c) No change (d) None of these

9. In case of inferior goods, with a rise in the income of consumers, demand for inferior goods will_____?
   (a) Increases (b) Decreases
   (c) No change (d) None of these

10. In case of Normal goods, rise in price leads to_____?
   (a) Fall in demand (b) Rise in demand
   (c) No change (d) Initially rise then ultimately fall

2019-MAY

11. In the case of _____, there is an inverse relationship between income and demand for a product.
   (a) Substitute goods (b) Complementary goods
   (c) Giffen goods (d) None of these

12. If maize has -0.30 as income elasticity of demand, then maize will be considered as_____.
   (a) Necessity (b) Inferior good
   (c) Superior good (d) None

13. If price decreases from Rs. 80 to Rs. 60 and elasticity of demand is 1.25 then _____.
   (a) Demand increase by 25% (b) Demand decrease by 25%
   (c) Remains constant (d) None of these

14. Which of the following is correct?
   (a) Elasticity on the lower segment of demand curve is greater than unity
   (b) Elasticity on the upper segment of demand curve is lesser than unity
   (c) Elasticity at the middle of the demand curve is equal to unity
   (d) Elasticity decreases as one moves from the lower part of the demand curve to upper part

15. Which of the following will affect the demand for non-durable goods?
   (a) Disposable Income (b) Price
   (c) Demography (d) All of the above

16. When the price of tea decreases, people reduce the consumption of coffee. Then the goods are
(a) Complementaries (b) Substitutes
(c) Inferior goods (d) Normal goods

17. The price elasticity of demand at the midpoint of the straight–line demand curve under point method is_____.
(a) 0 (b) 1 (c) > 1 (d) < 1

2019- NOVEMBER

18. Luxury goods have income elasticity
(a) Negative and less than 1 (b) Positive and greater than 1
(c) Zero (d) None

19. Law of demand relates to:
(a) Price only
(b) Price and quantity demanded of a good
(c) Quantity demanded only
(d) Supply

20. Elasticity for habitual goods is
(a) Perfectly elastic (b) Elastic
(c) Perfectly inelastic (d) Inelastic

21. Which of the following methods calculates elasticity of demand by using formula?
$$\frac{\text{lower segment of demand curve}}{\text{upper segment of demand curve}}$$
(a) Thery are elasticity method
(b) Cross elasticity method
(c) The income elasticity method
(d) The point elasticity method

22. When the price of petrol decreases, people reduce the consumption of diesel then the goods are:
(a) Mixed (b) Complementary
(c) Superior (d) Substitutes

23. When price of apple is Rs. 120 per kg. Ram buys one kg. of apples at that price. Now if other things remains the same but the price of apples falls to Rs. 90 per kg. Now Ram buys 2 kg of apples. It is called as:
(a) Contraction of demand (b) Expansion of demand
(c) Point Elasticity (d) Zero Elasticity

24. To know the base price and quantity, which method of elasticity is used?
(a) Arc Elasticity (b) Cross Elasticity
(c) Point Elasticity (d) Zero Elasticity

25. The price elasticity of demand for X is 1 and the average quantity demand of X is 90 units. If the price of X decreases from Rs. 300 to Rs. 180 per unit, calculate the new quantity demand of X is:
(a) 126 units (b) 36 units (c) 144 units (d) 120 units

2021- JANUARY

26. Effective demand depends on.
(a) Price (b) Cost (c) Desire (d) Product

27. Why does demand curve slopes downwards?
(a) Law of diminishing marginal cost
(b) Arrival of old consumer
(c) Cost effect
(d) Different uses

28. What is not a determinant of demand?
(a) Consumer's expectations
(b) Consumer's tastes and preferences
(c) Income of the consumers
(d) Prices of unrelated goods

29. What are exceptions to Law of Demand?
(a) Law of Diminishing Marginal Utility
(b) Substitution effect
(c) Conspicuous goods
(d) Different uses

30. Identify the factor which generally keeps the price elasticity of a good law.
(a) Variety of uses for that good
(b) Very low price of a commodity
(c) Close substitutes for that good
(d) High proportion of the consumer's income spent on it

31. In the case of inferior goods, the income elasticity of demand is:
(a) Positive (b) Zero (c) Negative (d) Infinite

32. What is numerical measure of elasticity for "Perfect Elastic"
(a) Zero (b) Infinity
(c) Greater than one & less than infinity (d) Less than one

33. The price of 1 kg. of tea is Rs. 30 demand at this price is 5 kg. If price of coffee rises from 25 to 35 per kg. the quantity demanded of tea rises from 5kg. to 8 kg. Find out cross elasticity of tea:
(a) -1.5 (b) 1.5 (c) 3 (d) 1

2021- JULY

34. Suppose the demand for automobile decreases due to increase in pnee of petrol. Both the goods are:
(a) Normal (b) Substitute
(c) Perishable (d) Complementary

35. Goods which are inferior, with no close substitutes easily available and which occupy a substantial place in consumer's budget are called _____ goods.
(a) Giffen (b) Speculative
(c) Conspicuous (d) Prestige

36. By 'Change in demand' represents which of the following?
(a) Shift of the demand curve to the right or left
(b) Movement upward and downwards on the same demand curve
(c) Change in budget line with change in income
(d) Shift in the indifference curve

37. A group of people decrease or altogether stop consumption of a common product due to which of the following effect?
(a)Veblen effect (b) Demonstration effects
(c) Bandwagon effect (d) Snob effect

38. Highly priced goods are consumed by status seeking rich people to satisfy their need for conspicuous consumption. This is called
(a) Veblen effect (b) Demonstration effect
(c) snob effect (d) Bandwagon effect

39. For which of the following product elasticity of demand is highly elastic?
(a) Salt (b) Jewellery
(c) Life saving medicines (d) water

40. Assume that Wheat have (-) 0.4 as income elasticity. By this, we can say:
(a) Wheat is a normal good (b) Wheat is an inferior good
(c) Wheat is a superior good (d) Wheat is a luxurious good

41. The demand for a generic good like soap is the_____ demand for Lux soap is _____.
(a) Inelastic, elastic (b) Elastic, inelastic
(c) Inelastic, inelastic (d) Elastic, elastic

42. The quantity demanded of coffee increases by 2% when the price of tea increases by 8%, the cross-elasticity of demand between two products are ?
(a) -0.30 (b) +0.30 (c) +0.25 (d) -0.25

43. The price of a commodity decreases from Rs. 200 to Rs. 120 per unit. If the price elasticity of demand for this commodity is 2 and the original quantity demanded is 60 units, calculate the new quantity demanded.
(a) 8 units (b) 100 units (c) 120 unis (d) 108 units

2021- DECEMBER

44. Who coined the term 'Demonstration effect'?
(a) Adam Smith (b) Veblen
(c) James Duesenbury (d) Alfred Marshall

45. In case of _____ goods, the demand will rise to the fall of price only if substitution effect outweighs the income effect.
(a) Inferior goods (b) necessaries
(c) giffen goods (d) luxury goods

46. The value of demand elasticity can be taken from_____
(a) – 1 to + 1 (b) – 1 to ∞ (c) 0 to ∞ (d) – 1 to 0

47. Demand refers to_____
(a) Need for a commodity
(b) Use for a commodity
(c) Unlimited wants
(d) It is a desire backed by purchasing power, ability and willingness to pay

48. During lockdown due to COVID-19, a consumer finds the vegetable vendors selling vegetables in the street have raised the prices of vegetables than usual prices. She will buy_____ vegetables than/as her usual demand showing the demand of vegetables is_____.
(a) more, inelastic demand (b) less, elastic demand
(c) same, inelastic demand (d) same, elastic demand

49. For giffen goods the angle curve is:
(a) Vertical (b) Horizontal
(c) Negatively slopped (d) Positively slopped

2022- JUNE

50. Change in price is larger than proportionate to change in demand _____ which type of elasticity?
(a) Elastic (b) Infinite (c) Zero (d) Inelastic

51. Veblen effect slopes toward:
(a) Downward (b) Upward (c) Negative (d) Positive

52. Advertising elasticity of demand is always:
(a) Positive (b) Negative
(c) Constant (d) All of the above

53. Which of the following is not an exception of law of demand?
(a) Giffen goods (b) Conspicuous goods
(c) White goods (d) None of the above

54. The law of demand states that the quantity purchased_____
(a) Varies inversely with price
(b) Varies directly proportional with price
(c) Varies similarly with price
(d) None of the above

55. If the quantity demanded of mutton increases by 5% when the price of chicken increase by 25% the price elasticity of demand is:
(a) 0.2 (b) -1 (c) 0 (d) 0.8

56. If customer is a habitual customer then elasticity is-
(a) Relative elastic (b) Negative
(c) Zero (d) Inelastic

57. If advertisement is increased by 25% & demand is only increased by 5%. Find advertisement elasticity
(a) -1 (b) 1 (c) 0.2 (d) -0.2

58. When demand decrease due to price increase it is?
(a) Change in demand (b) Increase in demand
(c) Contraction in demand (d) Decrease in demand

2023- JUNE

59. If demand of Bajra decreases due to decreases in its price, then Bajra is a:
(a) Superior good (b) Inferior good
(c) Necessity good (d) Luxury good

60. There is decrease in price of LED TV after budget announcement from Rs. 60,000 to Rs. 50,000. As a result to which demand for it has increases from 1500 units to 2000 units. Elasticity of demand for LED TV will be:
(a) 1.27 (b) 1.57 (c) 0.63 (d) 0.67

61. Price effect is described as which of following?
(a) Income effect + Veblen effect
(b) Substitution effect + Veblen effect
(c) Income effect + substitution effect
(d) Veblen effect + Demonstration effect

62. Increase in price of pulses leads to increase in demand of green vegetables:
(a) Substitute goods (b) Normal goods
(c) Complimentary goods (d) None of these

63. When two goods are unrelated, then cross elasticity of demand will be:
(a) 0 (b) ∞ (c) 1 (d) (-) 1

64. Rightward shift of demand curve of coffee represents:
(a) Decrease in demand (b) Increase in demand
(c) Contraction (d) Expansion

65. If the price of a gel pen increases from Rs. 40 to Rs. 50 & in response to this the quantity demand decreases from 25 units to 20 units. The coefficient of price elasticity will be-
(a) 1.25 (b) – 1.25 (c) 0.8 (d) – 0.8

66. Suppose there is an increase in income by 15%, which increases demand by 30%, the income elasticity of demand will be:
(a) 0.67 (b) 0.5 (c) 2 (d) 1

67. Who coined the term 'Demonstration Effect'?
(a) James Duesenberry (b) Thorstein Veblen
(c) Hicks and Allen (d) Alfred Marshall

68. Which of the following is not an exception to law of demand?
(a) Speculative goods (b) Giffen goods
(c) Necessity goods (d) Normal goods

69. Movement along the same demand curve represents.
(a) Change in demand (b) Change in quantity demand
(c) Increase in demand (d) Decrease in demand

70. Increase in price of pulses leads to increase in demand of green vegetable:
(a) Substitutes (b) Complimentary goods
(c) Normal goods (d) None of these

71. When oranges has (-)0.58 income elasticity, the commodity orange is called as:
(a) Orange is a necessity good
(b) Orange is a inferior good
(c) Orange is a substitute good
(d) None of these

72. Which of the following method is used to calculate elasticity of demand, when price and quantity demand are large?
(a) Zero elasticity (b) Cross elasticity
(c) Point elasticity (d) Arc elasticity

2023- DECEMBER

73. If the percentage change in demand of good X is -2.5% and the percentage change in income is 5%, then the income elasticity for good X is _____ and the good X will be treated as _____
(a) -0.5, normal goods (b) -0.5, inferior goods
(c) 0.5 normal goods (d) 0.5, inferior goods

74. If both the total revenue of a product and price are moving in the same direction, then the demand is-
(a) Elastic (b) Perfectly inelastic
(c) Inelastic (d) Unrelated

75. The price of a good decreases from ₹ 80 to ₹ 40 per unit. If the price elasticity of demand for the given product id 1.5 and the original quantity is 20 units, then the new quantity demanded will be_____
(a) 15 units (b) 18 units (c) 35 units (d) 48 units

76. Price of 1 can of Pepsi is Rs. 25. At this price 10 cans of Pepsi is demanded. If the price of Cococola increases from Rs. 20 to Rs. 30 per can, then quantity demanded of Pepsi rises from 10 cans to 16 cans. Find the cross-price elasticity of Pepsi.
(a) 1.2 (b) 1.25 (c) 0 (d) 1

77. Calculate the price elasticity of demand if the household increase his demand for commodity x from 80 units to 100 units and price of a product x decreases by 10%
(a) 2.5 (b) 0.4 (c) 10 (d) 1.25

78. Which of the following is an exception to the law of demand?
(a) Substitute Goods (b) Marginal utility
(c) Conspicuous Goods (d) Cross elasticity of demand

79. Cross elasticity of commodity X is (-) 1.5. it indicates that commodity X is
(a) Complementary Goods (b) Suspicious Goods
(c) Industrial Goods (d) Substitute Goods

80. Dinesh's annual income increases from ₹ 3,00,000 to ₹ 3,60,000. Accordingly, be increase his purchases of commodity X from 50 Nos. to 60 Nos. what is the Dinesh's income elasticity of demand for commodity X?
(Use Arc elasticity method)
(a) 0.5 (b) 1.0 (c) 2.0 (d) Zero

2024- JUNE

81. Consumption of high priced goods by status seeking rich people for conspicuous consumption is called as _____
(a) Snob effect (b) Bandwagon effect
(c) Demonstration effect (d) Veblen effect

82. If the quantity demand of coffee increased by 8% the price of tea increase by 25% the cross elasticity of demand between coffee and tea is _____
(a) -0.32 (b) 0.32 (c) 3.125 (d) -3.125

83. Calculate the price elasticity of demand, when the price increases from Rs.20 to Rs22 and quantity demands falls from 3000 to 2000 units (Midpoint method)
(a) 4.2 (b) -4.2 (c) 4 (d) -4

84. Mr. Z went to a stationery shop to buy pens. The price of pen decreased from ₹5 to ₹3 per unit. If the price elasticity of demand for pen is 2.5 and the original quantity demand for pen is 20, then how much is the new quantity of demanded.
(a) 10 (b) 40 (c) 30 (d) 20

2024- SEPTEMBER

85. Suppose the price elasticity of demand of a firm for its product is -1.2. If the price of the product is increased by 5%, then it is most probable that:
(a) Both total revenue and profit would increase
(b) Both total revenue and profit would decrease,
(c) Total revenue would decrease but profit may increase
(d) Total revenue would increase but profit may decrease

86. Mr. X and Mr. Y are rich rivals and, in a party, Mr. X wears an expensive dress and on seeing it Mr. Y who also has the same dress decided to reject the use of the same dress further. Rather Mr. Y will try to use an even more expensive one. Which effect affects Mr. Y?

(a) Bandwagon Effect (b) Demonstration Effect
(c) Snob Effect (d) Veblen Effect

87. If the income elasticity of a specific type of goods is greater than one, what does it suggest about the goods?
(a) It is normal goods (b) It is an inferior goods
(c) It is a necessity goods (d) It is a luxury goods

88. The demand function of a product X (in kg.) is expressed as Q = 1,000 – 50P, where Q is the quantity demanded and P is the price of the product. When price of X is Rs. 10 per kg., it's price elasticity will be:
(a) 1 (b) -1 (c) – 2 (d) 2

89. The price of a commodity is Rs. 10 per unit. At this price quantity supplied is 500 units. Price elasticity of supply of the commodity is 1.25. At what price the quantity to be supplied would be 20% more?
(a) Rs. 11.60 (b) Rs. 8.40
(c) Rs. 12.50 (d) Rs. 7.50

90. If change in quantity demanded is 60% and change in advertisement expenditure is 20% then what will be the advertisement elasticity?
(a) 0.33 (b) 3 (c) 6 (d) 20

91. An increase in consumer surplus is likely to occur when:
(a) There is a fall in price of goods
(b) There is a rise in price of goods
(c) Demand decreases
(d) Supply increases

92. The price of 1 kg. of tea is Rs. 50. At this price, 10 kg. of tea is demanded. If the price of coffee rises from Rs. 30 to Rs. 40 per kg., the quantity demanded of tea rises from 10 kg. 15kg What will be the cross-price elasticity of tea?
(a) – 1.5 (b) +1 (c) +1.5 (d) -1

2025- JANUARY

93. When some people start investing money in share market then many people start following the same without considering its advantages and disadvantages is an example of:
(a) Veblen effect (b) Bandwagon effect
(c) Snob effect (d) Sheep effect

94. 'Ceteris Paribus' is a Latin phrase that generally means:
(a) All other things being equal
(b) An inverse relationship
(c) Income of consumers
(d) Tastes and preferences of consumers

95. The slope of a demand curve is:
(a) Δ Q / Δ P (b) Δ P / Δ Q
(c) - Δ Q / Δ P (d) -Δ P / Δ Q

96. A shopkeeper sells two commodities A and B, which are close substitute of each other. It is observed that when the price of commodity A increase the demand of B increase more then increase in A?
(a) +1 (b) – 1 (c) + 1.5 (d) – 1.5

97. Which of the following refers to the want satisfying power of goods and services? It is not absolute but relative. It is a subjective concept and it depends upon the mental attitude of people.
(a) Utility (b) Consumers equilibrium
(c) Need (d) Demand

98. If the price of Wheat increases from Rs. 1,800 per Quintal to Rs. 2,200 per Quintal and consequently the quantity supplied rises from 2,000 Quintal to 3,200 Quintal. Calculate the elasticity of supply.
(a) +0.7 (b) +1.7 (c) +2.7 (d) +3.7

99. In case of perfectly elastic supply:
(a) Es > 1 (b) Es = 1 (c) Es = 0 (d) Es = ∞

100. The Supply function is given as q = 120 + 6p. Find the elasticity of supply, when price is Rs. 10.
(a) + 1/3 (b) +2/3 (c) -2/3 (d) +3/4

2025- MAY

101. Commodities for which the quantity demanded rises only up to a certain level of income and decreases with an increase in income beyond this level are called:
(A) Normal goods (B) Inferior goods
(C) Essential goods (D) Luxury goods

102. Highly priced goods are consumed by status seeking rich people to satisfy their need for conspicuous consumption. This is called:
(A) Demonstrative effect (B) Bandwagon effect
(C) Snob effect (D) Veblen effect

103. An expectation that price will fall in future will lead to:
(A) A downward movement along the same demand curve
(B) An upward movement along the same demand curve
(C) Rightward shift of demand curve
(D) Leftward shift of demand curve

104. A consumer buys 100 units of a goods at a price of 6 per unit. Suppose price elasticity of demand is-3. At what price will he buy 80 units?
(A) ₹ 5.8 (B) ₹ 6.2 (C) ₹ 6.4 (D) ₹ 6.75

105. If total revenue of goods increases with an increase in its price, demand for the goods is said to be:
(A) Elastic (C) Inelastic
(B) Unit elastic (D) Infinitely elastic

106. Which of the following statement is not true while determining price elasticity of demand?
(A) Goods which have close or perfect substitutes, have highly elastic demand curves.
(B) The greater the proportion of income spent on a commodity; generally the lesser will be its elasticity of demand.
(C) Necessities are generally price inelastic.
(D) The more possible uses of a commodity, greater will be its price elasticity.

107. When two goods are complementary, the cross elasticity between them is:
(A) Infinite (B) Positive and large
(C) Zero (D) Negative

108. Assume that when price is 30 the quantity demanded is 19 units and when price is 28 the quantity demanded is 20 units, what is the marginal revenue resulting from an increase in output from 19 units to 20 units ?
(A) ₹ 10 (B) - ₹ 10 (C) ₹ 20 (D) - ₹ 20

109. The value of the product or service is enhanced as the number of individuals using it increases. What effect is this?
(A) Veblen Effect (B) Bandwagon Effect
(C) Income Effect (D) Snob Effect

2025- SEPTEMBER

110. What will happen to demand when a larger proportion of people belong to older age groups relative to younger age groups?
(A) There will be increased demand for children's books.
(B) There will be increased demand for geriatric care services, spectacles and walking sticks etc.
(C) There will be increased demand for normal goods and services.
(D) There will be decreased demand for goods and services.

111. Demand is said to be elastic, if:
(A) Elasticity is one (Ep = 1)
(B) Elasticity is greater than one (Ep > 1)
(C) Elasticity is less than one (Ep < 1)
(D) Elasticity is zero (Ep = 0)

112. How does an increase in the income of consumers generally affect the demand for normal goods?
(A) It decreases the demand.
(B) It has no effect on the demand.
(C) It increases the demand.
(D) It makes the demand more elastic.

113. If a company increases its advertisement expenditure by 20% and the quantity demanded increases by 40%, what is the advertisement elasticity of demand?
(A) Ea = 0 (B) Ea = 1 (C) Ea = 0.5 (D) Ea = 2

114. Which of the following statements is true about Giffen goods?
(A) All Giffen goods are inferior goods.
(B) All inferior goods are Giffen goods.
(C) Giffen goods are inferior goods with close substitutes.
(D) Giffen goods follow the law of demand.

115. Assuming that the supply of cars will remain constant and the prices of cars are expected to increase in future, then what will be its effect on Demand Curve?
(A) Demand curve will shift to right.
(B) Demand curve will shift to left.
(C) Demand curve will remain unchanged.
(D) Insufficient information to predict the effect on demand curve.

116. When there is a decrease in demand due to a fall in income, while supply remains the same, what happens to the demand curve?
(A) It will shift to the right.
(B) It will remain unchanged.
(C) It will shift to the left.
(D) It will become vertical.

2026- JANUARY

117. The price of a product is Rs. 100 per unit. If price falls by 20% the quantity increases by 120 units. The price elasticity of demand is -1. The new quantity demanded due to fall in price is:
(A) 480 units (B) 600 units
(C) 680 units (D) 720 units

118. Other things being equal, the demand for a good and the price of its complement has:
(A) Positive relationship (B) Direct relationship
(C) Inverse relationship (D) Proportional relationship

119. Which of the following is the effect of non-price determinants on the Leftward Shift in Demand Curve?
(A) Rise in the price of a substitute good
(B) Rise in the price of a complement
(C) An Increase in number of buyers
(D) An expectation that the price will rise in the future

120. If cross-price elasticity between two products is zero, the goods are best described as:
(A) Close substitutes (B) Totally unrelated
(C) Perfect substitutes (D) Complements to each other

121. When even after increase in price, total revenue remains the same the demand is said to be:
(A) Perfectly elastic (B) Elastic
(C) Inelastic (D) Unitary elastic

122. Which of these is the correct expression for Arc Elasticity?
(A) (P2-P1)/(P2+P1) x (Q2+Q1)/(Q2-Q1)
(B) (P2-P1) x (P2+P1)/(Q2+Q1) x (Q2-Q1)
(C) (P2+P1)/(P2-P1) x (Q2-Q1)/(Q2+Q1)
(D) (P2+P1) x (P2-P1)/(Q2-Q1) x (Q2+Q1)

123. The product of price quantity ratio at a particular point on the demand curve and the reciprocal of the slope of the demand line is called:
(A) Point elasticity
(B) Arc elasticity
(C) Total outlay method of elasticity
(D) Total revenue method of elasticity

124. What will be the impact on equilibrium price and equilibrium quantity when demand decreases and supply increases?
(A) Both equilibrium price and equilibrium quantity falls
(B) Both equilibrium price and equilibrium quantity will rise
(C) Equilibrium price falls but impact on equilibrium quantity is not certain
(D) Equilibrium quantity decreases but impact on equilibrium price is not certain

2026- MAY

125. The demand curve slopes upwards in case of which of the following scenarios?
(A) Conspicuous necessities (B) Normal goods
(C) Unitary elasticity (D) Elasticity greater than one

126. If the price of a commodity reduces from Rs. 200 to Rs. 150, calculate the new quantity demanded assuming that price elasticity of demand is 2.5 and the original quantity demanded is 25 Kgs.
(A) 40.625 Kgs (B) 42.125 Kgs
(C) 40.250 Kgs (D) 41.625 Kgs

127. Calculate the arc elasticity if P1 = Rs. 15, P2 = Rs. 20, Q1 = 50 units, and Q2 = 75 units.
(A) 1.4 (B) 1.2 (C) 2.1 (D) 1.5

128. In which of the following conditions the demand curve touches the vertical axis and is horizontal at the price level?
(A) Elasticity being zero (B) Elasticity > 1
(C) Elasticity < 1 (D) Elasticity is infinite

129 Which of the following is not a set of complementary goods?
(A) Car & Petrol (B) Electricity & Electrical Gadgets
(C) Bread & Jam (D) Blazer & Jacket

130. For a household suppose the income elasticity of a commodity is arrived at 0.5; what can be assumed about the nature of the good?
(A) It is a luxurious good
(B) It is an inferior good
(C) It has a zero income elasticity
(D) It is a normal good and fulfils a necessity

131. Articles of prestige value used by rich people as status symbol for increasing their social prestige and/or for displaying wealth is known as:
(A) Speculative goods (B) Conspicuous goods
(C) Giffen goods (D) Inferior goods

132. Find the coefficient of price elasticity when the price of a product decreases from Rs. 10 to Rs. 6, and the quantity demanded rises from 10 units to 20 units.
(A) -1.5 (B) 3.5 (C) 0.5 (D) -2.5

133. When the price of sugar is Rs. 60 per kg, its demand is 10 Kgs. Subsequently, if the price of coffee declines from Rs. 500 per kg to Rs. 450 per Kg, the usage of sugar rises from 10 kgs to 15 kgs. Calculate the cross price elasticity.
(A) -5 (B) 10 (C) -2.5 (D) 2.5

QUESTIONS FOR PRACTICE

1. Suppose a department store has a sale on its silverware. If the price of a plate-setting is reduced from ₹ 300 to ₹ 200 and the quantity demanded increases from 3,000 plate-settings to 5,000 plate-settings, what is the price elasticity of demand for silverware?
(a) 8 (b) 1.0 (c) 1.25 (d) 1.50

2. Demand for electricity is elastic because ————————.
(a) it is very expensive
(b) it has a number of close substitutes
(c) it has alternative uses
(d) none of the above

3. _____ and do not directly affect the demand curve
(a) the price of related goods, consumer incomes
(b) Consumer incomes, tastes
(c) the costs of production, bank opening hours
(d) the price of related goods, preferences

4. If the demand curve for good X is downward-sloping, an increase in the price will result in
(a) A decrease in the demand for good X.
(b) No change in the quantity demanded for good X.
(c) A larger quantity demanded for good X.
(d) A smaller quantity demanded for good X.

5. In the case of an inferior good the income elasticity of demand is:
(a) positive (b) zero (c) negative (d) infinite

6. The elasticity of substitution between two perfect substitutes is:
(a) zero (b) greater than zero
(c) less than infinity (d) infinite

7. The income of a household rises by 20%, the demand for computer rises by 25%, this means computer (in Economics) is a/an
(a) inferior good (b) luxury good
(c) necessity (d) can't say

8. In the case of a straight line demand curve meeting the two axes the price – elasticity of demand at the mid-point of the line would be:
(a) 0 (b) 1 (c) 1.5 (d) 2

9. All of the following are determinants of demand except-
(a) tastes and preferences (b) quantity supplied
(c) income (d) price of related goods

10. If the price of Pepsi decreases relative to the price of Coke and Slice, the demand for:
(a) Coke will rise (b) Slice will decrease
(c) Coke & Slice will increase (d) Coke and Slice will decrease

11. The demand for a factor of production is said to be a derived demand because_____
(a) It is a function of the profitability of an enterprise
(b) It depends on the supply of complementary factors
(c) Its stems from the demand for the final product
(d) It arises out of means being scarce in relation to wants.

12. The 'substitution effect' takes place due to change in_____
(a) income of the consumer
(b) prices of the commodity
(c) relative prices of the commodities
(d) all of the above

13. In case of inferior goods, income elasticity is:
(a) zero (b) positive (c) negative (d) none

14. Cross elasticity of demand between tea and coffee is:
(a) positive (b) negative (c) zero (d) infinity

15. If the income elasticity is greater than one the commodity is-
(a) Necessity (b) Luxury
(c) Inferior goods (d) None of these

16. If a point on a demand curve of any commodity lies on X Axis then price elasticity of demand of that commodity at that point will be : _____
(a) Infinite (b) More than zero
(c) Less than zero (d) zero

READ THE FOLLOWING DATA AND ANSWER QUS. NUMBER 17 - 19. (Use arc method/ mid point method)

XYZ are three commodities where X and Y are complements whereas X and Z are substitutes. A shopkeeper sells commodity X at ₹ 40 per piece. At this price he is able to sell 100 pieces of X per month. After some time he decreases the price of X to ₹ 20. Following the price decrease, he is able to sell 150 pieces of X per month, the demand for Y increases from 25 units to 50 units and the demand for commodity Z decreases from 150 to 75 units.

17. The price elasticity of demand when the price of X decreases from ₹ 40 per piece to ₹ 20 per piece will be equal to: (Use Arc Method)
(a) 1.5 (b) 1.0 (c) 1.66 (d) 0.6

18. The cross elasticity of monthly demand for Y when the price of X decrease from ₹ 40 to ₹ 20 is equal to:
(a) +1 (b) -1 (c) –1.5 (d) +1.5

19. The cross-elasticity of Z when the price of X decreases from 40 to 20 is equal to:
(a) –0.6 (b) +0.6 (c) –1 (d) +1

20. What can be said about price elasticity of demand for X?
(a) Demand is unit elastic
(b) Demand is highly elastic
(c) Demand is perfectly elastic
(d) Demand is inelastic

21. Suppose income of the residents of locality increase by 50% and the quantity of X commodity increases by 20%. What is income elasticity of demand for commodity X?
(a) 0.6 (b) 0.4 (c) 1.25 (d) 1.35

22. We can say that commodity X in economics is a/an
(a) luxury good (b) inferior Good
(c) normal Good (d) none of the above

23. Suppose income of the consumers increases by 50% and the demand for commodity X increases by 20% what will be the income elasticity of demand for commodity X?
(a) .04 (b) 0.4 (c) 4.00 (d) -4.00

24. If the demand for a good is inelastic, an increase in its price will cause the total expenditure of the consumers of the good to:
(a) Remain the same (b) Increase
(c) Decrease (d) Any of these

25. The price of hot dogs increases by 22% and the quantity of hot dog demanded falls by 25%. This indicates that demand for hot dog is
(a) elastic (b) inelastic
(c) unitarily elastic (d) perfectly elastic.

26. Contraction of demand is the result of
(a) decrease in the number of consumers
(b) increase in the price of the good concerned
(c) increase in the prices of other goods
(d) decrease in the income of purchasers

27. The substitution effect will be stronger when:
(a) the goods are closer substitute
(b) there is lower cost of switching to the substitute good
(c) there is lower inconvenience while switching to the substitute good
(d) all of the above

28. In case of substitute product:
(a) demand curve slope upwards
(b) demand curve slope downwards
(c) demand curve is perfectly elastic
(d) None of these

29. A dealer sells only two brands of Motorcycle- Royal and Hero. It was observed that when the price of royal rises by 10% the demand for Hero increases by 15%. What is the cross elasticity of Hero against the price of Royal?
(a) + 1.5 (b) -1.5 (c) 2.5 (d) None of these

30. When e = 0, elasticity of demand is:
(a) perfectly elastic (b) unitary elastic
(c) inelastic (d) perfectly inelastic demand

31. When a small change in price leads to a large change in demand the demand is
(a) Inelastic (b) Elastic (c) Stagnant (d) Fixed

32. For luxuries goods the income elasticity is:
(a) e > 1 (b) e < 1 (c) e = 0 (d) none of these

33. Demand for factor of production is_____
(a) supplementary demand (b) intermediate goods
(c) derived demand (d) complementary demand

34. The producer's demand for a factor of production is governed by the _____ of that factor.
(a) price (b) marginal productivity
(c) availability (d) profitability

35. The cross elasticity between tea and coffee is:
(a) infinite (b) positive (c) zero (d) negative

36. When violation of law of demand occurs in case of inferior goods:
(a) substitution effect is negative
(b) income effect is negative
(c) negative income effect is less than substitution effect
(d) negative income effect is greater than substitution effect

37. Suppose income of the residents of locality increases by 50% and the quantity of gel pens demanded increases by 20%. What is income elasticity of demand for gel pen?
(a) 0.4 (b) 0.6 (c) 1.25 (d) 1.50

38. If increasing air fares increases revenues and decreasing them decreases revenues, then the demand for air travel has a price elasticity of:
(a) Zero (b) Greater than zero but less than one
(c) One (d) Greater than one

39. What will happen in the rice market if buyers are expecting higher rice prices in the near future?
(a) The demand for rice will increase
(b) The demand for rice will decrease
(c) The demand for rice will be unaffected
(d) None of the above

40. Suppose potatoes have (-) 0.4 as income of consumers so that they can purchase potatoes.
(a) Potatoes are inferior goods
(b) Potatoes are superior goods
(c) Potatoes are necessities
(d) There is a need to increase the income of consumers so that they can purchase potatoes

41. The cross elasticity between Rye bread and Whole Wheat bread is expected to be:
(a) positive (b) negative (c) zero(d) can't say

42. Suppose the income elasticity of education in private school in India is 1.8. What does this indicate:
(a) Private school education is a luxury
(b) Private school education is a necessity
(c) Private school education is an commodity
(d) We should have more private school

Read the below table and answer Questions number 43 to 45

	% Change in price	% change in quantity demanded (quantity supplied)	Elasticity
Demand for salt	20	-1	X
Demand for bananas	15	Y	3
Supply of Chicken	Z	14	1

43. Refer the above table and find the value of X.
(a) -20 (b) -0.05
(c) -1 (d) Can not be determined

44. Refer the above table and find the value of Y.
(a) -5 (b) 15 (c) -45 (d) -3

45. Refer the above and find the value of Z.
(a) 14 (b) 1 (c) 0.07 (d) 5

46. If the quantity of blankets demanded increases from 4600 to 5700 in response to a decreases in their price from Rs. 220 to Rs. 190, the price elasticity of demand for blankets is: (Use Arc Method)
(a) 0.69 (b) 1.0 (c) 1.46 (d) 2.66

47. Suppose that at a price of Rs. 300 per month, there are 30,000 subscribers to cable television in Small Town. If Small Town Cablevision raises its price to Rs. 400 per month, the number of subscribers will fall to 20,000. Using the arc elasticity (midpoint) method for calculating the elasticity, what is the price elasticity of demand for cable TV in small Town?
(a) 1.4 (b) 0.66 (c) 0.75 (d) 2.0

48. Exception to the law of demand:
(a) Speculative effect (b) Fear of shortage
(c) Ignorance (d) All of the above

49. In case of inferior goods:
(a) Income effect and substitution effect work in opposite direction
(b) Income effect and substitution effect work in same direction
(c) It leads consumer to purchase less of a good and more of the substitute
(d) None of these

50. When the demand curve is parallel to Y axis the elasticity of demand will be_____
(a) Zero (b) Utility
(c) Less than Unity (d) None of these

51. From the following demand curve determine the elasticity at the given price
Q = 120 – 10P
When P = 5, dQ/dP = 10
(a) Elasticity (b) Inelastic
(c) Unitary elastic (d) None of these

52. If the Price of Thumps Up increase the demand curve of Pepsi will:
(a) Remain at the same level (b) Shift towards right
(c) Shift towards left (d) None of these

53. Snob effect is explained as_____
(a) It is a function of consumption of others
(b) It is a function of price
(c) Both (a) and (b)
(d) None of these

54. Which of the following are the determinant of price elasticity of demand:
(a) Availability of substitutes (b) Time period
(c) Tied demand (d) All of the above

55. If the cross elasticity is only- slightly below zero which of the following is correct?
(a) They are weak complements
(b) Negative and very high they are strong complements
(c) Both (a) and (b)
(d) None of these

56. Contraction of demand is the result of
(a) Decrease in the number of consumers
(b) Increase in the price of the good concerned
(c) Price of related products
(d) None of these

57. If regardless of change in the price the quantity demanded of a good remains unchanged then the demand curve for the good will be-
(a) Vertical (b) Horizontal
(c) Negatively sloped (d) None of these

58. If the price of a commodity raised by 12% and Ed is (-) 0.63 the expenditure made on the commodity by the consumer will_____
(a) Remain the same (b) Decrease
(c) Increase (d) Can't say

59. The law of demand is:
(a) Irreversible in nature (b) Reversible in nature
(c) Both (a) and (b) (d) None of these

60. During recession what will be the market demand for new cars?
(a) Demand Curve will shift to the right
(b) Demand curve will shift to the left
(c) Demand will not shift but the quantity of cars sold per month will decrease
(d) Demand will not shift but the quantity of cars sold per month will increase

61. A decrease in the demand for mobile phone other things remaining the same will_____
(a) Increase purchase the number of mobile phone bought
(b) Decrease the price but increase the number of mobile phone
(c) Decrease in quantity of mobile phone demanded
(d) Decrease the price and decrease in the number of Mobile phone bought

62. Demand for a commodity with negative income elasticity indicate that as income falls the amount of the commodity purchased
(a) falls (b) rises
(c) remain unchanged (d) None of these

63. For Giffen good the angle Curve is:
(a) Vertical (b) Horizontal
(c) Negatively Sloped (d) Positively Sloped

64. Comforts lies between
(a) Luxuries and inferior goods
(b) Inferior goods and necessaries
(c) Necessaries and Luxuries
(d) None of these

65. In case of Inferior goods:
(a) Income effect and substitution effect work in same direction
(b) Income effect and substitution effect work in opposite direction
(c) Either (a) or (b)
(d) None of these

66. Rationale of the law of demand is:
(a) Price effect of a fall in price (b) Different uses
(c) Arrival of new consumers (d) All of these

67. The cross elasticity between two goods will be:
(a) Positive (b) Negative
(c) Either (a) or (b) (d) None of these

68. Demand for complementary goods are:
(a) Derived Demand (b) Autonomous demand
(c) Aggregate demand (d) None of these

69. When total demand for a commodity whose price has fallen increases it is due to:
(a) Price effect (b) Income effect
(c) Substitution effect (d) Complementary effect

70. All Giffen goods are:
(a) Inferior goods (b) Non Inferior goods
(c) Normal goods (d) None of these

71. For substitute products the demand is:
(a) Downward sloping (b) Horizontal
(c) Upward sloping (d) None of these

72. Sir Robert Giffen is economist and statistician from –
(a) USA (b) Nepal (c) India (d) UK

73. If the goods which are in very high Price range, having elasticity–
(a) elastic (b) more elastic
(c) inelastic (d) unit elastic

74. Replacement demand is an important component in case of:
(a) non-durable goods (b) durable goods
(c) (a) & (b) both (d) none

75. Which of the following factor affect demand for non-durable consumer goods.
(a) Disposable Income (b) Demography
(c) Price (d) All of the above

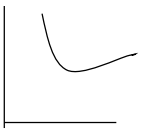
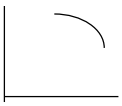
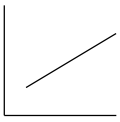
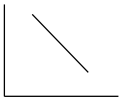
76. "By _____, we mean the various quantities of a given commodity or service which consumers would buy in one market during a given period of time, at various prices, or at various incomes, or at various prices of related goods".
(a)Desire (b) Supply (c) Want (d) Demand

77. $D_{X=}f(P_XM, P_YP_C\,T, A)$ This is-
Where: Dx is the quantity demanded of product X
P_X is the price of the commodity
M is the money income of the consumer
PY is the price of its substitutes
PC is the price of its complementary goods
T is consumer tastes, and preferences
A is advertisement expenditure
(a)Production function (b) Supply function
(c) Demand function (d) None of the above

78. "Graphical presentation of the demand schedule" is:
(a) Law of demand (b) Demand
(c) Demand curve (d) Demand table

79. When we add up the various quantities demanded by different consumers in the market, we can obtain the
(a) Total demand (b) Aggregate demand
(c) Market demand (d) Whole sale demand

80. Under "Income effect" as rationale of law of demand-
(a) Income increase (b) Income decrease
(c) Income change (d) None of the above

81. Which of the following curve is positive slope?
(a) 
(b) 
(c) 
(d) 

82. Find the elasticity of supply using 'point method'. When price is Rs. 20 and supply function is q = -100+10p
(a) 3 (b) 2 (c) 1 (d) None of these

83. Replacement demand is an important component in case of-
(a) Non-durable goods (b) Durable goods
(c) (a) &(b) both (d) None of these

ANSWERS:-

CLASS QUESTIONS FOR PRACTICE

1	D	16	C	31	C	46	B	61	A	76	B
2	B	17	A	32	B	47	A	62	A	77	B
3	C	18	B	33	A	48	A	63	A		
4	B	19	D	34	D	49	D	64	D		
5	B	20	C	35	D	50	D	65	D		
6	B	21	B	36	D	51	A	66	A		
7	B	22	C	37	C	52	C	67	A		
8	C	23	C	38	B	53	A	68	C		
9	C	24	D	39	D	54	B	69	C		
10	B	25	B	40	B	55	C	70	B		
11	B	26	A	41	B	56	D	71	C		
12	B	27	C	42	C	57	A	72	D		
13	B	28	B	43	B	58	C	73	C		
14	C	29	A	44	C	59	A	74	C		
15	D	30	B	45	C	60	D	75	A		

PAST YEARS EXAM QUESTIONS

1	C	26	A	51	B	76	A	101	B	126	A
2	A	27	D	52	A	77	A	102	D	127	A
3	A	28	D	53	C	78	C	103	D	128	D
4	B	29	C	54	A	79	A	104	C	129	D
5	D	30	B	55	A	80	B	105	C	130	D
6	A	31	C	56	D	81	D	106	B	131	B
7	B	32	B	57	C	82	B	107	D	132	D
8	B	33	B	58	C	83	B	108	B	133	A
9	B	34	D	59	B	84	B	109	B		
10	A	35	A	60	B	85	B	110	B		
11	C	36	A	61	C	86	C	111	B		
12	B	37	D	62	A	87	D	112	C		
13	D	38	A	63	A	88	B	113	D		
14	C	39	B	64	B	89	A	114	A		
15	D	40	B	65	D	90	B	115	A		
16	B	41	A	66	C	91	A	116	C		
17	B	42	C	67	A	92	C	117	D		
18	B	43	D	68	D	93	B	118	C		
19	B	44	C	69	B	94	A	119	B		
20	D	45	A	70	A	95	D	120	B		
21	D	46	C	71	B	96	C	121	D		
22	D	47	D	72	D	97	A	122	C		
23	B	48	C	73	B	98	C	123	A		
24	A	49	C	74	C	99	D	124	C		
25	A	50	D	75	C	100	A	125	A		

QUESTIONS FOR YOUR PRACTICE

1	C	16	D	31	B	46	C	61	D	76	D
2	C	17	D	32	A	47	A	62	B	77	C
3	C	18	B	33	C	48	D	63	C	78	C
4	D	19	D	34	B	49	A	64	C	79	C
5	C	20	D	35	B	50	A	65	B	80	D
6	D	21	B	36	D	51	B	66	D	81	C
7	B	22	C	37	A	52	B	67	C	82	B
8	B	23	B	38	B	53	A	68	A	83	B
9	B	24	B	39	A	54	D	69	A		
10	D	25	A	40	A	55	A	70	A		
11	C	26	B	41	A	56	B	71	C		
12	C	27	D	42	A	57	A	72	D		
13	C	28	A	43	B	58	C	73	C		
14	A	29	A	44	C	59	A	74	B		
15	B	30	D	45	A	60	B	75	D		

CHAPTER 2 THEORY OF DEMAND & SUPPLY

UNIT II: THEORY OF CONSUMER BEHAVIOUR

CLASS QUESTIONS FOR PRACTICE

1. Total utility is maximum when:
   (a) Marginal utility is zero.
   (b) Marginal utility is at its highest point.
   (c) Marginal utility is negative
   (d) None of the above

2. An indifference curve slopes down towards right since more of one commodity and less of another result in:
   (a) Same level of satisfaction. (b) Greater satisfaction.
   (c) Maximum satisfaction. (d) Any of the above

3. Which of the following statements is incorrect?
   (a) An indifference curve must be downward-sloping to the right.
   (b) Convexity of a curve implies that the slope of the curve diminishes as one moves from left to right.
   (c) The income elasticity for inferior goods to a consumer is positive
   (d) The total effect of a change in the price of a good on its quantity demanded is called the price effect.

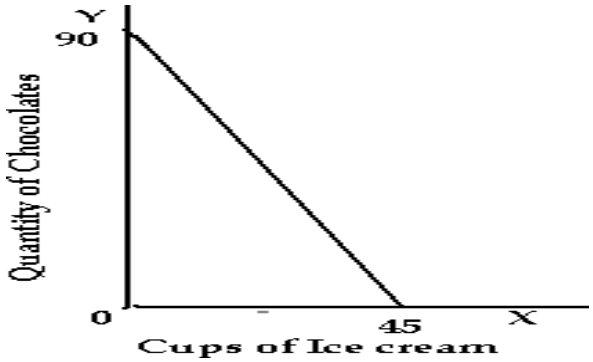
4. By consumer surplus, economists mean-
   (a) The area inside the budget line above the price of the commodity
   (b) The area between the average revenue and marginal revenue curves.
   (c) The difference between the maximum amount that a person is willing to pay for a good and its market price.
   (d) The difference between the market price and the supply curve

5. Which of the following is a property of an indifference curve?
   (a) It is convex to the origin due to diminishing marginal rate of substitution
   (b) The marginal rate of substitution is constant as you move along an indifference curve.
   (c) Marginal utility is constant as you move along an indifference curve.
   (d) Total utility is greatest where the budget line cuts the indifference curve.

6. When economists speak of the utility of a certain good, they are referring to
   (a) The demand for the good.
   (b) The usefulness of the good in consumption.
   (c) The expected satisfaction derived from consuming the good.
   (d) The rate at which consumers are willing to exchange one good for another.

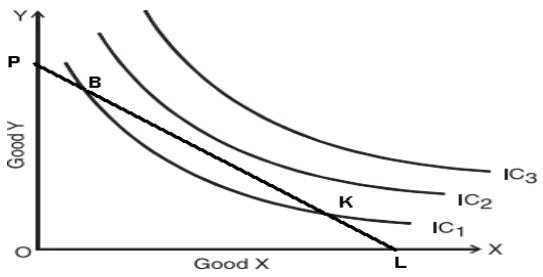
7. A point below the budget line of a consumer-
   (a) Represents a combination of goods which costs the whole of consumer's income
   (b) Represents a combination of goods which costs less than the consumer's income
   (c) Represents a combination of goods which is unattainable to the consumer given his/her money income
   (d) Represents a combination of goods which costs more than the consumers' income

8. The figure below shows the budget constraint of a consumer with an income of ₹ 900/- to spend on two commodities, namely ice cream and chocolates.



The prices of these two commodities respectively are:
(a) ₹ 10 and ₹ 20
(b) ₹ 20 and ₹ 10
(c) ₹ 10 and ₹ 5
(d) Any of the above

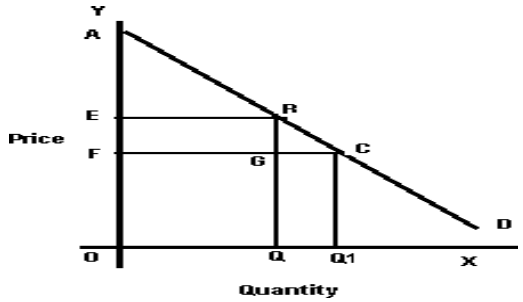
Refer to the figure below. Answer questions 9 and 10



9. If this consumer is spending her entire income and consuming at point B, what advise will you give her?
   (a) No advise needed, as she is maximizing her utility at B
   (b) Consume more of Good X and less of Good Y
   (c) Consume more of X and less of Y and reach point K
   (d) Consume same quantity of Good Y and more of Good X

10. Which of the following statements is true about this consumer?
   (a) The consumer is not maximizing her utility at point K
   (b) The consumer is spending her entire income on both goods
   (c) The consumer gets equal pleasure at points B and K
   (d) All the above

Refer to the figure below. Answer questions 11 and 12



11. The effect on consumer surplus of a fall in price from E to F is-
   (a) A decrease in consumer surplus by EFGR
   (b) A decrease in consumer surplus by AER
   (c) A decrease in consumer surplus by EFCR
   (d) None of the above

12. When price rises from F to E, the increase in revenue earned by the seller is
   (a) Equivalent to area EFGR
   (b) Equivalent to area EFCR
   (c) Equivalent to area AER
   (d) None of the above

13. How would that budget line be affected if the price of both goods fell?
   (a) The budget line would not shift.
   (b) The new budget line must be parallel to the old budget line.
   (c) The budget line must be shifting to the left
   (d) The new budget line will have the same slope as the original so long as the prices of both goods change in the same proportion.

14. Which one is not an assumption of the theory of demand based on analysis of indifference curves?
    (a) Given scale of preferences as between different combinations of two goods.
    (b) Diminishing marginal rate of substitution.
    (c) Diminishing marginal utility of money
    (d) Consumers would always prefer more of a particular good to less of it, other things remaining the same.

15. The successive units of stamps collected by a little boy give him greater and greater satisfaction. This is a clear case of
    (a) Operation of the law of demand.
    (b) Consumer surplus enjoyed in hobbies and rare collections
    (c) Exception to the law of diminishing utility.
    (d) None of the above

PAST EXAM QUESTIONS

MAY- 2018

1. Cardinal approach is related to:
   (a) Indifference curve (b) Equi marginal utility
   (c) Law of diminishing returns (d) None of these

2. Which of the following is not an assumption of marginal utility analysis?
   (a) Consumer rationality
   (b) Cardinal measurability of utility
   (c) Ordinal measurability of utility
   (d) Continuity in consumption

3. An indifference curve is L shaped, then two goods will be:
   (a) Perfect substitute goods
   (b) Substitute goods
   (c) Perfect complementary goods
   (d) Complementary goods

4. The concept of consumer's surplus is derived from:
   (a) The law of diminishing marginal utility
   (b) The law of equal-marginal utility
   (c) The law of diminishing returns
   (d) Engel's law

5. Short- run price is also called by the name of:
   (a) Market price (b) Showroom price
   (c) Maximum retail price (d) None

2018- NOVEMBER

6. In case of necessaries, consumer surplus is?
   (a) Infinite (b) Zero
   (c) Equals to one (d) More than one

7. From the following data given below answer question 7&8:

Units	TU	MU
1	200	
2	-	180
3	480	-

   Total utility derived from 2nd unit?
   (a) 380 (b) 20 (c) 100 (d) 280

8. Marginal utility of 3rd unit is?
   (a) 200 (b) 280 (c) 100 (d) 50

9. Which Equation is correct-
(a) $\frac{MUx}{MUy} = \frac{Px}{Py}$ (b) $\frac{MUx}{MUy} > \frac{Px}{Py}$
(c) $\frac{MUx}{MUy} < \frac{Px}{Py}$ (d) $\frac{MUx}{MUy} \neq \frac{Px}{Py}$

10. The scope of the indifference curve shows consumer equilibrium at the point where MRS $_{(xy)}$ _____ $\frac{Px}{Py}$ (price line)
(a) Less than (b) More than
(c) Equal to (d) None of these

11. Which of the following is not the property of the indifference curve?
(a) IC is convex to the origin
(b) IC scopes downwards from left to right
(c) Two IC touch each other
(d) IC cannot touch either of the axes

12. An IC show_____ MRS between the commodity?
(a) Increasing (b) Decreasing
(c) Constant (d) Zero

13. Addition made to total utility refers to?
(a) Total utility (b) Average utility
(c) Marginal utility (d) All of the above

2019-MAY

14. The consumer is in equilibrium when the following condition is satisfied:
(a) Budget line is tangent to the IC curve
(b) $\frac{MUx}{\mathrm{Px}} = \frac{MUy}{Py} = \frac{MUz}{Pz}$
(c) Both (a) and (b)
(d) None of the above

15. Which of the following is / are the conditions of theory of consumer surplus if the price is same for all the units he purchased?
(a) The consumer gains extra utility or surplus
(b) Consumer surplus for the last commodity is zero
(c) Both
(d) None

16. Which of the following is not the property of an indifference curve?
(a) Slopes downwards to the right
(b) Always convex to the origin
(c) Intersects each other
(d) Will not touch either of the axes

17. Which of the following relation is true with MU?
(a) When MU is positive, Total utility rises at a diminishing rate
(b) When marginal utility is zero, total utility is maximum
(c) When marginal utility is negative, total utility is diminishing
(d) All of the above

2019- NOVEMBER

18. Total utility is also known as
(a) Total satiety (b) Aggregate satiety
(c) Full satiety (d) Half satiety

19. Budget line is also called-
(a) Price line (b) Iso cost line
(c) Iso-quant (d) None

20. An in difference curve slopes down towards right since more of one commodity and of another commodity result in_____
(a) Same level of satisfaction
(b) Maximum satisfaction
(c) Greater satisfaction
(d) Less satisfaction

21. If Indifference curve is L shaped, means two goods will be:
(a) Perfect complementary goods
(b) Perfect substitute goods
(c) Perfect inferior goods
(d) perfect superior goods

22. Let us assume that in OY axis we have good A and on OX axis good B. if the price of good B increases by Rs. 1 but the price of good A remains constant and income also remains unchanged, the budget line will shift:
(a) Right on OY axis (b) Right on OX axis
(c) Left on OY axis (d) Left on OX axis

23. Purushotham wanted to buy laptop by paying Rs. 60,000 but the actual price is Rs. 55,000 then the consumer surplus is:
(a) Rs. 60,000 (b) Rs. 55,000
(c) Rs. 5,000 (d) Rs. 6,500

2021- JANUARY

24. The second glass of lemonade gives lesser satisfaction to a thirsty boy. This is a clear case of:
(a) Law of demand
(b) Law of diminishing returns
(c) Law of diminishing marginal utility
(d) Law of supply

2021- JULY

25. Marshall defined the concept of consumer surplus as the
(a) Area covered in between the average revenue and marginal revenue curves.
(b) Difference between the maximum amount a person is willing to pay for a good and the amount he actually pays.
(c) Area inside the budget line.
(d) Difference between the minimum amount a person is willing to pay for a good and its market price.

26. The Indifference curve for two perfect complementary goods is
(a) Z-shaped (b) L-shaped
(c) U-shaped (d) Straight line

27. Indifference Curve analysis is based on which approach?
(a) Nominal (b) Cardinal
(c) Marginal (d) Ordinal

Read the following table and answer Q. no. (28 - 29):

Quantity Consumed	Total utility
0	0
1	300
2	500
3	650
4	750
5	830
6	890
7	930
8	960

28. What is marginal utility when consumption increases from 4 units to 5 units?
(a) 130 (b) 80 (c) 160 (d) 100

29. What is marginal utility when consumption increases from 7 units to 8 units?
(a) 60 (b) 100 (c) 40 (d) 30

2021- DECEMBER

30. MRS from X to Y can be defined as_____
(a) Change in Y to change in X
(b) p_x / p_y
(c) p_y / p_x
(d) Change in X to change in Y

31. Consumer surplus is derived from which concept?
(a) Law of diminishing marginal utility
(b) Law of consumer surplus
(c) Law of indifference curve
(d) Maximization of profits

32. Law of diminishing marginal utility is derived from_____.
(a) indifference curve (b) consumer surplus
(c) maximization of profits (d) expansion of firm

33. Hicks and Allen believed that utility_____
(a) can be measured in ordinal numbers
(b) can be measured in cardinal numbers
(c) can be measured
(d) cannot be measured

34. At the point of satiation, TU is _____ and MU is _____
(a) Maximum, Zero (b) Minimum, Minimum
(c) Zero, Maximum (d) Maximum, Maximum

35. Budget Line will be affected by_____
(a) change in demand (b) change in income
(c) change in supply (d) change in equilibrium

36. Utility can be measured in _____
(a) Units (b) Utiles (c) Points (d) Numbers

37. Which of the following is the property of IC?
(a) IC is concave to the origin
(b) ICs intersects each other
(c) IC slopes upward to the left
(d) IC does not touch either x-axis or y-axis

38. The dealings of Aeroplanes as given below are_____

Price (in Rs. Lakhs)	Quantity demanded (No. of Aeroplanes)
250	52
252	52
259	52
268	52
272	52

This represents_____
(a) Inelastic demand (b) Perfectly inelastic demand
(c) Unit elastic (d) Relative inelastic

2022- JUNE

39. The graph of perfect complimentary goods is:
(a) Straight line (b) L shaped
(c) U shaped (d) None of the above

40. Consumer surplus what he is willing to pay less-
(a) What he actually pays (b) The price of the goods
(c) Money spent on goods (d) All of the above

41. An indifference curve is L shaped, then two goods will be:
(a) Perfect substitute goods
(b) Substitute goods
(c) Perfect complementary goods
(d) Complementary goods

2023- JUNE

42. If indifference curve is 'L' shaped then two goods will be called as:
(a) Perfect superior goods
(b) Perfect inferior goods
(c) Perfect quantity goods
(d) Perfect complementary goods

43. Suppose that total utility is 100 at 10 units of consumption of a commodity. If consumer increases the consumption by one more unit and owing to that total utility increases to 108. The marginal utility of last units consumed will be:
(a) 8 (b) 100 (c) 108 (d) 101

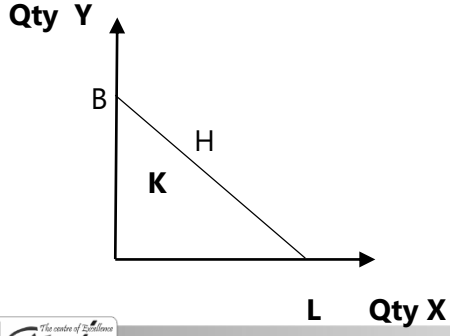
2023- DECEMBER

44. From the information provided, what will be the Total utility of 2nd unit

Units	TU	MU
1	200	-
2	-	150
3	480	-

(a) 350 (b) 380 (c) 50 (d) 330

45. BL is the budget lie. What does the points 'K' and 'H' represent from the consumer's point of view?



(a) Point 'K' is not reachable of the consumer, point 'H' shows under spending by the consumer
(b) Point 'K' and 'H' shows equal consumer spending behaviour.
(c) Point 'K' shows under spending by the consumer and pint 'H' shows beyond the reach of consumer
(d) Point 'K' and 'H' the price ratio

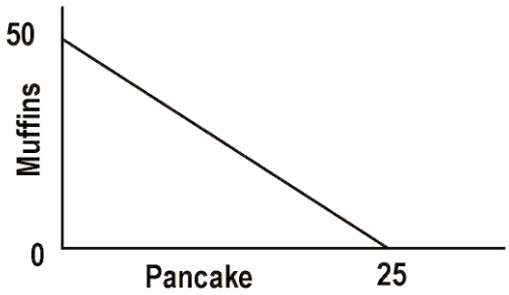
46. More consumption of commodity of X and less consumption of commodity Y make indifference curve.
(a) Slope downwards from left to right
(b) intersect with each other
(c) Touch two axes
(d) Concave at mid-point

47. An indifference curve represents those combination of two commodities which give consumer:
(a) Equal satisfaction (b) Greater satisfaction
(c) Less satisfaction (d) No satisfaction

2024- JUNE

48. Ram wanted to purchase an Apple tab at Rs12,000/-. Actual price in the market(MRP) is Rs11,000/- and discount was given at 20%. Also there is an additional cash discount of Rs300, Find consumers surplus.
(a) 3200 (b) 3500 (c) 1000 (d) 3300

49. When the total income of a consumer is Rs.750 find out the prices of pancake & muffins respectively,



(a) 15,30 (b) 30,15 (c) 50,25 (d) 25,50

50. A point above the budget line of a consumer represents
(a) Represents costs less than the whole consumers income
(b) Represents combination of goods which costs whole of consumers income
(c) Represents a combination which is totally unattainable
(d) Represents a combination that is attainable

2024- SEPTEMBER

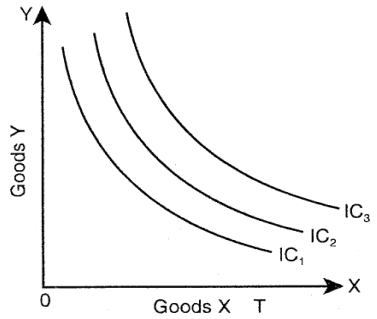
51. With respect to the properties of indifference curve which of the following statement is false?
(a) Indifference curve is a negatively sloped line
(b) Higher indifference curve represents higher level of satisfaction
(c) Intersecting point of two indifference curves represents highest level of satisfaction
(d) An indifference curve is convex to the origin

52. Which tool does the ordinal utility approach use to analyse consumer behavior and is based on consumer preferences?
(a) Law od Diminishing Marginal Utility
(b) Indifference Curve Analysis
(c) Elasticity of Demand
(d) Consumer Surplus

2025- JANUARY

53. "Excess of the price which a consumer would be willing to pay rather than go without a thing over that which he actually does pay", is called:
(a) Consumer equilibrium (b) Consumers surplus
(c) Change in demand (d) Change in price

54. With reference to the following indifference map, which of the following curve represents highest satisfaction level?



(a) IC3
(b) IC2
(c) IC1
(d) All the curve represents same satisfaction level

2025- MAY

55. When total utility is increasing at decreasing rate:
(A) Marginal utility is equal to total utility.
(B) Marginal utility is decreasing but remains positive.
(C) Marginal utility becomes negative.
(D) Marginal utility is equal to zero.

56. The rate at which a consumer is prepared to exchange goods X and Y, holding the level of satisfaction constant is called as_____.
(A) Indifference curve
(B) Marginal rate of substitution
(C) Diminishing marginal utility
(D) Consumer surplus

2025- SEPTEMBER

57. The consumer is in equilibrium position at a point where the price line is:
(A) cutting an indifference curve
(B) below an indifference curve
(C) tangent to an indifference curve
(D) above an indifference curve

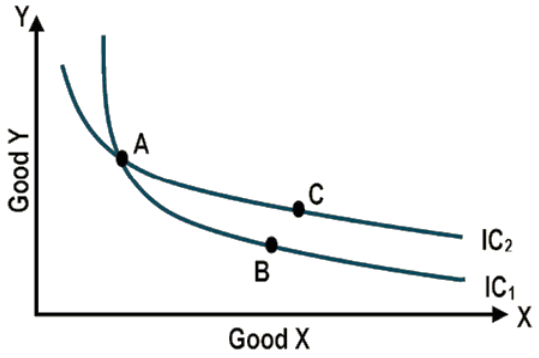
58. The condition for consumer equilibrium is given by:
(A) MUxPx = MUyPy
(B) MUx = MUy
(C) MUx/Px = MUy/Py
(D) MUx/MUy = Py/Px

59. The concept of consumer surplus is closely related to the _____ curve for a product.
(A) Supply (B) Demand (C) Cost (D) Profit

60. The slope of the budget line is determined by the relative prices of the two goods and is equal to:
(A) Total expenditure of two goods
(B) The price ratio of two goods
(C) The income level of the consumer
(D) The marginal utility of the goods

2026- JANUARY

61. Consider the indifference curves given below. What can you infer about the relationship between Good X and Good Y?



(A) Good X and Good Y are perfect substitutes of each other
(B) Good X and Good Y are perfect complements
(C) The relationship between Good X and Good Y is logically absurd
(D) Good X and Good Y are same

62. Consumer surplus is:
(A) What a consumer is ready to pay over what he actually pays
(B) Necessaries and comforts needed by a consumer
(C) Desire or wish to buy a commodity backed by adequate ability and willingness to pay
(D) Actual demand by a consumer

2026- MAY

63. Choose the correct option from the following that is not a true property of an Indifference Curve (IC):
(A) IC slopes upwards to the right
(B) IC is always convex to the origin
(C) IC will not touch either axes
(D) IC can never intersect each other

QUESTIONS FOR PRACTICE

1. The Slope of Indifference Curve indicates
(a) Marginal Rate of Substitution of x for y
(b) Prices of x and y
(c) Slope of the budget line
(d) Change in prices

2. If consumers always spend 15 percent of their income on food, then the income elasticity of demand for food is_____
(a) 1.50 (b) 1.15 (c) 1.00 (d) 0.15

3. Total utility is maximum when:
(a) marginal utility is zero
(b) marginal utility is at its highest point
(c) marginal utility is equal to average utility
(d) average utility is maximum

4. An indifference curve slopes down towards right since more of one commodity and less of another result in:
(a) same satisfaction
(b) greater satisfaction
(c) maximum satisfaction
(d) decreasing expenditure

5. The consumer is in equilibrium when the following condition is satisfied:

(a) $\frac{MU_x}{MU_y} > \frac{P_x}{P_y}$ (b) $\frac{MU_x}{MU_y} < \frac{P_x}{P_y}$

(c) $\frac{MU_x}{MU_y} = \frac{P_x}{P_y}$ (d) None of the above

6. The law of consumer surplus is based on:
(a) Indifferent curve analysis
(b) Revealed preference theory
(c) Law of substitution
(d) The law of diminishing marginal utility

7. Which of the following is a property of the indifference curve?
(a) Indifference curves are convex to the origin
(b) Indifference curves slope downwards from left to right
(c) No two indifference curves can cut each other
(d) All of the above are the properties of Indifference curves.

8. In economics, what a consumer is ready to pay minus what he actually pays, is termed as:
(a) Consumer's equilibrium (b) Consumer's surplus
(c) Consumer's expenditure (d) None of the above

9. The indifference curve approach does not assume:
(a) Rationality on the parts of consumers
(b) Ordinal measurement of satisfaction
(c) Consistent consumption pattern behaviour of consumers
(d) Cardinal measurement of utility

10. Consumer stops purchasing the additional units of the commodity when
(a) marginal utility starts declining
(b) marginal utility become zero
(c) marginal utility is equal to marginal utility of money
(d) total utility is increasing

11. Under income effect, consumer-
(a) moves along the original indifference curve
(b) moves to higher or lower indifference curve
(c) always purchases higher quantities of both the commodities
(d) none of the above

12. In the case of two perfect substitutes, the indifference curve will be :
(a) Straight line (b) L-shaped
(c) U-shaped (d) C-shaped

13. A rise in price will-
(a) increase in consumer surplus
(b) decrease in consumer surplus
(c) no change in consumer surplus
(d) none of these

14. When goods are perfect complementary the indifference curve is:
(a) is a straight line
(b) is convex to the origin
(c) consist of two straight line with a right angle bent
(d) none of these

15. The consumer is in equilibrium when:
(a) the budget line is tangent to the indifference curve
(b) marginal rate of substitution of one good for another must be equal to the price ratio of the two goods
(c) either (a) or (b)
(d) none of these

16. The marginal utility from last unit consumed of commodity Y = 50 Units and MUm = 10. The consumer is in equilibrium and consuming commodity y only. Find the price of commodity Y-
(a) 5 (b) 10 (c) 40 (d) None of these

17. If price of both goods fall how would the budget line is affected?
(a) The budget line will shift to left
(b) The budget line will shift to right
(c) The budget line will not change
(d) The new budget line will have the same slope as the original so long as the price of both goods change in the same proposition

18. Consumer surplus means:
(a) Area between the average revenue and marginal revenue curve
(b) Area inside the budget line above the price of the commodity
(c) Difference between the market price and the surplus curve
(d) Difference between the maximum amount a person is willing to pay for a good and its maximum price

19. What will be the shape of indifference curve in case of two perfect substitute is:
(a) C Shaped (b) L Shaped
(c) U Shaped (d) Straight line

20. Indifference Curve Analysis was proposed by_____
(a) J. R Hicks and R.G.D Allen (b) Alfred Marshall
(c) Jeremy Bentham (d) None of these

21. The rate at which the consumer is prepared to exchange-good X and Y is:
(a) Marginal rate of substitution
(b) Elasticity of substitution
(c) Diminishing marginal utility
(d) None of these

22. The budget line is also known as:
(a) Production possibility curve
(b) Consumption possibility curve
(c) Iso Utility curve
(d) None of these

23. The slope of budget line is:
(a) Px/ Py (b) Py/ Px
(c) Px. Py (d) None of these

24. Indifference curve analysis is superior to utility analysis:
(a) It dispenses with the assumption of measurability
(b) It segregates income effect and substitution effect
(c) It does not assume constancy of marginal utility of money
(d) All of the above

25. Indifference Curve analysis of demand is based on:
(a) Cardinal Utility approach (b) Marginal Utility approach
(c) Ordinal Utility approach (d) None of these

26. What is incorrect in case of concept of "utility"–
(a) It is subjective entity
(b) It is ethically neutral
(c) It is used in neo classical economics
(d) none of the above

27. When marginal utility is zero then total utility is:
(a) Maximum (b) Lower
(c) Negative (d) Increasing

28. If $MU_x = 30$, $P_x = 5$ $MU_y = 40$ the value of P_y will be-
(a) 10 (b) 15 (c) 6 (d) None of these

ANSWERS:-

Class Question For Practice

1	A	6	C	11	D
2	A	7	B	12	A
3	C	8	B	13	D
4	C	9	B	14	C
5	A	10	D	15	C

Past Years Exam Questions

1	B	11	C	21	A	31	A	41	C	51	C	61	A
2	C	12	B	22	D	32	B	42	D	52	B	62	A
3	C	13	C	23	C	33	A	43	A	53	A	63	A
4	A	14	C	24	C	34	A	44	A	54	B		
5	A	15	C	25	B	35	B	45	C	55	B		
6	A	16	C	26	B	36	B	46	A	56	C		
7	A	17	D	27	D	37	D	47	A	57	C		
8	C	18	B	28	B	38	B	48	B	58	B		
9	A	19	A	29	D	39	B	49	B	59	B		
10	C	20	A	30	B	40	A	50	C	60	C		

Question For Practice

1	A	11	B	21	A
2	C	12	A	22	B
3	A	13	B	23	A
4	A	14	C	24	D
5	C	15	C	25	C
6	D	16	A	26	D
7	D	17	D	27	A
8	B	18	D	28	D
9	D	19	D		
10	C	20	A		

CHAPTER 2: THEORY OF DEMAND & SUPPLY

UNIT III: SUPPLY

CLASS QUESTIONS FOR PRACTICE

1. Which of the following statements about price elasticity of supply is correct?
   (a) Price elasticity of supply is a measure of how much the quantity supplied of a good responds to a change in the price of that good
   (b) Price elasticity of supply is computed as the percentage change in quantity supplied divided by the percentage change in price
   (c) Price elasticity of supply in the long run would be different from that of the short run
   (d) All the above

2. Suppose that workers in a steel plant managed to force a significant increase in their wage package. How would the new wage contract be likely to affect the market supply of steel, other things remaining the same?
   (a) Supply curve will shift to the left.
   (b) Supply curve will shift to the right.
   (c) Supply will not shift, but the quantity of cars produced per month will decrease.
   (d) Supply will not shift, but the quantity of cars produced per month will increase.

3. A vertical supply curve parallel to Y axis implies that the elasticity of supply is:
   (a) Zero
   (b) Infinity
   (c) Equal to one
   (d) Greater than zero but less than infinity.

4. An increase in the supply of a good is caused by :
   (a) Improvements in its production technology
   (b) Fall in the prices of other goods which can be produced using the same inputs.
   (c) Fall in the prices of factors of production used in its production.
   (d) all of the above.

5. Elasticity of supply refers to the degree of responsiveness of supply of a good to changes in its:
   (a) Demand. (b) Price.
   (c) Cost of production. (d) State of technology.

6. A horizontal supply curve parallel to the quantity axis implies that the elasticity of supply is:
(a) Zero. (b) Infinite.
(c) Equal to one. (d) Greater than zero but less than one.

7. Contraction of supply is the result of:
(a) Decrease in the number of producers.
(b) Decrease in the price of the good concerned.
(c) Increase in the prices of other goods.
(d) Decrease in the outlay of sellers.

8. The quantity supplied of a good or service is the amount that-
(a) is actually bought during a given time period at a given price
(b) producers wish they could sell at a higher price
(c) producers plan to sell during a given time period at a given price
(d) people are willing to buy during a given time period at a given price

9. Supply is the-
(a) limited resources that are available with the seller
(b) cost of producing a good
(c) entire relationship between the quantity supplied and the price of good.
(d) Willingness to produce a good if the technology to produce it becomes available

10. In the book market, the supply of books will decrease if any of the following occurs except
(a) a decrease in the number of book publishers
(b) a decrease in the price of the book
(c) an increase in the future expected price of the book
(d) an increase in the price of paper used.

11. If price of computers increases by 10% and supply increases by 25%. The elasticity of supply is :
(a) 2.5 (b) 0.4 (c) (-) 2.5 (d) (-) 0.4

12. If the supply of bottled water decreases, other things remaining the same, the equilibrium price _____ & the equilibrium quantity_____.
(a) increases; decreases (b) decreases; increases
(c) decreases; decreases (d) increases; increases

13. In a very short period, the supply-
(a) can be changed (b) can not be changed
(c) can be increased (d) none of the above

14. When supply curve moves to the left, it means-
(a) lesser quantity is supplied at a given price
(b) larger quantity is supplied at a given price
(c) prices have fallen and quantity is supplied at a lower price
(d) none of the above

15. When supply curve moves to right, it means-
(a) supply increases and more quantity is supplied at a given price
(b) supply decreases and less quantity is supplied at a given price
(c) supply remains constant at a given price
(d) none of the above

16. The elasticity of supply is defined as the-
(a) responsiveness of the quantity supplied of a good to a change in its price
(b) responsiveness of the quantity supplied of a good without change in its price
(c) responsiveness of the quantity demanded of a good to a change in its price
(d) responsiveness of the quantity demanded of a good without change in its price

17. Elasticity of supply is measured by dividing the percentage change in quantity supplied of a good by _____
(a) Percentage change in income
(b) Percentage change in quantity demanded of goods
(c) Percentage change in price
(d) Percentage change in taste and preference

18. Elasticity of supply is zero means-
(a) perfectly inelastic supply (b) perfectly elastic supply
(c) imperfectly elastic supply (d) none of the above

19. Elasticity of supply is greater than one when
(a) Proportionate change in quantity supplied is more than the proportionate change in price.
(b) Proportionate change in price is greater than the proportionate change in quantity supplied.
(c) change in price and quantity supplied are equal
(d) None of the above

20. If the quantity supplied is exactly equal to the relative change in price then the elasticity of supply is-
(a) Less than one (b) Greater than one
(c) One (d) None of the above

21. The supply function is given as Q= -100 + 10P. Find the elasticity using point method, when price is ₹ 15.
(a) 4 (b) -3 (c) -5 (d) 3

22. The supply curve shifts to the right because of_____
(a) improved technology
(b) increased price of factors of production
(c) increased excise duty
(d) all of the above

23. The supply curve for highly perishable commodities during very short period is generally_____.
(a) Elastic (b) Inelastic
(c) Perfectly elastic (d) Perfectly inelastic

24. Supply is a _____concept.
(a) Stock (b) Flow and stock
(c) Flow (d) None of the above

25. If the organizers of an upcoming cricket match decide to increase the ticket price in order to raise its revenues, what they have learned from past experience is;
(a) The percentage increase in ticket rates will be always equal the percentage decrease in tickets sold
(b) The percentage increase in ticket rates will be always greater than the percentage decrease in tickets sold
(c) The percentage increase in ticket rates will be less than the percentage decrease in tickets sold
(d) (a) and (c) above are true

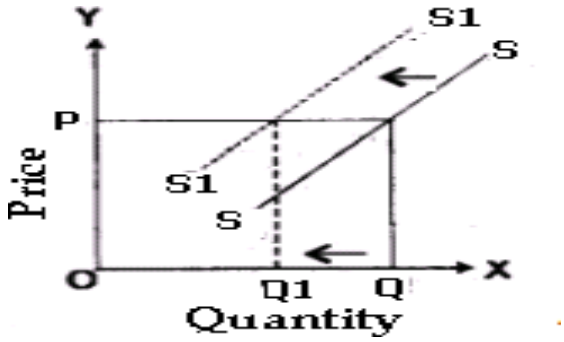
26. Data on production of vegetables for the past two years showed that, despite stable prices, there is a substantial decline in output of cabbage leading to lower supply into the market. Which of the following can possibly be the reason?
(a) An increase in the price of cauliflower which is equally preferred by consumers
(b) Announcement of a subsidy by government on vegetable production
(c) More farmers producing cabbage and the increasing competition among them
(d) A substantial decrease in the price of capsicum

27. If a short run supply curve is plotted for the following table which presents price and quantity of fighter aircrafts, what will be its shape?

Price in millions of $	Number of Aircrafts
124	28
140	28
150	28
160	28
175	28

(a) Horizontal straight line parallel to the quantity axis
(b) Steeply rising with elasticity less than one
(c) Vertical straight line parallel to Y axis
(d) A perfectly elastic supply curve

28. Which of the following alternatives would be true if the event presented in the following diagram occurs?



(a) A fall in wage costs of the firm along with a fall in consumer incomes
(b) A shortage of raw materials and consequent increase in raw material price
(c) An increase in subsidy by the government and a reduction in taxes
(d) Decrease in the market price of the commodity in question

PAST EXAM QUESTIONS

MAY- 2018

1. Supply is a_____ concept.
   (a) flow (b) stock
   (c) flow and stock, both (d) qualitative

2. When supply curve shifts to the right there is:
   (a) an increase (b) expansion
   (c) contraction (d) decrease

3. When supply price increase in the short run, the profit of the producer_____.
   (a) increases (b) decreases
   (c) remains constant (d) decreases marginally

2018- NOVEMBER

4. According to the law of supply, change in supply is related to?
   (a) Price of goods (b) Price of related goods
   (c) Factors of production (d) None of these

5. When the price of a commodity rises from 200 to Rs. 300 and quantity supply increases from 2000 to 5000 units, find the elasticity of supply?
   (a) 3.0 (b) 2.5 (c) 0.3 (d) 3.5

6. The elasticity of supply is zero means?
   (a) Perfectly inelastic (b) Perfectly elastic
   (c) Imperfectly elastic (d) All of the above

2019-MAY

7. Which of the following statement is correct?
   (a) Supply is inversely related to its cost of production
   (b) Price and quantity demand of a good have a direct relationship
   (c) Taxes and subsidy has no impact on the supply of the product
   (d) Seasonal changes have no impact on the supply of the commodity

8. When the supply of a product is perfectly inelastic then the curve will be
   (a) Parallel to Y-axis (b) Parallel to X-axis
   (c) At the angle of 45^0 (d) Sloping upwards

9. Contraction of supply implies_____.
(a) Decrease in cost of production
(b) Decrease in price of the good concerned
(c) Decrease in price of related good
(d) Increase in price of the good concerned

10. Perishable commodities will have_____ in supply curve.
(a) Perfectly elastic curve (b) Perfectly inelastic curve
(c) Elastic (d) Inelastic

2019- NOVEMBER

11. A vertical supply curve parallel to y axis implies the elasticity of supply is:
(a) Zero
(b) Infinity
(c) Equal to one
(d) Greater than zero but less than infinity

12. The quantity supplied of a goods or services is the amount that_____.
(a) As actually bought during a given time period at given price.
(b) Producers wish, they could sell at higher price
(c) Producers plan to sell during a given time period at given price
(d) People are willing to buy during a green their period at a given price

13. Percentage change quantity supplied is divided by_____ to obtain elasticity of supply
(a) Percentage decrease in price
(b) Percentage change in price
(c) Both (a) and (b)
(d) None

14. If the quantity supply changes substantially in response to small changes in price of the good then it is:
(a) Relatively greater elastic supply
(b) Relatively less elastic supply
(c) Unitary elastic
(d) Perfect elastic

2021- JANUARY

15. Supply is _____ concept.
(a) Flow (b) Stock
(c) Flow and Stock (d) None of the above

16. When supply curves moves to right, it means:
(a) Supply increases (b) Supply decreases
(c) Supply remains constant (d) Supply expands

2021- DECEMBER

17. Equation of supply is given as Q = 20p – 200. If price is Rs. 30, then find the elasticity:
(a) 1.5 (b) -1.5 (c) +0.66 (d) – 0.66

2022- JUNE

18. Elasticity measured at a given point on supply curve:
(a) Point elasticity (b) Arc elasticity
(c) Cross elasticity (d) None of the above

19. When price increases fewer units are sold which tends to lower the revenue?
(a) Income effect (b) Price effect
(c) Quantity effect (d) Substitution effect

20. The price of sugar falls from Rs. 10,000 to Rs. 8,000 & Quantity decrease from 2500 to 2000 find elasticity of supply
(a) 0 (b) 1 (c) -1 (d) 2

21. A vertical supply curve parallel to y axis implies that the elasticity of supply is-
(a) Zero (b) Infinity
(c) More than one (d) Less than one

2022- DECEMBER

22. When the elasticity of supply is infinite, the curve will be:
(a) Parallel to X-axis (b) Parallel to Y-axis
(c) Upward sloping (d) Downward sloping

23. Ram and sons are going for heavy advertisement campaign to enhance their sales. When analysed it was realized that the expenditure on advertisement by the company has gone up from Rs. 2,00,000 to Rs. 3,00,000 and the sales of this product increased from 10 lakh units to 20 lakh units. What is the advertising elasticity of demand?
(a) 1 (b) 4 (c) 2 (d) 3

24. If the quantity demanded of mutton increases by 5% when the price of chicken increases by 20%. The cross price elasticity of demand between mutton and chicken is:
(a) 0.25 (b) -4 (c) 4 (d) -0.25

25. The household income rises by 20% in a year consequently the demand of TV sets rises by 30% what is income elasticity of demand?
(a) 1.5 (b) 0.5 (c) 0.4 (d) 0.25

26. The extent to which the demand for a consumer's good is decreased owing to the fact that others are also consuming the same commodity refers to:
(a) Bandwagon effect (b) Snob effect
(c) Veblen effect (d) None of the above

27. Suppose the income elasticity of air conditioners is +1.8, which kind of good is an air conditioner?
(a) Conspicuous goods (b) Normal good
(c) Inferior good (d) Superior good

28. Change in demand due to increase in real income of a consumer is called:
(a) Income effect (b) Substitution effect
(c) Marginal effect (d) Price effect

29. If the price of good X increases, demand of good Y also increases, the two goods are:
(a) substitutes (b) complementary goods
(c) normal goods (d) giffen goods

2023- JUNE

30. Increase or decrease in supply means:
(a) Shifts in supply curve (b) Rightward or leftward shift
(c) Expansion malantration (d) Both (a) and (b)

31. When number of tourists increase at a place for which room rent of hostel also increases. Then elasticity of supply of room will be:
(a) Zero (b) < 1 (c) > 1 (d) =

32. Due to introduction of 5G mobiles in market, the price of such mobiles have increased by 20% and there by supply increased by 40%, the elasticity of supply will be which of the following?
(a) 0.5 (b) (-) 0.5 (c) -2 (d) 2

2023- DECEMBER

33. _____ is price at which quantity demand of a commodity = Quantity supply and there is no unsold stock or no excess demand.
(a) Market Clearance Price (b) Disequilibrium Price
(c) Psychological price (d) Skimming price

34. At Rs.5 per unit Ram supplies 500 units of commodity X. At what price, 650 units of X should be supplied for at unit elasticity of supply?
(a) 3.5 (b) 4.5 (c) 6.5 (d) 7.5

35. If the elasticity of supply is 5 and the price of product Y increase by 15%, then what percentage of quantity supplied will increase?
(a) 10% (b) 3% (c) 75% (d) 15%

36. The price of Good increase from ₹ 200 to ₹ 300 The Quantity supplied increases from 2000 to 2500 Units. The elasticity of supply will be-
(a) Less than one (b) Greater the two
(c) Equal to one (d) Equal to two

2025- MAY

37. Due to an increase in price of product X from 100 to 110 quantity supplied increases from 150 units to 200 units. Calculate elasticity of supply using arc-elasticity method.
(A) 2.3 (B) 3 (C) 3.33 (D) 3.5

2025- SEPTEMBER

38. Under ____ conditions, supply will be more than that under _____ conditions.
(A) Monopolized; Competitive
(B) Competitive; Monopolized
(C) Competitive, Oligopoly
(D) Oligopoly, Monopolized

39. In an increase in supply with unchanged demand:
(A) The equilibrium price will go down and the quantity demanded will go up.
(B) The equilibrium price will go up and the quantity demanded will go down.
(C) The equilibrium price will go up and the quantity demanded will remain constant.
(D) The equilibrium price will go down and the quantity demanded will also go down.

40. When both demand and supply decrease, the equilibrium quantity ____ but the change in equilibrium price is _____.
(A) decreases, uncertain
(B) increases, constant
(C) increases, uncertain
(D) decreases, constant

2026- JANUARY

41. Which of the following are types of measurement of supply-elasticity?
I. Point elasticity
II. Inelasticity
III. Arc elasticity
IV. Perfect elasticity
(A) I only
(B) II only
(C) Both I and IV
(D) Both I and III

42. 'Total Supply of land is perfectly inelastic from the point of view of the economy', it means:
(A) Its supply increases with increase in demand
(B) Its supply is unaffected with change in demand
(C) Its supply decreases with increase in demand
(D) Its supply decreases with decrease in demand

QUESTIONS FOR PRACTICE

1. If a fisherman must sell all of his daily catch before it spoils for whatever price he is offered, once the fish are caught the fisherman's price elasticity of supply for fresh fish is_____.
(a) zero.
(b) infinite.
(c) one.
(d) unable to be determined from this information.

2. In the case of a Giffen good, the demand curve will be:
(a) horizontal
(b) downward-sloping to the right
(c) upward-sloping to the right
(d) vertical

3. Elasticity of supply refers to the degree of responsiveness of supply of a good to changes in its:
(a) demand (b) price
(c) costs of production (d) state of technology

4. The relationship between price and quantity supplied in law of supply is:
(a) proportionate (b) homogenous
(c) inverse (d) direct

5. The producer reduces supply from 100 units to 50 units. When the price falls from Rs. 20 to Rs. 10, the price elasticity of supply will be:
(a) 1 (b) 2 (c) 4 (d) none of these

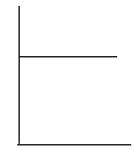
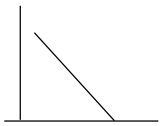
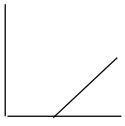
6. A rise in sale of which type of good is expected in the case of recession:
(a) Luxury (b) Necessity
(c) Inferior (d) Normal

7. When price of a good rises from ₹ 20 to ₹ 30 the producer supplier 20 % more the Price elasticity of supply is-
(a) 0.5 (b) 0.4 (c) 1 (d) none of these

8. Supply and Stock are_____
(a) Different (b) Same thing
(c) Having no comparison (d) Both (a) and (c)

9. A vertical supply curve parallel to Y axis implies that the elasticity of supply is:
(a) Infinity (b) Equal to One
(c) Zero (d) Greater than one less than infinity

10. In the quality supplied is exactly equal to the relative change in price then the elasticity of supply is:
(a) Greater than one (b) Less than one
(c) One (d) None of these

11. Which of the following supply curve represent perfect inelastic supply.
(a) 
(b) 
(c) 
(d)

12. In a very short period, the supply_____
(a) can be changed (b) cannot be changed
(c) can be increased (d) none of the above

ANSWERS:-

CLASS QUESTIONS FOR PRACTICE

1	D	11	A	21	D
2	A	12	A	22	A
3	A	13	B	23	D
4	D	14	A	24	C
5	B	15	A	25	B
6	B	16	A	26	A
7	B	17	C	27	C
8	C	18	A	28	B
9	C	19	A		
10	B	20	C		

PAST EXAM QUESTIONS

1	A	11	A	21	A	31	B	41	D
2	A	12	C	22	A	32	D	42	B
3	A	13	B	23	C	33	A		
4	A	14	A	24	A	34	C		
5	A	15	A	25	A	35	C		
6	A	16	A	26	B	36	A		
7	A	17	A	27	D	37	B		
8	A	18	A	28	A	38	B		
9	B	19	C	29	A	39	A		
10	B	20	B	30	D	40	A		

QUESTIONS FOR YOUR PRACTICE

1	A	6	C	11	D
2	C	7	B	12	B
3	B	8	A		
4	D	9	C		
5	A	10	C		

CHAPTER 3 THEORY OF PRODUCTION AND COST

UNIT -1 THEORY OF PRODUCTION

CLASS QUESTIONS FOR PRACTICE

1. Which of the following is considered production in Economics?
   (a) Tilling of soil.
   (b) Singing a song before friends.
   (c) Preventing a child from falling into a manhole on the road.
   (d) Painting a picture for pleasure.

2. Which of the following is not a characteristic of land?
   (a) Its supply for the economy is limited.
   (b) It is immobile.
   (c) Its usefulness depends on human efforts.
   (d) It is produced by our forefathers.

3. In the production of wheat, all of the following are variable factors that are used by the farmer except:
   (a) The seed and fertilizer used when the crop is planted.
   (b) The field that has been cleared of trees and in which the crop is planted.
   (c) The tractor used by the farmer in planting and cultivating not only wheat but also corn and barley.
   (d) The number of hours that the farmer spends in cultivating the wheat fields.

4. The marginal product of a variable input is best described as:
   (a) Total product divided by the number of units of variable input.
   (b) The additional output resulting from a one unit increase in the variable input.
   (c) The additional output resulting from a one unit increase in both the variable and fixed inputs.
   (d) The ratio of the amount of the variable input that is being used to the amount of the fixed input that is being used.

5. Diminishing marginal returns implies:
   (a) Decreasing average variable costs.
   (b) Decreasing marginal costs.
   (c) Increasing marginal costs.
   (d) Decreasing average fixed costs.

6. The short run, as economists use the phrase, is characterized by:
   (a) at least one fixed factor of production and firms neither leaving nor entering the industry.
   (b) generally a period which is shorter than one year.
   (c) all factors of production are fixed and no variable inputs.
   (d) all inputs are variable and production is done in less than one year.

7. The marginal, average, and total product curves encountered by the firm producing in the short run exhibit all of the following relationships except:
   (a) when total product is rising, average and marginal product may be either rising or falling.
   (b) when marginal product is negative, total product and average product are falling.
   (c) when average product is at a maximum, marginal product equals average product, and total product is rising.
   (d) when marginal product is at a maximum, average product equals marginal product, and total product is rising.

8. To economists, the main difference between the short run and the long run is that:
   (a) In the short run all inputs are fixed, while in the long run all inputs are variable.
   (b) In the short run the firm varies all of its inputs to find the least-cost combination of inputs.
   (c) In the short run, at least one of the firm's input levels is fixed.
   (d) In the long run, the firm is making a constrained decision about how to use existing plant and equipment efficiently.

9. Which of the following is the best definition of "production function"?
   (a) The relationship between market price and quantity supplied.
   (b) The relationship between the firm's total revenue and the cost of production.
   (c) The relationship between the quantities of inputs needed to produce a given level of output.
   (d) The relationship between the quantity of inputs and the firm's marginal cost of production.

10. The "law of diminishing returns" applies to:
   (a) the short run, but not the long run.
   (b) the long run, but not the short run.
   (c) both the short run and the long run.
   (d) neither the short run nor the long run.

11. Diminishing returns occur:
(a) when units of a variable input are added to a fixed input and total product falls.
(b) when units of a variable input are added to a fixed input and marginal product falls.
(c) when the size of the plant is increased in the long run.
(d) when the quantity of the fixed input is increased and returns to the variable input falls.

Use the following information to answer questions 12-14.

Hours of Labour	Total Output	Marginal Product
0	–	–
1	100	100
2	–	80
3	240	–

12. What is the total output when 2 hours of labour are employed?
(a) 80 (b) 100 (c) 180 (d) 200

13. What is the marginal product of the third hour of labour?
(a) 60 (b) 80 (c) 100 (d) 240

14. What is the average product of the first three hours of labour?
(a) 60 (b) 80 (c) 100 (d) 240

15. Which of the following statements is true?
(a) The services of a doctor are considered production.
(b) Man can create matter.
(c) The services of a housewife are considered production.
(d) When a man creates a table, he creates matter.

16. Which of the following is a function of an entrepreneur?
(a) Initiating a business enterprise.
(b) Risk bearing.
(c) Innovating.
(d) All of the above.

17. In describing a given production technology, the short run is best described as lasting:
(a) up to six months from now.
(b) up to five years from now.
(c) as long as all inputs are fixed.
(d) as long as at least one input is fixed.

18. If decreasing returns to scale are present, then if all inputs are increased by 10% then:
(a) output will also decrease by 10%.
(b) output will increase by 10%.
(c) output will increase by less than 10%.
(d) output will increase by more than 10%.

19. The production function is a relationship between a given combination of inputs and:
(a) another combination that yields the same output.
(b) the highest resulting output.
(c) the increase in output generated by one-unit increase in one output.
(d) all levels of output that can be generated by those inputs.

20. If the marginal product of labour is below the average product of labour, it must be true that:
(a) the marginal product of labour is negative.
(b) the marginal product of labour is zero.
(c) the average product of labour is falling.
(d) the average product of labour is negative.

21. The average product of labour is maximized when marginal product of labour:
(a) equals the average product of labour.
(b) equals zero.
(c) is maximized.
(d) none of the above.

22. The law of variable proportions is drawn under all of the assumptions mentioned below except the assumption that:
(a) the technology is changing.
(b) there must be some inputs whose quantity is kept fixed.
(c) we consider only physical inputs and not economically profitability in monetary terms.
(d) the technology is given and stable.

23. What is a production function?
(a) Technical relationship between physical inputs and physical output.
(b) Relationship between fixed factors of production and variable factors of production.
(c) Relationship between a factor of production and the utility created by it.
(d) Relationship between quantity of output produced and time taken to produce the output.

24. Laws of production does not include .....
(a) returns to scale.
(b) law of diminishing returns to a factor.
(c) law of variable proportions.
(d) least cost combination of factors.

25. An iso quant shows-
(a) All the alternative combinations of two inputs that can be produced by using a given set of output fully and in the best possible way.
(b) All the alternative combinations of two products among which a producer is indifferent because they yield the same profit.
(c) All the alternative combinations of two inputs that yield the same total product.
(d) Both (b) and (c).

26. The production function:
(a) is the relationship between the quantity of inputs used and the resulting quantity of a product.
(b) Tells us the maximum attainable output from a given combination of inputs.
(c) Expresses the technological relationship between inputs and output of a product.
(d) All the above.

27. The production process described below exhibits.

Number of Workers	Output
0	0
1	23
2	40
3	50

(a) Constant marginal product of labour.
(b) Diminishing marginal product of labour.
(c) Increasing return to scale.
(d) Increasing marginal product of labour.

28. In the short run, the firm's product curves show that
(a) Total product begins to decrease when average product begins to decrease but continues to increase at a decreasing rate.
(b) When marginal product is equal to average product, average product is decreasing but at its highest.
(c) When the marginal product curve cuts the average product curve from below, the average product is equal to marginal product.

(d) In stage two, total product increases at a diminishing rate and reaches maximum at the end of this stage.

29. A fixed input is defined as
(a) That input whose quantity can be quickly changed in the short run, in response to the desire of the company to change its production.
(b) That input whose quantity cannot be quickly changed in the short run, in response to the desire of the company to change its production.
(c) That input whose quantities can be easily changed in response to the desire to increase or reduce the level of production.
(d) That input whose demand can be easily changed in response to the desire to increase or reduce the level of production.

30. Average product is defined as-
(a) total product divided by the total cost.
(b) total product divided by marginal product.
(c) total product divided by the number of units of variable input.
(d) marginal product divided by the number of units of variable input.

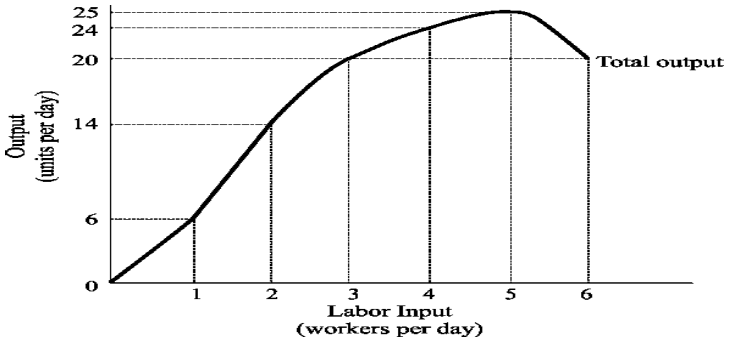
31. Which of the following statements is true?
(a) After the inflection point of the production function, a greater use of the variable input induces a reduction in the marginal product.
(b) Before reaching the inevitable point of decreasing marginal returns, the quantity of output obtained can increase at an increasing rate.
(c) The first stage corresponds to the range in which the AP is increasing as a result of utilizing increasing quantities of variable inputs.
(d) All the above.

32. Marginal product, mathematically, is the slope of the
(a) total product curve. (b) average product curve.
(c) marginal product curve. (d) implicit product curve.

33. Suppose the first four units of a variable input generate corresponding total outputs of 200, 350, 450, 500. The marginal product of the third unit of input is:
(a) 50 (b) 100 (c) 150 (d) 200

34. Diminishing marginal returns for the first four units of a variable input is exhibited by the total product sequence:
(a) 50, 50, 50, 50 (b) 50, 110, 180, 260
(c) 50, 100, 150, 200 (d) 50, 90, 120, 140

35. Use the following diagram to answer the question given below it



The marginal physical product of the third unit of labour is_____, the MP of the _____ labour is Negative
(a) Six; fourth (b) Six; third
(c) Six; fifth (d) Six; sixth

36. In the third of the three stages of production:
(a) the marginal product curve has a positive slope.
(b) the marginal product curve lies completely below the average product curve.
(c) total product increases.
(d) marginal product is positive.

37. Which of the following statements describes increasing returns to scale?
(a) Doubling of all inputs used leads to doubling of the output.
(b) Increasing the inputs by 50% leads to a 25% increase in output.
(c) Increasing inputs by 1/4 leads to an increase in output of 1/3.
(d) None of the above.

38. The most important function of an entrepreneur is to_____.
(a) Innovate (b) Bear the sense of responsibility
(c) Finance (d) Earn profit

PAST EXAM QUESTIONS

2006- NOVEMBER

1. _____ shows the overall output generated at a given level of input:
   (a) Cost function
   (b) Production function
   (c) ISO cost
   (d) Marginal rate of technical substitution

2. Isoquants are equal to:
   (a) Product Lines (b) Total utility lines
   (c) Cost lines (d) Revenue lines

2007- FEBRUARY

3. The marginal product curve is above the average product curve when the average product is:
   (a) Increasing (b) Decreasing
   (c) Constant (d) None

4. Increasing returns to scale can be explained in terms of:
   (a) External and internal economies
   (b) External and internal diseconomies
   (c) External economics and internal diseconomies
   (d) All of these

2007- MAY

5. An isoquant is_____ to an isocost line at the equilibrium point:
   (a) convex (b) concave
   (c) tangent (d) perpendicular

6. At the point of inflexion, the marginal product is:
   (a) Increasing (b) Decreasing
   (c) Maximum (d) Negative

7. Diminishing marginal returns implies:
   (a) Decreasing average variable costs
   (b) Decreasing marginal costs
   (c) Increasing marginal costs
   (d) Decreasing average fixed costs

2007- AUGUST

8. If the marginal product of labour is below the average product of labour, it must be true that:
(a) Marginal product of labour is negative
(b) Marginal product of labour is zero
(c) Average product of labour is falling
(d) Average product of labour is negative

2007- NOVEMBER

9. Law of variable proportion is valid when:
(a) Only one input is fixed and all other inputs are kept variable
(b) All factors are kept constant
(c) All inputs are varied in the same proportion
(d) Only one input is variable and all others are fix

10. Increase in all input leading to less than proportional increase in output is called_____.
(a) increasing returns to scale
(b) decreasing returns to scale
(c) constant returns to scale
(d) both increasing and decreasing returns to scale

11. Consider the following combinations of inputs and outputs: This production technology satisfies

Labour	Capital	Output
5	10	1
6	12	2
7	14	3
8	16	4
9	18	5
10	20	6

(a) Increasing returns to scale
(b) Diminishing returns to scale
(c) Constant returns to scale
(d) Increasing returns initially, following by decreasing returns to scale

2008- JUNE

12. During IInd stage of law of diminishing returns:
(a) MP and TP is maximum
(b) MP and AP are decreasing
(c) AP is negative
(d) TP is negative

13. Consider the following table:

Labour	Total Output	Marginal Product
0	100	100
2		80
3	240	

What is the total output, when 2 labours are employed?

(a) 80 (b) 100 (c) 180 (d) 200

14. Who has given the concept of Innovative Entrepreneurship?

(a) Robbins (b) Adam Smith

(c) Schumpeter (d) Sweezy

2008- DECEMBER

15. At 10 units Total Cost - Rs. 200
20 units Total Cost - Rs. 600
Marginal Cost = ?

(a) 50 (b) 40 (c) 30 (d) 400

16. What is Production in Economics:

(a) Creation I Addition of Utility

(b) Production of food grains

(c) Creation of services

(d) Manufacturing of goods

2009- JUNE

17. Functions of the entrepreneur are:

(a) Risk bearing

(b) Initiating a business enterprise and resource co-ordinating

(c) Introducing new innovations

(d) All of the above

18. Law of diminishing returns is applicable in:

(a) Manufacturing industry

(b) Agriculture

(c) Neither (a) nor (b)

(d) Any economic activity at a point of time

2009- DECEMBER

19. Labour force wants more_____.

(a) facility (b) leisure

(c) benefit (d) all of the above

20. Production activity in the short-run is analysed by:

(a) Returns to scale (b) Economies of scale

(c) Law of variable proportion (d) None of these

21. Increasing returns to scale occurs due to:
(a) Economies of scale (b) Specialization
(c) Indivisibility of factors (d) All of these

2010- JUNE

22. Law of diminishing returns is applicable in_____ .
(a) only manufacturing industries
(b) only agriculture
(c) neither in agriculture nor in industries
(d) in all economic activities after a limit

23. Law of increasing returns is applicable because of _____.
(a) indivisibility of factors (b) specialization
(c) economies of scale (d) both (a) & (b) above

24. When output decreases by 20% due to an increase in inputs by 20%, this stage is called the law of_____.
(a) increasing returns to scale
(b) decreasing returns to scale
(c) constant returns to scale
(d) none of the above

2010- DECEMBER

25. In the first stage of the law of variable proportions, the total product increases at the_____.
(a) decreasing rate (b) increasing rate
(c) constant rate (d) both a and b.

26. What will be the total product when two labourers are hired according to the table given below?

No. of labourers	Total product	Marginal product
0	-	-
1	350	350
2		230

(a) 680 (b) 580 (c) 350 (d) 230

27. Which function shows the relationship between input and output?
(a) Consumption function (b) Investment function
(c) Production function (d) Cost function

2011- JUNE

28. Internal economies are enjoyed:
(a) By large producers only (b) As the firm expands
(c) Both (a) and (b) (d) None of above.

2012- JUNE

29. The Law of Diminishing Returns is applicable in_____.
(a) only in manufacturing industries
(b) only in agriculture
(c) neither in agriculture nor in industries
(d) all economic activities after a point.

30. The concept of Returns to Scale is related to:
(a) Very short period (b) Short period
(c) Long period (d) None of above.

31. The function of an entrepreneur is:
(a) Initiating an enterprise and resource coordination
(b) Risk bearing
(c) Introducing innovations
(d) All of the above.

2012- DECEMBER

32. Which of the following is not a characteristics of land?
(a) It is a free gift of nature
(b) It is a mobile factor of production
(c) It is limited in quantity
(d) Its productive power is indestructible.

33. A production function is defined as the relationship between_____.
(a) the quantity of physical inputs and physical output of a firm
(b) stock of inputs and stock of output
(c) prices of inputs and output
(d) price and supply of a firm.

34. Production activity in the short period is analysed with the help of:
(a) Law of variable proportion
(b) Laws of returns to scale
(c) Both (a) & (b)
(d) None of the above

2013- JUNE

35. Which of the following is the reason for the working of the law of increasing returns?
(a) Fuller utilisation of fixed factors
(b) Indivisibility of the factors
(c) Greater specialization of labour
(d) All of the above

36. External economies can be achieved through:
(a) Foreign trade only
(b) Superior managerial skill
(c) Extension of transport and credit facilities
(d) External assistance.

37. External economies arise due to:
(a) Growth of ancillary industries
(b) High cost of technologies
(c) Increase in the price of factors of production
(d) None of the above.

2013- DECEMBER

38. Innovation theory of entrepreneurship is propounded by:
(a) Knight (b) Schumpeter
(c) Max Weber (d) Peter Drucker

39. Production function is:
(a) Purely a technical relationship between input & output
(b) Purely an economic relationship between input & output
(c) Both the technical & economical relationship between input & output
(d) None of the above.

40. The concept of returns to scale is related with:
(a) very short period (b) short period
(c) long period (d) none of the above

41. In Cobb-Douglas production function, two inputs are:
(a) Land and Labour (b) Labour and Capital
(c) Capital and Entrepreneur (d) Entrepreneur and land

2014- JUNE

42. Which one of the following is not a characteristic of land?
(a) A free gift of nature
(b) Its supply is fixed
(c) An active factor of production
(d) It has different uses.

43. An Entrepreneur undertakes which one of the following functions?
(a) Initiating a business and resource co-ordination
(b) Risk or uncertainty bearing
(c) Innovations
(d) All of the above.

44. With a view to increase his production, Hariharan a manufacturer of shoes, increases all the factors of production in his unit by 100%. But at the end of the year, he finds that instead of an increase of 100%, his production has increased by only 80%. Which law of returns to scale is operating in this case?
(a) Increasing returns to scale
(b) Decreasing returns to scale
(c) Constant returns to scale
(d) None of the above.

2014- DECEMBER

45. Linear homogeneous production function is based on:
(a) Increasing returns to scale
(b) Decreasing returns to scale
(c) Constant returns to scale
(d) None of the above

2015- JUNE

46. Which of the following statement is true in relation to an ISO-Quant Curve?
(a) It represents those combinations of two factors of production that will give the same level of output
(b) It represents those combinations of all the factors that will give the same level of output
(c) It slopes upward to the right
(d) It can touch either axis

47. Production is defined as:
(a) Creation of matter
(b) Creation of utility in matter
(c) Creation of infrastructural facilities
(d) None of the above.

48. Long period production function is related to:
(a) Law of variable proportions
(b) Laws of returns to scale
(c) Law of diminishing returns
(d) None of the above.

2015- DECEMBER

49. The conclusion drawn from Cobb-Douglas production function is that labour contributed about_____ and capital about_____ of the increase in the manufacturing production.
(a) $\frac{3th}{4}, \frac{1}{4},$ (b) $\frac{1}{2}, \frac{1}{2},$
(c) $\frac{1th}{4}, \frac{3th}{4},$ (d) None of these

2016- JUNE

50. ISO quants are also known as:
(a) Production possibility curves
(b) Indifference curves
(c) Production indifference curves
(d) None of these

51. Human capital refers to:
(a) Savings by individuals
(b) Mobilisation of savings
(c) Human skills and abilities
(d) Productive investment.

52. The Law of Variable Proportions is associated with:
(a) Short period
(b) Long period
(c) Both short and long periods
(d) Neither short nor long period.

53. Which one of the following statements is not correct?
(a) Land has indestructible powers
(b) Labour is mobile
(c) Capital is nature's gift
(d) Land is a passive factor.

2016- DECEMBER

54. Which of the following is not a characteristic of labour?
(a) It is perishable
(b) It has weak bargaining power
(c) Labour and Labour power cannot be separated
(d) Labour is not mobile

55. Which among the following is not a characteristic of Land?
(a) It is an active factor
(b) It has variety of uses
(c) Its production powers are indestructible
(d) Its supply is limited

56. When marginal product rises as a result of an increase in the quantity of variable factor, marginal product is:
(a) Equal to average product
(b) More than average product
(c) Less than average product
(d) Becomes negative

57. Suppose the first four units of a variable input generate corresponding total output of 150, 200, 350, 550. What will be the marginal product of the third unit of input?
(a) 50 (b) 100 (c) 150 (d) 200

2017- JUNE

58. The famous Cobb-Douglas production function is based on studies of _____ industries in the United States of America.
(a) manufacturing (b) construction
(c) consumer (d) aviation

59. In Economics, entire process of _____is nothing but creation of utilities in the form of goods and services.
(a) consumption (b) production
(c) exchange (d) distribution

2018- MAY

60. Cobb Douglas function is given by $Q = KL^a C^b$
(a) If a + b > 1, increasing returns
(b) If a + b > 1, increasing returns to scale
(c) if a + b < 1, diminishing returns
(d) if a + b = 1, decreasing returns to scale.

61. Production is defined as:
(a) Creation of matter
(b) Creation of utility in matter
(c) Creation of infrastructural facilities
(d) None of the above.

62. At the point of inflexion, the marginal product is:
(a) Increasing (b) Decreasing
(c) Maximum (d) Negative

63. Isoquante's are equal to:
(a) Product lines (b) Total utility lines
(c) Cost lines (d) Revenue lines

2018- NOVEMBER

64. According to Cobb-Douglas production function, will get _____ returns to scale?
(a) Constant (b) Diminishing
(c) Increasing (d) Any of the above

65. Which of the following statement about factors of production is not true?
(a) Land is a passive factor (b) Land is a free gift of nature
(c) Land is immobile (d) Land is perishable

2019- MAY

66. Which of the following is considered as production in economics?
(a) Helping a blind person in crossing the road
(b) Group dance performance in a collage annual function
(c) Holding a child who is falling from a wall
(d) Performing an art in a theatre

67. Marginal, average and total product of a firm in the short run will not comprise with-
(a) When marginal product is at a maximum, average product is equal to marginal product, and total product is rising
(b) When average product is maximum, average product is equal to marginal product, and total product is rising
(c) When marginal product is negative, total product and average product are falling
(d) When total product is increasing, average product and marginal product may be either rising or falling

2019- NOVEMBER

68. Supply of land is_____ in case of economy?
(a) Elastic (b) Inelastic
(c) Perfectly elastic (d) Perfectly inelastic

69. MP is the slope of_____
(a) TP (b) AP (c) Both (d) None

For Question 70 - 72 used the data table given below :

No of	Total output	Marginal output
0	0	0
1	10	
2		8
3	24	

70. What will be total output for 2 workers.
(a) 6 (b) 18 (c) 12 (d) 17

71. What will be marginal output for 3 workers?
(a) 6 (b) 12 (c) 7 (d) 8

72. Average Product for three labour:
(a) 12 (b) 11 (c) 8 (d) None

73. Diminishing marginal returns for the first four units of variable inputs is exhibited by the total product sequences.
(a) 50, 100, 150, 200 (b) 50, 50, 50, 50
(c) 50, 110, 150, 260 (d) 50, 90, 120, 140

74. Larger production of _____ goods would lead to higher production in future.
(a) consumer goods (b) capital goods
(c) agricultural goods (d) public goods

2020- NOVEMBER

75. The concept innovative entrepreneurship was given by:
(a) Marshall (b) Schumpeter
(c) J. K. Mehta (d) Adam Smith

76. Which activity is the base of all the production activities:
(a) Production (b) Exchange
(c) Investment (d) Consumption

77. When output increases more than the increase in input it occurs due to:
(a) External and internal diseconomies
(b) External and internal economies
(c) External diseconomies and internal diseconomies
(d) None of these

78. A functional relationship between inputs and output is called:
(a) Cost function (b) Revenue function
(c) Consumption (d) Production function

79. Among the following statements which is incorrect in relation to isoquants:
(a) Isoquants are negatively sloped
(b) Isoquants are concave to origin
(c) Isoquants are not intersecting
(d) Isoquants are convex to origin

80. External economies can be achieved through:
(a) Technological external economies
(b) External assistance
(c) Development of unskilled labour
(d) Superior managerial efficiency

81. Marginal product will be _____at the point of inflexion is:
(a) Maximum (b) Minimum
(c) Negative (d) Zero

2021- JANUARY

82. Production may be defined as an act of:
(a) Creating utility
(b) Destroying utility
(c) Earning profit in best way
(d) Providing services professionally.

83. Which of the following is correct in relation to Marginal Product?
(a) What is produced units when all factors of production are employed at optimum efficiency?
(b) The extra output obtained from employing an additional unit of a factor
(c) The left revenue to the entrepreneur after he has incurred all expenses
(d) None of the above.

84 According to Cobb-Douglas production function, labour contribution in increasing manufacturing production is-
(a) 2/3 (b) ¾ (c) ¼ (d) 1/2

85. When Average Product falls, marginal product is _____ the Average Product.
(a) Less than (b) More than
(c) Equal to (d) Maximum

86. How many kinds are of Economies of scale?
(a) 5 (b) 3 (c) 2 (d) 1

87. In short run the Law of variable proportions is also known as-
(a) Law of increasing returns (b) Law of diminishing returns
(c) Law of decreasing returns (d) Law of constant returns

88. The Law of returns to scale is.
(a) Short run (b) Long run
(c) Short and Long run (d) Medium run

2021- JULY

89. Which one of the following is not a necessary function of an entrepreneur?
(a) Risk and uncertainty bearing.
(b) Initiating a business enterprise.
(c) Innovations.
(d) Supervision of day to day production activities

90. Which of the following is not a passive factor of production?
(a) Land (b) Building
(c) Labour (d) Machine

2022- JUNE

91. Land is heterogeneous because of:
(a) Lands are alike (b) Lands are not alike
(c) Lands are fixed (d) Lands are mobile

92. When TP is decreasing, MP becomes?
(a) Positive (b) Zero
(c) Undefined (d) Negative

93. Profit is an income form:
(a) Land (b) Investment
(c) Business (d) Labour

94. Marginal cost changes due to change in _____ cost.
(a) Total (b) Fixed
(c) Average (d) Variable

95. Which cost increases continuously with the increase in production?
(a) Fixed cost (b) Variable cost
(c) Total cost (d) Average cost

96. The market where small quantities of goods sold-
(a) Wholesale (b) Retail
(c) Manufactures (d) None of these

97. The law of variable proportion is associated with-
(a) Short period
(b) Long period
(c) Both short & long periods
(d) Neither short nor long period

2022- DECEMBER

98. Producer's surplus arises when:
(a) The price of the commodity is more than the minimum price at which the producer is willing to supply
(b) The price of the commodity is less than the minimum price at which the producer is willing to supply
(c) The price of the commodity is equal to the minimum price the producer is willing to supply at.
(d) The price of the commodity is zero to the maximum price of the producer is willing to supply at.

99. Scale of production can be changed in:
(a) Short period (b) Very short period
(c) Long period (d) Both short and very short period

100. Which of the following is not a quality of the factor of land:
(a) Passive factor (b) Active factor
(c) Heterogeneous (d) Trimobile

2023- JUNE

101. The concept of "innovative Entrepreneurship" was propounded by:
(a) Joel Dean (b) Schumpeter
(c) Marshall (d) Karl Marx

102. Returns to scale occurs in:
(a) Small run (b) Long run
(c) Very small run (d) Undetermined

103. Which one of the following is not a characteristic of land?
(a) Land is immobile (b) Land is active factor
(c) Land has multiple uses (d) Land is heterogeneous

104. When TP is decreasing, MP becomes:
(a) Zero (b) Negative (c) Positive (d) Infinite

105. Technical relationship between inputs and output:
(a) Production function (b) Supply function
(c) Marketing function (d) Social function

106. The stage of "Decreasing returns to scale" will occur, when:
(a) Decrease in output is less than increase in input
(b) Decrease in output is greater than increase in input
(c) Increase in output is greater than increase in input
(d) Increase in output is less than increase in input

2023- DECEMBER

107 Which of the following id not a characteristic of labour?
(a) Labour is perishable
(b) Labour is an active factor
(c) Labour power differs from one labour to labouer
(d)Labour is immobile

108 Consider the examples-seeds, fuel, raw material etc. These are a form of capital performs its functions in production for single use and is not available for further use.
(a) Individual capital (b) Social capital
(c) Circulating capital (d) Human capital

109. The Cobb-Douglas production function explained _____ returns to scale in production.
(a) Decrease (b) Fluctuate (c) Increase (d) Constant

110. It shows all those combinations of different factor of production which give the same output to the production is called _____
(a) Kinked demand curve (b) Isoquant curve
(c) Marginal cost curve (d) Short run cost curve

2024- JUNE

111. Circulating capital means:
(a) Capital is durable source which gives return for a specific period
(b) Interest generated from capital and reinvested to earn more interest
(c) Capital performs its production function in single use and not used further
(d) Used for series of services over a period of time

112. A person went to buy land and he thought one among the following is wrong feature with regarding to land.
(a) Homogeneous (b) Heterogeneous
(c) Immobile (d) No limited supply

Use following information for Q. No. 113-115

L	TP	MP
1	200	200
2	380	180
3	-	160
4	680	-
5	-	120

113. What is the marginal production of 4th unit?
(a) 170 (b) 140 (c) 120 (d) 160

114. What is the total output at 3rd unit?
(a) 520 (b) 680 (c) 540 (d) 600

115. What is average product of 5th unit?
(a) 200 (b) 160 (c) 190 (d) 800

116. Which of the following defines all those combinations of inputs which are capable of producing the same level of output is_____.
(a) Indifference curve (b) Isoquant
(c) Iso-cost (d) Budget line

2024- SEPTEMBER

117. How is production in the economic sense distinguished from non-market activities performed within a household?
(a) Exchange in the market
(b) Involvement of love and affection
(c) Voluntary nature of the activity
(d) Intangible outputs

118. When does the Law of Variable Proportions, or the Law of Diminishing Returns, become relevant?
(a) In the short run
(b) In the long run
(c) In both the short and long run
(d) Only when all factors are variable

119. What is the primary characteristic of Decreasing Returns to Scale?
(a) Total output increases at a decreasing rate
(b) Total output increases at an increasing rate
(c) Total output remains constant
(d) Total output decreases

2025- JANUARY

120. Which of the following is not a characteristic of land?
(a) Land is heterogeneous (b) Land is an active factor
(c) Supply of land is fixed (d) Land has multiple uses

121. Cobb-Douglas production function is stated as:
(a) $Q = K^a L C^{(1-a)}$ (b) $Q = K^{(1-a)} L^a C$
(c) $Q = K^a L^{(1-a)} C$ (d) $Q = K L^a C^{(1-a)}$

Based on the information given in the following table, answer the Question number 122-125

Quantity of labour	Total Product (TP)	Average Product (AP)	Marginal Product (MP)
1	10	-	-
2	-	-	11
3	-	11	-
4	52	-	11
5	-	-	8

122. What will be the average product when quantity of labour is 6?
(a) 9 (b) 10 (c) 11 (d) 12

123. What will be the total product when quantity of labour is 4?
(a) 38 (b) 40 (c) 42 (d) 44

124. What will be the marginal product when quantity of labour is 5?
(a) 8 (b) 9 (c) 10 (d) 11

125. Who describes production function as the relationship between the maximum amount of output that can be produced and the input required to make that output?
(a) Cobb-Douglas (b) Samuelson
(c) Paul Sweezy (d) Alfred Marshall

2025- MAY

126. The form of capital which performs its function in production in a single use and is not available for further use is termed as:
(A) Fixed capital (B) Circulating capital
(C) Real capital (D) Intangible capital

127. Survival, growth and expansion come under which of the following objective of an enterprise?
(A) Organic objective (B) Economic objective
(C) Social objective (D) National objective

128. The minimum quantities of various inputs that are required to yield a given quantity of output is termed as:
(A) Demand function
(B) Supply function
(C) Production function
(D) Investment function

129. Which of the following is not true about relationship between average product and marginal product?
(A) When average product rises as a result of an increase in the quantity of variable input marginal product is more than the average product.
(B) When average product is maximum, marginal product is equal to average product.
(C) When average product falls, marginal product is less than the average product.
(D) When average product is negative, marginal product becomes zero.

130. Total product starts declining in which stage of production?
(A) Stage 1: The stage of increasing returns
(B) Stage 2: The stage of diminishing returns
(C) Stage3: The stage of negative returns
(D) It may decline in any stage of production

131. Returns to scale refers to:
(A) Changes in output as a result of proportionate change in one of the variable factors of production.
(B) Changes in output as a result of proportionate change in all factors of production.
(C) Changes in output as a result of proportionate change in any two variable factors of production.
(D) Changes in output as a result of variation in factor proportions.

132. Linear Homogeneous Production function is another name for_____.
(A) Law of variable proportion
(B) Constant returns to scale
(C) Increasing returns to scale
(D) Decreasing returns to scale

2025- SEPTEMBER

133. When average product rises as a result of an increase in the quantity of variable input, marginal product is:
(A) less than the average product
(B) minimum
(C) equal to the average product
(D) more than the average product

Based on the following information given below, answer the question no 134-136

Product Schedule

Quantity of labour	Total Product (TP)	Average Product (AP)	Marginal Product (MP)
0	0	-	-
1	-	-	20
2	-	-	36
3	66	-	-
4	-	19	-
5	-	-	4

134. What will be the average product when the quantity of labour is 3?
(A) 22 (B) 24 (C) 20 (D) 18

135. What will be the total product when the quantity of labour is 5?
(A) 86 (B) 84 (C) 80 (D) 92

136. What will be the marginal product when the quantity of labour is 4?
(A) 26 (B) 20 (C) 10 (D) 19

137. If a firm adds more number of workers but total output starts to increase at a decreasing rate, the firm is experiencing:
(A) Increasing Returns to Scale
(B) Diminishing Marginal Returns
(C) Constant Returns to Scale
(D) Negative Marginal Returns

138. Which of the following statements are correct?
Statement-I: A period will be considered short-run period if the amount of at least one of the inputs used remains unchanged during that period.
Statement-II: The long run is a period of time in which all factors of production are variable.
Statement-III: In the short run all inputs are fixed.
Statement-IV: In the long run all inputs except one are fixed.
(A) Statement I and IV
(B) Statement II and III
(C) Statement I and II
(D) Statement III and IV

139. Which of the following factors or resources make it possible to produce goods and services?
(A) Land, Labour, Industrial policy and Capital
(B) Land, Labour, Fiscal policy and Capital
(C) Land, Labour, Capital and Entrepreneurial ability
(D) Land, Labour, Technology and Capital

140. In Cobb-Douglas production function, output is manufactured production and inputs used are:
(A) Entrepreneur and land (B) Labour and capital
(C) Land and Labour (D) Entrepreneur and capital

2026- JANUARY

141. What does the term entrepreneur in economics refer to:
(A) The person combining factors of production, bearing risk, and innovating
(B) The person who only owns land or property
(C) The head of the marketing department
(D) The investor in machinery and products

142. _____ capital performs its function in production in a single use and is not available for further use. Choose the correct option.
(A) Real (B) Circulating
(C) Tangible (D) Intangible

143. Markets where firms buy the resources they need like land, labour etc. are called:
(A) Product Markets (B) Factor Markets
(C) National Markets (D) Spot Markets

144. A curve which shows all the different combinations of inputs that can produce same level of output is known as:
(A) Marginal Cost Curve (B) Isocost
(C) Isoquant (D) Total product curve

145. Which of the following is not true with regard to stage of diminishing returns?
(A) Total product continues to decrease
(B) Both marginal product and average product of the variable factor are diminishing but are positive
(C) A rational producer will seek to produce within the range of this stage
(D) By the end of this stage, total product reaches its maximum

146. Which of the following factors does not lead to internal economies of scale:
(A) Specialisation of labour (B) Use of superior techniques
(C) Use of by-products (D) Supply of skilled labour

147. Relationship between inputs and outputs, when all inputs are changed in the same proportion are called:
(A) Law of variable proportion
(B) Returns to scale
(C) Isoquants
(D) Iso-cost lines

2026- MAY

148. Which factor of production is that part of the wealth of an individual or community, which may be used for further production of wealth?
(A) Land (B) Labour (C) Capital (D) Entrepreneur

149. To make the job contents interesting and challenging is a _____ objective of an organization.
(A) Social (B) Organic (C) National (D) Human

150. The maximum amount of output that can be produced with given quantities of inputs, under a given state of technical knowledge, is termed as:
(A) Demand Function (B) Production Function
(C) Supply Function (D) Investment Function

151. The three stages of the law of variable proportion can be referred to as stages of _____.
(A) Increasing returns, optimum returns & nil returns
(B) Positive returns, diminishing returns & nil returns
(C) Increasing returns, diminishing returns & negative returns
(D) Negative returns, nil returns & positive returns

ANSWERS:-

CLASS QUESTIONS FOR PRACTICE

1	A	11	B	21	A	31	D
2	D	12	C	22	A	32	A
3	B	13	A	23	A	33	B
4	B	14	B	24	D	34	D
5	C	15	A	25	C	35	D
6	A	16	D	26	D	36	B
7	D	17	D	27	B	37	C
8	C	18	C	28	D	38	A
9	C	19	B	29	B		
10	A	20	C	30	C		

PAST EXAM QUESTIONS

1	B	21	D	41	B	61	B	81	A	101	B	121	D	141	A
2	A	22	D	42	C	62	C	82	A	102	B	122	C	142	B
3	A	23	D	43	D	63	A	83	B	103	B	123	C	143	B
4	A	24	D	44	B	64	D	84	B	104	B	124	A	144	C
5	C	25	D	45	C	65	D	85	A	105	A	125	B	145	A
6	C	26	B	46	A	66	D	86	C	106	D	126	B	146	D
7	C	27	C	47	B	67	A	87	B	107	D	127	A	147	B
8	C	28	C	48	B	68	D	88	B	108	C	128	C	148	C
9	D	29	D	49	A	69	A	89	D	109	D	129	D	149	D
10	B	30	C	50	C	70	B	90	C	110	B	130	C	150	B
11	C	31	D	51	C	71	A	91	B	111	C	131	B	151	C
12	B	32	B	52	A	72	C	92	D	112	A	132	B		
13	C	33	A	53	C	73	D	93	C	113	B	133	D		
14	C	34	A	54	D	74	B	94	D	114	C	134	A		
15	B	35	D	55	A	75	B	95	B	115	B	135	C		
16	A	36	C	56	B	76	C	96	B	116	B	136	C		
17	D	37	A	57	C	77	B	97	A	117	A	137	B		
18	D	38	B	58	A	78	D	98	A	118	A	138	C		
19	B	39	A	59	B	79	B	99	C	119	A	139	C		
20	C	40	C	60	B	80	A	100	B	120	B	140	B		

CHAPTER 3
THEORY OF PRODUCTION AND COST

UNIT 2- THEORY OF COST
CLASS QUESTIONS FOR PRACTICE

1. Identify the correct statement:
   (a) The average product is at its maximum when marginal product is equal to average product.
   (b) The law of increasing returns to scale relates to the effect of changes in factor proportions.
   (c) Economies of scale arise only because of indivisibilities of factor proportions.
   (d) Internal economies of scale can accrue when industry expands beyond optimum.

2. Which of the following statements is true?
   (a) Accumulation of capital depends solely on income of individuals.
   (b) Savings can be influenced by government policies.
   (c) External economies go with size and internal economies with location.
   (d) The supply curve of labour is an upward slopping curve.

3. Which cost increases continuously with the increase in production?
   (a) Average cost. (b) Marginal cost.
   (c) Fixed cost. (d) Variable cost.

4. Which of the following cost curves is never 'U' shaped?
   (a) Average cost curve.
   (b) Marginal cost curve.
   (c) Average variable cost curve.
   (d) Average fixed cost curve.

5. Total cost in the short run is classified into fixed costs and variable costs. Which one of the following is a variable cost?
   (a) Cost of raw materials.
   (b) Cost of equipment.
   (c) Interest payment on past borrowings.
   (d) Payment of rent on building.

6. In the short run, when the output of a firm increases, its average fixed cost:
   (a) increases. (b) decreases.
   (c) remains constant. (d) first declines and then rises.

7. Which one of the following is also known as planning curve?
(a) Long run average cost curve.
(b) Short run average cost curve.
(c) Average variable cost curve.
(d) Average total cost curve.

8. Which of the following is a variable cost in the short run?
(a) rent of the factory.
(b) wages paid to the factory labour.
(c) interest payments on borrowed financial capital.
(d) payment on the lease for factory equipment.

9. With which of the following is the concept of marginal cost closely related?
(a) Variable cost. (b) Fixed cost.
(c) Opportunity cost. (d) Economic cost.

10. Which of the following statements is correct?
(a) When the average cost is rising, the marginal cost must also be rising.
(b) When the average cost is rising, the marginal cost must be falling.
(c) When the average cost is rising, the marginal cost is above the average cost.
(d) When the average cost is falling, the marginal cost must be rising.

11. Which of the following is an example of "explicit cost"?
(a) The wages a proprietor could have made by working as an employee of a large firm.
(b) The income that could have been earned in alternative uses by the resources owned by the firm.
(c) The payment of wages by the firm.
(d) The normal profit earned by a firm.

12. Which of the following is an example of an "implicit cost"?
(a) Interest that could have been earned on retained earnings used by the firm to finance expansion.
(b) The payment of rent by the firm for the building in which it is housed.
(c) The interest payment made by the firm for funds borrowed from a bank.
(d) The payment of wages by the firm.

Use the following data to answer questions 13 - 15.

Output (O)	0	1	2	3	4	5	6
Total Cost (TC)	₹ 240	₹ 330	₹ 410	₹ 480	₹ 540	₹ 610	₹ 690

13. The average fixed cost of 2 units of output is:
(a) ₹ 80 (b) ₹ 85 (c) ₹ 120 (d) ₹ 205

14. The marginal cost of the sixth unit of output is:
(a) ₹ 133 (b) ₹ 75 (c) ₹ 80 (d) ₹ 450

15. Diminishing marginal returns start to occur between units:
(a) 2 and 3. (b) 3 and 4. (c) 4 and 5. (d) 5 and 6.

16. Marginal cost is defined as:
(a) The change in total cost due to a one unit change in output.
(b) Total cost divided by output.
(c) The change in output due to a one unit change in an input.
(d) Total product divided by the quantity of input.

17. Which of the following is true of the relationship between the marginal cost function and the average cost function?
(a) If MC is greater than ATC, then ATC is falling.
(b) The ATC curve intersects the MC curve at minimum MC.
(c) The MC curve intersects the ATC curve at minimum ATC.
(d) If MC is less than ATC, then ATC is increasing.

18. Which of the following statements is true of the relationship among the average cost functions?
(a) ATC = AFC – AVC. (b) AVC = AFC + ATC.
(c) AFC = ATC + AVC. (d) AFC = ATC – AVC.

19. Which of the following is not a determinant of the firm's cost function?
(a) The production function. (b) The price of labour.
(c) Taxes. (d) The price of the firm's output.

20. Which of the following statements is correct concerning the relationships among the firm's cost functions?
(a) TC = TFC – TVC. (b) TVC = TFC – TC.
(c) TFC = TC – TVC. (d) TC = TVC – TFC.

21. Suppose output increases in the short run. Total cost will:
(a) increase due to an increase in fixed costs only.
(b) increase due to an increase in variable costs only.
(c) increase due to an increase in both fixed and variable costs.
(d) decrease if the firm is in the region of diminishing returns.

22. Which of the following statements concerning the long-run average cost curve is false?
(a) It represents the least-cost input combination for producing each level of output.
(b) It is derived from a series of short-run average cost curves.
(c) The short-run cost curve at the minimum point of the long-run average cost curve represents the least–cost plant size for all levels of output.
(d) As output increases, the amount of capital employed by the firm increases along the curve.

23. The negatively-sloped (i.e. falling) part of the long-run average total cost curve is due to which of the following?
(a) Diseconomies of scale.
(b) Diminishing returns.
(c) The difficulties encountered in coordinating the many activities of a large firm.
(d) The increase in productivity that results from specialization.

24. The positively sloped (i.e. rising) part of the long run average total cost curve is due to which of the following?
(a) Diseconomies of scale.
(b) Increasing returns.
(c) The firm being able to take advantage of large-scale production techniques as it expands its output.
(d) The increase in productivity that results from specialization.

25. A firm's average total cost is ₹ 300 at 5 units of output and ₹ 320 at 6 units of output. The marginal cost of producing the 6th unit is:
(a) ₹ 20 (b) ₹ 120 (c) ₹ 320 (d) ₹ 420

26. A firm producing 7 units of output has an average total cost of ₹ 150 and has to pay ₹ 350 to its fixed factors of production whether it produces or not. How much of the average total cost is made up of variable costs?
(a) ₹ 200 (b) ₹ 50 (c) ₹ 300 (d) ₹ 100

27. A firm has a variable cost of ₹ 1000 at 5 units of output. If fixed costs are ₹ 400, what will be the average total cost at 5 units of output?
(a) ₹ 280 (b) ₹ 60 (c) ₹ 120 (d) ₹ 1400

28. A firm's average fixed cost is ₹ 20 at 6 units of output. What will it be at 4 units of output?
(a) ₹ 60 (b) ₹ 30 (c) ₹ 40 (d) ₹ 20

29. Economies of scale exist because as a firm increases its size in the long run:
(a) Labour & management can specialize in their activities more.
(b) As a larger input buyer, the firm can get finance at lower cost and purchase inputs at a lower per unit cost.
(c) The firm can afford to employ more sophisticated technology in production.
(d) All of these.

30. The efficient scale of production is the quantity of output that minimizes
(a) average fixed cost. (b) average total cost.
(c) average variable cost. (d) marginal cost.

31. Which of the following statements is false in respect of fixed cost of a firm?
(a) As the fixed inputs for a firm cannot be changed in the short run, the TFC are constant, except when the prices of the fixed inputs change.
(b) TFC continue to exist even when production is stopped in the short run, but they exist in the long run even when production is not stopped.
(c) Total Fixed Costs (TFC) can be defined as the total sum of the costs of all the fixed inputs associated with production in the short run.
(d) In the short run, a firm's fixed cost cannot be escaped even when production is stopped.

32. When marginal costs are below average total costs,
(a) average fixed costs are rising.
(b) average total costs are falling.
(c) average total costs are rising.
(d) average total costs are minimized.

33. A firm's long-run average total cost curve is
(a) Identical to its long-run marginal-cost curve.
(b) Also its long-run supply curve because it explains the relationship between price and quantity supplied.
(c) In fact the average total cost curve of the optimal plant in the short run as it tries to produce at least cost.
(d) Tangent to all the curves of short-run average total cost.

34. In the long run, if a very small factory were to expand its scale of operations, it is likely that it would initially experience
(a) an increase in pollution level. (b) diseconomies of scale.
(c) economies of scale. (d) constant returns to scale.

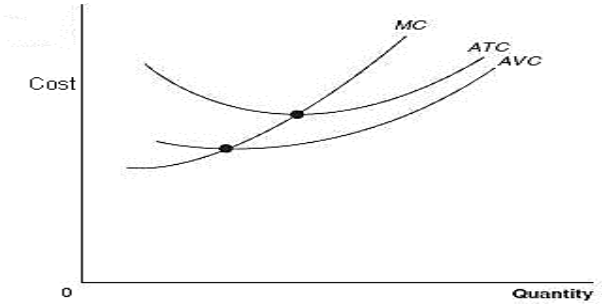
35. A firm's long-run average total cost curve is.
(a) Identical to its long-run marginal-cost curve as all factors are variable.
(b) Also its long-run total cost curve because it explains the relationship cost and quantity supplied in the long run.
(c) In fact the average total cost curve of the optimal plant in the short run as it tries to produce at least cost.
(d) Tangent to all short-run average total cost the curves and represents the lowest average total cost for producing each level of output.

36. The marginal cost for a firm of producing the 9th unit of output is ₹ 20. Average cost at the same level of output is ₹ 15. Which of the following must be true?
(a) marginal cost and average cost are both falling
(b) marginal cost and average cost are both rising
(c) marginal cost is rising and average cost is falling
(d) it is impossible to tell if either of the curves are rising or falling

37. Implicit cost can be defined as
(a) Money payments made to the non-owners of the firm for the self-owned factors employed in the business and therefore not entered into books of accounts.
(b) Money not paid out to the owners of the firm for the self-owned factors employed in a business and therefore not entered into books of accounts.
(c) Money payments which the self-owned and employed resources could have earned in their next best alternative employment and therefore entered into books of accounts.
(d) Money payments which the self-owned and employed resources earn in their best use and therefore entered into book of accounts.

38. Economic costs of production differ from accounting costs of production because_____
(a) Economic costs include expenditures for hired resources while accounting costs do not.
(b) Accounting costs include opportunity costs which are deducted later to find paid out costs.
(c) Accounting costs include expenditures for hired resources while economic costs do not.
(d) Economic costs add the opportunity cost of a firm which uses its own resources.

39. In figure below, possible reason why the average variable cost curve approaches the average total cost curve as output rises is:



(a) Fixed costs are falling while total costs are rising at rising output.
(b) Total costs are rising and average costs are also rising.
(c) Marginal costs are above average variable costs as output rises.
(d) Average fixed costs are falling as output rises.

40. Marginal cost changes due to changes in ————————
(a) Total cost (b) Average cost
(c) Variable cost (d) Quantity of output

41. Which of the following statements is correct?
(a) Fixed costs vary with change in output.
(b) If we add total variable cost and total fixed cost we get the average cost.
(c) Marginal cost is the result of total cost divided by number of units produced.
(d) Total cost is obtained by adding up the fixed cost and total variable cost.

42. The vertical difference between TVC and TC is equal to-
(a) MC (b) AVC (c) TFC (d) None of these

43. The falling part of long run average cost curve is tangent to the _____ of corresponding short run average cost curve(s).
(a) Falling part (b) Rising part
(c) Minimum point (d) None of the above

44. Which one of the following is an external economies of scale in long run?
(a) Risk bearing economies (b) Financial economies
(c) Development of skill labour (d) None of the above

PAST EXAM QUESTIONS

2006- NOVEMBER

1. Opportunity cost is:
   (a) Direct cost (b) Total cost
   (c) Accounting cost (d) Cost of foregone opportunity

2. As output increase, average fixed cost:
   (a) Remains constant (b) Starts falling
   (c) Start rising (d) None

3. Average fixed cost can be obtained through-
   (a) AFC = $\frac{TFC}{TS}$ (b) AFC = $\frac{AC}{TP}$
   (c) AFC = $\frac{TC}{PC}$ (d) AFC = $\frac{TFC}{TP}$

2007- FEBRUARY

4. AFC curve is:
   (a) Convex & downward sloping
   (b) Concave & downward sloping
   (c) Convex & upward sloping
   (d) Concave & upward rising

5. A firm's average fixed cost is Rs. 20 at 6 units of output what will it be at 4 units of output?
   (a) Rs. 60 (b) Rs. 30 (c) Rs. 40 (d) Rs. 20

6. U-shaped average cost curve is based on:
   (a) Law of increasing cost
   (b) Law of decreasing cost
   (c) Law or constant returns to scale
   (d) Law of variable proportions

2007- MAY

7. When shape of average cost curve is upward, marginal cost:
   (a) Must be decreasing (b) Must be constant
   (c) Must be rising (d) Any of these

8. So when AC curve is upward MC must be rising. If total cost at 10 units is Rs. 600 and Rs. 640 for 11th unit. The marginal cost of 11^{th} unit is :
   (a) Rs. 20 (b) Rs. 30 (c) Rs. 40 (d) Rs. 50

9. Economic cost excludes which of the following:
(a) Accounting cost + explicit cost
(b) Accounting cost + implicit cost
(c) Explicit cost + Implicit cost
(d) Accounting cost + opportunity cost

2007- AUGUST

10. Which of the following cost curves is never 'U' shaped?
(a) Average total cost curve (b) Marginal cost curve
(c) Average variable cost (d) Total Fixed cost curve

11. Suppose, the total cost of production of commodity X is 1,25,000. Out of this cost implicit cost is Rs. 35,000 and normal profit is Rs. 25,000. What will be the explicit cost of commodity X?
(a) 90,000 (b) 65,000 (c) 60,000 (d) 1,00,000

12. What is the total cost of production of 20 units, if fixed cost is Rs. 5,000 and variable cost is Rs. 2/-?
(a) 5,400 (b) 5,040 (c) 4,960 (d) 5,020

2007- NOVEMBER

13. External economies accrue due to_____ :
(a) increasing returns to scale
(b) increasing returns to factor
(c) law of variable proportion
(d) low cost

14. At which point does the marginal cost curve intersect the average variable cost curve and short run average total cost curve?
(a) At equilibrium points (b) At their lowest points
(c) At their optimum points (d) They don't intersect at all

15. Implicit cost may be defined as the:
(a) Costs which do not change over a period of time
(b) Costs which the firm incurs but doesn't disclose
(c) Payment to the non-owners of the firm for the resources
(d) Money payment which the self employed resources could have earned in their best alternative employment

2008- FEBRUARY

16. A firm's average fixed cost is Rs. 40 at 12 units. What will be the average fixed cost at 8 units:
(a) Rs. 60 (b) Rs. 70 (c) Rs. 90 (d) Rs. 80

17. Returns to scale will said to be in operation when quantity of:
(a) All inputs are changed
(b) All inputs are changed in already established proportion
(c) All inputs are not changed
(d) One input is changed while quantity of all other inputs remain the same

18. Which of the following curves never touch any axis but is downward?
(a) Marginal cost curve (b) Total cost curve
(c) Average fixed cost curve (d) Average variable cost curve

19. Which of the following is known as Envelope curve?
(a) MC curve (b) AFC curve
(c) LAC curve (d) TFC curve

2008- JUNE

20. A firm producing 7 units of output has an average total cost of Rs. 150 and has to pay Rs. 350 to its fixed factors of production. How much of the average total cost is made up of variable cost?
(a) Rs. 200 (b) Rs. 50 (c) Rs. 300 (d) Rs. 100

21. A firm's average fixed cost is Rs. 20 at 6 units of output. What will it be at 3 units of output?
(a) Rs. 60 (b) Rs. 30 (c) Rs. 40 (d) Rs. 20

2008- DECEMBER

22. Calculate total cost of 4 units:

Units	Total Cost (Rs.)	Marginal Cost (Rs.)
2	80	40
4	-	30

(a) 140 (b) 120 (c) 50 (d) 40

23.

OUTPUT (Units)	TOTAL COST
0	30
1	40
2	50
3	60

Find Average Fixed Cost of 3 units?
(a) 10 (b) 30 (c) 65 (d) 60

24. Long run does not have:
(a) Average Cost (b) Total Cost
(c) Fixed Cost (d) Variable Cost

25. Average Fixed Cost = Rs. 20
Quantity Produced = 10 units
What will be the average fixed cost of 20th Unit?
(a) Rs. 10 (b) Rs. 20 (c) Rs. 5 (d) None

26. External Economies of Scale are obtained by:
(a) a firm (b) a group of firm
(c) Small Production (d) Society

2009- JUNE

27. Which of the following curve is not U shaped?
(a) AFC (b) AVC (c) MC (d) ATC

28. From the following details, find out the average variable cost of 10 units:

Output:	0	10	20
Total Cost:	Rs. 200	Rs. 400	Rs. 800

(a) Rs. 40 (b) Rs. 20 (c) Rs. 200 (d) Rs. 400

29. The total cost incurred for 10 units is Rs. 400 and 20 units is Rs. 800. Find the marginal cost.
(a) Rs. 400 (b) Rs. 40 (c) Rs. 200 (d) Rs. 20

2009- DECEMBER

30. Which one of the following is correct?
(a) AFC = AVC + ATC (b) ATC = AFC – AVC
(c) AVC = AFC + ATC (d) AFC = ATC – AVC

31. Calculate AFC of 3 units from the following data:

Unit	0	1	2	3
Total Cost	30	40	50	60

(a) 30 (b) 15 (c) 10 (d) 5

32. Find AFC of 3 units:

Unit	0	1	2	3
Total Cost	15	25	35	45

(a) 5 (b) 10 (c) 15 (d) 25

2010- JUNE

33. What will be the TVC if we produce 2 units?

Units	0	1	2
TC	20	37	50

(a) 15 (b) 05 (c) 17 (d) 30

34. The total cost of production of 10 units is Rs. 200. When production is increases to 20 units its total cost becomes Rs. 600. What will be its marginal cost?
(a) 400 (b) 40 (c) 4 (d) 30

35.

Units	0	1	2	3	4
Total Cost	20	30	40	45	50

What will be the AFC at 4 units of output?
(a) 2 (b) 3 (c) 4 (d) 5

2010-DECEMBER

36. Payment made to outsiders for their goods and services are called:
(a) Opportunity cost (b) Real Cost
(c) Explicit cost (d) Implicit cost

37. Direct cost is also known as:
(a) Indirect cost (b) Traceable cost
(c) Opportunity cost (d) Accounting cost

38. A firms AFC is Rs. 200 at 10 units of output what will be it at 20 units of output?
(a) 500 (b) 100 (c) 150 (d) 200

39. Long run price is also called by the name of _____.
(a) market price (b) normal price
(c) administered price (d) wholesale price.

40. What will be the AFC of 2 units according to the table given below:

Output	0	1	2
Total Cost (in Rs.)	580	689	850

(a) 105 (b) 135 (c) 235 (d) 290

41. Fixed cost is known as _____cost.
(a) Prime (b) Supplementary (c) overhead (d) direct

42. Average Revenue Curve is also known as _____.
(a) profit curve, (b) demand curve.
(c) supply curve. (d) average cost curve.

43. Supply curve remaining unchanged, an increase in demand will lead to.
(a) A fall in price (b) A rise in price
(c) No change in price (d) An increase in supply.

2011-JUNE

44. Find out AFC of 3 unit:

Unit	0	1	2	3
TC	300	1,000	2,000	3,000

(a) 100 (b) 200 (c) 300 (d) 400

45.

Units	0	1	2
TC	580	1,200	1,500

Calculate AFC at 2nd unit of output

(a) 235 (b) 290 (c) 310 (d) 920

46. In the long run all factors are-

(a) Fixed (b) Variable

(c) All factors remain unchanged (d) None.

47. What is the total cost of production of 20 units, if fixed cost is Rs. 5,000 and variable cost is Rs. 2/-?

(a) 5,400 (b) 5,040 (c) 4,960 (d) 5,020

2011- DECEMBER

48. What will be the AFC of 3 units of Output as per table given below?

Output	0	1	2	3
Total Cost (in Rs.)	300	1,000	2,500	3,000

(a) 100 (b) 1000 (c) 200 (d) 400

49. What will be marginal cost of 67 units of production accounting to the table given below:

Units of production	0	10	25	37	67
Total Cost	160	200	300	500	1,400

(a) 10 (b) 20 (c) 30 (d) 50

50. Which of the following is known as Envelop Curve?

(a) Average variable cost curve

(b) Average total cost curve

(c) Long run average cost curve

(d) Short run average cost curve

51. The average fixed cost for producing an output of 6 units of a product by a firm is Rs. 30. The same cost for producing an output of 4 units will be Rs._____

(a) 50 (b) 45 (c) 25 (d) 20

52.

Given	0	4	8
Output	20	24	48

What will be the AFC of 4 units of Output?

(a) 2 (b) 3 (c) 4 (d) 5

53. Suppose the total cost of production of commodity 'X' is 1,25,000 Out of other cost implicit is Rs 35,000 and normal profit is Rs. 25,000 what will be the explicit cost of commodity 'X'?
(a) Rs. 60,000 (b) Rs. 65,000
(c) Rs. 90,000 (d) Rs. 80,000

2012-JUNE

54. What will be the total fixed cost for the production of three units as per the details given below:

Units	0	1	2	3
Total Cost	620	940	1555	3670

(a) 620 (b) 640 (c) 1115 (d) 2650

55. Cost in terms of pain, discomfort, disability involved in supplying the various factors of production by their owners are termed as_____.
(a) social cost (b) explicit cost
(c) real cost (d) implicit cost

56. Which of the following is known as the Envelope Curve?
(a) Average variable cost curve
(b) Average total cost curve
(c) Long run average cost curve
(d) Short run average cost curve.

57. The cost of resources owned and employed by the entrepreneur himself in his business is termed as _____cost.
(a) explicit (b) implicit (c) fixed (d) variable.

58. Increasing returns to scale can be explained in terms of:
(a) External and internal economics
(b) External and internal diseconomies
(c) External economies and internal diseconomies
(d) All of these.

2012- DECEMBER

59. A firm's total cost is 200 at 5 units of output and Rs. 220 at 6 units of output. The marginal cost of producing 6th unit of output will be_____.
(a) 20 (b) 120 (c) 220 (d) 320

60. Consider the following data

Units of output:	0	1	2	3	4
Total Cost:	25	45	60	85	105

The Average Variable Cost (AVC) for an output of 4 units will be:-
(a) Rs. 20 (b) Rs. 30 (c) Rs. 25 (d) Rs. 26

61. The change in total cost due to one unit change in the output is called _____cost.
(a) marginal (b) average
(c) average variable (d) average fixed

62. When AC curve is rising, the MC curve must be-
(a) equal (b) above (c) below (d) parallel.

63. The Average fixed cost for producing an output of 6 units of a product by a firm is Rs. 30. The same cost for producing an output of 4 units will be Rs. _____.
(a) 50 (b) 45 (c) 25 (d) 20

2013- JUNE

64. Which of the following cost curve will slope downward and does not touch the x-axis?
(a) Average cost curve (b) Marginal cost curve
(c) Average cost curve (d) Average fixed cost curve

65. Suppose the total cost production of a commodity 'x' is Rs. 1,25,000 out. of which Implicit cost is Rs. 35,000 and normal profit is Rs. 25,000. What would be the explicit cost of commodity x?
(a) Rs. 90,000 (b) Rs. 65,000
(c) Rs. 1,00,000 (d) Rs. 60,000

66. In which of the following cases opportunity cost concept applies?
(a) Resources have alternative uses
(b) Resources have limited uses
(c) Resources have no use
(d) None of the above.

67. Direct costs are also known as _____.
(a) traceable costs (b) indirect costs
(c) opportunity costs (d) real costs.

2013- DECEMBER

68. Which statement among below is correct in reference in Average Fixed Cost
(a) Never becomes zero (b) Curve never touches x-axis
(c) Curve never touches y-axis (d) All of the above.

2014- JUNE

69. Marginal cost changes due to change in _____cost.
(a) total (b) fixed (c) average (d) variable

70. A firm produces 10 units of a commodity at an average total cost of Rs. 200 and with a fixed cost of Rs. 500. Find out the component of average variable cost in the total cost:
(a) Rs. 300 (b) Rs. 200 (c) Rs. 150 (d) Rs. 100

71. Average total cost to a firm is Rs. 600 when it produces 10 units of output and Rs. 640 when the output is 11 units. The MC of the 11th unit is :
(a) Rs. 40 (b) Rs. 540 (c) Rs. 840 (d) Rs. 1,040

2014- DECEMBER

72. Average cost of producing 50 units of any commodity is Rs. 250 and fixed cost is Rs. 1,000. What will be the average fixed cost of producing 100 units of the commodity?
(a) Rs. 10 (b) Rs. 30 (c) Rs. 20 (d) Rs. 05

73. A company produces 10 units of output and incurs Rs. 30 per unit as variable cost and Rs. 5 per unit of fixed cost. What will be its total cost of producing 10 units?
(a) Rs. 300 (b) Rs. 35 (c) Rs. 305 (d) Rs. 350

74. On the basis of the following data what will be the marginal cost of the 6^{th} unit of output?

Output	0	1	2	3	4	5	6
TC (in Rs.)	240	330	410	480	540	610	690

(a) Rs. 133 (b) Rs. 75 (c) Rs. 80 (d) Rs. 450

75. The positively sloped (rising) part of the long run average cost curve indicates working of the_____.
(a) diseconomies of scale (b) increasing returns to scale
(c) constant returns to scale (d) economies of scale

76. Average fixed cost curve is always:
(a) Declining when output increases
(b) U-Shaped, if there are increasing returns to scale
(c) U-Shaped, if there are decreasing returns to scale
(d) Intersected by marginal cost at its minimum point

2015- JUNE

77. Planning curve is related to which of the following?
(a) Short run average cost curve
(b) Long run average cost curve
(c) Average variable cost
(d) Average total cost

78. Using the following data find out the marginal cost (MC) of the sixth unit of output:

Output	0	1	2	3	4	5	6	7
TC	48	73	94	114	130	148	168	189

(a) 24 (b) 16 (c) 20 (d) 21

2015- DECEMBER

Solve question no. 79 given below the following table:

Output (Units)	TFC (in Rs.)	TVC (in Rs.)	MC (in Rs.)
0	500	-	-
1	500	400	400
5	500	1600	-

79. What will be marginal cost, when output is 5 units?
(a) 300 (b) 400 (c) 500 (d) 600

80. Diminishing marginal returns implies-
(a) Decreasing average variable costs
(b) Decreasing marginal costs
(c) Increasing marginal costs
(d) Decreasing fixed costs.

81. When the output of a firm increase in the short run, its average fixed cost-
(a) Increases (b) Decreases
(c) Remains constant (d) First declines and then rises.

82. Which of the following cost curves is never 'U' shaped?
(a) Average cost curve
(b) Marginal cost curve
(c) Average variable cost curve
(d) Average fixed cost curve.

2016-JUNE

83. Fixed cost curve normally:
(a) Starts from the origin (b) Is U shaped
(c) Is vertical line (d) Is horizontal line.

84. A rational producer will produce in the stage in which marginal product is positive and :
(a) MP > AP (b) MP = AP
(c) MP < AP (d) MP is zero.

85. The vertical difference between TVC and TC curves is equal to:
(a) MC (b) AVC (c) TFC (d) None of the above

86. What happens to marginal cost when average cost increases?
(a) Marginal cost is below average cost
(b) Marginal cost is above average cost
(c) Marginal cost is equal to average variable cost
(d) Marginal cost is equal to average cost.

87. If the market price of good is more than the opportunity cost of producing it, then:
(a) The market price of the product will increase in the long run
(b) Producers will increase supply in the long run
(c) Resources will flow away from production of the good, causing supply to decline with the passage of time
(d) The situation will remain unchanged as long as supply and demand remain in balance.

2016- DECEMBER

88. A firm has variable cost of Rs. 1,000 at 5 units of output. If fixed costs are Rs. 400, what will be the average total cost at 5 units of output?
(a) 380 (b) 600 (c) 280 (d) 400

89. The average total cost of producing 50 units is Rs. 250 and total fixed cost is Rs. 1,000. What is the average fixed cost of producing 100 units?
(a) 5 (b) 30 (c) 20 (d) 10

90. When average fixed cost is 20 at 6 units of output, what will it be at 4 units of output?
(a) Rs. 60 (b) Rs. 30 (c) Rs. 40 (d) Rs. 20

2017- JUNE

91. Modern industrial units face _____cost curve due to change in their technology of production.
(a) U shaped (b) L shaped (c) Dish shaped (d) J shaped.

92. What will be AVC in the production of 3 units according to the following cost data?

Production (units):	0	1	2	3
Total Cost (Rs.):	140	230	310	380

(a) Rs. 80 (b) Rs. 100 (c) Rs. 110 (d) Rs. 240

93. The costs which remain fixed over certain range of output but suddenly jump to a new higher level when production goes beyond a given limit are called:
(a) Variable cost (b) Semi-variable cost
(c) Stair- step variable cost (d) Jumping cost.

94. A firm producing 9 units of output has an average total cost of Rs. 200 and has to pay Rs. 630 to its fixed cost of production. How much of the average total cost is made up of variable cost?
(a) Rs. 150 (b) Rs.130 (c) Rs. 70 (d) Rs. 300

95. The cost of one thing in terms of alternative given up is known as:
(a) Opportunity Cost (b) Real Cost
(c) Production Cost (d) Physical Cost.

2017- DECEMBER

96. In the short run, when the output of a firm increases, its average fixed cost -
(a) Remains constant (b) Decreases
(c) Increases (d) First decreases and then rises

97. What will be average variable cost of producing 5 units of blankets as per details given in the following table?

Blankets	0	1	2	3	4	5
TC (in Rs.)	1,500	2,575	3,800	4,500	5,300	6,000

(a) Rs. 500 (b) Rs. 750 (c) Rs. 900 (d) Rs. 1,000

98. Which of the following is/are example(s) of an economic cost?
(a) wage paid to labourers
(b) raw materials purchase cost
(c) interest paid on short term loan
(d) all of the above.

2018- MAY

99. Opportunity Cost is:
(a) Marginal cost (b) Variable cost
(c) Total fixed cost (d) None of these.

100. The "Law of diminishing returns" applies to-
(a) the short run, but not the long run
(b) the long run, but not the short run
(c) both the short run and the long run
(d) neither the short run nor the long run

101. Linear homogenous production function is based on-
(a) Increasing returns to scale
(b) Decreasing returns to scale
(c) Constant returns to scale
(d) None of the above.

102.

Unit	0	1	2
TC	580	1200	1500

Calculated AFC at 2nd unit of output:
(a) 235 (b) 290 (c) 310 (d) 920

103. Which of the following curves never touch any axis but is downward?
(a) Marginal cost curve (b) Total cost curve
(c) Average fixed cost curve (d) Average variable cost curve

104. External economies accrue due to_____.
(a) Increasing returns to scale
(b) Increasing returns to factor
(c) Law of variable proportions
(d) Low cost

105. A firms average fixed cost is Rs. 20 at 6 units of output what will be at 3 units of output?
(a) Rs. 60 (b) Rs. 30 (c) Rs. 40 (d) Rs. 20

106. Which of the following is correct?
(a) AFC = AVC + ATC (b) ATC = AFC-AVC
(c) AVC = AFC + ATC (d) AFC = ATC - AVC

107. The vertical difference between TVC and TC curves is equal to:
(a) MC (b) AVC (c) TFC (d) None of the above

108. The cost of one thing in terms of alternative given up:
(a) Real cost (b) Production cost
(c) Opportunity cost (d) Physical cost

109. The cost which remains fixed over certain range of output but suddenly jumps to a new higher level when production goes beyond a given limit are called:
(a) Variable cost (b) Semi-variable cost
(c) Stair-step variable cost (d) Jumping cost

2018- NOVEMBER

110. The slope of Average Fixed cost curve is?
(a) Falls from left to right (b) Rises from left to right
(c) Parallel to x-axis (d) Parallel to y-axis

111. Price of a commodity is best expressed as-
(a) Exchange value (b) Cost of goods sold
(c) Production cost (d) Nominal value

112. Accounting cost is_____ of Economic cost.
(a) Equal to (b) Less than
(c) More than (d) Not Included

113. When AC Curve is at minimum then MC Curve is_____ ?
(a) Minimum then AC Curve (b) Equals to AC Curve
(c) Above AC Curve (d) Less then AC Curve

114. Which of the following equation represents profit maximisation condition?
(a) MC = MR (b) MC > MR
(c) MC < MR (d) None.

115. Issues requiring decision making in the context of business are:
(a) How much should be the optimum output at what price should the firm sell?
(b) How-will the product be placed in the market?
(c) How to combat the risks and uncertainties involved?
(d) All of the above.

116. Law of production does not include?
(a) Returns to scale
(b) Law of variable proportion
(c) Law of diminishing returns to a factor
(d) Least cost combination factors

2019- MAY

117. A firm producing 15 units of output has average cost of Rs. 250 and Rs. 125 as per unit cost for fixed factors of production. Then average variable cost will be-
(a) 180 (b) 150 (c) 125 (d) None of the above

118. Which of the following statement is incorrect?
(a) AC is sloping downwards, MC is below AC
(b) AC is sloping downwards, MC must fall
(c) AC is sloping upwards, MC is above AC
(d) MC cuts AC from its lowest point.

119. Diminishing marginal returns implies.
(a) Decreasing average fixed cost
(b) Decreasing average variable cost
(c) Decreasing marginal cost
(d) Increasing marginal cost

120. Opportunity Cost is_____
(a) Recorded in the book of accounts
(b) Sacrificed alternative
(c) Both (a) and (b)
(d) None of the above

2019- NOVEMBER

121. Which of the following is true?
(a) TC = TFC + TVC (b) TC + TVC + TFC
(c) 2TC-TVC = TFC (d) None

122. Total Economic Cost = Explicit Cost + Implicit Cost + _____
(a) Normal Profit (b) Super Normal Profit
(c) Loss (d) None

123. Economic cost of production differs from accounting cost of production-
(a) Partially True (b) True (c) False (d) None

124. Which curve is never U- shaped-
(a) AFC (b) AVC (c) AC (d) None

2020- NOVEMBER

125. Use the table and answer for the following questions

Output	0	1	2	3	4	5	6
TC (in Rs.)	100	180	250	310	360	420	490

The average fixed cost of 4 units of output is:
(a) 80 (b) 90 (c) 25 (d) 350

126. The average variable cost of 5 units of output:
(a) 84 (b) 64 (c) 420 (d) 104

127. The marginal cost of 5^{th} unit of output is:
(a) 60 (b) 70 (c) 540 (d) 90

128. The total cost is Rs. 4,200 and fixed cost is Rs. 1,200 then find the variable cost:
(a) Rs. 5,450 (b) Rs. 1,200 (c) Rs. 4,200 (d) Rs. 3,000

2021- JANUARY

129. A Firm producing 7 units of output has an average total cost of Rs. 150 and has to pay Rs. 350 to its fixed factors of production whether it produces or not? How much of the average total cost is made up of variable costs?
(a) 200 (b) 50 (c) 300 (d) 100

130. A Firm has a variable cost of Rs. 2,000 at 5 units of output. If fixed costs are Rs. 800, what will be the average total cost at 5 units of output?
(a) 560 (b) 120 (c) 240 (d) 2,800

131. Which of the following Statements is false?
(a) Economic costs include the opportunity costs of the resources owned by the firm.
(b) Accounting costs include only explicit costs.
(c) Economic profit will always less than accounting profit if resources owned and used by the firm have any opportunity costs.
(d) Accounting profit is equal to total revenue less implicit costs.

132. Average cost curve is-
(a) 'U' Shaped (b) Positively sloped
(c) Negatively sloped (d) Rectangular hyperbola

133. Isoquants are equal to:
(a) Product lines (b) Total utility lines
(c) Cost lines (d) Revenue lines

134. Average fixed cost can be obtained through.
(a) AFC = $\frac{\text{TFC}}{\text{TS}}$ (b) AFC = $\frac{\text{EC}}{\text{TO}}$
(c) AFC = $\frac{\text{TC}}{\text{PC}}$ (d) AFC = $\frac{\text{TFC}}{TO}$

2021- JULY

135. 'Zero economic profit' emerges due to which of the following condition?
(a) Average revenue is more than average total cost
(b) Marginal revenue is just equal to average total cost
(c) Marginal revenue is just equal to marginal cost
(d) Average revenue is just equal to average total cost.

136. The difference between TFC and TC is equal to:
(a) Zero (b) TVC (c) MC (d) AFC

Use table below to answer questions 137- 139.

Output	0	1	2	3	4	5	6
Total cost	360	495	615	720	810	915	1035

137. The average fixed cost of 3 units of output is_____
(a) 180 (b) 225 (c) 120 (d) 134

138. The marginal cost of the fifth unit of output is_____
(a) 174 (b) 225 (c) 675 (d) 105

139. Diminishing marginal returns starts to occur between _____Units.
(a) 4 and 5 (b) 3 and 4 (c) 5 and 6 (d) 1 and 2

2021- DECEMBER

140. Marginal Revenue curve moves _____ and Marginal cost curve moves _____.
(a) downward, downward (b) downward, upward
(c) upward, upward (d) downward, remains same

141. Average revenue curve is also known as_____.
(a) Firm's demand curve (b) Marginal revenue curve
(c) Total revenue curve (d) Marginal cost curve

142. If quantity demanded for a commodity increases from 15 units to 20 units and there is a 25 percent decrease in price. If the initial price was Rs. 20, then what is the marginal revenue?
(a) 15 (b) 20 (c) 0 (d) 10

143. The marginal, average and total product curves encountered by the firm producing in the short-run exhibit all of the following relationships except_____
(a) When TP is rising, Average and Marginal product may be either rising or falling
(b) When marginal product is negative, total product and average product are falling
(c) When average product is maximum, marginal product equals average product and total product is rising
(d) When marginal product is at maximum, average product equals marginal product and total product is rising

144. Marginal cost can be directly derived from-
(a) Total variable cost (b) Total fixed cost
(c) Average cost (d) Average fixed cost

2022- JUNE

145. Total economic cost = implicit cost + explicit cost +_____
(a) Normal profit (b) Abnormal profit
(c) Economic profit (d) None

2022- DECEMBER

146. The marginal product of a variable input is described as?
(a) The additional output resulting from one unit increase in both the variable and fixed inputs
(b) The additional output resulting from one unit increase in fixed input
(c) The additional output resulting from one unit increase in the variable inputs
(d) The additional output resulting from all unit increase in variable inputs

147. Total profit are maximized when?
(a) TR equal TC
(b) The TR curve and the TC curve are parallel
(c) TC exceeds TR
(d) TR exceeds TC

148. A firm producing 7 unit of output has as average total cost of Rs. 150 and has to pay Rs. 350 to its fixed factors of production whether it produce or not. How much of the average total cost is made up of variable costs?
(a) Rs. 100 (b) Rs. 200 (c) Rs. 50 (d) Rs. 300

149. Economic costs include:
(a) Implicit costs (b) Explicit costs
(c) Implicit and explicit costs (d) None of the above

150. At the shut-down point, the price is:
(a) below ATC (b) equal AVC
(c) equal to ATC (d) above AVC

2023- JUNE

151. Economic cost includes which of the following?
(a) Accounting cost (b) Implicit cost
(c) Both (a) and (b) (d) None of these

152. External economies are due to:
(a) Development of skilled labour (b) Technologies
(c) Cheaper raw material (d) All of these

153. Planning curve is related to:
(a) Long run average cost curves
(b) Short run average cost curves
(c) Average revenue curve
(d) None of these

2023- DECEMBER

154. Money not paid out to the owners of the firm for self- owned factors employed in business and therefore not entered in the books of accounts is considered as
(a) Explicit cost (b) Implicit cost
(c) Sunk cost (d) Incremental cost

155. Which one of the following is statement is correct in relation to the profit in accounting and economic sense
(a) Accounting profit considers explicit and implicit costs.
(b) Accounting profit is generally less than the economic profit.
(c) Economic profit includes opportunity cost related with self-owned factors.
(d) No difference between accounting and economic profit

156. The fixed cost of a firm is Rs. 300. The average Total cost is Rs. 3 and an average variable cost is Rs. 2.50. the firm's output will be -
(a) 850 units (b) 680 units (c) 600 units (d) 150 units

157. If LAC curve falls as output expands, the due to_____.
(a) Law of diminishing returns
(b) Economics of scale
(c) Law of variable proportion
(d) Dis-economics of scale

158. If a firm's output is zero, then:
(a) AFC will be positive (b) AVC will be zero
(c) Both of (a) and (b) (d) None of (a) and (b)

2024- JUNE

159. Which of the following is called envelope curve?
(a) Average fixed cost curve
(b) Short run average cost curve
(c) Long run average cost curve
(d) Average variable cost curve

160. Find out A and B from, the following table

Q	Total Cost	Fixed Cost	Variable Cost	Marginal Cost
10	1300	500	800	-
20	1900	500	1400	60
35	A	500	2100	B

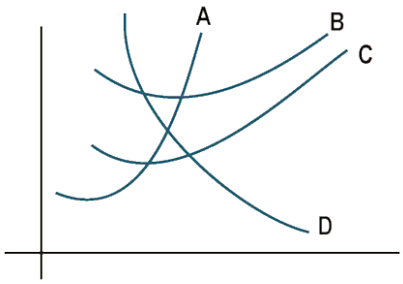
(a) 2,600, 46.7 (b) 2,600, 50
(c) 2,660,46.7 (d) 2,660,47

161. The shape of long run average cost curve depends upon___
(a) Law of returns (b) Returns to scale
(c) Diminishing returns (d) Law of variable proportions

162. The normal returns on money capital invested by the entrepreneur himself in his own business is an example of _____
(a) Explicit cost (b) External cost
(c) Private cost (d) Implicit cost

163. The money cost of production incurred by the firm such as wages, lightning, lease payment etc., are _____ cost
(a) Implicit cost (b) Opportunity cost
(c) Outlay cost (d) Economic cost

164. From the diagram answer the following:



(a) A = MC, B = ATC, C = AVC, D = AFC
(b) A = AC, B = MC, C = AVC, D = AFC
(c) A = AFC, B = ATC, C = AVC, D = MC
(d) A = MC, B = AVC, C = ATC, D = AFC

2024- SEPTEMBER

165. At higher level of output average total cost curve and average variable cost curve come closer because:
(a) Average fixed cost remains constant
(b) Average variable cost remains constant
(c) Average fixed cost accounts for relatively smaller percentage of average total cost
(d) Average variable cost accounts for relatively smaller percentage of average total cost

166. A firm produces 5 units of output at average fixed cost of Rs. 4 per unit. For production of 10 units of output average cost is Rs. 7 per unit. Average variable cost for producing 10 units of output is:
(a) Rs. 5 (b) Rs. 5 (c) Rs. 6 (d) Rs. 10

167. Which of the following expenses is included in cost of production and termed as accounting cost?
(a) Expenses incurred on research & development
(b) Wages paid to workers employed in the factory
(c) Expenses incurred on advertising
(d) Common costs incurred for general operation of business

168. What will be the total amount of sunk cost on the basis of following information?

Particular	**Amount (Rs.) crores**
Fuel and power	1000
Research and development	150
Rent	9
Wages	10
Advertisement	5

(a) Rs. 1,150 crores (b) Rs. 155 crores
(c) Rs. 159 crores (d) Rs. 164 crores

169. What term is used to describe costs that remain fixed over a certain range of output but suddenly jump to a new higher level when output goes beyond a goes beyond a given limit?
(a) Variable cost (b) Semi-variable cost
(c) Stair-step variable cost (d) Sunk cost

2025- JANUARY

170. In short-run, when average cost falls as a result of an increase in output, marginal cost is_____ average cost.
(a) greater than (b) less than
(c) equal to (d) independent of

171. Initially a firm enjoys _____ of scale and beyond a certain limit it suffers from _____ of scale.
(a) internal economies, internal diseconomies
(b) external economies, external diseconomies
(c) internal diseconomies, internal economies
(d) external diseconomies, external economies

172. The long-run average cost curve is also called:
(a) Kinked curve (b) Equal quantity curve
(c) Envelope curve (d) Sharp curve

173. _____ are already incurred once and for all, and cannot be recovered.
(a) Sunk costs (b) Historical cost
(c) Private costs (d) Social costs

2025- MAY

174. Budget line or budget constraint line which shows the various alternative combinations of two factors which the firm can buy with given outlay is called:
(A) Isoquant (B) Indifference curve
(C) Isocost line (D) Iso-product curve

Use the following data to answer question 175-176:

Output (Q)	**0**	**1**	**2**	**3**	**4**	**5**
Total cost (TC)	₹ 200	₹ 310	₹ 410	₹ 500	₹ 604	₹ 710

175. The Average Fixed Cost of 2 units of output is:
(A) ₹ 85 (C) ₹ 110 (B) ₹ 100 (D) ₹ 205

176. Diminishing marginal returns start to occur between units:
(A) 1 and 2 (B) 2 and 3
(C) 3 and 4 (D) 4 and 5

177. Calculate Marginal Revenue (MR) when Average Revenue (AR) = 45 and price elasticity of demand (e) = 3.
(A) ₹ 15 (C) ₹ 30 (B) ₹ 25 (D) ₹ 135

178. Suppose that a sole proprietor is earning total revenue of 120,000/- and is incurring explicit cost of 95,000/-. If the owner could work for another company for 30,000/- a year, which of the following statement is false?
(A) The firm incurred an economic loss of ₹ 5,000/-
(B) The firm is having accounting profit of 25,000/-
(C) Total economic costs are 30,000/-
(D) The total accounting costs are ₹ 95,000/

Use the following data to answer question 179 and 180:

Quantity	**0**	**10**	**20**	**30**	**40**
Total Cost (in ₹)	100	220	320	410	510

179. What is the average variable cost when 20 units are produced?
(A) ₹ 5 (C) ₹ 11 (B) ₹ 10 (D) ₹ 16

180. Between 10 and 20 units, what is the marginal cost per unit?
(A) ₹ 10 (B) ₹ 20 (C) ₹ 100 (D) ₹ 220

2025- SEPTEMBER

181. Which of the following curve is known as 'plant curve'?
(A) Average total cost curve
(B) Average variable cost curve
(C) Short run average cost curve
(D) Long run average cost curve

182. What is the Average Variable Cost (AVC) when the quantity produced is 100 units, the total cost is Rs. 1,000, and the fixed cost is Rs. 200?
(A) Rs. 5 (B) Rs. 8 (C) Rs. 10 (D) Rs. 12

183. Suppose that the cost of producing 1,000 units of a product by a Firm is Rs. 15,000. The entrepreneur has invested Rs. 50,000 in the business and the normal rate of return in the market is 10%. What will be the implicit cost?
(A) ₹ 5,000 (B) ₹ 1,500 (C) ₹ 6,500 (D)₹ 2,000

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184. Which of the following is NOT a correct statement regarding opportunity cost?
(A) Is always recorded in the books of account
(B) Relates to sacrificed alternatives
(C) Represents the value of foregone opportunity
(D) Is a useful concept in long-term cost calculations

Use the table to answer Q. 185-186

Output	0	1	2	3	4	5	6
Total Cost (₹)	270	370	460	540	610	690	780

185. The average fixed cost of 3 units of output is:
(A) ₹ 90 (B) ₹ 100 (C) ₹ 150 (D) ₹ 180

186. Average variable cost for 4 units of output is:
(A) ₹ 150 (B) ₹ 125 (C) ₹ 100 (D) ₹ 85

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187. Assume the cost of producing 500 units to be Rs. 25,000. Investment of the entrepreneur in his business is Rs. 1,50,000. Rate of normal market return is 10%. The selling price at which the firm will earn supernormal profit is:
(A) Rs. 78 (B) Rs. 80 (C) Rs. 82 (D) Rs. 76

188. Calculate the marginal cost of the 5th unit of production.
[TFC = Rs.100; TVC at 4 units = Rs.110; TVC at 5 units = Rs.118]
(A) Rs. 8 (B) Rs. 23.60 (C) Rs. 43.60 (D) Rs. 118

189. Calculate the average variable cost when 3 units are produced.
[TVC at 3 units = Rs.100]
(A) Rs. 36 (B) Rs. 33.33 (C) Rs. 66.67 (D) Rs. 100

190. Calculate the average total cost when 4 units are produced.
[TFC = Rs.100; TVC at 4 units = Rs.110]
(A) Rs. 25 (B) Rs. 27.50 (C) Rs. 52.50 (D) Rs. 210

191. According to the theory of production and cost in business economics, cost can be of the following types:
(A) Fixed and variable
(B) Fixed and semi variable
(C) Fixed, variable and semi variable
(D) Variable and semi variable

192. When a firm decides to change its product line, replace worn-out machinery, buy a new production facility, or acquire a new set of clients, it will have to incur _____.
(A) Sunk costs (B) Incremental costs
(C) Opportunity costs (D) Implicit costs

193. Which of the following represents variable cost in the short run?
(A) Factory rent (B) Wages for factory labour
(C) Accountant's salary (D) Factory insurance premium

QUESTIONS FOR YOUR PRACTICE

Use this table to answer questions 1 - 3

Output	Total Cost
0	240
1	330
2	410
3	480
4	540
5	610
6	690

1. The average fixed cost of 2 units of output is:
   (a) ₹ 80 (b) ₹ 85 (c) ₹ 120 (d) ₹ 205

2. The marginal cost of the sixth unit of output is:
   (a) ₹ 133 (b) ₹ 75 (c) ₹ 80 (d) ₹ 450

3. Average Variable Cost of 4 units of output is:
   (a) 75 (b) 135 (c) 60 (d) insufficient data

Read the following paragraph & answer question 4 – 6.

Suppose that a sole proprietorship is earning total revenues of ₹ 10, 00,000 and is incurring explicit costs of ₹ 7,50,000. The owner could work for another company for ₹ 3,00,000 a year.

4. What will be the implicit cost of the firm?
   (a) ₹ 3,00,000 (b) ₹ 2,50,000
   (c) 7,50,000 (d) insufficient data

5. The above mentioned firm is earning:
   (a) Accounting profit of ₹ 2,50,000.
   (b) Economic loss of ₹ 50,000
   (c) Both a and b are correct.
   (d) None of the above is correct.

6. Suppose in the above mentioned question, the owner had invested ₹ 500,000 by withdrawing from his saving accounts on which he was earning 5% interest per annum, the economic profit or loss is
   (a) economic profit of ₹ 75,000
   (b) economic loss of ₹ 75,000
   (c) economic profit of ₹ 2,50,000
   (d) economic loss of ₹ 2,50, 000

7. Which cost increases continuously with the increase in production?
(a) Average cost (b) Marginal cost
(c) Fixed cost (d) Variable cost

8. The opportunity cost of a good is-
(a) the time lost in finding it
(b) the quantity of other goods sacrificed to get another unit of that good
(c) the expenditure on the good
(d) the loss of interest in using savings

9. Which of the following is a variable cost in the short run?
(a) Wages paid to factory labor
(b) Payment on the lease for factory equipment
(c) Rent on the factory
(d) Interest payments on borrowed financial capital

10. You are given the following data:

Output	0	1	2	3	4	5
Total Costs	0	15	30	45	60	75

The above data is an example of:
(a) Constant returns to scale.
(b) Decreasing returns to scale.
(c) Increasing returns to scale.
(d) Globalization.

11. Suppose you find Rs. 100. If you choose to use Rs. 100 to go to a football match, your opportunity cost of going to the game is_____.
(a) nothing, because you found the money.
(b) Rs. 100 (because you could have used Rs. 100 to buy other things) plus the value of your time spent at the game.
(c) ₹ 100 (because you could have used the ₹ 100 to buy other things) plus the value of your time spent at the game, plus the cost of the dinner you purchased at the game.
(d) ₹ 100 (because you could have used the ₹ 100 to buy other things).

12. In the short run, when the output of a firm increases, its average fixed cost:
(a) increases (b) decreases
(c) remains constant (d) first declines and then rises

13. The LAC curve-
(a) Falls when the LMC curve falls
(b) Rises when the LMC curve rises
(c) Goes through the lowest point of the LMC curve
(d) Falls when LMC < LAC and rises when LMC > LAC

14. The marginal cost curve intersects the average cost curve when average cost is:
(a) Maximum (b) Minimum (c) Raising (d) Falling

15. If the total cost of manufacturing commodity 'X' is ₹ 1,50,000. Out of this implicit cost is ₹ 80,000 what will be explicit cost:
(a) ₹ 95,000 (b) ₹ 1,25,000
(c) ₹ 80,000 (d) ₹ 70,000

16. A firm's average fixed cost is ₹ 20 at 6 units of output. What will it be at 4 units of output?
(a) ₹ 60 (b) ₹ 30 (c) ₹ 40 (d) ₹ 20

17. Which is the other name that is given to the long run average cost curve?
(a) profit curve (b) planning curve
(c) demand curve (d) indifference curve

18. Which of the following is an example of an "explicit cost"?
(a) The wages a proprietor could have made by working as an employee of a large firm
(b) The income that could have been earned in alternative uses by the resources owned by the firm
(c) The payment of wages by the firm
(d) The normal profit earned by a firm

19. Marginal cost is defined as :
(a) the change in total cost due to one unit change in output
(b) total cost divided by output
(c) the change in output due to a one unit change in an input
(d) total product divided by the quantity of input

20. Which of the following statements is correct?
(a) The law of demand states positive relationship between price and quantity demanded
(b) The law of supply states positive relationship between price and quantity supplied
(c) As per the law of diminishing returns as the consumption of any commodity is increased, the average returns start diminishing
(d) None of the above

21. Marginal product, mathematically, is the slope of the
(a) total product curve (b) average product curve
(c) marginal product curve (d) implicit product curve

22. Suppose that a sole proprietorship is earing total revenues of Rs. 1,00,000 and is incurring explicit costs of Rs. 75,000. If the owner could work for another company for Rs. 30,000 a year, we would conclude that:
(a) The frim is incurring an economic loss
(b) Implicit costs are Rs. 25,000
(c) The total economic costs are Rs. 1,00,000
(d) The individual is earning an economic profit of Rs. 25,000

23. Economic costs of production differ from accounting costs of production because
(a) Economic costs include expenditures for hired resources while accounting costs do not
(b) Accounting costs include opportunity costs which are deducted later to find paid out costs
(c) Accounting costs include expenditures for hired resources while economic costs do not
(d) Economic costs add the opportunity cost of a firm which uses its own resources

24. Which of the following statements is correct?
(a) Fixed costs vary with change in output
(b) If we add total variable cost and total fixed cost we get the average cost
(c) Marginal cost is the result of total cost divided by number of units produced
(d) Total cost is obtained by adding up the fixed cost and total variable cost

25. If there are implicit costs of production:
(a) economic profit will be equal to accounting profit
(b) economic profit will be less than accounting profit
(c) economic profits will be zero
(d) economic profit will be more than accounting profit

26. The most important function of an entrepreneur is to_____
(a) Innovate (b) Bear the sense of responsibility
(c) Finance (d) Earn profit

27. If as a result of 50 percent increase in all inputs, the output rises by 75 percent, this is a case of:
(a) increasing returns of a factor
(b) increasing returns to scale
(c) constant returns to a factor
(d) constant returns to scale

28. In the long run, if a very small factory were to expand its scale of operations, it is likely that it would initially experience
(a) an increase in pollution level
(b) diseconomies of scale
(c) economies of scale
(d) constant returns to scale

29. Which of the following statements is incorrect?
(a) The LAC curve is also called the planning curve of a firm
(b) Total revenue = price per unit x number of units sold
(c) Opportunity cost is also called alternative cost
(d) If total revenue is divided by the number of units sold we get marginal revenue

30. Which of the following is a variable cost in the short run?
(a) rent of the factory
(b) wages paid to the factory labour
(c) interest payments on borrowed financial capital
(d) payment on the lease for factory equipment

31. Diminishing marginal returns imply
(a) decreasing average variable costs
(b) decreasing marginal costs
(c) increasing marginal costs
(d) decreasing average fixed costs

32. In the Cobb Douglas function the change in output due to increase in one additional unit of an input is called?
(a) elasticity (b) return to scale
(c) total product (d) marginal revenue

33. The opportunity cost of a good is:
(a) loss of interest in using savings
(b) time lost in finding it
(c) quality of other goods sacrificed to get another unit of that good
(d) none of these

34. The stages in law of variable proportion is:
(a) 1 (b) 2 (c) 3 (d) 4

35. Certain benefit an Industry gets when it expands its scale of production is known as:
(a) Internal economies (b) Diseconomies
(c) External economies (d) Profit

36. The Interest on own capital is:
(a) implicit cost (b) future cost
(c) explicit cost (d) past cost

37. The distinction between selling cost and production cost was made by:
(a) Chamberlin (b) Sweezy
(c) Mrs. Joan Robinson (d) None of these

38. Long run average cost (LAC) is:
(a) U shaped (b) is also called envelop curve
(c) both (a) and (b) (d) none of these

39. The slope of isoquant is:
(a) upward to the left (b) downward to the right
(c) downward to the left (d) upward to the right

40. Innovation theory is propounded by:
(a) Schumpeter (b) Nicholas Kaldor
(c) Keynes (d) None of these

41. Which of the following is a variable cost in the short run?
(a) Rent
(b) Wages
(c) Internal payments on borrowed financial capital
(d) None of these

42. Linear homogeneous production function means:
(a) Input and output increases by same proportions
(b) Input increases by some proportions and output increase more than proportionately
(c) Input increase by some proportion and output less than the proportionately
(d) None of these

43. When output of a firm increases in the short run, its average fixed cost:
(a) Decreases (b) Increases
(c) Remain constant (d) First rises then decline

44. If a very small factory were to expand its scale of operations in the long run it is likely that it would initially experience:
(a) Constant returns to scale
(b) Diseconomies of scale
(c) Economies of scale
(d) None of these

45. The firm's Cost function is not a determinant of:
(a) The price of the labour
(b) The price of the firm's output
(c) Taxes
(d) The production functions

46. Normal profit is part of:
(a) Implicit Costs (b) Average Cost
(c) Explicit Cost (d) None of these

47. Which of the Statement is correct-
(a) Isoquant slopes downwards from left to right
(b) No two Isoquant can intersect each other
(c) Isoquants are convex to the origin
(d) All of the above

48. Suppose production function is given by:
$Q_2 = 15\sqrt{LK}$ what type of return does is exhibit?
(a) Constant return (b)Increasing return
(c) Decreasing return (d) None of these

49. The slope of Isocost line is-
(a) w/r (b) r/w (c) r x w (d) None of these

50. Relative price of goods reflects their:
(a) Opportunity Cost (b) Fixed Cost
(c) Average Cost (d) None of these

51. A mfg. company has TFC = 120 lakhs. TVC = $100 Q + 7Q^2 + 0.25Q^3$ Calculate the MC?
(a) $100 + 1.4 Q + 0.75Q^2$ (b) $120 + 7Q^2 + 0.25Q^3$
(c) $100 + 7Q^2 + 0.25Q^3$ (d) None of these

52. Production function in short run is called:
(a) Production possibility frontier (b) Return to Scale
(c) Laws of variable (d) None of these

53. Increasing return of scale is applied in
(a) Long Run (b) Short Run
(c) Both (a) and (b) (d) None of these

54. Marginal Cost can be directly derived from
(a) Total Variable Cost (b) Total Fixed Cost
(c) Average Cost (d) Average Fixed Cost

55. Curve which are intersected by marginal cost curve at their minimum points is
(a) AVC and AFC (b) AC and AVC
(c) AC and AFC (d) AC and TVC

56. Reason for operating the law of diminishing return is_____
(a) Imperfect Substitution between factors
(b) Scarcity of factors
(c) Both (a) and (b)
(d) None of these

57. A Rational producer operates in short run production in which stage?
(a) First Stage (b) Second Stage
(c) Third Stage (d) None of these

58. Law of variable proportion is related to:
(a) Long Run (b) Short Run
(c) Both (a) and (b) (d) None of these

59. Isoquant in the relevant range are:
(a) Convex to the Origin (b) Negatively Sloped
(c) Cannot cross (d) All of the above

60. If the Long Run Average Cost Curve falls as output expands is due to:
(a) The law of diminishing return (b) Diseconomies of scale
(c) Economies of scale (d) None of these

61. What will be the situation if factor prices and factor quantities move in the same direction-
(a) A decreasing cost industry
(b) Increasing cost industry
(c) Constants cost industry
(d) All of these

62. Large number of _____ goods would lead to higher production in future:
(a) Capital Goods (b) Public Goods
(c) Consumer Goods (d) None of these

63. Production is the organized activity of transforming resource into finished products in the form of goods and services and the objective of production is to satisfy the demand of such transformed resources:
(a) Jamed Bates and J. R. Parteinson (b) Malthus
(c) Walras (d) Lipsey

64. What are the assumptions of Production Function:
(a) Relationship between inputs and output exists for a specific period of time
(b) There is a given 'state of the art' in the production technology
(c) Both (a) and (b)
(d) None of these

65. Envelope curve is also called:
(a) Long Run Average Cost curve
(b) Short Run Average Cost curve
(c) Average Fixed Cost
(d) None of these

66. Diminishing marginal returns inputs:
(a) Increasing Marginal Costs
(b) Decreasing Marginal Costs
(c) Decreasing Average Variable Costs
(d) None of these

67. Entrepreneur has its most important function as_____
(a) Bear the sense of responsibility (b) Earn profit
(c) Innovate (d) None of these

68. Elasticity of substitution in cobb Douglas Function is:
(a) Less than 1 (b) Equal to 1
(c) More than 1 (d) Infinity

69. The average product of labour is maximized when marginal product of labour:
(a) Equals Zero
(b) Is maximized
(c) Equal the average product of labour
(d) None of these

70. U shaped cost curve is never represented as:
(a) Average fixed cost curve
(b) Marginal cost curve
(c) Average cost curve
(d) Average variable cost curve

71. The shape of the cost curve depends upon:
(a) Cost function (b) Factor of production
(c) Outlay (d) None of these

72. When α = 3/5 and β = 2/5 the return to scale for Cobb Douglas production function are:
(a) Increasing
(b) Decreasing
(c) Constant
(d) First decreasing and then increasing

73. When the output increased by more than double if firm-doubles it input is known as:
(a) Constant return to scale
(b) Economies to scale
(c) Diseconomies of scale
(d) Violation of the law of diminishing return

74. Short run production function is explained by:
(a) Returns to scale (b) Law of variable proportion
(c) Law of demand (d) None of these

75. Factor of Production which is active:
(a) Labour (b) Land
(c) Capital (d) None of these

76. Which of the following objective of a business relates to maximization of profit–
(a) Organic objective (b) Economic objective
(c) Social objective (d) Human objective

77. Which of the following is correct in respect of cobb-douglas production function, with the equation Q=KL^aC^b where **'Q'** is output, **'L'** the quantity of labour and 'C' the quantity of capital and 'a' and 'b' positive constants.
(a) If a+b>1 Increasing returns to scale result i.e. increase in output is more than the proportionate increase in the use of factors (labour and capital)
(b) a+b = 1 Constant returns to scale result i.e. the output increases in the same proportion in which factors are increased.
(c) a+b < 1 decreasing returns to scale result i.e. the output increases less than the proportionate increase in the labour and capital.
(d) All of the above

78. Which of the following statement is incorrect in respect of 'organic objectives' of an enterprise-
(a) It is to survive or stay alive
(b) Growth objective is also cover due to rise in professional manager
(c) As per marris utility function are same objective for owner and managers
(d) Manager prefer optimization of balance rate of growth rather then optimizing profit

79. Which of the following objective of a business relates to maximization of profit-
(a) Organic objective (b) Economic objective
(c) Social objective (d) Human objective

80. Which of the following statement is not correct in relation to Enterprise's objective-
(a) As per R.L. Marris, there is conflict between utility function of owner and manager
(b) Sales maximization theory given by Baumol
(c) Williamson given the model of 'maximization of manager's utility function'.
(d) None of the above

81. Which of the following is correct statement-
(a) Capital is stock concept
(b) Capital is produce means of production
(c) Capital is not primary factor
(d) All of the above

82. Skill and ability are-
(a) Circulating capital (b) Real capital
(c) Human capital (d) Individual capital

83. "Production is the organized activity of transforming resources into finished products in the form of goods and services; and the objective of production is to satisfy the demand of such transformed resources". This definition is given by:
(a) Marshall (b) James bates
(c) J. R. Parkinson (d) Both (b) &(c) above

84. Marginal Product is the slope of –
(a) marginal product curve
(b) average product curve
(c) total product curve
(d) implicit product curve

85. Law of production does not include-
(a) least cost combination of factors
(b) law of variable proportion
(c) law of diminishing returns to a factor
(d) return to scale

86. Which of the following statement is correct concerning the relationship among the firm's cost function:
(a) TC = TVC – TFC (b) TFC = TC – TVC
(c) TC = TFC – TVC (d) TVC = TFC – TC

87. Which of the following cost curves in never 'U' shaped?
(a) Average cost curve
(b) Marginal cost curve
(c) Average variable cost curve
(d) Average Fixed cost curve

ANSWERS:-

QUESTIONS FOR CLASS PRACTICE

1	A	11	C	21	B	31	B	41	D
2	B	12	A	22	C	32	B	42	C
3	D	13	C	23	D	33	D	43	A
4	D	14	C	24	A	34	C	44	C
5	A	15	C	25	D	35	D		
6	B	16	A	26	D	36	B		
7	A	17	C	27	A	37	B		
8	B	18	D	28	B	38	D		
9	A	19	D	29	D	39	D		
10	C	20	C	30	B	40	C		

PAST EXAM QUESTIONS

1	D	31	C	61	A	91	B	121	A	151	C	181	C
2	B	32	A	62	B	92	A	122	A	152	D	182	B
3	D	33	A	63	B	93	C	123	B	153	A	183	A
4	A	34	D	64	D	94	B	124	A	154	B	184	A
5	B	35	D	65	B	95	A	125	C	155	C	185	A
6	D	36	C	66	A	96	B	126	B	156	C	186	D
7	C	37	B	67	A	97	C	127	A	157	B	187	B
8	C	38	B	68	D	98	D	128	D	158	C	188	A
9	A	39	B	69	D	99	D	129	D	159	C	189	B
10	D	40	D	70	C	100	A	130	A	160	A	190	C
11	B	41	C	71	D	101	C	131	D	161	B	191	C
12	B	42	B	72	A	102	B	132	A	162	D	192	B
13	A	43	B	73	D	103	C	133	A	163	C	193	B
14	B	44	A	74	C	104	A	134	D	164	A		
15	D	45	B	75	A	105	C	135	D	165	C		
16	A	46	B	76	A	106	D	136	B	166	A		
17	B	47	B	77	B	107	C	137	C	167	B		
18	C	48	A	78	C	108	C	138	D	168	D		
19	C	49	C	79	A	109	C	139	A	169	C		
20	D	50	C	80	C	110	A	140	B	170	B		
21	C	51	B	81	B	111	A	141	A	171	A		
22	A	52	D	82	D	112	B	142	C	172	C		
23	A	53	B	83	D	113	B	143	D	173	A		
24	C	54	A	84	C	114	A	144	A	174	C		
25	A	55	D	85	C	115	D	145	A	175	B		
26	B	56	C	86	B	116	D	146	C	176	C		
27	A	57	B	87	B	117	C	147	D	177	C		
28	B	58	A	88	C	118	B	148	A	178	C		
29	B	59	A	89	D	119	D	149	C	179	C		
30	D	60	A	90	B	120	B	150	B	180	A		

QUESTIONS FOR YOUR PRACTICE

1	C	16	B	31	C	46	A	61	B	76	B
2	C	17	B	32	B	47	D	62	A	77	D
3	A	18	C	33	C	48	A	63	A	78	C
4	A	19	A	34	C	49	A	64	C	79	B
5	C	20	B	35	C	50	A	65	A	80	D
6	B	21	A	36	A	51	A	66	A	81	D
7	D	22	A	37	A	52	C	67	C	82	C
8	B	23	D	38	C	53	A	68	B	83	D
9	A	24	D	39	B	54	A	69	C	84	C
10	A	25	B	40	A	55	B	70	A	85	A
11	B	26	A	41	B	56	C	71	A	86	B
12	B	27	B	42	A	57	B	72	C	87	D
13	D	28	C	43	A	58	B	73	B		
14	B	29	D	44	C	59	D	74	B		
15	D	30	B	45	B	60	C	75	A		

CHAPTER 4: PRICE DETERMINATION IN DIFFERENT MARKETS

UNIT -1 MEANING AND TYPES OF MARKET

CLASS QUESTIONS FOR PRACTICE

1. Assume that when price is ₹ 20, the quantity demanded is 9 units, and when price is ₹ 19, the quantity demanded is 10 units. Based on this information, what is the marginal revenue resulting from an increase in output from 9 units to 10 units.
(a) ₹ 20 (b) ₹ 19 (c) ₹ 10 (d) ₹ 1

2. Assume that when price is ₹ 20, the quantity demanded is 15 units, and when price is ₹ 18, the quantity demanded is 16 units. Based on this information, what is the marginal revenue resulting from an increase in output from 15 units to 16 units?
(a) ₹ 18 (b) ₹ 16 (c) ₹ (-) 12 (d) ₹ 28

3. Suppose a firm is producing a level of output such that MR > MC, what should be firm do to maximize its profits?
(a) The firm should do nothing.
(b) The firm should hire less labour.
(c) The firm should increase price.
(d) The firm should increase output.

4. Marginal Revenue is equal to:
(a) The change in price divided by the change in output.
(b) The change in quantity divided by the change in price.
(c) The change in P x Q due to a one unit change in output.
(d) Price, but only if the firm is a price searcher.

5. Suppose that a sole proprietorship is earning total revenues of ₹ 1,00,000 and is incurring explicit costs of ₹ 75,000. If the owner could work for another company for ₹ 30,000 a year, we would conclude that:
(a) The firm is incurring an economic loss.
(b) Implicit costs are ₹ 25,000.
(c) The total economic costs are ₹ 1,00,000.
(d)The individual is earning an economic profit of ₹ 25,000.

6. Which is the first order condition for the profit of a firm to be maximum?
(a) AC = MR (b) MC = MR
(c) MR = AR (d) AC = AR

7. Which of the following statements is false?
   (a) Economic costs include the opportunity costs of the resources owned by the firm.
   (b) Accounting costs include only explicit costs.
   (c) Economic profit will always be less than accounting profit if resources owned and used by the firm have any opportunity costs.
   (d) Accounting profit is equal to total revenue less implicit costs.

8. It is assumed in economic theory that
   (a) decision making within the firm is usually undertaken by managers, but never by the owners.
   (b) the ultimate goal of the firm is to maximise profits, regardless of firm size or type of business organisation.
   (c) as the firm's size increases, so do its goals.
   (d) the basic decision making unit of any firm is its owners.

9. Average revenue curve is also known as:
   (a) Profit Curve (b) Demand Curve
   (c) Average Cost Curve (d) Indifference Curve

10. A firm encounters its "shutdown point" when:
   (a) average total cost equals price at the profit-maximising level of output.
   (b) average variable cost equals price at the profit-maximising level of output.
   (c) average fixed cost equals price at the profit-maximising level of output.
   (d) marginal cost equals price at the profit-maximising level of output.

11. Suppose that, at the profit-maximizing level of output, a firm finds that market price is less than average total cost, but greater than average variable cost. Which of the following statements is correct?
   (a) The firm should shutdown in order to minimise its losses.
   (b) The firm should raise its price enough to cover its losses.
   (c) The firm should move its resources to another industry.
   (d) The firm should continue to operate in the short run in order to minimize its losses.

12. When price is less than average variable cost at the profit-maximising level of output, a firm should:
(a) produce where marginal revenue equals marginal cost if it is operating in the short run.
(b) produce where marginal revenue equals marginal cost if it is operating is the long run.
(c) shut down, since it will lose nothing in that case.
(d) shut down, since it cannot even cover its variable costs if it stays in business.

13. When _____we know that the firms are earning just normal profits.
(a) AC = AR (b) MC = MR
(c) MC = AC (d) AR = MR

14. When _____, there will be allocative efficiency meaning thereby that the cost of the last unit is exactly equal to the price consumers are willing to pay for it and so that the right goods are being sold to the right people at the right price.
(a) MC = MR (b) MC = AC
(c) MC = AR (d) AR = MR

15. In a very short period market:
(a) the supply is fixed (b) the demand is fixed
(c) demand and supply are fixed (d) none of the above

16. Time element was conceived by-
(a) Adam Smith (b) Alfred Marshall
(c) Pigou (d) Lionel Robinson

17. Total revenue =
(a) price × quantity (b) price × income
(c) income × quantity (d) none of the above

18. Average revenue is the revenue earned-
(a) per unit of input (b) per unit of output
(c) different units of input (d) different units of output

19. AR can be symbolically written as:
(a) MR / Q (b) Price × quantity
(c) TR / Q (d) none of the above

20. AR is also known as:
(a) price (b) income
(c) revenue (d) none of the above

21. Marginal revenue can be defined as the change in total revenue resulting from the:
(a) purchase of an additional unit of a commodity
(b) sales of an additional unit of a commodity
(c) sale of subsequent units of a product
(d) none of the above

22. When e > 1 then MR is-
(a) zero (b) negative (c) positive (d) one

23. When e = 1 then MR is-
(a) positive (b) zero (c) one (d) negative

24. When e < 1 then MR is-
(a) negative (b) zero (c) positive (d) one

25. In Economics, the term 'market' refers to a:
(a) place where buyer and seller bargain a product or service for a price
(b) place where buyer does not bargain
(c) place where seller does not bargain
(d) none of the above

26. Generally, perishable goods like butter, eggs, milk, vegetables etc., will have-
(a) regional market (b) local market
(c) national market (d) none of the above

27. Secular period is also known as-
(a) very short period (b) short period
(c) very long period (d) long period

28. Stock exchange market is an example of-
(a) unregulated market (b) regulated market
(c) spot market (d) none of the above

29. The market for the ultimate consumers is known as-
(a) whole sale market (b) regulated market
(c) unregulated market (d) retail market

30. For market the essential condition is –
(a) A particular geographical place
(b) Control of the government
(c) Close contact between buyers and sellers
(d) None of these

31. Assume that when Price is ₹ 10, the quantity demanded is 5 units and when Price is ₹ 12 the quantity demanded is 4 units. Based on this information, what is the Marginal Revenue resulting from increase in output from 4 units to 5 units.
(a) ₹ 5 (b) ₹ 4 (c) ₹ 2 (d) ₹ 3

32. Average revenue is equal to-
(a) The change in P & Q due to a one unit change in output.
(b) Nothing but price of one unit of output.
(c) The change in quantity divided by change in price.
(d) Graphically it denotes the firm's supply curve.

33. Example of a commodity said to have an International Market.
(a) Perishable Goods.
(b) High Value and Small Bulk Commodities.
(c) Product whose trading is restricted by government.
(d) Bulky Articles.

34. Weekly market is example of _____ Market:
(a) Regulated Market (b) Spot Market
(c) Forward Market (d) Unregulated Market

35 Conditions for equilibrium of a firm are:
(a) MR = MC
(b) MC should cut MR from below.
(c) MR = AR and MC should cut MR from below.
(d) MR = MC and MC should have a positive slope.

36. Which of the following statements is incorrect?
(a) The LAC curve is also called the planning curve of a firm.
(b) Total revenue = price per unit × number of units sold.
(c) Opportunity cost is also called alternative cost.
(d) If total revenue is divided by the number of units sold we get marginal revenue.

PAST YEARS EXAM QUESTIONS

2006- NOVEMBER

1. Which of the following is not an essential condition of pure competition?
   (a) Large number of buyers and sellers
   (b) Homogeneous product
   (c) Freedom of entry
   (d) Absence of transport

2. For maximum profit, the condition is :
   (a) AR = AC (b) MR = MC (c) MR = AR (d) MC = AR

2007- FEBURARY

3. Under which of the following forms of market structure does a firm has no control over the price of its product:
   (a) Monopoly (b) Oligopoly
   (c) Monopolistic competition (d) Perfect competition

4. Given the relation MR= P (1 - $\frac{1}{e}$) if e > 1, then:
   (a) MR > 0 (b) MR < 0 (c) MR = 0 (d) None

2007- MAY

5. Profits of the firm will be more at:
   (a) MR = MC
   (b) Additional revenue from extra unit equals its additional cost
   (c) Both of above
   (d) None

6. What should firm do when Marginal revenue is greater than marginal cost?
   (a) Firm should expand output
   (b) Effect should be made to make them equal
   (c) Prices should be covered down
   (d) All of these

2007- AUGUST

7. Under monopoly price discrimination depends upon:
   (a) Elasticity of demand for commodity
   (b) Elasticity of supply for commodity
   (c) Size of market
   (d) All of above

8. Firms in a monopolistic market are price _____
(a) takers (b) givers (c) makers (d) acceptors

2007- NOVEMBER

9. Market which have two firms are known as :
(a) Oligopoly (b) Duopoly
(c) Monopsony (d) Oligopsony

2008- FEBRUARY

10. Monopolist can determine:
(a) Price (b) Output
(c) Either price or output (d) None

11. MR of n th unit is given by :
(a) TR_n / TR_{n-1} (b) $TR_n + TR_{n-1}$
(c) $TR_n - TR_n - 1$ (d) All of these

2008- JUNE

12. The market structure in which the number of sellers is small and there is inter dependence in decision making by the firms is known as :
(a) Perfect competition (b) Oligopoly
(c) Monopoly (d) Monopolistic competition

13. In perfect competition, since the firm is a price taker, the _____curve is a straight line :
(a) marginal cost (b) total cost
(c) total revenue (d) marginal revenue

2011- JUNE

14. Given the relation MR= P $(1 - \frac{1}{e})$ if e > 1, then:
(a) MR > 0 (b) MR < 0 (c) MR = 0 (d) None

2012- JUNE

15. For a discriminating monopolist the condition for equilibrium is:
(a) MR > MC (b) $MR_1 = MR_2$
(c) $MR_a = MR_b = MC$ (d) All of the above.

16. Average revenue curve is also known as:
(a) Profit curve (b) Demand curve
(c) Supply curve (d) Average cost curve

2013- JUNE

17. Given, AR = 5 and Elasticity of demand = 2 Find MR.
(a) +2.5 (b) -2.5 (c) + 1.5 (d) + 2.0

2013- DECEMBER

18. If a seller obtains Rs. 3,000 after selling 50 units and Rs. 3,100 after selling 52 units, then marginal revenue will be-
(a) Rs. 59.62 (b) Rs. 50.00
(c) Rs. 60.00 (d) Rs. 59.80

2014- JUNE

19. A firm will close down in the short period, if its AR is less than:
(a) AC (b) AVC (c) MC (d) None of the above

2016- JUNE

20. Which one of the following expressions is not correct for Marginal Revenue?
(a) MR = AR $(1 - \frac{1}{e})$ (b) MR = $TR_n - TR_{n-1}$
(c) MR = $\frac{\Delta TR}{\Delta Q}$ (d) MR = $\frac{TR}{Q}$

2016- DECEMBER

21. The market for ultimate consumer is known as:
(a) Wholesale market (b) Regulated market
(c) Unregulated market (d) Retail market

2017- JUNE

22. For a firm to become profitable it should expand output whenever:
(a) Marginal revenue is equal to marginal cost
(b) Marginal revenue is less than marginal cost
(c) Marginal revenue is greater than marginal cost
(d) Average revenue is greater than average cost.

23. On the basis of nature of transactions, a market may be classified into:
(a) Spot market and future market
(b) Regulated market and unregulated market
(c) Wholesale market and retail market
(d) Local market and national market.

2018- MAY

24. In very short period market:
(a) Supply changes but demand remains same
(b) Supply changes but price remains same
(c) Supply remains fixed
(d) Supply and demand both changes

25. A firm will close down in the short period, if its AR is less than:
(a) AC (b) AVC
(c) MC (d) None of the above.

2018- NOVEMBER

26. Which of the following is correct?
(a) MR = AR (e - 1)/e (b) MR-AR (e + 1)/e
(c) MR = AR (1 - e)/e (d) None of the above

2019- MAY

27. According to Behavioural Principles.
(a) a firm should not produce at all if its total variable costs are not met.
(b) a firm will be making maximum profits by expanding output to the level where marginal revenue is equal to marginal cost.
(c) Both (a) and (b)
(d) None of these

28. Market consists of-
(a) Buyer and Seller
(b) One price for one product at a given time
(c) Both (a) and (b)
(d) None

29. Demand for a product is unitary elastic then-
(a) MR = 0 (b) MR > 0
(c) MR < 0 (d) None of the above

30. Which of the following is true, when the firm is at equilibrium?
(a) MC < MR
(b) MC curve cuts the MR curve from below
(c) Both (a) and (b)
(d) None of the above

31. When TR is at its peak then MR is equal to -
(a) Zero (b) Positive
(c) Negative (d) None of the above

32. When price is Rs. 20, Quantity demanded is 10 units and price is decreased by 5% then quantity demand increased by 10% then Marginal revenue is _____.
(a) Rs. 10 (b) Rs. 11 (c) Rs. 9 (d) Rs. 20

2019- NOVEMBER

33. Which of the following represents the supply curve in a perfect competitive market.
(a) MC curve (b) AC curve
(c) AR curve (d) MR curve

34. When TR is max, then MR is-
(a) Zero (b) One (c) Both (a) & (b) (d) None

35. _____is also called a free market as there are no stipulations on the transactions
(a) Unregulated (b) Regulated
(c) Retail (d) Spot

36. In this market, transactions involve contracts with a promise to pay and deliver goods at some future date-
(a) Spot market (b) Future market
(c) Unregulated market (d) Retail market

37. A firm reaches its shut down point-
(a) When price is less than AVC in long run.
(b) When price is equal than AVC in short run.
(c) When price is more than AC in long run.
(d) When price is more than AC in short run.

38. Demand of good increases from 15 units to 16 units if price decreases from Rs. 40 to Rs. 38. What will be MR of 16th units.
(a) 8 (b) 16 (c) 38 (d) 15

39. If the price of the product is Rs. 20 per unit and if the price decreases by 5% as a result of which quantity demanded increases by 10% find MR_{-11} {old quantity is 10 units}
(a) 9 (b) 19 (c) 10 (d) 12

2020- NOVEMBER

40. If a seller obtains Rs. 6,000 after selling 50 units and Rs. 6,204 after selling 53 units, then marginal revenue will be:
(a) 204 (b) 68 (c) 118 (d) 120

41. On the basis of nature of transaction, a market may be classified into:
(a) Regulated and Unregulated Market
(b) Wholesale and Retail Market
(c) Cash and Forward Rate
(d) National and International Market

42. When a firm produces 7 units of production and the TR is Rs. 42 after raising the production to 8 units TR reached Rs. 46 marginal revenue will be:
(a) Rs. 6 (b) Rs. 4 (c) Rs. 5 (d) Rs. 8

43. A market, where goods are exchanged for money payable either immediately or within a short spot time.
(a) Forward market (b) Regulated market
(c) Spot market (d) Whole sale market

Use this data for Question No. 44 and 45
ABC Ltd. realizes total revenue of Rs. 6,000 by the sale of 120 units and Rs. 6050 by the sale of 121 units

44. What is the average revenue when ABC Ltd. sells 121 units?
(a) Rs. 6,000 (b) Rs. 6,050 (c) Rs. 50 (d) Rs. 100

45. When ABC Ltd. sells 130 units then total revenue will be:
(a) Rs. 18,550 (b) Rs. 12,050
(c) Rs. 6,000 (d) Rs. 6,500

46. Answer the following questions:

Units	0	1	2	3	4	5	6
TR	100	180	250	310	360	400	430

Find the marginal revenue at 5^{th} unit is:
(a) 60 (b) 55 (c) 45 (d) 40

2021- JANUARY

47. Which one is not a part of the elements of a market?
(a) Buyers and sellers (b) A product or service
(c) Bargaining for a price (d) Volume of business

48. In the market structure, demand curve is also known as-
(a) Marginal cost curve (b) Average revenue curve
(c) Total production curve (d) Marginal utility curve

49. Secular period is also known as-
(a) Very short period (b) Very long period
(c) Short period (d) Long period

50. Total revenue curve initially increases at a diminishing rate due to_____
(a) Diminishing average revenue curve.
(b) Diminishing marginal revenue curve.
(c) Diminishing average fixed revenue curve.
(d) Diminishing cost curve.

51. Total revenue curve is-
(a) Positively Sloped (b) Negatively Sloped
(c) Downward Sloped (d) Vertical to X axis

2021- JULY

52. Which of the following is the price at which the quantity demanded of a commodity is equal to the quantity supplied of the commodity and there is no unsold stock or no unsupplied demand.
(a) Selling price (b) Market clearing price
(c) Asking price (d) Future price

53. Which of the following is not an element of a market?
(a) Knowledge about market conditions
(b) No bargaining for a price
(c) A product or service
(d) Buyers and seller

54. On the basis of nature of transactions, market can be classified as-
(a) Wholesale market and retail market
(b) Future market and spot market
(c) Regulated market and unregulated market
(d) Money market and Future market

55. Marginal revenue will be positive where price elasticity of demand is_____
(a) Zero (b) More than one
(c) Less than one (d) Equal to one

56. A seller realizes Rs. 25,000/- after selling 15 units and he realizes Rs. 35,000/- after selling 25 units, what is the marginal revenue here?
(a) Rs. 2,500/- (b) Rs. 100/-
(c) Rs. 1,000/- (d) Rs. 3,500/-

57. The is the market where the commodities are bought and sold in bulk or large quantities. Transactions generally take place between trades,
(a) Wholesale market (b) Regulated market
(c) Local market (d) Retail market

2022- JUNE

58. Demand curve is also known as:
(a) MR curve (b) AR curve
(c) MC curve (d) MR reserve

59. Prices in monopoly are higher than price under:
(a) Oligopoly (b) Duopoly
(c) Monopoly (d) Perfect competition

60. In Oligopoly upper part shows which elasticity:
(a) Less than (b) Greater than
(c) Zero (d) Negative

61. Which of the following is closely related to perfect competition?
(a) Mobiles (b) Cars
(c) Utensils (d) Agricultural products

62. If the price of good is Rs. 100 per unit & quantity demanded is 900 units. If the price decreased to Rs. 90 per unit then the demand increases to 100 units calculate marginal revenue.
(a) 0 (b) Rs. 10 (c) Rs. 90 (d) Rs. 100

63. No substitution are found in which form of market:
(a) Perfect competition (b) Oligopoly
(c) Monopoly (d) Monopolistic competition

64. The market is the direct relationship between-
(a) Buyer and seller
(b) Whole seller and retailer
(c) Consumer and manufactures
(d) None of these

65. Which commodity is best for the short term period market?
(a) fruits and vegetables (b) Automobiles
(c) Electronic goods (d) all of the above

66. Demand for firm's product when express as in percentage of an industry demand it signifies the _____ of firm.
(a) Product share (b) Market share
(c) Demand (d) Supply

67. Which of the following is true?
(a) Perfect competition sells heterogenous product
(b) Oligopolistic incurs a good amount of selling cost
(c) Monopolist always earns super normal profit
(d) Oligopolistic economy do not get hike in their normal profit

68. Which of the following is correct?
(a) Total revenue is equal to price x quantity
(b) Sum of average revenue
(c) Sum of quantity sold x marginal revenue
(d) All of the above

2022- DECEMBER

69. Who introduced the 'time element' in economics?
(a) Adam Smith (b) Alfred Marshall
(c) Robert Malthus (d) J.M. Keynes

70. Which of the following is not a characteristic of market?
(a) Advertisement and awareness
(b) Buyer and seller
(c) Bargaining power
(d) Product or service

71. In the initial stage, total revenue is increasing at a decreasing rate due to:
(a) Diminishing marginal revenue
(b) Negative marginal revenue
(c) Multi level marginal revenue
(d) None of the above

72. When MR = MC the firm will incur:
(a) maximum profits (b) minimum profits
(c) maximum losses (d) minimum losses

2023- JUNE

73. Price of goods expresses _____ value.
(a) Exchange (b) Cost (c) Demand (d) Fair

74. Which one of the following is not element of market?
(a) Buyer (b) Service
(c) Firm (d) Bargaining for price

75. On the basis of nature of transaction, a market can be classified into which of the following?
(a) Cash and forward market
(b) National and International market
(c) Organized and unorganized market
(d) Retail and wholesale market

2023- DECEMBER

76. When MR = 0; then TR = ?
(a) Minimum (b) Maximum (c) Zero (d) Infinity

77. MR of n^{th} term.
(a) TR_n / TR_{n-1} (b) $TR_n + TR_{n-1}$
(c) $TR_n - TR_{n+1}$ (d) $TR_n - TR_{n-1}$

78. When price is ₹. 200, quantity demanded is 10 units. Then price decreases by 3% and quantity demanded increased by 20% the marginal revenue will be :
(a) ₹164 (b) ₹328 (c) ₹300 (d) ₹160

79. Grains sold in the market and paid cash immediately. Which type of market belongs to according to the nature of the transaction.
(a) Spot market (b) Forward market
(c) Wholesale market (d) Regulated market

80. A firm earn _____ at equality between MC and MR
(a) Maximum profit (b) Minimum profit
(c) No (Zero) profit (d) Maximum loss

81. Rajesh realizes ₹ 6000 while he is selling 60 units of mats and ₹7200 while selling 61 units. His marginal revenue is -
(a) ₹ 118 (b) ₹1,200 (c) ₹6,000 (d) ₹7,200

2024- JUNE

82. When MR is 0 then TR is:
(a) Maximum (b) Minimum
(c) Increasing (d) Decreasing

83. Short-run price is also called by the name of_____.
(a) market price (b) showroom price
(c) maximum retail price (d) none of these

2024- SEPTEMBER

84. Which market covers a wider area such as a few adjacent cities, parts of states, or a cluster of states?
(a) National market (b) Regional market
(c) International market (d) Local market

85. If Marginal Revenue (MR) for Unit 1 is Rs. 10, for Unit 2 is Rs. 5, and for Unit 3 is Rs. 3 then what will be the amount of Total revenue (TR)?
(a) Rs. 10 (b) Rs. 15 (c) Rs. 8 (d) Rs. 18

86. In Ricardo's view, what does "Exchange Value" represent?
(a) The subjective preferences of individuals
(b) The cost of production of a commodity
(c) Power in exchange over purchasable commodities in general
(d) The quantity of labour embodied in a commodity

2025- JANUARY

87. Price elasticity of demand of a firm under perfect competition will be:
(a) Very large (b) Infinite
(c) Large (d) Small

88. Many sellers offering differentiated products to many buyers is the characteristics of:
(a) Perfect competition (b) Monopolistic competition
(c) Oligopoly competition (d) Monopoly

89. Identify the correct relationship among MR, AR & e (price elasticity of demand).
(a) MR = AR x e (e-1) (b) AR = MR x (e-1)/e
(c) MR = AR x e/(e-1) (d) MR = AR x (e-1)/e

90. Total revenue will be maximum, where elasticity is equal to:
(a) 1 (b) Less than 1
(c) Greater than 1 (d) Zero

2025- MAY

91. Which of the following is not a feature of perfect competition market?
(A) Very large number of sellers
(B) Homogeneous products
(C) Inelastic demand
(D) Firms are price takers

92. A firm should not produce at all if:
(A) AR is greater than minimum AVC
(B) AR is equal to ATC
(C) If its total variable costs are not met
(D) AR is greater than ATC

93. Which type of markets allocates productive resources to producers and helps ensure that those resources are used efficiently?
(A) Product markets (B) Factor markets
(C) Local Markets (D) Retail markets

94. The firm will be making maximum profits by expanding output to the level where:
(A) Marginal revenue is greater than marginal cost
(B) Marginal revenue is equal to marginal cost
(C) Marginal revenue is less than marginal cost
(D) Marginal revenue is equal to average cost

95. What will happen to the equilibrium price and equilibrium quantity when demand increases and supply decreases?
(A) The equilibrium price rises but change in equilibrium quantity is uncertain.
(B) Both equilibrium price and equilibrium quantity falls.
(C) Both equilibrium price and equilibrium quantity go up
(D) The equilibrium quantity increases but the change in equilibrium price is uncertain.

2025- SEPTEMBER

96. After identifying the market, the enterprise has to make decision regarding 4 P's namely:
(A) Product, Promotion, Price and Purchase
(B) Product, Promotion, Profit and Place
(C) Product, Promotion, Price and Place
(D) Product, Purchase, Price and Placement

97. Under which of the following forms of market structure a firm cannot influence the price of its product?
(A) Monopoly (B) Oligopoly
(C) Perfect competition (D) Monopolistic competition

98. Aluminium industry is the example of:
(A) Competitive oligopoly (B) Perfect oligopoly
(C) Collusive oligopoly (D) Open oligopoly

99. Kinked Demand Curve is found under:
(A) Monopoly (B) Monopsony
(C) Duopoly (D) Oligopoly

100. Which of the following is a fundamental cause for the creation of a monopoly?
(A) Barriers to entry
(B) Low startup costs
(C) High competition
(D) Equal distribution of resources

101. A fast-food chain introduces a new burger with a unique sauce to differentiate itself from competitors. Although many similar burger options exist in the market, customers perceive this product as distinct. Which type of market structure has been represented in given scenario?
(A) Perfect Competition (B) Monopoly
(C) Monopolistic Competition (D) Oligopoly

2026- JANUARY

102. Which of the following is core characteristic of an oligopoly?
(A) Efficient allocation of resources
(B) Lease advertising
(C) Unique product
(D) Interdependence between firms

103. A market characterized by a small number of large buyers and is mostly relevant to factor market is termed as:
(A) Duopoly (B) Monopsony
(C) Oligopsony (D) Bilateral monopoly

104. Purchase of foreign currency contract at future rate from bank is a transaction involving:
(A) Forward Market (B) Regulated Market
(C) Spot Market (D) Retail Market

2026- MAY

105. A group of firms which explicitly collude to coordinate their activities in industries where there are a few firms, all of which are similar in size, may be referred to as _____.
(A) Perfect competition (B) Cartel
(C) Oligopsony (D) Bilateral monopoly

106. Choose the correct statement about Duopoly from the following statements.
(A) It is a special case for the Oligopoly market structure
(B) It is a special case for the Monopsony market structure
(C) It is a special case for the Monopoly market structure
(D) It is a special case for the Imperfect Competition

107. When goods are sold, based on product differentiation, it is known as _____.
(A) Collusive oligopoly (B) Imperfect oligopoly
(C) Partial oligopoly (D) Syndicated oligopoly

108. The 'Theory of Games' which provided a different approach to the analysis of strategic behaviour of the oligopolists under uncertainty was developed by _____.
(A) Alfred Marshal (B) Adam Smith
(C) Von Neumann & Oskar Morgenstern (D) Paul A Sweezy

109. The factors which determine the type of market are _____.
(A) Size of the commodity, size of the population and extent of demand
(B) Size of production, nature of commodity and extent of supply
(C) Extent of demand, nature of commodity and size of the population
(D) Size of production, extent of demand and nature of commodity

110. Markets dealing with homogeneous products, which are perfect substitutes, are referred to as _____.
(A) Monopoly (B) Oligopoly
(C) Monopolistic Competition (D) Perfect competition

111. Which from the following forms essential elements of a market?
(I) Buyers and sellers
(II) Product or service
(III) Knowledge of market conditions
(IV) Multiple prices for a product or service at a given time
(A) (I), (II) and (III) (B) Both (I) and (III)
(C) (I), (II) and (IV) (D) Both (III) and (IV)

112. Select the correct option from the following which represents market classification based on the volume of business.
(A) Spot market (B) Regulated market
(C) Retail market (D) Local market

113. The industry and the firm are identical in _____ type of market situation.
(A) Monopoly (B) Perfect competition
(C) Monopolistic competition (D) Oligopsony

114. Government needs to take steps to regulate and prevent formation of certain market forms that are exploitative and create undesirable outcomes in the economy. The market form is:
(A) Perfect competition (B) Monopoly
(C) Oligopolistic competition (D) Monopolistic competition

115. Which of the following is not a characteristic of the Oligopoly market?
(A) Strategic Interdependence
(B) Group behaviour
(C) No importance to advertising
(D) Importance to selling costs

ANSWERS:-

CLASS QUESTIONS FOR PRARTICE

1	C	11	D	21	B	31	C
2	C	12	D	22	C	32	B
3	D	13	A	23	B	33	B
4	C	14	C	24	A	34	D
5	A	15	A	25	A	35	D
6	B	16	B	26	B	36	D
7	D	17	A	27	C		
8	B	18	B	28	B		
9	B	19	C	29	D		
10	B	20	A	30	C		

PAST EXAM QUESTIONS

1	D	26	A	51	A	76	B	101	C
2	B	27	C	52	B	77	D	102	D
3	D	28	C	53	B	78	A	103	C
4	A	29	A	54	B	79	A	104	A
5	C	30	B	55	B	80	A	105	B
6	A	31	A	56	C	81	B	106	A
7	A	32	C	57	A	82	A	107	B
8	C	33	A	58	B	83	A	108	C
9	B	34	A	59	D	84	B	109	D
10	C	35	A	60	B	85	D	110	D
11	C	36	B	61	D	86	B	111	A
12	B	37	B	62	A	87	B	112	C
13	D	38	A	63	C	88	B	113	A
14	A	39	A	64	A	89	D	114	B
15	C	40	B	65	A	90	A	115	C
16	B	41	C	66	B	91	C		
17	A	42	B	67	B	92	C		
18	B	43	C	68	A	93	B		
19	B	44	C	69	B	94	B		
20	D	45	D	70	A	95	A		
21	D	46	D	71	A	96	C		
22	C	47	D	72	A	97	C		
23	A	48	B	73	A	98	B		
24	C	49	B	74	C	99	D		
25	B	50	B	75	C	100	A		

CHAPTER 4: PRICE DETERMINATION IN DIFFERENT MARKETS

UNIT 2 DETERMINATION OF PRICES

CLASS QUESTIONS FOR PRACTICE

1. In the table below what will be equilibrium market price?

Price (₹)	Demand (Tonnes per annum)	Supply (Tonnes per annum)
1	1000	400
2	900	500
3	800	600
4	700	700
5	600	800
6	500	900
7	400	1000
8	300	1100

(a) ₹ 2
(b) ₹ 3
(c) ₹ 4
(d) ₹ 5

2. With a given supply curve, a decrease in demand causes
   (a) an overall decrease in price but an increase in equilibrium quantity.
   (b) an overall increase in price but a decrease in equilibrium quantity.
   (c) an overall decrease in price and a decrease in equilibrium quantity.
   (d) no change in overall price but a reduction in equilibrium quantity.

3. Assume that consumers' incomes and the number of sellers in the market for good A both decrease. Based upon this information, we can conclude, with certainty, that the equilibrium:
   (a) price will increase.
   (b) price will decrease.
   (c) quantity will increase.
   (d) quantity will decrease.

4. If supply increases in a greater proportion than demand
   (a) The new equilibrium price and quantity will be greater than the original equilibrium price and quantity.
   (b) The new equilibrium price will be greater than the original equilibrium price but equilibrium quantity will be higher.
   (c) The new equilibrium price and quantity will be lower than the original equilibrium price and quantity.
   (d) The new equilibrium price will be lower than the original equilibrium and the new equilibrium quantity will be higher.

5. Assume that in the market for good Z there is a simultaneous increase in demand and the quantity supplied. The result will be:
   (a) an increase in equilibrium price and quantity.
   (b) a decrease in equilibrium price and quantity.
   (c) an increase in equilibrium quantity and uncertain effect on equilibrium price.
   (d) a decrease in equilibrium price and increase in equilibrium quantity.

6. Suppose the technology for producing personal computers improves and, at the same time, individuals discover new uses for personal computers so that there is greater utilisation of personal computers. Which of the following will happen to equilibrium price and equilibrium quantity?
   (a) Price will increase; quantity cannot be determined.
   (b) Price will decrease; quantity cannot be determined.
   (c) Quantity will increase; price cannot be determined.
   (d) Quantity will decrease; price cannot be determined.

PAST YEARS EXAM QUESTIONS

2007- MAY

1. Equilibrium price may be determined through:
   (a) Only Demand (b) Only supply
   (c) Both Demand & supply (d) None

2007- AUGUST

2. If price is forced to stay below equilibrium price then consequently it can be said that:
   (a) Excess supply exists. (b) Excess demand exists
   (c) Either (a) or (b) (d) Neither (a) nor (b)

2007- NOVEMBER

3. An increase in supply with unchanged demand leads to :
   (a) Rise in price and fall in quantity
   (b) Fall in both price and quantity
   (c) Rise in both price and quantity
   (d) Fall in price and rise in quantity

2008- FEBRUARY

4. In the- long run :
   (a) Only demand can change
   (b) Only supply can change
   (c) Both demand and supply can change
   (d) None of these

2008- JUNE

5. Condition for producer equilibrium is :
   (a) TR = TVC (b) MC = MR
   (c) TC = TAC (d) None of these

2010- JUNE

6. An increase in supply with demand remaining the same, brings about.
   (a) An increase in equilibrium quantity and decrease in equilibrium price.
   (b) An increase in equilibrium price and decrease in equilibrium quantity.
   (c) Decrease in both equilibrium price and quantity .
   (d) None of these.

2014- DECEMBER

7. When the price of a commodity is Rs. 20, the quantity demanded is 9 units and when its price is Rs. 19, the Quantity demanded is 10 units. Based on this information what will be the marginal revenue resulting from an increase in output from 9 units to 10 units?

(a) Rs. 20 (b) Rs. 19 (c) Rs. 10 (d) Rs. 01

2016- NOVEMBER

8. From the following table, what will be equilibrium market price?

Price (in Rs.)	Demand (Tonnes per annum)	Supply (Tonner per annum)
1	500	200
2	450	250
3	400	300
4	350	350
5	300	400
6	250	450
7	200	500
8	150	550

(a) Rs. 2 (b) Rs. 3 (c) Rs. 4 (d) Rs. 5

2017- DECEMBER

9. If the price of a commodity is fixed, then with every increase in its sold quantity the total revenue will _____and the marginal revenue will

(a) increase, also increase
(b) increase, remain unchanged
(c) increase, decline
(d) remain fixed, increase

2018- NOVEMBER

10. If supply decreases and demand remains constant, then equilibrium price will be?

(a) Increases (b) Decreases
(c) No change (d) Become Negative

11. According to pigou, first degree price discrimination charges price to:

(a) Individual capacity (b) Quantities sold
(c) Location (d) None of the above

12. What is the shape of monopolist Average Revenue Curve?

(a) Falls from left to right (b) Is parallel to X - axis
(c) Is parallel to Y – axis (d) Rise from left to right

13. What is the shape of perfectly competitive Average Revenue Curve?
(a) Parallel to X axis (b) Parallel to Y axis
(c) Fall from left to right (d) Rise from left to right

MAY- 2019

14. Monopsony means
(a) Where there are large firms
(b) There is a single buyer
(c) Small number of large buyers
(d) Single seller and single buyer

15. When increase in demand is equal to increase in supply and equilibrium price remains constant, then what about equilibrium quantity?
(a) Increases (b) Decreases
(c) Remains Constant (d) None of the above

2019- NOVEMBER

16. An increase in supply with demand remaining the same, brings about
(a) An increase in equilibrium quantity and decrease in equilibrium price.
(b) An increase in equilibrium price and decrease in equilibrium quantity.
(c) Decrease in both equilibrium price and quantity.
(d) None of these

2021- JULY

17. The equilibrium quantity increases but the charges in equilibrium price is uncertain when-
(a) Both demand and supply decreases
(b) Demand increases and supply decreases
(c) Both demand and supply increase
(d) Demand decreases and supply increases

2021- DECEMBER

18. When both demand and supply increase, how does it effect the equilibrium quantity and equilibrium price?
(a) The equilibrium quantity increases but the change in equilibrium price is uncertain
(b) The equilibrium quantity decreases but change in equilibrium price is uncertain
(c) Equilibrium price increases but the change in equilibrium quantity is uncertain
(d) Equilibrium price decreases but the change in equilibrium quantity is uncertain

2022- DECEMBER

19. When there is a change in demand and change in supply, what will be the net influence on price if the change in supply is greater than change in demand.
(a) Increase (b) Decrease
(c) No effect (d) Uncertain change

2023- JUNE

20. Under which of the following market condition both average and marginal revenue are same?
(a) Perfect competition (b) Monopolistic competition
(c) Monopoly (d) Oligopoly

21. 'Average revenue curve' is also known as:
(a) Demand curve (b) Monopolistic competition
(c) Monopoly (d) Oligopoly

22. 'Average revenue curve' is also known as:
(a) Production possibility curve
(b) Supply curve
(c) Demand curve
(d) Indifference curve

23. When demand for commodity is decreasing as a result of fall in income and its supply remains constant, what will be impact on its price?
(a) Price increases (b) Price decreases
(c) No change (d) Uncertain change

24. In which of the following, prices are determined by market forces of demand and supply?
(a) Duopoly competition
(b) Perfect competition
(c) Monopolistic competition
(d) Natural market

25. Suppose a seller realizes Rs. 100 by selling 10^{th} unit of commodity and Rs. 120 by selling 11^{th} unit. What is the MR of 11^{th} unit?
(a) 100 (b) 120 (c) 20 (d) 10

26. If the profit has to max then:
(a) MR < MC (b) MR = MC
(c) MR > MC (d) None of these

2023- DECEMBER

27. The relationship between AR and MR of a monopoly firm or imperfect competition is_____.
(a) AR connot be zero, but MR can be zero or negative
(b) AR can be zero, MR also be zero or negative
(c) AR canot be zero, MR cannot be zero or negative
(d) AR can be zero, but MR cannot be zero or negative

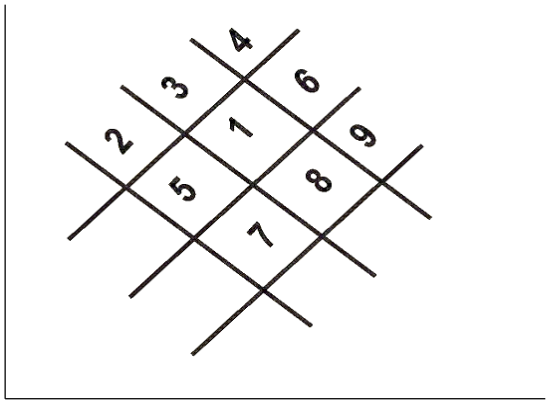
2024- JUNE

28. When factors other than price change and cause the supply curve to shift to the left, then it is:
(a) Expansion of supply (b) Contraction of supply
(c) Increase in supply (d) Decrease in supply

29. Increase in demand and decrease in supply causes:
(a) Equilibrium price uncertain, equilibrium quantity rises
(b) Equilibrium price rises, equilibrium quantity falls
(c) Equilibrium price rises, equilibrium quantity uncertain
(d) Equilibrium price falls, equilibrium quantity uncertain

30. Find the marginal revenue (MR) of markets A and B respectively. Where the AR in both the market is 21 and elasticities of demand and in market A and B are 3 and 7 respectively
(a) 13.9, 17.9 (b) 14.9, 18.9
(c) 17, 18 (d) 12,18

(31-33) D_1 & S_1 are original demand and supply curve, D_2, D_3, S_2, S_3 are possible new demand and supply curves. Starting for equilibrium point (1), what is the new equilibrium for each change.



31. P visited supermarket and purchasing Jam, Income of P increase and price of factor decrease. what is new equilibrium price.
(a)7 (b) 2 (c) 4 (d) 9

32. Heavy storm in Tamil Nadu caused damage to crops. What is new eq price & quantity.
(a) 4 (b) 3 (c) 2 (d) 6

33. Edward expects a rise in price of motorcycles in next year. What is new eq price.
(a) 5 (b) 4 (c) 6 (d) 9

2024- SEPTEMBER

34. What happens to the equilibrium price when there is a decrease in supply with no change in demand?
(a) Equilibrium price goes down
(b) Equilibrium price remains constant
(c) Equilibrium price goes up
(d) Equilibrium quantity increases

35. In the case of demand decreasing and supply increasing, what is the expected impact on equilibrium price?
(a) Equilibrium price rises
(b) Equilibrium price falls
(c) Equilibrium price remains constant
(d) Equilibrium price remains uncertain

2025- JANUARY

36. When both demand and supply increase, the equilibrium quantity _____ but the change in equilibrium price is_____.
(a) decreases, uncertain (b) increases, constant
(c) increases, uncertain (d) decreases, constant

37. With a decrease in demand there is_____.
(a) an overall decrease in price but an increase in equilibrium quantity
(b) an overcall increase in price but a decrease in equilibrium quantity
(c) a decrease in the equilibrium price and quantity demanded and supplied
(d) no change in overall price but a reduction in equilibrium quantity

38. If supply increases in a greater proportion than demanded then _____.
(a) The new equilibrium price and quantity will be greater than the original equilibrium price and quantity.
(b) The new equilibrium price will be greater than the original equilibrium price but equilibrium quantity will be higher
(c) The new equilibrium price and quantity will be less than the original equilibrium price and quantity
(d) The new equilibrium price will be less than the original equilibrium price

ANSWERS:-

CLASS QUESTIONS FOR PRACTICE							
1	C	3	D	5	C		
2	C	4	D	6	C		

PAST EXAM QUESTIONS							
1	C	11	A	21	A	31	D
2	B	12	A	22	C	32	B
3	D	13	A	23	B	33	C
4	C	14	B	24	B	34	C
5	B	15	A	25	C	35	B
6	A	16	A	26	B	36	C
7	C	17	C	27	A	37	C
8	C	18	A	28	D	38	D
9	B	19	A	29	C		
10	A	20	A	30	A		

CHAPTER 4: PRICE DETERMINATION IN DIFFERENT MARKETS

UNIT 3 PRICE OUTPUT DETERMINATION UNDER DIFFERENT MARKET FORMS

CLASS QUESTIONS FOR PRACTICE

1. Which of the following is not an essential condition of pure competition?
   (a) Large number of buyers and sellers
   (b) Homogeneous product
   (c) Freedom of entry
   (d) Absence of transport cost

2. What is the shape of the demand curve faced by a firm under perfect competition?
   (a) Horizontal (b) Vertical
   (c) Positively sloped (d) Negatively sloped

3. Which of the following is not a characteristic of a "price-taker"?
   (a) TR = P x Q
   (b) AR = Price
   (c) Negatively – sloped demand curve
   (d) Marginal Revenue = Price

4. Which of the following is not a condition of perfect competition?
   (a) A large number of firms.
   (b) Perfect mobility of factors.
   (c) Informative advertising to ensure that consumers have good information.
   (d) Freedom of entry and exit into and out of the market.

5. Which of the following is not a characteristic of a perfectly competitive market?
   (a) Large number of firms in the industry.
   (b) Outputs of the firms are perfect substitutes for one another.
   (c) Firms face downward-sloping demand curves.
   (d) Resources are very mobile.

6. Which of the following is not a characteristic of monopolistic competition?
   (a) Ease of entry into the industry.
   (b) Product differentiation.

(c) A relatively large number of sellers.
(d) A homogeneous product.

7. Monopoly may arise in a product market because
(a) A significantly important resource for the production of the commodity is owned by a single firm.
(b) The government has given the firm patent right to produce the commodity.
(c) The costs of production and economies of scale makes production by a single producer more efficient.
(d) All the above.

8. Oligopolistic industries are characterized by:
(a) a few dominant firms and substantial barriers to entry.
(b) a few large firms and no entry barriers.
(c) a large number of small firms and no entry barriers.
(d) one dominant firm and low entry barriers.

9. Price-taking firms, i.e., firms that operate in a perfectly competitive market, are said to be "small" relative to the market. Which of the following best describes this smallness?
(a) The individual firm must have fewer than 10 employees.
(b) The individual firm faces a downward-sloping demand curve.
(c) The individual firm has assets of less than ₹ 20 lakhs.
(d) The individual firm is unable to affect market price through its output decisions.

10. For a price-taking firm:
(a) Marginal revenue is less than price.
(b) Marginal revenue is equal to price.
(c) Marginal revenue is greater than price.
(d) The relationship between marginal revenue and price is indeterminate.

11. Monopolistic competition differs from perfect competition primarily because
(a) in monopolistic competition, firms can differentiate their products.
(b) in perfect competition, firms can differentiate their products.
(c) in monopolistic competition, entry into the industry is blocked.
(d) in monopolistic competition, there are relatively few barriers to entry.

12. The long-run equilibrium outcomes in monopolistic competition and perfect competition are similar, because in both market structures
(a) the efficient output level will be produced in the long run.
(b) firms will be producing at minimum average cost.
(c) firms will only earn a normal profit.
(d) firms realise all economies of scale.

13. Which of the following is the distinguishing characteristic of oligopolies?
(a) A standardized product
(b) The goal of profit maximization
(c) The interdependence among firms
(d) Downward-sloping demand curves faced by firms.

14. In which form of the market structure is the degree of control over the price of its product by a firm very large?
(a) Monopoly (b) Imperfect Competition
(c) Oligopoly (d) Perfect competition

15. Under which of the following forms of market structure does a firm have no control over the price of its product?
(a) Monopoly (b) Monopolistic competition
(c) Oligopoly (d) Perfect competition

16. Discriminating monopoly implies that the monopolist charges different prices for his commodity:
(a) from different groups of consumers
(b) for different uses
(c) at different places
(d) any of the above.

17. Price discrimination will be profitable only if the elasticity of demand in different sub- markets is:
(a) uniform (b) different (c) less (d) zero

18. In the context of oligopoly, the kinked demand hypothesis is designed to explain
(a) Price and output determination
(b) Price rigidity
(c) Price leadership
(d) Collusion among rivals.

19. The firm in a perfectly competitive market is a price-taker. This designation as a price- taker is based on the assumption that -
(a) the firm has some, but not complete, control over its product price.
(b) there are so many buyers and sellers in the market that any individual firm cannot affect the market.
(c) each firm produces a homogeneous product.
(d) there is easy entry into or exit from the market place.

20. Suppose that the demand curve for the XYZ Co. slopes downward and to the right. We can conclude that
(a) the firm operates in a perfectly competitive market.
(b) the firm can sell all that it wants to at the established market price.
(c) the XYZ Co. is not a price-taker in the market because it must lower price to sell additional units of output.
(d) the XYZ Co. will not be able to maximise profits because price and revenue are subject to change.

21. If firms in the toothpaste industry have the following market shares, which market structure would best describe the industry?

Market share	**(% of market)**
Toothpaste	18.7
Dentipaste	14.3
Shinibright	11.6
I can't believe its not toothpaste	9.4
Brighter than white	8.8
Pastystuff	7.4
Others	29.8

(a) Perfect competition. (b) Monopolistic competition.
(c) Oligopoly. (d) Monopoly.

22. The kinked demand curve model of oligopoly assumes that
(a) the response (of consumers) to a price increase is less than the response to a price decrease.
(b) the response (of consumers) to a price increase is more than the response to a price decrease.
(c) the elasticity of demand is constant regardless of whether price increases or decreases.
(d) the elasticity of demand is perfectly elastic if price increases and perfectly inelastic if price decreases.

23. A purely competitive firm's supply schedule in the short run is determined by
(a) its average revenue.
(b) its marginal revenue.
(c) its marginal utility for money curve.
(d) its marginal cost curve.

24. One characteristic not typical of oligopolistic industry is
(a) horizontal demand curve.
(b) too much importance to non-price competition.
(c) price leadership.
(d) a small number of firms in the industry

25. The structure of the toothpaste industry in India is best described as
(a) perfectly competitive. (b) monopolistic.
(c) monopolistically competitive. (d) oligopolistic.

26. The structure of the cold drink industry in India is best described as
(a) perfectly competitive. (b) monopolistic.
(c) monopolistically competitive. (d) oligopolistic.

27. Which of the following statements is incorrect?
(a) Even a monopolistic firm can have losses.
(b) Firms in a perfectly competitive market are price takers.
(c) It is always beneficial for a firm in a perfectly competitive market to discriminate prices.
(d) Kinked demand curve is related to an oligopolistic market.

28. Under perfect competition, in the long run, there will be no_____
(a) normal profits (b) supernormal profits.
(c) production (d) costs.

29. When _____, we know that the firms under perfect competition must be producing at the minimum point of the average cost curve and so there will be productive efficiency.
(a) AC = AR (b) MC = AC
(c) MC = MR (d) AR = MR

30. Agricultural goods markets depict characteristics close to
(a) perfect competition. (b) oligopoly.
(c) monopoly. (d) monopolistic competition.

31. Which of the following is not a characteristic of a competitive market?
(a) There are many buyers and sellers in the market.
(b) The goods offered for sales are largely the same.
(c) Firms generate small but positive supernormal profits in the long run.
(d) Firms can freely enter or exit the market.

32. Which of the following markets would most closely satisfy the requirements for a perfectly competitive market?
(a) Electricity (b) Cable television
(c) Cola (d) Milk

33. Which of the following statements is accurate regarding a perfectly competitive firm?
(a) Demand curve is downward sloping
(b) The demand curve always lies above the marginal revenue curve
(c) Average revenue need not be equal to price
(d) Price is given and is determined by the equilibrium in the entire market

34. The market for hand tools (such as hammers and screwdrivers) is dominated by Draper, Stanley, and Craftsman. This market is best described as
(a) Monopolistically competitive
(b) a monopoly
(c) an oligopoly
(d) perfectly competitive

35. A market structure in which many firms sell products that are similar but not identical is known as
(a) monopolistic competition (b) monopoly
(c) perfect competition (d) oligopoly

36. When an oligopolist individually chooses its level of production to maximize its profits, it charges a price that is:
(a) more than the price charged by either monopoly or a competitive market
(b) less than the price charged by either monopoly or a competitive market
(c) more than the price charged by a monopoly and less than the price charged by a competitive market
(d) less than the price charged by a monopoly and more than the price charged by a competitive market.

37. In the long-run equilibrium of a competitive market, firms operate at
(a) the intersection of the marginal cost and marginal revenue
(b) their efficient scale
(c) zero economic profit
(d) all of these answers are correct

38. Which of the following is not a characteristic of a monopolistically competitive market?
(a) Free entry and exit
(b) Abnormal profits in the long run
(c) Many sellers
(d) Differentiated products

39. Under perfect competition a firm is the_____
(a) price-maker and not price-taker
(b) price-taker and not price-maker
(c) neither price-maker nor price-taker
(d) none of the above

40. A Monopolist is a
(a) price-maker (b) price-taker
(c) price-adjuster (d) none of the above

41. Price discrimination is one of the features of _____
(a) monopolistic competition (b) monopoly
(c) perfect competition (d) oligopoly

42. Under monopoly, the degree of control over price is:
(a) none (b) some
(c) very considerable (d) none of the above

43. The condition for pure competition is
(a) large number of buyer and seller, free entry and exist
(b) homogeneous product
(c) both (a) and (b)
(d) large number of buyer and seller, homogeneous product, perfect knowledge about the product

44. Pure oligopoly is based on the _____ products
(a) differentiated (b) homogeneous
(c) unrelated (d) none of the above

45. In oligopoly, when the industry is dominated by one large firm which is considered as leader of the group. Then it is called:
(a) full oligopoly (b) collusive oligopoly
(c) partial oligopoly (d) syndicated oligopoly

46. When the products are sold through a centralized body, oligopoly is known as
(a) organized oligopoly (b) partial oligopoly
(c) competitive oligopoly (d) syndicated oligopoly

47. When the monopolist divides the consumers into separate sub markets and charges different prices in different sub-markets it is known as
(a) first degree of price discrimination
(b) second degree of price discrimination
(c) third degree of price discrimination
(d) none of the above.

48. Under _____ the monopolist will fix a price which will take away the entire consumers' surplus.
(a) second degree of price discrimination
(b) first degree of price discrimination
(c) third degree of price discrimination
(d) none of the above.

49. Price discrimination is related to
(a) time (b) size of the purchase
(c) income (d) any of the above

50. The firm and the industry are one and the same in _____
(a) Perfect competition (b) Monopolistic competition
(c) Duopoly (d) Monopoly

51. The demand curve of a monopoly firm will be _____
(a) Upward sloping (b) Downward sloping
(c) Horizontal (d) Vertical

52. If the average cost is higher than the average revenue then the firm incurs _____
(a) Normal profit (b) Abnormal profit
(c) Loss (d) No profit, no loss

53. Which of the following statements is correct?
(a) Price rigidity is an important feature of monopoly.
(b) Selling costs are possible under perfect competition.
(c) Under perfect competition factors of production do not move freely as there are legal restrictions.
(d) An industry consists of many firms.

54. Which of the following statements is incorrect?
(a) Under monopoly there is no difference between a firm and an industry.
(b) A monopolist may restrict the output and raise the price.
(c) Commodities offered for sale under a perfect competition will be heterogeneous.
(d) Product differentiation is peculiar to monopolistic competition.

55. Natural Monopoly arises when
(a) There is enormous goodwill enjoyed by a firm.
(b) There are stringent legal and regulatory requirement.
(c) There are very large Economies of Scale.
(d) There are Business Combinations and Cartels.

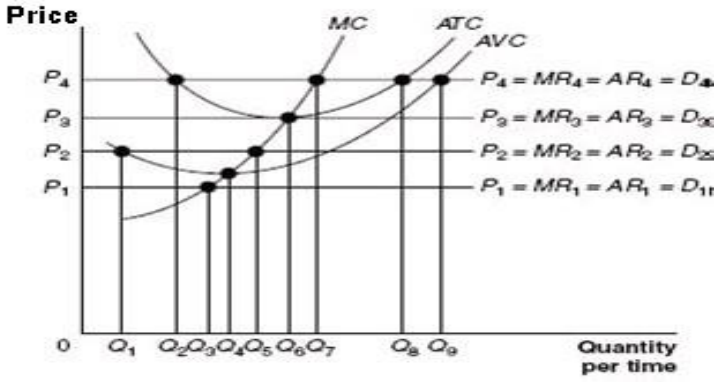
56. Price Discrimination cannot persist under the following market form:
(a) Perfect Competition (b) Monopoly
(c) Monopolistic (d) Oligopoly

57. Sweezy's Model explains the concept of price rigidity relating to following market form:
(a) Oligopoly Market (b) Perfect Competition Market
(c) Monopoly Market (d) Monopolistic Market

58. Combination of Monopoly Market & Monopsony Market is called as:
(a) Duopoly Market (b) Oligopoly Market
(c) Bilateral Monopoly Market (d) Monopolistic Market

59. Price varies by attributes such as location or by Customer Segment is _____ degree of Price Discrimination.
(a) First (b) Second (c) Third (d) Fourth

60. At price P_1, the firm in the figure would produce



(a) Zero output (b) Q_3. (c) Q_5. (d) Q_6.

PAST EXAM QUESTIONS

2006- NOVEMBER

1. A competitive firm in the short run incur losses. The firm continues production, if:
   (a) P > AVC (b) P = AVC
   (c) P < AVC (d) P >= AVC

2. Under_____ market condition, firms make normal profits in the long run:
   (a) perfect competition (b) monopoly
   (c) oligopoly (d) none

3. A monopolist is able to maximize his profits when :
   (a) His output is maximum
   (b) He charges a high price
   (c) His average cost is minimum
   (d) His marginal cost is equal to marginal revenue

4. Under which of the following market structure AR of the firm will be equal to MR?
   (a) Monopoly (b) Monopolistic Competition
   (c) Oligopoly (d) Perfect Competition

2007- MAY

5. Under Monopolistic competition the cross elasticity of demand for the product of a single firm would be :
   (a) Infinite (b) Highly elastic
   (c) Highly inelastic (d) Zero

6. When AR = Rs. 10 and AC = Rs. 8 the firm makes_____ :
   (a) normal profit (b) net profit
   (c) gross profit (d) supernormal profit

2007- AUGUST

7. What are the conditions for the long run equilibrium of the competitive firm?
   (a) LMC = LAC = P (b) SMC = SAC = LMC
   (c) P = MR (d) All of these

8. Kinked demand curve hypothesis is given by:
   (a) Alfred marshal (b) A.C Pigou
   (c) Sweezy (d) Hicks & Allen

2007- NOVEMBER

9. Supernormal profits occur, when :
(a) Total revenue is equal to total cost
(b) Total revenue is equal to variable cost
(c) Average revenue is more than average cost
(d) Average revenue is equal to average cost

10. If under perfect competition, the price line lies below the average cost curve, the firm would :
(a) Make only Normal profits
(b) Incur losses
(c) Make abnormal profit
(d) Profit cannot be determined

2008- FEBRUARY

11. The MR curve cuts the horizontal line between Y axis and demand curve into:
(a) Two unequal parts (b) Two equal parts
(c) May be equal or unequal parts (d) None of these

12. Kinked demand curve is observed in _____.
(a) daopoly market (b) monopoly market
(c) competitive market (d) oligopoly market.

13. Competitive firms in the long run earn:
(a) Super normal profit (b) Normal profit
(c) Losses (d) None

2008- JUNE

14. For a monopolist, the necessary condition for equilibrium is:
(a) P = MC (b) P = MR = AR
(c) MR = MC (d) None

15. A firm will shut down in the short run if:
(a) It is suffering a loss
(b) Fixed costs exceeds revenue
(c) Variable costs exceed revenues
(d) Total costs exceed revenues

16. _____ is the price at which demand for a commodity is equal to its supply:
(a) Normal Price (b) Equilibrium Price
(c) Short run Price (d) Secular Price

2008- DECEMBER

17. OPEC is an example of:
(a) Monopolistic competition (b) Monopoly
(c) Oligopoly (d) Duopoly

18. _____ is a ideal Market.
(a) Monopoly (b) Monopolistic
(c) Perfect Competition (d) Oligopoly

19. Under which Market Situation demand curve is linear and parallel to X axis:
(a) Perfect Competition (b) Monopoly
(c) Monopolistic Competition (d) Oligopoly

20. Which market have characteristic of product differentiation?
(a) Perfect Competition (b) Monopoly
(c) Monopolistic Competition (d) Oligopoly

21. Which of these are characteristics of Perfect Competition.
(a) Many Sellers & Buyers (b) Homogeneous Product
(c) Free Entry and Exit (d) All of the above

22. The demand curve of oligopoly is :
(a) Horizontal (b) Vertical
(c) Kinked (d) Rising left to right

23. MR Curve = AR = Demand Curve is a feature of which kind of Market?
(a) Perfect Competition (b) Monopoly
(c) Monopolistic (d) Oligopoly

2009- JUNE

24. In the long-run monopolist can:
(a) Incur losses
(b) Must earn super normal profits
(c) Wants to shut-down
(d) Earns only normal profits.

25. The demand curve of the firm and industry will be same in which form of market:
(a) Monopolistic Competition (b) Perfect Competition
(c) Monopoly (d) Oligopoly.

26. Oligopoly having identical products is:
(a) Pure oligopoly (b) Imperfect oligopoly
(c) Price leadership (d) Collusion.

2009- DECEMBER

27. The demand curve of oligopoly is :
(a) Horizontal (b) Vertical
(c) Kinked (d) Rising left to right

28. Demand curve is equal to M. R. curve in which market?
(a) Oligopoly (b) Monopoly
(c) Monopolistic Competition (d) Perfect Competition

29. Kinked demand hypothesis is designed to explain_____ in context of oligopoly.
(a) price and output determination (b) price rigidity
(c) collusion between firm (d) all of the above

30. Price discrimination can take place only in_____.
(a) monopolistic competition (b) oligopoly
(c) perfect competition (d) monopoly

2010- JUNE

31. In oligopoly, the kink on the demand curve is more due to_____
(a) discontinuity in MR.
(b) discontinuity in AR.
(c) Fulfillment of the assumption that a price cut is followed by others and a price increase by a firm is not followed by others.
(d) price war amongst the firms.

32. Price Discrimination is possible only when.
(a) Seller is alone.
(b) Goods are homogeneous.
(c) Market is controlled by the government.
(d) None of the above.

33. Which of the following is not the feature of an imperfect competition?
(a) Product differentiation. (b) Few sellers.
(c) Homogeneous products, (d) Price wars.

34. Price taker firms _____.
(a) do not advertise their product because it misleads the customers.
(b) advertise their products to boost the level of demand.
(c) do not advertise but give gifts along with the sold items to attract customers.
(d) do not advertise because they can sell as much as they wish at the prevailing price.

35. Price rigidity is a situation found in which of the following market forms?
(a) Perfect competition. (b) Monopoly.
(c) Monopolistic competition. (d) Oligopoly.

2010- DECEMBER

36. When elasticity of demand is equal to one in monopoly, marginal Revenue will be _____.
(a) equal to one. (b) greater than one
(c) less than one. (d) Zero

37. Which one of the following statement is Incorrect?
(a) Competitive firms are price takers and not price makers.
(b) Price discrimination is possible in monopoly only.
(c) Duopoly may lead to monopoly.
(d) Competitive firm always seeks to discriminate prices.

38. Under which of the following market structure AR of the firm will be equal to MR?
(a) Monopoly (b) Monopolistic Competition
(c) Oligopoly (d) Perfect Competition

39. Tooth paste industry is an example of _____
(a) monopoly (b) monopolistic competition
(c) oligopoly (d) perfect competition.

40. OPEC is an example of:
(a) Monopolistic competition (b) Monopoly
(c) Oligopoly (d) Duopoly

41. Monopolistic competitive firms _____.
(a) are small in size
(b) have small share in total market
(c) are very large in size
(d) both (a) and (b)

42. The price discrimination under monopoly will be possible under which of the following conditions?
(a) The seller has no control over the supply of his product
(b) The market has the same condition all over
(c) The price elasticity of demand is different in different markets
(d) The price elasticity of demand is uniform.

2011- JUNE

43. Oligopoly having identical products is known as _____
(a) pure oligopoly (b) collusive oligopoly
(c) independent oligopoly (d) none of these.

44. Which of these is the best example of oligopoly?
(a) OPEC (b) SAARC (c) WTO (d) GATT.

45. Monopolist can fix him price of goods whose elasticity is-
(a) less than 1 (b) more than 1
(c) elastic (d) inelastic.

46. Kinked demand curve is observed in_____.
(a) duopoly market (b) monopoly market
(c) competitive market (d) oligopoly market.

47. Perfectly competitive firm faces:
(a) Perfectly elastic demand curve
(b) Perfectly inelastic demand curve
(c) Zero
(d) Negative.

2011- DECEMBER

48. In perfect Competition when the firm is a price taker, which curve among the following will be a straight line?
(a) Marginal Cost (b) Average Cost
(c) Total Cost (d) Marginal Revenue

49. "Price Discrimination" can be best exercised by the Seiler in
(a) oligopoly (b) monopoly
(c) monopolistic competition (d) perfect competition

50. In Oligopoly the kink in the demand curve is more due to_____.
(a) discontinuity in MR
(b) discontinuity in AR
(c) fulfillment of the assumption that a price fall is followed by the other and a price increase by a firm is not followed by the other
(d) price war among the firms

51. A firm encounters "shut down" point when_____
(a) marginal cost equals the price of the profit maximising level of output
(b) average fixed cost equals the price at the profit maximising level of output

(c) average variable cost equals the price at the profit maximising level of output
(d) average total cost equals the price at the profit maximising level of output

52. Under which market Condition firms make only normal profits in the long run?
(a) Oligopoly (b) Monopoly
(c) Monopolistic competition (d) Duopoly

53. In monopolistic competition excess capacity in the firm_____
(a) always exists (b) sometimes exists
(c) never exists (d) none of the above

2012- JUNE

54. Selling costs have to be incurred in case of:
(a) Perfect Competition (b) Monopolistic Competition
(c) Monopoly (d) None of these.

55. In market, the price and output equilibrium is determined on the basis of:
(a) Total revenue and total cost
(b) Total cost and marginal cost
(c) Marginal revenue and marginal cost
(d) Only marginal cost.

2012- DECEMBER

56. A perfect market is characterised by :-
(a) Existence of large number of buyers and sellers
(b) Homogenous products
(c) Perfect knowledge of the market
(d) All of the above.

57. Which of the following is not a feature of oligopoly market?
(a) Interdependence of the firms in decision making
(b) Price rigidity
(c) Group behavior
(d) Existence of large number of firms.

58. A monopolist can fix:
(a) Both price and output (b) Either price or output
(c) Neither price nor output (d) None of the above.

59. In a perfectly competitive market, the demand curve of a firm is:-
(a) Elastic (b) Perfectly elastic
(c) Inelastic (d) Perfectly inelastic

60. In a competitive market, if price exceeds Average Variable Cost (AVC) but remains less than Average Cost (AC) at the equilibrium, the firm is:
(a) Making a profit
(b) Planning to quit
(c) Experiencing loss but should continue production
(d) Experiencing loss but should discontinue production.

2013- JUNE

61. Price under perfect competition is determined by the_____
(a) firm (b) industry (c) government (d) society.

62. Under monopoly, which of the following is correct:
(a) AR and MR both are downward sloping
(b) MR lies halfway between AR and Y-axis
(c) MR can be zero or even negative
(d) All of the above.

63. Non-price competition is very popular in:
(a) Monopoly market (b) Monopolistic competition
(c) Oligopolistic market (d) Perfect competition.

64. In the 'kinked-demand' curve model, the upper portion of the demand curve is:
(a) Elastic (b) Inelastic
(c) Perfectly Elastic (d) Unitary Elastic.

65. Equilibrium price for an industry in perfect competition is fixed through.
(a) Input and Output
(b) Market demand and market Supply
(c) Market demand and firms supply
(d) None of the above.

2013- DECEMBER

66. In a perfectly competitive market, if MR is greater than MC, then a firm should-
(a) Increase its production (b) Decrease its production
(c) Decrease its sales (d) Increase its sales

67. Kinked demand curve is related to which market structure
(a) Oligopoly (b) Monopoly
(c) Monopsony (d) Monopolistic competition.

68. In the long run a monopolist always earns
(a) Normal profit (b) Abnormal profit
(c) Zero profit (d) Loss

69. Under which of the following forms of market structure does a firm has a very considerable control over the price of its product?
(a) Monopoly (b) Monopolistic Competition
(c) Oligopoly (d) Perfect Competition

2014- JUNE

70. One of the essential conditions of Perfect Competition is :
(a) Product differentiation
(b) Many sellers and few buyers
(c) Only one price for identical goods at any one time
(d) Multiplicity of prices for identical product at any one time

71. The demand curve of an oligopolist is :
(a) Determinate (b) Indeterminate
(c) Circular (d) Vertical

72. Abnormal profits exist in the long run only under_____
(a) perfect competition (b) monopoly
(c) monopolistic competition (d) oligopoly

73. The distinction between a single firm and an Industry vanishes in which of the following market conditions?
(a) Perfect Competition (b) Imperfect Competition
(c) Pure Competition (d) Monopoly

74. Selling outlay is an essential part of which of the following market situations?
(a) Perfect Competition (b) Monopoly
(c) Monopolistic Competition (d) Pure Competition

75. The Kinked demand curve model explains the market situation
(a) Pure Oligopoly (b) Differentiated Oligopoly
(c) Collusive Oligopoly (d) Price Rigidity

76. For price discrimination to be successful, the elasticity of demand for the commodity in the two markets should be:
(a) Same (b) Different (c) Constant (d) Zero

2014- DECEMBER

77. The firm in a perfectly competitive market is a price taker. This designation as a price taker is based on the assumption that:
(a) The firm has some but not complete control over its product price
(b) There are so many buyers and sellers in the market that any one buyer or seller cannot affect the market
(c) Each firm produces a homogeneous product
(d) There is easy entry into or exit from the market place.

78. A market structure in which many firms sell products that are similar and identical is known as____
(a) monopolistic competition (b) monopoly
(c) perfect competition (d) oligopoly

79. A firm having kinked demand curve indicates that:
(i) If the firm reduces the price, competitive firms also reduce the price
(ii) If the firm increases the price, competitive firms also increases the price
(iii) If the firm reduces the price, competitive firms do not reduce the price
(iv) If the firm increases the price, competitive firms do not increase the price
(a) Only (i) above (b) Both (i) and (iv) above
(c) Both (ii) and (iv) above (d) Both (ii) and (iii) above

80. Price discrimination will not be profitable, if the elasticity of demand is _____in different markets
(a) uniform (b) different (c) less (d) zero

81. In the long run, which of the following statement is true for a firm in a perfectly competitive industry?
(a) It operates at its minimum average cost
(b) The price is more than the average fixed cost
(c) The marginal cost is greatest than marginal revenue
(d) The fixed cost is lower than the total variable cost

2015- JUNE

82. The firm will attain equilibrium at a point where MC curve cuts_____ from below.
(a) AR curve (b) MR curve
(c) AC curve (d) AVC curve..

83. In a monopoly market, a producer has control only over:
(a) Price of the commodity
(b) Demand of the commodity
(c) Both (a) and (b)
(d) Utility of the product

84. One of the following is not correct about perfect competition:
(a) Purchase and Sale of homogeneous goods
(b) Existence of marketing costs
(c) Absence of transportation costs
(d) Perfect mobility of factors of production.

85. Kinked demand curve under oligopoly is designed to show:
(a) Price and output determination
(b) Price rigidity
(c) Price leadership
(d) Collusion among rivals.

2015- DECEMBER

86. "I am making a loss, but with the rent I have to pay, I can't afford to shut down at this point of time." If this entrepreneur is attempting to maximize profits or minimize losses.
(a) Rational, if the firm is covering its variable cost
(b) Rational, if the firm is covering its fixed cost
(c) Irrational, since plant closing is necessary to eliminate losses
(d) Irrational, since fixed costs are eliminated if a firm shut down.

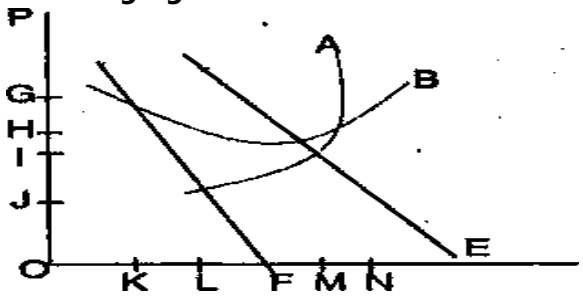
87. Kinked demand curve is the demand curve of
(a) Perfect Competition (b) Monopoly
(c) Monopolistic Competition (d) None of the above.

88. Price discrimination will be profitable only if the elasticity of demand in different markets is
(a) Uniform (b) Different (c) Less (d) Zero

89. Under which of the following form of market structure does a firm have no control over the price of its production?
(a) Monopoly (b) Monopolistic Competition
(c) Oligopoly Answer (d) Perfect Competition.

90. _____ is that situation in which a firm bases its market policy, in part on the expected behaviour of a few close rivals.
(a) Oligopoly (b) Monopolistic Competition
(c) Monopoly (d) Perfect Competition.

Solve the question No. 91, 92 and 93 on the base of following figure:



91. In the above figure, curve E is the firm's
(a) Marginal Cost Curve (b) Average Cost Curve
(c) Demand Curve (d) Marginal revenue Curve.

92. Above figure represents a-
(a) Monopolist (b) Perfectly competition industry
(c) Perfectly competitive firm (d) None of the above.

93. In above figure, firms marginal revenue curve is curve
(a) E (b) A (c) F (d) B

2016- JUNE

94. The price elasticity of demand for a product is infinite under:
(a) Perfect competition (b) Monopolistic competition
(c) Monopoly (d) Oligopoly.

95. Comparing a Monopoly and Competitive firm the Monopolist will:
(a) Produce less and sell at a lower price
(b) Produce more and sell at a lower price
(c) Produce less and sell at a higher price
(d) Produce zero and sell at a lower price.

96. The reason for the kinked demand curve is that:
(a) the oligopolist believe that competitors will follow output increases but not output reductions.
(b) the oligopolist believe that competitors will follow price increases but not output reductions.
(c) the oligopolist believe that competitors will follow price cuts but not price rises.
(d) the oligopolist believe that competitors will follow price increases but not output increases.

97. A discriminating monopolist will charge a higher price in the market in which the demand for its product is_____
(a) highly elastic (b) relatively elastic
(c) relatively inelastic (d) perfectly elastic.

98. If a firm under monopoly wants to sell more, its average revenue curve will be a_____ line.
(a) horizontal (b) vertical
(c) downward sloping (d) upward sloping

2016- DECEMBER

99. Who sets the price of the product under perfect competition?
(a) Government (b) Consumers
(c) Sellers (d) Both buyers and sellers

100. Which is the first order condition for the firm to maximise the profit,
(a) AC = MR (b) AC = AR
(c) MC = MR (d) MR = AR

101. Which market has the concept of 'group' equilibrium in the long run?
(a) Oligopoly (b) Monopoly
(c) Monopolistic competition (d) Perfect competition.

102. Which of the following is incorrect?
(a) Even monopolistic can earn losses.
(b) Firms in perfect competitive market is price taker.
(c) It is always beneficial for a firm in a perfectly competitive market to discriminative prices.
(d) Kinked demand curve is related to an oligopolistic market.

103. Average revenue curve is also known as:
(a) Profit Curve (b) Demand Curve
(c) Average Cost Curve (d) Indifference Curve

104. Which is not characteristic of monopoly?
(a) The firm is price taker
(b) There is a single firm
(c) The firm produces a unique product
(d) The existence of some advertising.

105. Price discrimination is profitable only when:
(a) Different markets are kept separate
(b) Distance between the consumer and the market is more
(c) Elasticity of demand in different markets is different
(d) The consumers are segregated on the basis of their purpose of use of the commodity.

2017- JUNE

106. When the industry is dominated by one large firm which is considered as the leader of the group, the market is described as:
(a) Open oligopoly (b) Perfect oligopoly
(c) Partial oligopoly (d) Organised oligopoly

107. Which amongst the following is not an objective of price discrimination?
(a) To hold the extra stocks
(b) To earn maximum profits
(c) To enjoy economies of scale
(d) To secure equity through pricing.

108. Which of the following statement is not correct?
(a) Under monopoly there is no difference between a firm and industry.
(b) A monopolist may restrict the output and raise the price.
(c) Commodities offered for sale under a perfect competition will be heterogeneous.
(d) Product differentiation is peculiar to monopolistic competition.

109. Under perfect competition firm is described as:
(a) price taker and not price maker
(b) price maker and not price taker
(c) neither price maker nor price taker
(d) none of the above

110. Under which of the following forms of market structure does a firm have no control over the price of its product?
(a) Monopoly (b) Monopolistic Competition
(c) Oligopoly (d) Perfect Competition.

2018- MAY

111. Condition for equilibrium of firm:
(a) MR = MC
(b) AR = AC
(c) MC curve cuts MR curve from below
(d) Both (a) and (c)

112. What is/ are feature (s) of oligopoly
(a) Kinked Demand curve
(b) Cartel
(c) Downward sloping demand curve
(d) Both (a) and (b) are correct

113. Monopoly is undesirable due to:
(a) It has prices higher than competitive firms
(b) It produces less output than competitive firms
(c) It discriminates on prices
(d) All of the above.

114. In long run equilibrium undue perfect competition is/are satisfied by which condition
(a) MC = MR (b) AC = AR
(c) CMC = LAC = P (d) All of the above.

115. In the long run monopolist
(a) Incur losses
(b) Must earn super normal profits
(c) Wants to shut down
(d) Earns only normal profits.

116. The demand curve of the firm and industry will be same in which form of market:
(a) Monopolistic competition (b) Perfect competition
(c) Monopoly (d) Oligopoly

117. Which of these is the best example of oligopoly?
(a) OPEC (b) SAARC (c) WTO (d) GATT

118. Ina perfectly competitive market, if MR is greater than MC, then a firm should:
(a) Increase its production
(b) Decrease its production
(c) Decrease its sales
(d) Increase its sales

119. Equilibrium price for an industry in prefect competition is fixed through
(a) Input and output
(b) Market demand and market supply
(c) Market demand and firms supply
(d) None of the above.

120. A competitive firm in the short rum insure losses. The firm continues production, if:
(a) P > AVC (b) P = AVC
(c) P < AVC (d) P > AVC

121. Market form in which there is only one buyer and one seller is:
(a) Oligopoly (b) Duopoly
(c) Bilateral Monopoly (d) Monopsony

2018- NOVEMBER

122. The structure of the Toothpaste Industry in India is best described as:
(a) Perfectly competitive (b) Monopolistic
(c) Monopolistically competitive (d) Oligopolistic

123. Product differentiation is the main features of which market?
(a) Oligopoly (b) Monopolistic
(c) Discriminating Monopoly (d) Perfect competition

124. Which market is having a single seller and single Buyer?
(a) Duopoly (b) Monopsony
(c) Bilateral Monopoly (d) None of the above

125. In Long run perfect competitive market incurs
(a) Normal profit (b) Supernormal profit
(c) Losses (d) Constant Returns

126. Which one of the following is not the feature of Oligopoly?
(a) Interdependency (b) Selling cost
(c) Free Entry (d) group behavior

127. Price leadership is the characteristic of
(a) Oligopoly (b) Monopoly
(c) Perfect competition (d) Discriminating Monopoly

128. MR Curve in perfect competition is
(a) Parallel to X- axis (b) Parallel to Y-axis
(c) Fall from left to right (d) Rise from left to right

129. Which of the following is not the characteristic of MR?
(a) When TR is maximum, then MR is zero
(b) MR cannot be negative
(c) MR slopes downward from left to right
(d) MR Curve is below AR Curve

130. Which out of these are not a feature of perfect competition?
(a) Homogeneous
(b) Large number of buyer and sellers
(c) Free entry and exit
(d) Selling cost.

131. MC curve of a firm in a perfectly competitive industry depicts?
(a) Demand curve (b) Supply curve
(c) Average cost curve (d) Total cost curve

2019- MAY

132. Which is the characteristic feature of monopoly?
(a) Honogeneous goods
(b) Strong barriers to entry
(c) Perfect competition
(d) Perfectly elastic demand curve

133. A discriminating monopolist to reach equilibrium position, his decision on total output depends upon
(a) How much total output should be produce?
(b) How the total output should be distributed between the two sub-market?
(c) Both (a) and (b)
(d) None

134. Price discrimination is possible only in_____
(a) Monopoly (b) Perfect Competition
(c) Oligopoly (d) Monopolistic Competition

135. Kinked demand curve is
(a) Highly elastic at above the prevailing price
(b) Inelastic at below the prevailing price
(c) Both (a) and (b)
(d) None of the above

136. Demand curve is horizontal in the case of_____
(a) Monopoly (b) Perfect Competition
(c) Imperfect Competition (d) Monopolistic Competition

137. What is the characteristic of monopolistic competition?
(a) Price elasticity is low for the product concerned
(b) Large number of sellers
(c) No degree of control over price
(d) One buyer

138. If a perfectly competitive firm earns super normal profits then _____
(a) AR > MR (b) AR < MR
(c) AR = MR (d) AR > ATC

2019- NOVEMBER

139. Live and let live is characteristics of which of the following market?
(a) Perfect Competition (b) Monopoly Competition
(c) Imperfect Competition (d) Oligopoly Competition

140. In which of the following market there are only two sellers?
(a) Duopoly Competition
(b) Perfect Competition
(c) Monopoly Competition
(d) Perfect Competition and Duopoly

141. The degree of elasticity in perfect competition market.
(a) Perfectly elastic (b) Inelastic
(c) Perfectly inelastic (d) Elastic

142. A perfect competitive firm earns super-normal profits when
(a) ATC < MC (b) ATC > MC
(c) MR < AR (d) MR > AR

143. A firm is said to earn normal profit when
(a) AC = AR (b) MC = MR .
(c) AR = NR (d) MC > MR

144. Two firms are selling cold- drinks and competing with some identical characteristics. This is an example of
(a) Duopoly (b) Monopoly
(c) Oligopoly (d) Monopolistic

145. Group Behavior is a characteristics of_____
(a) Oligopoly (b) Monopoly
(c) Perfect Competition (d) Monopolistic Competition

146. Myth in Real world
(a) Oligopoly (b) Duopoly
(c) Perfect Competition (d) Monopoly

147. _____ oligopoly refers to that situation where the firms sell their products through a centralized body
(a) Syndicate oligopoly (b) Organized oligopoly
(c) Collusive oligopoly (d) Partial oligopoly

148. The similarity between monopolistic competition and perfect competition is_____
(a) In short run both earn super normal profit
(b) In long term both earn normal profit
(c) In short run their prices remain constant
(d) None

149. Which Market has a downward demand curve?
(a) Monopolistic competition (b) Monopoly
(c) Perfect competition (d) Both (a) and (b)

2020- NOVEMBER

150. Kinked demand hypothesis is designed to explain the under oligopolistic market.
(a) Collusion between firms
(b) Price and output determination
(c) Rigidity of price
(d) Price leadership

151. _____ is the best example of oligopoly.
(a) SAARC (b) WTO (c) GATT (d) OPEC

152. Aluminum industry is the example of which type of oligopoly.
(a) Open oligopoly (b) Full oligopoly
(c) Pure oligopoly (d) Syndicated oligopoly

153. In which market price are determined by the market forces of demand and supply?
(a) Pure competition (b) Perfect competition
(c) Monopolistic competition (d) Oligopoly

154. Railways charges comparatively cheaper fares from senior citizens. These an example of:
(a) Price discrimination (b) Market analysis
(c) Profit discrimination (d) Demand forecasting

155. Smart Phones market is an example of:
(a) Monopoly (b) Monopolistic competition
(c) Oligopoly (d) Perfect competition

156. Collusion is impossible if an industry has:
(a) large number of firms (b) only few number of firms
(c) only two firms (d) limited number of firms

157. When the industry is dominated by one large firm it is called:
(a) Partial oligopoly (b) Full oligopoly
(c) Organized oligopoly (d) Closed oligopoly

158. Choose the incorrect statement regarding the barometric price leadership.
(a) Live and let live philosophy is followed
(b) Old and experienced firm-act as a leader
(c) Price decided by assessing market conditions
(d) Price decided by leader is generally accepted by the rest of all

159. Competition among few is described in:
(a) Monopoly (b) Oligopoly
(c) Duopoly (d) Monopsony

2021- JANUARY

160. Which of the following is not a coalition of perfect competition?
(a) A large number of firms
(b) Perfect mobility of factors
(c)Informative advertising to ensure that consumers information
(d) Freedom of entry and exit into and out of the market

161. Oligopoly industries are characterized by
(a) A few dominant firms and substantial barriers to entry
(b) A few large firms and no entry barriers
(c) A large number of small firms and no entry barriers
(d) One dominant firm and low entry barriers

162. The long run equilibrium outcomes in monopolistic competition and perfect competition are similar, because in both market structures:
(a) The efficient output level will be produced on the long run
(b) Firms will be producing at minimum average cost
(c) Firms realize all economies of scale
(d) Firms will only earn normal profit

163. Pure oligopoly is based on the_____ production
(a) Homogeneous (b) Differential
(c) Unrelated (d) Related

164. In the competition of oligopoly, the kinked demand curve hypothesis is designed to explain
(a) Price rigidity (b) Price and output determination
(c) Price leadership (d) Collusion

165. Given AR = 5 and elasticity of demand = 2 find MR.
(a) + 2.5 (b) -2.5 (c) + 1.5 (d) + 2.0

166. When TR is max, then MR is
(a) Zero (b) One (c) Both (a) and (b) (d) None

2021- JULY

167. Which of the following is an example of monopolistic competition?
(a) DeBeers and Diamonds (b) Hotels and pubs
(c) Microsoft and Window (d) Dell and Lenovo

168. Which of the following is not a feature of the monopoly market?
(a) Large seller of the product
(b) No close - substitutes
(c) Market power
(d) Single seller of the product

169. Who propounded the price rigidity under kinked demand curve model of oligopoly?
(a) Adam Smith (b) Karl Marx
(c) Keynes (d) Paul A. Sweezy

170. A firm, to attain the equilibrium position under perfect competition has to satisfy which of the following conditions?
(a) MR > MC
(b) MR = MC

(c) MR curve should cut MC curve from below
(d) MC curve should cut MR curve from below

171. A group of firm that explicitly agree (collude) to coordinate their activities is called a/an
(a) Oligopoly (c) Monopsony
(b) Duopoly (d) Cartel

172. Electricity companies sell electricity as a cheaper rate for power consumption in rural areas than for industrial consumptions. This is an example of
(a) Product discrimination (b) Perfect competition
(c) Price discrimination (d) Price taker

173. Non-price competition is observed in type of following market?
(a) Monopoly (b) Monopolistic Competition
(c) Duopoly (d) Oligopoly

2021- DECEMBER

174. Price discrimination refers to charging _____ prices for consumer for units of _____ commodity.
(a) different, different, same
(b) different, same, same
(c) same, different, same
(d) same, same, different

175. There are 4 firms in a market.

Firms	Market Share
A	39.4%
B	19.6%
C	0.4%
D	0.6%

Which type of market structure can be most suitable here?
(a) Oligopoly (b) Monopoly
(c) Monopolistic (d) Perfect competition

176. A market condition in which there is only a single seller and a single buyer.
(a) Monopsony (b) Bilateral monopoly
(c) Monopolistic competition (d) Oligopoly

177. Charging lower price from senior citizens for railway tickets is an example of_____
(a) Subsidized pricing (b) Concessional pricing
(c) Price discrimination (d) Product pricing

178. Which of the following is not a characteristic of perfect competition-
(a) large no. of sellers and buyers
(b) freedom of entry and exit
(c) inefficient allocation of resources
(d) homogeneous product

179. When the industry is dominated by one large firm, then it is_____
(a) Full oligopoly (b) Syndicated oligopoly
(c) Organized oligopoly (d) Partial oligopoly

180. In oligopoly, sellers try to act as _____.
(a) Price taker (b) Price maker
(c) Price indicators (d) Price barriers

181. The kinked demand curve is designed to explain_____
(a) Price and output determination
(b) Price rigidity
(c) Price leadership
(d) Collusion among rivals

182. In case of monopoly, the price elasticity of demand is_____
(a) elastic (b) more elastic
(c) negative (d) infinite

183. The kinked demand curve model of oligopoly assumes that_____
(a) the response (of consumers) to a price increase is less than the response to a price decrease
(b) the response (of consumer) to a price increase is more than the response to a price decrease
(c) elasticity of demand is constant
(d) demand is perfectly elastic

184. In which form of the market structure is the degree of control over price of its product by a frim is very large?
(a) Monopoly (b) Imperfect competition
(c) Oligopoly (d) Perfect competition

185. Under perfect competition in the long-run there will be-
(a) Normal profit (b) Supernormal profit
(c) Production (d) Cost

186. Degree of control over price is very considerable in-
(a) Monopoly (b) Perfect competition
(c) Oligopoly (d) Monopolistic competition

187. In which of the market firm price discrimination cannot persist.
(a) Monopoly (b) Oligopoly
(c) Monopolistic competition (d) Perfect competition

188. Nuclear power represents which type of market structure:
(a) Government monopoly (b) Perfect competition
(c) Monopolistic competition (d) Oligopoly

189. Monopoly market and monopsony market combination is called:
(a) Duopoly market (b) Oligopoly market
(c) Bilateral monopoly market (d) Monopolistic market

190. Marginal revenue curve lies _____its demand curve in monopolistic competition due to _____
(a) Below; product differentiation
(b) Above; barriers to entry
(c) Above; product- differentiation
(d) None of the above

2022- JUNE

191. In monopoly MR is _____ AR.
(a) Less than (b) Greater than
(c) Equal (d) Any of the above

192. Non-price competition typically occurs with in:
(a) Monopoly (b) Perfect competition
(c) Monopolistic (d) Oligopoly

193. On the upper side of kinked demand curve what is elasticity of demand-
(a) less elastic (b) inelastic
(c) Relatively elastic (d) infinite

194. Price rigidity is a concept of –
(a) perfect competition (b) Monopoly
(c) Monopolistic (d) Oligopoly

195. A firm should produce fill MC _____ MR
(a) Greater (b) Less (c) Equal (d) All of these

2022- DECEMBER

196. Which of the following statement is correct?
(a) Price rigidity is an important feature of monopoly
(b) Selling Cost are possible under prefect condition
(c) Under perfect competition factor of production do not move freely as there are legal restrictions
(d) An industry consist of many firms

197. In which type of market there are large number of buyer and seller with identical produces:
(a) Imperfect competition
(b) Oligopoly
(c) Perfect competition
(d) Monopolistic competition

198. Kinked demand curve is also known as:
(a) Sweezy's model (b) Adam's model
(c) Revisionary model (d) Economic trade model

199. On the upper part of Kinked demand curve the demand is:
(a) Elastic (b) Inelastic
(c) Neutral (d) None of the above

200. The long run equilibrium of a competitive firm is achieved at:
(a) LAR = LMR = LMC = LAC
(b) LMR = LAR = LMC + 1 = LAC
(c) LAR = LMR +1 = P + 1 = LAC
(d) P = LMC = LAC – LMR + LAR

201. The producer is an oligopolistic market fixes its price at:
(a) A price less than the price charged by a monopoly as well as a perfectly competitive market
(b) A price more than the price charged by a perfectly competitive market as well as a monopoly
(c) A price higher than the one charged by monopoly and less than that of a perfectly competitive market
(d) A price higher than that charged by a perfectly competitive market and less than that of a monopoly

202. Which of the following is a behavior of oligopoly?
(a) Group behavior (b) Individual behavior
(c) Relative behavior (d) None of the above

203. Where there are large number of letters in market and there is very high degree of competition between them, the elasticity of supply is:
(a) Infinite (b) Zero
(c) More than one (d) Less than one

204. Which of the following market may earn supernormal profit in the long run:
(a) Perfect competition (b) Monopoly
(c) Monopolistic (d) None of these

2023- JUNE

205. "Product differentiation" is characterstic of:
(a) Perfect competition
(b) Oligopoly competition
(c) Monopolistic competition
(d) Duopoly competition

206. "Kinked demand curve" hypothesis explains which of the following concept?
(a) Price leadership (b) Price rigidity
(c) Group behavior (d) Independent pricing

207. In which type of Market, product is homogeneous in nature?
(a) Pure Oligopoly (b) Pure Monopoly
(c) Pure Duopoly (d) Pure Competition

208. When new firm enter into market and compete with existing firm is a situation called?
(a) Open oligopoly (b) Open Dilgopoly
(c) Collusive ougopoly (d) competitive oligopoly

209. Which of the following is characteristics of monopoly?
(a) Industry is dominating by larger no. of firms
(b) Freedom to entry and exit
(c) No close substitutes
(d) Only two firms in the market

210. Not an objective of price discrimination?
(a) To enjoy economics of scale
(b) To dispose off surplus stock
(c) To escape foreign market
(d) To secure equity through pricing

2023- DECEMBER

211. In which type of oligopoly the firm sell their product through a centralized body.
(a) Open oligopoly (b) Full oligopoly
(c) Organized oligopoly (d) Syndicated oligopoly

212. In the perfect competition, an individual firm demand curve is.
(a) Horizontal (b) Vertical
(c) Downward sloping (d) Upward sloping

213. Electricity commission sells electricity of cheaper rate for home consumption in rural areas than for industrial consumption this is an example of.
(a) Perfect competition (b) Price discrimination
(c) Product discrimination (d) Price taker

214. Which of the following is not a feature of the monopoly market.
(a) Single seller of the product (b) Large sellers of the product
(c) No close substitutes (d) Market power

215. The relationship between AR and MR of a monopoly firm or imperfect competition is :
(a) AR cannot be zero, but MR can be zero or negative
(b) AR can be zero, MR also be zero or negative
(c) AR cannot be zero, MR cannot be zero negative
(d) AR can be zero, but MR cannot be zero or negative

216. A Market structure in which there is only a single buyer and a single seller is known as-
(a) Bilateral monopoly (b) Duopoly
(c) Oligopsony (d) Monopsony

217. Telecom industry is an example of-
(a) Monopoly (b) Perfect competition
(c) Monopolistic (d) Oligopoly

218. XYZ deals with financial products. Its demand curve will be.
(a) Horizontal axis; Perfectly elastic
(b) Vertical Axis; Perfectly inelastic
(c) Horizontal axis; inelastic
(d) Vertical axis; elastic

219. A firm will close down in the short period if its average revenue is less than its:
(a) Average cost (b) Average variable cost
(c) Marginal cost (d) Average fixed cost

2024- JUNE

220. In which market the price elasticity of demand is infinity?
(a) Perfect competition (b) Monopolistic competition
(c) Oligopoly (d) Monopoly

221. Strategic interdependence is a characteristic of which type of following market?
(a) Monopoly (b) Perfect competition
(c) Monopolistic competition (d) Oligopoly

222. Relation between AR and MR in a monopoly is stated as:
(a) AR can be zero, MR can be zero or negative
(b) AR and MR both are upward sloping
(c) AR curve lies halfway between MR and Y axis
(d) Slope of MR is twice of AR

223. In which form of market patents and copyrights given by the government to protect intellectual property rights?
(a) Perfect competition
(b) Monopoly
(c) Monopolistic competition
(d) Oligopoly

224. Which feature of monopolistic competition differs from perfect competition?
(a) Large number of sellers
(b) Freedom of entry and exit
(c) Product differentiation
(d) No super normal profits in long run

225. If electricity department is charging Rs. 3 per unit to farmers and Rs. 7 per unit to industries it is described us:
(a) Product differentiation (b) Price discrimination
(c) Monopoly (d) Differentiation activity

226. When few firm of oligopolistic market come to a common understanding with each other in fixing price and output, it is called _____.
(a) Syndicate oligopoly (b) Collusive oligopoly
(c) Perfect oligopoly (d) Open oligopoly

2024- SEPTEMBER

227. When should a competitive firm consider shutting down its operations?
(a) When the price is below Average Variable Costs (AVC).
(b) When the price is above Total Variable Costs (TVC).
(c) When the price is equal to Total Revenue (TR).
(d) When the price is constant.

228. The supply curve of a perfectly competitive firm in the short run is:
(a) the portion of the Marginal Cost curve which lies above the minimum point of Average Variable Cost curve
(b) the portion of the Marginal Cost curve which lies below the minimum point of Average Variable Cost curve
(c) the portion of the Average Cost curve which lies below the minimum point of Average Variable Cost curve
(d) the part of the Average Cost curve which lies above the Marginal Cost curve.

229. Three major smartphone manufacturers, Alpha Tech, Beta Mobile, and Gamma Gadgets, dominate the smartphone market. These companies are in constant competition for market share and innovation. Which type of the market structure has been described in the scenario?
(a) Oligopoly (b) Monopoly
(c) Perfect Competition (d) Monopolistic Competition

230. Talcum powder market is an example of which of the following market?
(a) Imperfect Oligopoly (b) Collusive Oligopoly
(c) Open Oligopoly (d) Close Oligopoly

231. A software company engages in price discrimination for its product. The company identifies different market segments and charges different prices based on perceived differences in willingness to pay. This is possible under which situation?
(a) A Monopoly (b) Monopolistic competition
(c) Perfect competition (d) Oligopoly competition

232. Condition for equilibrium of firm under perfect competition:
(a) Where Average Revenue (AR) is equal to the Average Cost (AC)
(b) Where Marginal Revenue (MR) is equal to the Marginal Cost (MC)
(c) MC curve cuts MR curve from below
(d) Where MR = MC and also MC curve cuts MR curve from below

233. A market structure in which all firms individually are price takers is known as:
(a) Monopoly (b) Monopolistic competition
(c) Perfect competition (d) Oligopoly

234. According to the Kinked demand curve hypothesis, why does the demand curve facing an oligopolist have a 'Kink' at the prevailing price level?
(a) To make the demand curve visually interesting
(b) To create confusion among competitors
(c) The segment above price is highly elastic, and below it is inelastic
(d) It is a graphical error in the representation

235. A market structure in which there is only a single buyer and a single seller is known as:
(a) Bilateral Monopoly (b) Monopsony
(c) Oligopoly (d) Duopoly

236. Monopolistic Competition is characterized by:
(a) Many sellers selling differentiated products to many buyers
(b) many sellers selling identical products to many buyers
(c) Few sellers selling identical products to many buyers
(d) Few sellers selling competing products to selective buyers

2025- JANUARY

237. Identify the correct below mentioned condition/conditions for equilibrium of a firm under perfect competition:
(I) MR = MC
(II) MR > MC
(III) MR < MC
(IV) MC should have a positive slope
(V) MC should have a negative slope
(a) (II) and (V) (b) (II) and (V)
(c) (III) and (IV) (d) (I) and (IV)

238. When a perfect competitive firm earns _____, its average revenues are more than its average total cost.
(a) supernormal profits
(b) normal profits
(c) normal profits and supernormal profits
(d) losses

239. Market for soaps and detergents are the appropriate example of:
(a) monopoly (b) oligopoly
(c) monopolistic competition (d) perfect competition

240. Downward sloping and highly inelastic demand curve is the feature of:
(a) monopoly (b) oligopoly
(c) monopolistic competition (d) perfect competition

241. Market characterized by a single buyer of a product or service and is mostly applicable to factor markets in which a single firm is the only buyer of a factor is known as:
(a) Oligopsony (b) Duopoly
(c) Bilateral monopoly (d) Monopsony

242. Assume that when price is Rs. 20, the quantity demanded is 9 units, and when price is Rs. 19, the quantity demanded is 10 units. Based on this information, what is the marginal revenue resulting from an increase in output from 9 units to 10 units?
(a) Rs. 20 (b) Rs. 19 (c) Rs. 10 (d) Rs. 1

243. Average revenue curve is also known as:
(a) Profit curve (b) Demand curve
(c) Average cost curve (d) Indifference curve

244. In oligopoly, when the industry is dominated by one large firm which is considered as leader of the group, then it is called:
(a) open oligopoly (b) collusive oligopoly
(c) partial oligopoly (d) syndicated oligopoly

2025- MAY

245. Which of the following is not a feature of the monopoly market?
(A) Single buyer of the products (B) Barriers to entry
(C) No close substitutes (D) Market power

246. Which of the following is not a condition for price discrimination?
(A) The seller should have price setting power.
(B) The seller should be able to divide his market into two or more sub markets.
(C) The price elasticity of the product should be different in different sub markets.
(D) It should be possible for buyers of low-priced market to resell the product to the buyers of high-priced market.

247. Under second degree price discrimination, different prices are charged for
(A) Each individual consumer (C) Customer segment
(B) Location (D) Different quantities sold

248. Kinked demand curve model of oligopoly is also called:
(A) Sweezy's Model (B) McKinsey's Model
(C) Oskar's Model (D) Neumann's Model

249. The oligopoly market in which few firms come to a common understanding with each other in fixing price or output or both is called:
(A) Pure Oligopoly (B) Collusive Oligopoly
(C) Partial Oligopoly (D) Syndicated Oligopoly

2025- SEPTEMBER

250. A competitive firm should shut down if:
(A) Its total revenues are less than the total cost.
(B) Its total revenues are less than the marginal revenues.
(C) Its total revenues are less than the average variable cost.
(D) Its total revenues are less than the fixed cost.

251. Which one of the following is not the object of price discrimination?
(A) To earn maximum profit
(B) To enjoy economies of scale
(C) To hold excess stock
(D) To secure equity through pricing

252. Identify the correct formula for Marginal Revenue (MR) when there is a one-unit change in output.
(A) $MR_n = TR_n - TR_n\text{-}1$
(B) $MR_n = TR_n + TR_n\text{-}1$
(C) $MR_n = TR_n \times TR_n\text{-}1$
(D) $MR_n = TR_n / TR_n\text{-}1$

253. Which type of firm has the market power to charge a price above marginal cost and earn a positive profit?
(A) A perfectly competitive firm
(B) A monopolistic competitive firm
(C) A monopoly firm
(D) A firm in an oligopolistic market

2026- JANUARY

254 If output increases from 60 units to 70 units, leading to an increase in total revenue from Rs. 100 to Rs. 120. What is the marginal revenue?
(A) Rs. 10 (B) Rs. 20 (C) Rs. 100 (D) Rs. 2

255. In a monopoly market if ATC > AR:
(A) Firm will earn normal profits
(B) Firm will earn super normal profits
(C) Firm will earn abnormal profit
(D) Firm will incur losses

256. The cross elasticity of demand for monopolist's product and any other product is:
(A) 1 (B) Less than 1
(C) Greater than 1 (D) Zero or very small

257. Which of the following is not true for long run equilibrium of a perfectly competitive industry?
(A) All firms in the industry are in equilibrium.
(B) All firms are earning super normal profits.
(C) The price of the product is such that quantity supplied by the industry is equal to the quantity demanded by consumers.
(D) Plants are used to full capacity in the long run.

258. If the price elasticity of demand is 1, MR will be:
(A) 0 (B) 1 (C) Positive (D) Negative

259. Consider a monopolist selling in two markets. At a price of Rs. 60, the elasticity of demand in market A is 5 and in market B is 6. Calculate the marginal revenue in both markets and determine which market should receive more output.
(A) Market A, MR 48; Market B, MR 50; output to market B should increase
(B) Market A, MR 50; Market B, MR 48; output to market A should increase
(C) Both markets have equal MR
(D) Neither market should change output

260. Which characteristic is shared by monopoly and monopolistic competition, but NOT by perfect competition?
(A) Price equal to marginal cost
(B) Supernormal profits in long run
(C) Price higher than marginal cost
(D) No selling costs

261. First degree price discrimination in a monopolist market is based on:
(A) Attributes such as location
(B) Different quantities sold
(C) Each individual customer
(D) Different markets

262. In the kinked demand curve scenario for oligopoly, what happens when a firm raises its price above the prevailing level?
(A) Competitors follow and raise prices
(B) The demand becomes perfectly inelastic
(C) The firm loses market share as competitors do not follow
(D) The demand curve becomes horizontal

263. The slope of MR curve for a monopoly firm is _____ that of the AR curve.
(A) Equal to (B) Twice (C) Three times (D) Half

2026- MAY

264. From the information below, calculate the marginal revenue of the 4th unit.
[TR at unit 3 = Rs.240; TR at unit 4 = Rs.300]
(A) Rs. 75 (B) Rs. 80 (C) Rs. 66 (D) Rs. 60

265. Calculate the AR, when MR = 15 and price elasticity of demand = 1.5.
(A) 30 (B) 60 (C) 45 (D) 22.5

266. Complete the statement by selecting the correct option. A firm earns economic profit _____.
(A) If price = Minimum ATC
(B) If price > Minimum ATC
(C) If price < Minimum ATC
(D) If price < Average Variable Cost

QUESTIONS FOR PRACTICE

1. New firms are barred from entering the market in
   (a) Perfect competition (b) Oligopoly
   (c) Monopolistic competition (d) Monopoly

2. If oligopolists engage in collusion and successfully form a cartel, the market outcome is
   (a) The same as if it were served by a monopoly
   (b) The same as if it were served by competitive firms
   (c) Efficient because cooperation improves efficiency
   (d) Known as Nash equilibrium

3. Which of the following statements is correct?
   (a) In a perfectly competitive market, firms are price takers.
   (b) Microeconomics is the study of the behaviour of the economy as a whole.
   (c) Positive economics focuses on welfare of the people of a society
   (d) None of the above

4. A rational person does not act unless_____.
   (a) the action is ethical.
   (b) the action produces marginal costs that exceed marginal benefits.
   (c) the action produces marginal benefits that exceed marginal costs.
   (d) the action makes money for the person.

5. What is the shape of the demand curve faced by a firm under perfect competition?
   (a) Horizontal (b) Vertical
   (c) Positively sloped (d) Negatively sloped

6. In long run equilibrium the pure monopolist can make pure profits because of
   (a) Blocked entry (b) The high price he charges
   (c) The low LAC costs (d) Advertising

7. Under the perfect competition a firm will be in Equilibrium when :
   (a) MC = MR
   (b) MC cuts the MR from below
   (c) MC is rising when it cuts the MR
   (d) All of the above

8. A perfectly competitive firm has control over
(a) price
(b) production as well as price
(c) production, price and consumers
(d) none of the above

9. The demand curve facing an industrial firm under monopoly is
(a) horizontal straight line (b) indeterminate
(c) downward sloping (d) upward sloping

10. Price discrimination is not possible:
(a) under monopoly situation
(b) under any market firm
(c) under monopolistic competition
(d) under perfect competition

11. In short run, a firm in monopolistic competition
(a) always earns profits
(b) incurs losses
(c) earns normal profit only
(d) may earn normal profit, supernormal profit or incur losses

12. In the case of monopoly:
(a) MR curve cannot be defined
(b) AR curve cannot be defined
(c) the short run supply curve cannot be defined
(d) none of the above

13. Full capacity is utilized only when there is
(a) Monopoly (b) Perfect competition
(c) Price discrimination (d) Oligopoly

14. One characteristic not typical of oligopolistic industry is:
(a) Too much importance to non-price competition
(b) Price leadership
(c) Horizontal demand curve
(d) A small number of firms in the industry

A competitive firm sells as much as of its product it chooses at a market price of ₹ 100 per unit. Its fixed cost is ₹ 300 and its variable costs (in rupees) for different levels of production are shown in the following table.

Use Table 1 to answer questions 15 - 18.

Qty.	Variable Cost	Fixed Cost	Total Cost	Average Variable Cost	Average Total Cost	Marginal Cost
0	0	-	-	-	-	-
5	270					
10	490					
15	720					
20	1000					
25	1370					
30	1870					
35	2540					
40	3420					
45	4550					
50	5970					

15. When production is 35 units, the average variable cost is:
(a) ₹ 7.25 (b) ₹ 72.25 (c) ₹ 72.57 (d) ₹ 85.50

16. In the table marginal cost per unit that corresponds to 25 units of production is -
(a) ₹ 3.50 (b) ₹ 74 (c) ₹ 450 (d) ₹ 370

17. To maximize output, the firm should produce-
(a) 30 (b) 35 (c) 45 (d) 50

18. If the market price drops from ₹ 100 to ₹ 74, the firm short run response should be: _____
(a) Continue to produce the same number of units as before the drop in price
(b) Produce 10 units
(c) Produce 20 units
(d) Produce 25 units

19. The kinked demand hypothesis is designed to explain in the context of oligopoly
(a) Price and output determination
(b) Price rigidity
(c) Price leadership
(d) Collusion among rivals

20. The structure of the tooth paste industry in India is best described as:
(a) Perfectly competitive (b) Monopolistic
(c) Monopolistically competitive (d) Oligopolistic

21. When we know that the firm are earning just normal profits:
(a) AC = AR (b) MC = MR
(c) MC = AC (d) AR = MR.

22. The kinked demand curve model of oligopoly assumes that:
(a) response (of consumers) to a price increase is less than the response to a price decrease
(b) response (of consumers) to a price increase is more than the response to a price decrease
(c) elasticity of demand is constant regardless of whether price increases or decreases
(d) elasticity of demand is perfectly elastic if price increases and perfectly inelastic if price decreases

23. Diminishing marginal returns imply
(a) decreasing average variable costs
(b) decreasing marginal costs
(c) increasing marginal costs
(d) decreasing average fixed costs

24. Which of the following statement is incorrect?
(a) Even monopolist can earn losses
(b) Firms in a perfectly competitive market are price-takers
(c) It is always beneficial for a firm in the perfectly competitive market to discriminate prices
(d) Economic laws are less exact than the laws of physical sciences

25. If a competitive firm doubles its output, its total revenue:
(a) doubles.
(b) more than doubles.
(c) less than doubles.
(d) cannot be determined because the price of the good may rise or fall.

26. Which of the following involve a trade-off?
(a) Taking a nap
(b) All of these answers involve trade-offs.
(c) Watching a football game on Saturday afternoon
(d) Going to university

27. In the short run if a perfectly competitive firm finds itself operating at a loss, it will :
(a) Reduce the size of its plant to lower fixed costs
(b) Raise the price of its product
(c) Shutdown
(d) Continue to operate as long as it covers its variable cost

28. Excess capacity is not found under_____
(a) Monopoly (b) Monopolistic competition
(c) Perfect competition (d) Oligopoly

29. Administered prices refer to:
(a) Prices determined by forces of demand and supply
(b) Prices determined by sellers in the market
(c) Prices determined by an external authority which is usually the government
(d) None of these

30. If the price of Orange Juice increases, the demand for Apple Juice will_____
(a) increase (b) decrease
(c) remain the same (d) become negative

31. If good growing conditions increases the supply of strawberries and hot weather increases the demand for strawberries, the quantity of strawberries bought
(a) increases and the price might rise, fall or not change
(b) does not change but the price rises
(c) does not change but the price falls
(d) increases and the price rises

32. When a market is in equilibrium:
(a) No shortages exist
(b) A price is established that clears the market
(c) A price is established that clears the market
(d) All of the above are correct

33. Agricultural goods markets depict characteristics close to
(a) Perfect competition (b) Oligopoly
(c) Monopoly (d) Monopolistic competition

34. "I am making a loss, but with the rent I have to pay, I can't afford to shut down at this point of time." If this entrepreneur is attempting to maximize profits or minimize losses, his behavior in the short run is:
(a) Rational, if the firm is covering its variable cost
(b) Rational, if the firm is covering its fixed cost
(c) Irrational, since plant closing is necessary to eliminate losses
(d) Irrational, since fixed costs are eliminated if a firm shuts down

35. Monopolies are allocatively inefficient because:
(a) They restrict the output to keep the price higher than under perfect competition
(b) They charge a price higher than the marginal cost
(c) Both (a) and (b) are correct
(d) Both (a) and (b) are incorrect

36. When e = 1 then MR is
(a) positive (b) zero (c) one (d) negative

37. Which of the following involve a trade-off?
(a) Taking a nap
(b) all of these answers involve trade-offs
(c) Watching a football game on Saturday afternoon
(d) going to university

38. If demand for goods and services is more than their supply, the resultant inflation is:
(a) Cost push inflation (b) stagflation
(c) deflation (d) demand pull inflation

39. In the long-run, some firms will exit the market if the price of the good offered for sale is less than:
(a) marginal revenue (b) marginal cost
(c) average total cost (d) average revenue

40. Price discrimination will be profitable only if the elasticity of demand in different markets in which the total market has been divided is:
(a) uniform (b) different (c) less (d) zero

41. Suppose a firm is producing a level of output such that MR > MC, what should be firm do to maximize its profits?
(a) The firm should do nothing
(b) The firm should hire less labour

(c) The firm should increase price
(d) The firm should increase output

42. Assume that when price is ₹ 20, the quantity demanded is 15 units, and when price is ₹ 18, the quantity demanded is 16 units. Based on this information, what is the marginal revenue resulting form an increase in output from 15 units to 16 units?
(a) ₹ 18 (b) ₹ 16 (c) ₹ 12 (d) ₹ 28

43. When the monopolist divides the consumers into separate sub markets and charges different prices in different sub-markets it is known as
(a) first degree of price discrimination
(b) second degree of price discrimination
(c) third degree of price discrimination
(d) none of these

44. The firm and the industry are one and the same in_____
(a) Perfect competition (b) Monopolistic competition
(c) Duopoly (d) Monopoly

45. If the average cost is higher than the average revenue then the firm incurs_____
(a) Normal profit (b) Abnormal profit
(c) Loss (d) No profit, no loss

46. Secular period is also known as
(a) very short period (b) short period
(c) very long period (d) long period

47. Stock exchange market is an example of
(a) unregulated market (b) regulated market
(c) spot market (d) none of these

48. When e < 1 then MR is
(a) negative (b) zero (c) positive (d) one

49. A relative price is:
(a) price expressed in terms of money
(b) the ratio of one money price to another
(c) equal to money price
(d) none of these

50. The condition for pure competition to be fulfilled are-
(a) large numbers of buyers and sellers
(b) products are homogeneous
(c) firms are free from entry and exit from the market
(d) all of the above

51. When the frim is in the long run equilibrium in perfect competition which of the following is true-
(a) AC = MR
(b) TR = TC
(c) the firm are earning supernormal profit
(d) none of these

52. Which is not the characteristics of monopolistic competition:
(a) large number of sellers
(b) homogeneous product
(c) freedom of entry and exit
(d) non price discrimination

53. Demand Curve in the monopolistic competition is-
(a) infinitely elastic
(b) downward sloping and highly inelastic
(c) downward sloping and more elastic demand curve
(d) none of these

54. The concept of price rigidity in Sweezy's model is related to which market from:
(a) oligopoly market (b) perfect competition market
(c) monopoly market (d) monopolistic market

55. Which of the following statement is correct?
(a) there is no difference between a firm and an Industry
(b) monopolist may raise the price and restrict the output
(c) heterogeneous product are offered for sale in perfect competition
(d) in monopolistic competition product differentiation is peculiar

56. Foreign Exchange market is an example of-
(a) perfect competition (b) oligopoly
(c) monopoly (d) monopolistic competition

57. Under which market form price discrimination con not persist-
(a) oligopoly (b) monopolistic competition
(c) monopoly (d) perfect competition

58. The relationship between AR, MR and Price Elasticity-
(a) MR = AR x e- 1/ e (b) AR = MR x e- 1/ e
(c) AR – MR = e- 1/ e (d) None of these

59. The price elasticity for Monopolistic Firm is:
(a) e > 1 (b) e < 1 (c) e = 1 (d) none of these

60. Dynamic fare charged by Indian railways is an example of:
(a) pure monopoly (b) discriminating monopoly
(c) perfect competition (d) none of these

61. Price discrimination is possible when
(a) seller should have some control over the supply of the Product
(b) price elasticity of the product should be different in different submarket
(c) seller should be able to divide his market into two or more submarket
(d) none of these

62. The shape of TR curve of the monopolist is:
(a) U shaped (b) inverted u shaped
(c) downward sloping (d) none of these

63. The firm and industry are same in:
(a) duopoly (b) monopoly
(c) perfect competition (d) none of these

64. Under perfect competition the supply curve is derived from:
(a) MC curve (b) AC curve
(c) TC curve (d) none of these

65. When average cost is equal to average revenue of a frim, it gets_____
(a) sub normal profit (b) normal profit
(c) super profit (d) abnormal profit

66. A rise in supply and demand in equal proportion will result in-
(a) increase in equilibrium price and decrease in equilibrium quantity
(b) decrease in equilibrium price and increase in equilibrium quantity
(c) no change in equilibrium price and increase in equilibrium quantity
(d) increase in equilibrium price and no change in equilibrium quantity

67. When the output increases from 20 to 30 units and TR increases from Rs. 400 to Rs. 500 then MR is
(a) 20 (b) 10 (c) 15 (d) none of these

68. Break even point indicate which of the following?
(a) TR = TC (b) TR > TC
(c) TR = TVC (d) none of these

69. Average revenue curve is more elastic under monopolistic competition than monopoly due to
(a) low degree of governmental control
(b) lack of close substitute
(c) availability of close substitute
(d) none of these

70. The Government offer minimum assured price to the farmers to purchase their output is called:
(a) market Price (b) support Price
(c) equilibrium Price (d) ceiling price

71. The price in collusive oligopoly is decided by:
(a) firm (b) price leader
(c) industry (d) none of these

72. The shape of TC Curve of the monopolist is_____
(a) U shape (b) S shape
(c) Inverse S shape (d) None of these

73. Unique supply curve in monopoly is not due to_____
(a) P > MC (b) P < MC
(c) P = MC (d) None of these

74. Shampoo manufactures is an example of:
(a) Perfect Competition (b) Monopolistic competition
(c) Monopoly (d) None of these

75. Reliance Jio can be described as part of which form to market structure:
(a) Oligopoly (b) Monopoly
(c) Duopoly (d) Perfect Competition

76. Price elasticity of demand of a firm is infinite in_____
(a) Monopoly (b) Perfect competition
(c) Oligopoly (d) Monopolistic competition

77. Price Discrimination cannot be implemented?
(a) When there is perfect competition in the market
(b) Elasticity of demand must be different in both the market
(c) Two or more market which can be separated and can be kept separate.
(d) All of the above

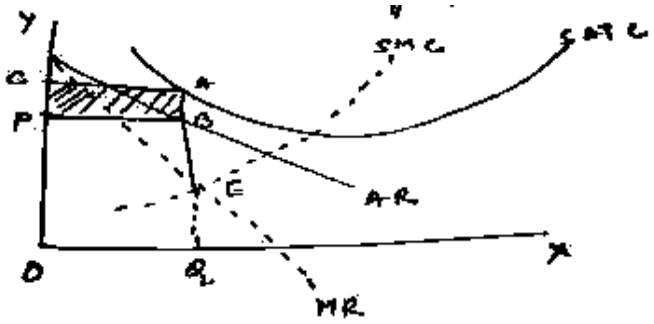
78. Raw materials and other factors of production is not monopolized, and labour is not uninonised in which form of market structure:
(a) Monopoly (b) Perfect competition
(c) Monopolistic competition (d) Oligopoly

79. AR is different from MR under:
(a) Monopoly (b) Monopolistic competition
(c) Perfect competition (d) Both (a) and (b)

80. Wild Animals had destroyed the entire crops of a farmer what effect it will have on the price in perfect competition:
(a) Price will remain constant (b) Price will decrease
(c) Price will decrease (d) None of these

81. Cross elasticity of product in Monopoly is:
(a) Zero (b) High
(c) Infinity (d) None of these

82. In the following diagram the Monopolist is incurring



(a) Losses (b) Profit
(c) Super normal profit (d) None of these

83. The dilemma faced by a Monopolistic is setting_____ .
(a) Price (b) Output
(c) Both a and b (d) Either a or b

84. Cartels can be formed in which form of market:
(a) Perfect competition (b) Monopoly
(c) Oligopoly (d) None of these

85. Average revenue curve is more elastic under monopolistic competition than under monopoly due to:
(a) Government control
(b) Availability of close substitute
(c) Lack of no substitute
(d) None of these

86. Entry of firms is barred in which form of market structure:
(a) Oligopoly (b) Monopoly
(c) Perfect Competition (d) Monopolistic Competition

87. In the absence of competition the monopolist:
(a) The monopolist need not produce at the optimal level
(b) Produce at the optimal level
(c) Either a or b
(d) None of these

88. Which of the following statement is correct?
(a) An industry consists of many firms.
(b) Price rigidity is an important feature of monopoly.
(c) Under perfect competition factors of production do not move freely
(d) Selling cost are possible under perfect competition.

89. Monopolistic Competition theory architect was :
(a) Roden (b) Marx (c) J R Hicks (d) Chamberlin

90. Which markets form has features or selling cost :
(a) Oligopoly (b) Monopolistic Competition
(c) Monopoly (d) None of these

91. Cinema Halls, Telephone bills etc are following
(a) Differential Pricing (b) Full cost pricing
(c) Marginal Cost Pricing (d) None of these

92. Perfect competition is closely represented by:
(a) Stock market (b) Wheat market
(c) Soft drinks market (d) (a) and (b) above

93. When will a firm decides to exit the industry:
(a) Total cost curve starts rising
(b) Marginal cost starts rising
(c) Average cost starts rising
(d) Price is less than LAC

94. If e < 1 the marginal revenue will be:
(a) Positive (b) Negative
(c) Zero (d) None of these

95. If ATC > AR the monopolist will be incurring_____
(a) Losses (b) Profit (c) Neutral (d) None of these

96. Electricity companies sells electricity at a cheaper rate in rural areas than for industrial use due to:
(a) Price discrimination (b) Perfect competition
(c) Monopolistic competition (d) None of these

97. Pears, Liril & Dove are example of:
(a) Perfect competition (b) Monopoly
(c) Monopolistic competition (d) None of these

98. Which of the following is not the characteristic of Oligopoly market:
(a) Strategic independence
(b) Importance of advertising and selling cost
(c) Group behavior
(d) Regional market

99. The element of market are:
(a) Buyers and sellers (b) A product or service
(c) Geographical area (d) Bargaining for a price

100. For a price taking firm:
(a) Marginal revenue is less than price
(b) Marginal revenue is equal to price
(c) The relationship between behavior marginal revenue and price is indeterminate
(d) Marginal revenue is greater than price

101. Monopolist charges different price for his commodity in discriminating monopoly implies:
(a) At different places
(b) For different uses
(c) From different group of consumers
(d) Any of the above

102. Full capacity is utilized only when there is:
(a) Perfect competition (b) Monopoly
(c) Monopolistic competition (d) Price discrimination

103. 'Competition among the few' is also referred as:
(a) Oligopoly (b) Monopoly
(c) Monopolistic competition (d) None of these

104. The Product under Pure Monopoly is:
(a) Homogenous (b) Differentiated
(c) Unrelated (d) None of these

105. Perfectly competitive firm and industry are both in long run equilibrium when:
(a) P = MR = SMC = LMC
(b) P = MR = Lowest point on the LAC
(c) P = MR = SAC = LAC
(d) All of the above

106. A market refers to_____
(a) Meeting place of buyer and seller
(b) Does not necessarily refer to meeting place between buyer and seller
(c) Extends over a city
(d) Extends over the entire nation

107. An economic profit is earned by a perfectly competitive frim when:
(a) MR < MC (b) P < ATC
(c) P > AVC (d) P > ATC

108. In Oligopoly the firms may collude in order to:
(a) Increase competition
(b) Prisoner dilemma for buyers
(c) To raise the price of the good they offer
(d) None of these

109. In which of the market firm price discrimination cannot persist:
(a) Monopoly (b) Oligopoly
(c) Monopolistic competition (d) Perfect competition

110. In monopoly and monopolistic competition:
(a) Average Revenue > Marginal Revenue
(b) Average Revenue < Marginal Revenue
(c) Average Revenue = Marginal Revenue
(d) None of these

111. After identifying the markets the enterprise has to make decision regarding 4Ps which one of the following is not one of those 4Ps:
(a) Promotion (b) Population
(c) Place (d) Produce

112. The kinked demand curve of Oligopoly is useful in explaining
(a) The process by which oligopolistic merge
(b) How the collusion work
(c) Price and output are sensitive to charge in marginal cost
(d) Why of living increase when business cycle is operating at its

113. Long Run Period normal price for a competitive firm will be:
(a) Equal MC of production only
(b) Equal TC of production only
(c) Equal AC and MC of production
(d) None of these

114. Monopolistic competition has features of
(a)Monopoly and competition with features of monopoly predominating
(b)Monopoly and competition with feature of competition predominating
(c) Monopoly but not competition
(d) None of these

115. A firm normal profit earned are included in_____
(a) Explicit cost (b) Implicit cost
(c) Variable cost (d) Fixed cost

116. In case of perfect competition how much selling cost are incurred:
(a) Negligible (b) Zero (c) Very high (d) Very less

117. Marginal revenue is equal to price in which form of market:
(a) Perfect competition (b) Monopoly
(c) Oligopoly (d) Monopolistic competition

118. In Oligopoly the demand curve is :
(a) Indeterminate (b) Highly Elastic
(c) Less Elastic (d) Perfectly Elastic

119. Price elasticity of demand under monopoly is _____
(a) Infinity (b) Equal to one
(c) Less than one (d) None of these

120. There is an inverse relation between price and demand for the products of a firm under:
(a) Monopoly only
(b) Monopolistic Competition only
(c) Both Monopoly and Monopolistic Competition
(d) Perfect competition

121. The market price cannot be influenced by a seller under :
(a) Monopolistic Competition (b) Monopoly
(c) Perfect Competition (d) All the above

122. Entry of new firm is monopoly is :
(a) Possible only in the long run
(b) Possible only in the Short run
(c) Restricted at all times
(d) Both (a) and (b)

123. Nuclear Power represents which type of market structure:
(a) Government Monopoly (b) Perfect Competition
(c) Monopolistic Competition (d) Oligopoly

124. Monopoly Market and Monopsony market combination is called :
(a) Duopoly Market (b) Oligopoly Market
(c) Bilateral Monopoly Market (d) Monopolistic Market

125. Price discrimination cannot persist under which of the market form:
(a) Monopolistic (b) Monopoly
(c) Perfect Competition (d) Oligopoly

126. Time elements was conceived by :
(a) Paul Sweezy (b) Hicks
(c) Marshall (d) Simon Kuznets

127. Will there be any change in price charged by the monopolistic if elasticity of demand – 2 :
(a) Yes (b) No
(c) Neutral (d) None of these

128. Price discrimination is desirable as :
(a) It promotes equity (b) It makes production feasible
(c) Both (a) and (b) (d) None of these

129. Which of the following can be classified as Oligopoly Market :
(a) Wheat Farming
(b) Clothing Industry
(c) Restaurant Industry
(d) Long distance Telephone Service

130. A firm maximizes profit in the short run in Perfect Competition by deciding :
(a) What Price to charge (b) How much output to produce
(c) To enter a market or not (d) None of these

131. The Pure monopolist in the long run can make pure profit due to :
(a) High Selling Price (b) Advertising
(c) Low LAC Cost (d) Blocked entry

132. In kinked demand curve model the Oligopolist :
(a) Do not collude
(b) Recognise their independence
(c) Tend to keep price constant
(d) All the above

133. Which market can be described as "competition among the few".
(a) Monopoly (b) oligopoly
(c) duopoly (d) perfect competition

134. Which of the following model is related to oligopoly market-
(a) Stackelberg's model (b) Cournot model
(c) Bertrand model (d) All of above

135. In which of the following market Structure "Efficient level of output" will be same as "Equilibrium level of output" in long run-
(a) Monopoly (b) Oligopoly
(c) Perfect competition (d) Can not be equal

136. For maximization of profit in Perfect competitive firm which of the following condition should be satisfied-
(a) MC curve cut MR curve from below
(b) MC curve should be positive slope while MC=MR
(c) Both a & b
(d) None of these

137. Which of the following statement is correct in respect of 'Economic Goods'-
(a) It is scare in relation to their demand
(b) It have an opportunity cost
(c) It is exchangeable in market
(d) All of the above

138. Which of the following statement is correct-
(a) 'Exchange value is power in exchange over purchasable goods' according to Ricardo'
(b) Market are generally classified into product market and factor market
(c) Both a & b
(d) None of these

139. A firm encounters its "shutdown point" when:
(a) average total cost equals price at the profit-maximizing level of output
(b) average variable cost equals price at the profit-maximizing level of output
(c) average fixed cost equals price at the profit-maximizing level of output
(d) marginal cost equals price at the profit-maximizing level of output

140. Under market condition, firms make normal profits in the long run.
(a) Perfect Competition (b) Monopoly
(c) Oligopoly (d) None of the above

141. Which of the following is not a characteristic of a "price-taker"?
(a) TR = P x Q
(b) AR = Price
(c) Negatively – sloped demand
(d) Marginal Revenue = Price

142. When the perfectly competitive firm and industry are in long run equilibrium then:
(a) P = MR = SAC = LAC
(b) D = MR = SMC = LMC
(c) P = MR = Lowest point on the LAC curve
(d) All of the above

143. In monopoly, the relationship between average and marginal revenue curves is as follows:
(a) AR curve lies above the MR curve
(b) AR curve coincides with the MR curve
(c) AR curve lies below the MR curve
(d) AR curve is parallel to the MR curve

144. In perfect competition the firm's _____ above AVC has the identical shape of the firm's supply curve
(a) Marginal revenue curve (b) Marginal cost curve
(c) Average cost curve (d) None of the above

145. Price discrimination is a situation when a producer
(a) Charges different prices in different markets
(b) Charges same price
(c) Charges many prices
(d) All of the above.

146. Which of the following statements about price and marginal cost in competitive and monopolized markets is true?
(a) In competitive markets, price equals marginal cost; in monopolized markets, price equals marginal cost.
(b) In competitive markets, price exceeds marginal cost; in monopolized markets, price exceeds marginal cost.
(c) In competitive markets, price equals marginal cost; in monopolized markets, price exceeds marginal cost.
(d) In competitive markets, price exceeds marginal cost; in monopolized markets, price equals marginal cost.

ANSWERS:-

CLASS QUESTIONS FOR PRACTICE

1	D	11	A	21	C	31	C	41	B	51	B
2	A	12	C	22	B	32	D	42	C	52	C
3	C	13	C	23	D	33	D	43	C	53	D
4	C	14	A	24	A	34	C	44	B	54	C
5	C	15	D	25	C	35	A	45	C	55	C
6	D	16	D	26	D	36	D	46	D	56	A
7	D	17	B	27	C	37	D	47	C	57	A
8	A	18	B	28	B	38	B	48	B	58	C
9	D	19	B	29	B	39	B	49	D	59	C
10	B	20	C	30	A	40	A	50	D	60	A

PAST EXAM QUESTIONS

1	D	41	D	81	A	121	C	161	A	201	D	241	D
2	A	42	C	82	B	122	C	162	D	202	A	242	C
3	D	43	A	83	A	123	B	163	A	203	B	243	B
4	D	44	A	84	B	124	C	164	A	204	B	244	C
5	B	45	A	85	B	125	A	165	A	205	B	245	A
6	D	46	D	86	A	126	C	166	A	206	B	246	D
7	D	47	A	87	D	127	A	167	B	207	D	247	D
8	C	48	D	88	B	128	A	168	A	208	A	248	A
9	C	49	B	89	D	129	B	169	D	209	C	249	B
10	B	50	C	90	A	130	D	170	D	210	C	250	C
11	B	51	C	91	C	131	B	171	D	211	D	251	C
12	D	52	C	92	A	132	B	172	C	212	A	252	A
13	B	53	A	93	C	133	C	173	B	213	B	253	C
14	C	54	B	94	A	134	A	174	A	214	B	254	D
15	C	55	C	95	C	135	C	175	A	215	A	255	D
16	B	56	D	96	C	136	B	176	B	216	A	256	D
17	C	57	D	97	C	137	B	177	C	217	D	257	B
18	C	58	B	98	C	138	D	178	C	218	A	258	A
19	A	59	B	99	D	139	D	179	D	219	B	259	A
20	C	60	C	100	C	140	A	180	B	220	A	260	C
21	D	61	B	101	C	141	A	181	B	221	D	261	C
22	C	62	D	102	C	142	A	182	C	222	D	262	C
23	A	63	B	103	B	143	A	183	B	223	B	263	B
24	B	64	A	104	A	144	A	184	A	224	C	264	D
25	C	65	B	105	C	145	A	185	A	225	B	265	C
26	A	66	A	106	C	146	C	186	A	226	B	266	B
27	C	67	A	107	A	147	A	187	D	227	A		
28	D	68	B	108	C	148	B	188	A	228	A		
29	B	69	A	109	A	149	D	189	C	229	A		
30	D	70	C	110	D	150	C	190	A	230	A		
31	C	71	B	111	D	151	D	191	A	231	A		
32	A	72	B	112	D	152	C	192	C	232	D		
33	C	73	D	113	D	153	B	193	C	233	C		
34	D	74	C	114	D	154	A	194	D	234	C		
35	D	75	D	115	B	155	C	195	C	235	A		
36	D	76	B	116	C	156	A	196	D	236	A		
37	D	77	B	117	A	157	A	197	C	237	D		
38	D	78	C	118	A	158	A	198	A	238	A		
39	B	79	B	119	B	159	B	199	A	239	C		
40	D	80	A	120	D	160	C	200	A	240	A		

QUESTIONS FOR YOUR PRACTICE

1	D	31	A	61	B	91	A	121	C
2	A	32	D	62	B	92	B	122	C
3	A	33	A	63	B	93	D	123	A
4	C	34	A	64	A	94	B	124	C
5	A	35	C	65	B	95	A	125	C
6	A	36	B	66	C	96	A	126	C
7	D	37	B	67	B	97	C	127	A
8	D	38	D	68	A	98	D	128	C
9	C	39	C	69	C	99	C	129	D
10	D	40	B	70	B	100	B	130	B
11	D	41	D	71	B	101	D	131	D
12	C	42	C	72	C	102	A	132	D
13	B	43	C	73	A	103	A	133	B
14	C	44	D	74	B	104	B	134	D
15	C	45	C	75	A	105	D	135	C
16	B	46	C	76	B	106	B	136	C
17	A	47	B	77	A	107	D	137	D
18	A	48	A	78	B	108	C	138	C
19	B	49	B	79	D	109	D	139	B
20	C	50	D	80	A	110	A	140	A
21	A	51	C	81	A	111	B	141	C
22	B	52	B	82	A	112	D	142	D
23	C	53	C	83	D	113	C	143	A
24	C	54	A	84	C	114	B	144	B
25	A	55	C	85	B	115	B	145	A
26	B	56	A	86	B	116	B	146	C
27	D	57	D	87	A	117	A		
28	C	58	A	88	A	118	A		
29	C	59	B	89	D	119	C		
30	A	60	B	90	B	120	C		

CHAPTER 5- BUSINESS CYCLES

CLASS QUESTIONS FOR PRACTICE

1. The term business cycle refers to
   (a) The ups and downs in production of commodities
   (b) The fluctuating levels of economic activity over a period of time
   (c) Decline in economic activities over prolonged period of time
   (d) Increasing unemployment rate and diminishing rate of savings

2. A significant decline in general economic activity extending over a period of time is-
   (a) Business cycle (b) Contraction phase
   (c) Recession (d) Recovery

3. The trough of a business cycle occurs when _____hits its lowest point.
   (a) Inflation in the economy
   (b) The money supply
   (c) Aggregate economic activity
   (d) The unemployment rate

4. The lowest point in the business cycle is referred to as the:
   (a) Expansion. (b) Boom. (c) Peak. (d) Trough.

5. A leading indicator is-
   (a) A variable that tends to move along with the level of economic activity
   (b) A variable that tends to move in advance of aggregate economic activity
   (c) A variable that tends to move consequent on the level of aggregate economic activity
   (d) None of the above

6. A variable that tends to move later than aggregate economic activity is called
   (a) A leading variable. (b) A coincident variable.
   (c) A lagging variable. (d) A cyclical variable.

7. Industries that are extremely sensitive to the business cycle are the-
   (a) Durable goods and service sectors.
   (b) Non-durable goods and service sectors.
   (c) Capital goods and non-durable goods sectors.
   (d) Capital goods and durable goods sectors.

8. A decrease in government spending would cause-
(a) The aggregate demand curve to shift to the right.
(b) The aggregate demand curve to shift to the left.
(c) A movement down and to the right along the aggregate demand curve.
(d) A movement up and to the left along the aggregate demand curve.

9. Which of the following does not occur during an expansion?
(a) Consumer purchases of all types of goods tend to increase.
(b) Employment increases as demand for labour rises.
(c) Business profits and business confidence tend to increase
(d) None of the above.

10. Which of the following best describes a typical business cycle?
(a) Economic expansions are followed by economic contractions.
(b) Inflation is followed by rising income and unemployment.
(c) Economic expansions are followed by economic growth and development.
(d) Stagflation is followed by inflationary economic growth.

11. During recession, the unemployment rate _____ & output_____.
(a) Rises; falls (b) Rises; rises
(c) Falls; rises (d) Falls; falls

12. The four phases of the business cycle are-
(a) Expansion, peak, contraction and trough
(b) Contraction, expansion, trough and boom
(c) Expansion contraction, peak, and trough
(d) Peak, depression, bust, and boom

13. Leading economic indicators_____
(a) are used to forecast probable shifts in economic policies
(b) are generally used to forecast economic fluctuations
(c) are indicators of stock prices existing in an economy
(d) are indicators of probable recession and depression

14. When aggregate economic activity is declining, the economy is said to be in-
(a) Contraction. (b) An expansion.
(c) A trough. (d) A turning point.

15. Peaks and troughs of the business cycle are known collectively as-
(a) Volatility. (b) Turning points.
(c) Equilibrium points. (d) Real business cycle events.

16. The most probable outcome of an increase in the money supply is-
(a) interest rates to rise, investment spending to rise, and aggregate demand to rise
(b) interest rates to rise, investment spending to fall, and aggregate demand to fall
(c) interest rates to fall, investment spending to rise, and aggregate demand to rise
(d) interest rates to fall, investment spending to fall, and aggregate demand to fall

17. Which of the following is not a characteristic of business cycles?
(a) Business cycles have serious consequences on the well-being of the society.
(b) Business cycles occur periodically, although they do not exhibit the same regularity.
(c) Business cycles have uniform characteristics and causes.
(d) Business cycles are contagious and unpredictable.

18. Economic recession shares all of these characteristics except.
(a) Fall in the levels of investment, employment
(b) Incomes of wage and interest earners gradually decline resulting in decreased demand for goods and services
(c) Investor confidence is adversely affected and new investments may not be forthcoming
(d) Increase in the price of inputs due to increased demand for inputs

19. The different phases of a business cycle-
(a) do not have the same length and severity
(b) expansion phase always last more than ten years
(c) last many years and are difficult to get over in short periods
(d) none of the above

20. Which of the following is not an example of coincident indicator?
(a) Industrial production
(b) inflation
(c) Retail sales
(d) New orders for plant and equipment

21. According to _____ trade cycles occur due to onset of innovations.
(a) Hawtrey (b) Adam Smith
(c) J M Keynes (d) Schumpeter

22. Economic indicators are –
(a) A one stroke solution to check the phase of economy
(b) Indicators showing the movement of economy
(c) Some activities which predict the direction of economy
(d) Just an illusion

23. Which economic indicator is required to predict the turning point of business cycle?
(a) Leading indicator (b) Lagging indicator
(c) Coincident (d) All of the above

24. Business cycle generally originates in free market economies, what is a free market economy?
(a) The economy where government is in possession of major assets
(b) The economy where private firms control major assets
(c) The economy where decisions of productions are taken by public sector undertakings
(d) The economy where price is controlled by government.

25. Which of the following statements is correct?
(a) The business cycle largely affects the agricultural sector
(b) The business cycle largely affects small employees
(c) The business cycle generally affects all sectors of economy but business sector in particular.
(d) The business cycle affects low wages workers

26. According to Keynes, fluctuations in Economic activities are due to-.
(a) Fluctuation in aggregate effective demand.
(b) Innovations
(c) Changes in money supply
(d) Fluctuation in agricultural output

27. Which of the following is the cause of business cycles?
(a) Fluctuations in aggregate effective demand
(b) Fluctuations in investments
(c) Fluctuations in government spending
(d) All of the above

28. Economists use changes in a variety of activities to measure the business cycle and to predict where the economy is headed towards which are called_____.
(a) Signals (b) Indicators (c)Barometer (d) Clues

29. If the growth rate of population is higher than the rate of economic growth, there will be _____in the economy.
(a) more savings (b) no effect on savings
(c) lesser savings (d) none of these

30. The cobweb theory was propounded by _____
(a) Hawtrey (b) Adam Smith
(c) J M Keynes (d) Nicholas Kaldor

PAST YEARS QUESTIONS

2018- MAY

1. Rampant unemployment is found in:
   (a) Boom (b) Recovery
   (c) Contraction (d) Depression

2. According to which economist trade cycle is a purely monetary for phenomenon
   (a) Schumpter (b) Pigou
   (c) Hawtrey (d) Marshall

3. Greatest depression suffered by economy in which year.
   (a) 1924 (b) 1930 (c) 2008 (d) 2009

4. Last stage of recession is called:
   (a) Depression (b) Recovery
   (c) Slowdown (d) All of these.

5. In the long run, a reduction in labour supply would cause output to_____ and the aggregate price level to_____.
   (a) fall; rise (b) fall, fall
   (c) rise, fall (d) rise, rise.

6. Which of the following macro economic variables would you include in an index of leading economic indicators?
   (a) Employment (b) Inflation
   (c) Real interest rates (d) Residential investment

7. Industries that are extremely sensitive to the business cycle are the-
   (a) durable goods and service sectors
   (b) non durable goods and service sectors
   (c) capital goods and non-durable goods sectors
   (d) capital goods and durable goods sectors

8. An economic variable that moves in the opposite direction as aggregate economic activity down in expansions, up in contractions is called.
   (a) procyclical (b) countercyclical
   (c) a cyclical (d) a leading variable

2018- NOVEMBER

9. How many phases are their in business cycle?
(a) Four (b) Five (c) One (d) Many

10. The world economy suffered the longest, deepest and most widespread depression of the 20th century during?
(a) 1934 (b) 1928 (c) 1930 (d) 1932

11. Business cycle is contagious and_____ in character?
(a) Local (b) Regional
(c) National (d) International

12. Which External Factor affect the business cycle?
(a) Population growth
(b) Variation in government spending
(c) Money supply
(d) Macro economic policies

13. Which internal factor affect the Business cycle?
(a) Fluctuations in investment (b) Natural factors
(c) Technology shocks (d) Population growth

14. Whose statement out of these is false?
(a) Hawtrey - "Trade cycle is purely Monetary phenomena"
(b) Keynes - "Fluctuations in aggregate Demand"
(c) Pigou - "Fluctuations in investment"
(d) Schumpeter - "Innovations"

15. When once peak is reached, increase in demand is halted, then_____ phase begins?
(a) Trough (b) Contraction
(c) Expansion (d) Trend

16. Fashion Retailer is business of?
(a) Cyclical business (b) Sun rise business
(c) Sluggish business (d) None of these

17. Features of business cycles include?
(a) Discuss periodically
(b) Have four different phases
(c) Originate in free Market Economy
(d) All of the above.

2019- MAY

18. Which of the following is true about leading indicators?
(a) Measurable economic factors
(b) Changes after real output
(c) Both (a) and (b)
(d) None

19. The internal causes of business cycle is-
(a) Fluctuation in effective demand
(b) Technology shocks
(c) Both (a) and (b)
(d) None

20. Economics activities will be declining in the phase of_____
(a) Expansion (b) Depression
(c) Contraction (d) Peak

21. Business Cycle occurs-
(a) Periodically (b) In different phases
(c) Both (a) and (b) (d) None of the above

22. According to some economists, _____are the prime causes of business cycles.
(a) Fluctuations in effective demand
(b) Fluctuations in investments
(c) Macroeconomic policies
(d) All of the above

23. Which is not related to great depression of 1930?
(a) It started in USA
(b)John Maynard Keynes regarded lower aggregate expenditure as the cause
(c) Excess Money Supply
(d) Both (a) and (b)

24. Which of the following is not the phase of business cycles?
(a) Prosperity (b) Upswing
(c) Reconstruction (d) Depression

25. Boom and depression in business cycle are
(a) Turning points (b) Equilibrium points
(c) Both (a) and (b) (d) None of the above

26. Which is not the characteristic feature of expansion phase in business cycle ?
(a) Increase in national output
(b) Unemployment
(c) Rise in price and costs
(d) Boost in business confidence

27. "Modern business activities are based on the anticipations of business community and are affected by waves of optimism or pessimism, according to_____
(a) Pigou (b) Keynes (c) Hawtrey (d) Schumpeter

28. Due to recession, employment rate and output _____
(a) Rises ; rises (b) Falls ; falls
(c) Rises ; falls (d) Falls ; rises

2019- NOVEMBER

29. Find the odd man out:
Which of these is not a coincident factor?
(a) Retail sale (b) Industrial production
(c) Inflation (d) New orders for plant & machine

30. Excess capacity in capital industries leads to
(a) Peak (b) Trough (c) Expansion (d) Recovery

31. Here, growth moves in reverse direction
(a) Peak (b) Expansion
(c) Contraction (d) Recovery

32. Frictional unemployment exists in
(a) Peak (b) Contraction
(c) Expansion (d) Recovery

33. In which stage maximum production occurs.
(a) Peak (b) Expansion
(c) Boom or Expansion (d) Tough or boom

34. Unemployment is caused due to structural changes is known as?
(a) Ethnic unemployment (b) Involuntary unemployment
(c) Structural (d) None

35. At trough production is?
(a) High (b) Low (c) Negative (d) None

36. Stage at which actual demand is stagnated?
(a) Peak (b) Boom or Peak (c) Contraction (d) Tough

37. A change of reaction producer cancel their order in which, stage?
(a) Peak (b) Contraction (c) Trough (d) None

38. Which of the following is true:
(a) Depression is secure form trough
(b) Depression causes fall in interest rate.
(c) Both (a) and (b)
(d) None

39. China's recent slowdown caused-
(a) Cycle of decline and panic across the world.
(b) Countries across the globe were able to insulate themselves from the crisis.
(c) Stock Markets in the emerging economics largely remained unaffected
(d) Old technology fuelled the economic decline.

40. What of the following are not external causes?
(a) Past war reconstruction
(b) Population growth
(c) Technology factors
(d) Fluctuation in effective demand

2020- NOVEMBER

41. Modern business activities are based on the anticipations of business community and are affected by waves of optimism (or) Pessimism is said by:
(a) Hawtrey (b) Pigou (c) Keynes (d) Schumpeter

42. Which of the following phase occurs after threat and before peak?
(a) Expansion (b) Depression
(c) Boom (d) Recession

43. Which indicators coincide as occur simultaneously with the business cycle movements?
(a) Lagging (b) Leading (c) Concurrent (d) Legal.

44. What is the most visible sign of recession in an economy?
(a) Fall in the level of employment
(b) Rise in the inventory cost
(c) Fall in price level
(d) Weakening stock market

45. Taxation policy of government is the part of:
(a) Monetary Policy (b) Fiscal Policy
(c) Exim Policy (d) Industry Policy

46. During trough phase of business cycle, the growth rate become:
(a) High (b) Low (c) Negative (d) Zero

47. _____is measurable economics factor that changes before economy starts to follow a particulars pattern of trend.
(a) Leading indicator (b) Coincident indicator
(c) Heading indicator (d) Concurrent indicator

48. Which of the following is an internal cause of business cycles?
(a) Wars
(b) Natural factors
(c) Fluctuation in effective demand
(d) Population growth

49. Phases of business cycles are:
(a) Peak, Recession, depression and recovery
(b) Bottom, recession, tough and boom
(c) Peak, depression, trough and boom
(d) Peak, depression, bust and boom

50. Which is not an example of coincident indicator?
(a) Inflation (b) GDP
(c) Interest rate (d) Financial market trend

51. During the phase _____there is fall in level of investment and employment.
(a) contraction (b) depression
(c) boom (d) recovery

52. The most important feature of business cycle is:
(a) Persuasive nature (b) Regular length
(c) Periodic intensity (d) None

2021- JANUARY

53. Feature of_____ is fall in interest rates and people's demand for holding liquid money.
(a) Contraction (b) Peak
(c) Trough & Depression (d) Recovery

54. Business that are more vulnerable to charges in business cycle and whose fortunes are closely linked to rate of economic growth are called as _____.
(a) Vulnerable Business (b) Cyclical Business
(c) Leading Business (d) Lagging Business

55. Optimistic and Pessimistic mood of business community also affects the economic activities is view of _____.
(a) Hawtrey (b) Schumpeter
(c) Pigou (d) Marshall

56. According to Hawtrey, which of the following is correct?
(a) Trade Cycle occurs as a result of innovation
(b) Trade Cycle is purely monetary phenomenon
(c) Fluctuation in economy activity is due to fluctuation in demand
(d) Fluctuation in government expenditure

57. The term business cycle refers to
(a) The ups and downs in production of commodities
(b) The fluctuation levels of economic activity over a period of time
(c) Decline in economic activities over prolonged period of time
(d) Increasing unemployment rate and diminishing rate of savings

58. During recession, the unemployment rate _____and output _____.
(a) Rises; Falls (b) Rises; Rises
(c) Falls; Rises (d) Falls; Falls

59. Which of the following is not a characteristic of business cycles?
(a) Business cycles have serious consequences on the well being of the society
(b) Business cycles occur periodically, although they do not exhibit the same regularity
(c) Business cycles have uniform characteristics and causes
(d) Business cycles are contagious and un predictable

60. According to_____ trade cycles occurs due onset of innovations.
(a) Howtrey (b) Adam Smith
(c) J. M. Keynes (d) Schumpeter

61. A measurable economic factor that changes before the economy starts follows particulars pattern/trend is:
(a) Leading Factor (b) Lagging Factor
(c) Coincident Factor (d) Concurrent Factor

62. Coincident indicators are also known as_____
(a) logging indicators (b) Concurrent indicators
(c) Effective indicators (d) Leading indicators

63. Business cycle is contagious and_____ in character?
(a) Local (b) Regional (c) National (d) International

64. The world economy suffered the congest deepest and most widespread depression of the 20th century during:
(a) 1934 (b) 1928 (c) 1930 (d) 1932

2021- JULY

65. Which phase of business cycle is characterised by increase in national output, employment, aggregate demand, capital and consumer expenditure sales, profits etc.,?
(a) Depression (b) Contraction
(c) Trough (d) Expansion

66. Coincident economic indicators are also called as
(a) Leading Indicators (b) Concurrent Indicators
(c) Headed Indicators (d) Capacity Indicators

67. According to whom "Business "fluctuations are the outcome of some psychological states of mind of business community".
(a) Marshall (b) A C. Pigou
(c) J.K. Hicks (d) Schumpeter

68. Which of the following is not a feature of business cycle?
(a) Business cycles are contagious and are international in character.
(b) Business cycles have uniform characteristics and causes.
(c) Business cycles have serious consequences on the well-being of the society.
(d) Business cycles generally originate in free market economies.

69. Variables that change before the real output changes are called as
(a) Trade cycle (b) Business cycle
(c) Leading indicators (d) Lagging indicators

70. In a typical business cycle, in which phase supply exceeds demand
(a) Expansion (b) Peak
(c) Contraction (d) Recovery

71. The rhythmic fluctuations in aggregate economic activity that an economy experiences over a period of time is called,
(a) Business cycle (b) Recession
(c) Contraction phase (d) Recovery

72. Variables that change after real output changes are known as-
(a) Leading indicators (b) Cyclical indicators
(c) Lagging indicators (d) Coincident indicators

73. Internal cause of Business cycles is
(a) Fluctuations in investments (b) Natural factors
(c) Technology shocks (d) Population growth

74. Which business cycle phases arc known as Turning Points?
(a) Trough and Depression (b) Peak and Trough
(c) Expansion and Contraction (d) Peak and Boom

75. Which aggregate economic activity is increasing, the economy is said to be in
(a) an expansion (b) a contraction
(c) a peak (d) a turning point

76. Which of the following is a variable in the index of leading indicators ?
(a) New consumer goods orders (b) Delayed deliveries
(c) New building permits (d) Prime landing rate

2021- DECEMBER

77. _____ is when economic activity is increasing?
(a) Peak (b) Depression
(c) Expansion (d) Contraction

78. According to which economist, trade cycle is a purely monetary phenomenon.
(a) Schumpter (b) Pigou (c) Hawtrey (d) Marshall

79. _____ is a measurable economic factor that changes at the same time when economy starts to follow a particular pattern of trend.
(a) Leading indicators (b) Coincident indicator
(c) Lagging indicator (d) Heading indicator

80. According to _____ fluctuations in economic activities are due to fluctuations in aggregated effective demand.
(a) Keynes (b) Hawtrey (c) Pigou (d) Marshal

81. _____phase is categorized by increase in national output, employment, aggregate demand, capital & consumer expenditure.
(a) Expansion (b) Contraction (c) Peak (d) Trough

82. In India, Monetary policy is implemented by_____
(a) RBI (b) SEBI (c) SBI (d) ICICI

83. Highest point of business cycle is known as _____
(a) Peak (b) Expansion
(c) Contraction (d) Trough

84. Which of the following is not the characteristic of business cycle?
(a) It is sporadic in nature
(b) It is contagious
(c) It is complex in nature
(d) They have uniform characteristics

85. Economic indicator required to predict the turning point of business cycle is :
(a) Leading indicator (b) Lagging indicator
(c) Coincident (d) All of these

2022- JUNE

86. Involuntary unemployment is zero in:
(a) Expansion (b) Peak
(c) Contraction (d) Trough

87. Actual demand stagnates in:
(a) Expansion (b) Peak
(c) Contraction (d) Trough

88. Typical feature of depression is _____ in the interest rate:
(a) Fall (b) Rise
(c) Constant (d) None of the above

89. Indicator which charges after the real output changes?
(a) Lagging indicator (b) Coincident indicator
(c) Leading indicator (d) Concurrent indicator

90. Coincident indicator is also known as:
(a) Concurrent indicator (b) Lagging indicator
(c) Leading indicator (d) None of the above

91. What is leading indicator in the following?
(a) Change in GDP (b) Change in stock price (Share Market)
(c) Unemployment (d) Commercial leading activity

92. _____ sector can not be a cyclical business.
(a) Electric goods (b) House building
(c) Agriculture (d) Restaurant

93. Which of the following is correct?
(a) Recession is severe form of depression
(b) Depression in a severe form of recession
(c) In case of depression interest rates rises
(d) All of the above

94. The lowest point in the business cycle is referred to as-
(a) Peak (b) Recession (c) Trough (d) Expansion

95. Which of the following is not the main feature of business cycle?
(a) Occurs periodically (b) Profit variation
(c) Worldwide impact (d) Asynchronous

2022- DECEMBER

96. Which of the following is not an example of cyclical business?
(a) Fashion retailers (b) House builders
(c) Restaurants (d) Washing powder

97. Recent example of the business cycle is the housing bubble of the US economy. This bubble got burst in:
(a) 1930 (b) 1998 (c) 2000 (d) 2007

98. Peaks and troughts of the business cycle are collectively known as:
(a) Volatility (b) Turning points
(c) Equilibrium points (d) Real business cycle events

99. Which of the following characteristics does not belong to expansion path of business cycles?
(a) Consumer spending on goods and services tend to rise
(b) Business confidence tends to rise
(c) Interest rates and profits tend to rise
(d) Unemployment tends to rise

100. Which of the following is not a fast-moving consumer goods?
(a) Groceries (b) Bakery
(c) Confectionaries (d) Automobile

101. The phase of business cycle in which growth rate becomes negative and the level of national income and expenditure declines rapidly resulting in widespread unemployment:
(a) Contraction (b) Recession
(c) Depression (d) Recovery

102. Trade cycles occur as a result of mismatch between aggregate demand function and aggregate supply functions who said this?
(a) Pigou (b) Schumpeter (c) Hawtrey (d) Keynes

103. According to _____trade cycles occur due to onset of innovations.
(a) Hawtrey (b) Adam Smith
(c) J.M. Keynes (d) Schumpeter

104. Which one of the following factor is an external cause or endogenous factor which may lead to boom or bust?
(a) Economical factor (b) Social factor
(c) Natural factor (d) Industrial factor

105. _____ are the variable that change after the real output changes?
(a) Leading indicator (b) Lagging indicator
(c) Coincident indicator (d) Concurrent indicator

106. According to monetarists, the price causes of business cycles are:
(a) Change in aggregate demand (b) Monetary supply
(c) Innovations (d) Present prices

107. 'Corporate profit' is an example of which type of indicator?
(a) Leading indicator (b) Coincident indicator
(c) Lagging indicator (d) Concurrent indicator

2023- JUNE

108. Coincident indicators are also called as:
(a) Lagging indicator (b) Leading indicator
(c) Concurrent indicators (d) None

109. Increase in national output and other economic variables is a characteristics of _____ in business cycles.
(a) Trough (b) Depression
(c) Contraction (d) Expansion

110. Those variables that change before the real output changes prior to large economic adjustments are called as:
(a) Coincident indicator (b) Leading indicator
(c) Concurrent indicator (d) Lagging indicator

111. Which of the following variables charges after real output changes?
(a) Coincident indicator (b) Leading indicator
(c) Concurrent indicator (d) Lagging indicator

112. Which of the following is not an internal factor?
(a) Fluctuations in effective demand
(b) Fluctuations in investment
(c) Macro economic policies
(d) Post war reconstruction

113. In which phase of business cycles, levels of investment and employment falls?
(a) Peak (b) Recession (c) Expansion (d) Contraction

114. Which of the following is not an example of lagging indicator?
(a) Consumer price index (b) Labour cost per unit
(c) Commercial lending (d) Personal income

115. Not a phase of business cycle:
(a) Peak (b) Trough (c) Expansion (d) Reconstruction

116. Which of the following is Extreme or Exogenous factor, that lead to boom or burst?
(a) Economic factor (b) Social factor
(c) Natural factor (d) Industrial factor

117. Which of the following industries are less sensitive to business cycle?
(a) Consumer goods industry
(b) Durable consumer goods industry
(c) Travel and tourism business
(d) Food Grain processing industries

118. Which is a feature of business cycle?
(a) Pervasive in nature
(b) Occurs in restrictive market economy
(c) Periodical regularity
(d) It has same reasons

2023- DECEMBER

119. Consumer price index number belongs to which of the following indictor ?
(a) Leading indicator (b) Lagging indicator
(c) Coincident indicator (d) Stock market indicator

120. Which of the following is an external cause of business cycle?
(a) Fluctuations of effective demand
(b) Microeconomic policy
(c) changes in government spending
(d) Technological shocks

121. Which of the following is a coincident indicator.
(a) New order of plant and Equipment
(b) Corporate profits
(c) GDP
(d) Labour cost per unit

122. Production of new and better goods and services using new technology.
(a) Troughs in business cycle
(b) Loss of employment
(c) Expansion of employment
(d) Reduced need investment

123. It is very important to understand the phase of business cycle and is relevant for new business because _____
(a) It affects the demand for their product.
(b) It helps frame appropriate policies and planning
(c) It helps to decide an entry into the market
(d) It affects their profits.

124. Expansionary monetary policy of government directs towards.
(a) Reduction in inflation
(b) Rising of aggregate demand
(c) Decline in employment rate
(d) Increase in interest rates

125. Which business cycles phase are collectively known as turning points?
(a) Peak & trough (b) Expansion & contraction
(c) Peak & boom (d) Trough & depression

126. A measurable economic factor that changes before the economy starts to choose a particular pattern is.
(a) Coincident indicator (b) Leading indicator
(c) Cyclical indicator (d) Lagging indicator

127. Which of the following is not a feature of business cycles?
(a) Business cycles are contagious and international in character
(b) The duration of these business cycles will vary
(c) The intensity of fluctuation varied
(d) The length of each phase is definite

128. XYZ is an Advertisement Agency. Its future projects are closely related to the rate of economic growth, Then XYZ business referred to as-
(a) Durable business (b) Non Durable business
(c) Cyclical business (d) Non Cyclical business

129. Which one of the following is not for expansion phase of business cycle?
(a) Involuntary unemployment is almost zero
(b) Price and costs also tend to rise faster
(c) Increase in capital and consumer expenditure
(d) Supply exceeds demand

2024- JUNE

130. Which is the external cause of business cycle?
(a) Variation in government spending
(b) Macroeconomics policies
(c) Psychological factors
(d) Technological shocks

131. The variable that changes after the real income changes is known as _____ indicator
(a) Leading (b) Lagging
(c) Co-incidental (d) They do not indicate anything

132. Find the correct option:

1. Hawterey	a. Innovation
2. Pigou	b. Money Supply
3. Schumpetes	c. Psychological factors
4. Keynes	d. Effective aggregate demand

(a) a, b, c, d (b) b, c, a, d
(c) a, b, d, c (d) b, a, d, c

2024- SEPTEMBER

133. During what time, the production of weapons and arms, etc. increase and most of the resources of the country are diverted for their production?
(a) Pre-War (b) Post-War
(c) War (d) Pace

134. In Recovery phase of business cycle, the process of reversal is initially felt in the:
(a) Labour market (b) Capital market
(c) Agriculture market (d) Financial market

135. When there is fall in the levels of investment and employment, producers do not instantaneously recognise the pulse of the economy. What is indicated by this situation?
(a) Expansion (b) Peak
(c) Contraction (d) Trough and Depression

136. What is the term for the lowest point of economic activity in a business cycle, where unemployment is high, and production is at its lowest?
(a) Trough and Depression (b) Prosperity
(c) Peak (d) Expansion

137. Business whose fortune is closely linked to the rate of economic growth is referred to as:
(a) Seasonal Business (b) Cyclical Business
(c) Static Business (d) Dynamic Business

2025- JANUARY

138. When entrepreneurs are pessimistic about future market conditions:
(a) It does not impact the economy
(b) Expansionary phase may begin
(c) Economy faces contraction in economic activities
(d) Investments tend to increase

139. Which of the following is not a characteristic of business cycle?
(a) They occur periodically
(b) They are recurrent
(c) They occur at regular intervals
(d) They have distinct phases of expansion, peak, contraction and trough

140. Which of the following is not an internal cause of business cycles?
(a) Fluctuations in effective demand
(b) Fluctuation in investment
(c) Variations in government spending
(d) Technology shock

141. Changes in stock price, new orders for capital and consumer goods are examples of:
(a) Leading indicators (b) Lagging indicators
(c) Coincident indicators (d) Non-economic indicators

142. Variables that change after the real output changes are called:
(a) Leading indicators (b) Lagging indicators
(c) Coincident indicators (d) Non-economic indicators

2025- MAY

143. During the upswing phase of business cycle, the involuntary unemployment is _____.
(A) Highest (B) Almost Zero
(C) Lowest (D) Not affected

144. The level of national income and expenditure declines rapidly during which phase of the business cycle?
(A) Upswing (B) Downswing
(C) Recovery (D) Trough and Depression

145. In all kinds of businesses, the different phases of business cycle generally occurs as:
(A) Having perfectly timed cycles
(B) No fixed time cycles but are regular
(C) Boom have longer period than Depression
(D) Depression have longer period than Boom

146. An indicator which gives information about the rate of change of the expansion or contraction of an economy is called _____ .
(A) Leading Indicator
(B) Lagging Indicator
(C) Both Leading and Lagging Indicator
(D) Co-incident Indicator

147. There is a war going between Country A and Country B for last two years. Now in the current year both countries have signed a peace agreement and war has come to an end. Now both countries have started to rebuild the losses caused due to war out of their own funds. Which type of cause of change in business cycle is this for Country A?
(A) Internal Cause
(B) External Cause
(C) Both Internal and External Cause
(D) This is not a cause of change in business cycle

2025- SEPTEMBER

148. The advent of mobile phones, which led to a boom in telecom industry, exemplifies which external cause of business cycles?
(A) Technology Disruptions (B) Technology Shocks
(C) Technology Regulations (D) Technology Limitations

149. Which of the following best describes the economic conditions during bad trade in a business cycle?
(A) Rising prices and low unemployment rate.
(B) Falling prices and high unemployment rate.
(C) High consumer confidence and rising wages.
(D) Increasing demand and production.

150. Business cycles typically consist of which of the following phases?
(A) Inflation, deflation, stagnation, growth
(B) Expansion, peak, contraction, trough
(C) Recession, depression, boom, stabilization
(D) Peak, decline, recovery, boom

151. Which of the following is true about the duration and intensity of business cycles?
(A) Business cycles have a fixed duration and intensity.
(B) Business cycles exhibit the same duration and intensity across all economies.
(C) Business cycles varies in duration and intensity, but they share common features.
(D) Business cycles do not vary in duration or intensity.

2026- JANUARY

152. Which of the following is not a lagging economic indicator?
(A) Unemployment
(B) Corporate profits
(C) Labour cost per unit of output
(D) Changes in stock price

153. Which of the following is not a characteristic of contraction?
(A) Fall in level of investments
(B) Fall in employment levels
(C) Decrease in input demand pulls input prices down
(D) Bank credit expands

154. Which of the following is not one of the three main macroeconomic goals for any nation:
(A) Universal education to all
(B) Economic growth
(C) High level of employment
(D) Price stability

155. Stagflation is:
(A) Increased taxes leading to reduced disposable income
(B) Economic situation where inflation and unemployment exist side by side
(C) Easy transmission of economic instability from one country to other countries
(D) Improved economic stability

156. In which phase of business cycle, actual demand stagnates?
(A) Expansion (B) Peak
(C) Contraction (D) Trough

157. According to Pigou, modern business activities are based on:
(A) Innovations
(B) Purely monetary phenomena
(C) Anticipations/expectations of business community
(D) Fluctuations in output and employment

158. Which phase of business cycle is also called downswing?
(A) Expansion (B) Contraction
(C) Trough (D) Depression

2026- MAY

159. Unemployment, corporate profit and labour cost per unit of output are examples of which type of economic indicators?
(A) Coincident (B) Lagging
(C) Concurrent (D) Leading

160. Which phase of business cycle is characterised by a rapid rise in output prices leading to increased cost of living and greater pressure on fixed income earners?
(A) Contraction (B) Prosperity
(C) Depression (D) Downswing

161. Which of the following is not an internal cause of business cycle?
(A) Natural factors
(B) Psychological factors
(C) Variation in Government spending
(D) Macroeconomic policies

162. Which of the following is not an example of coincident economic indicator?
(A) Changes in stock prices (B) Inflation
(C) Personal income (D) Industrial production

163. During which phase of the business cycle is expansionary fiscal policy most appropriate?
(A) Stagflation (B) Peak
(C) Expansion (D) Contraction

164. A fall in the levels of investment and employment and supply exceeding demand to a great extent is predominant in _____ phase of business cycle.
(A) Upswing (B) Boom (C) Expansion (D) Recession

QUESTION FOR YOUR PRACTICE

1. Cost of living increase when business cycle is operating at its_____.
   (a) Lowest point (b) Peak
   (c) Contracting (d) Expanding

2. Which is more prone to the adverse effects of the business cycle _____.
   (a) Services (b) Industries
   (c) Agriculture (d) None of these

3. To influence spending the monetary policy is directed at directly influencing in the short run:
   (a) Interest Rate (b) Unemployment
   (c) Inflation Rate (d) Growth Rate

4. Economic indicator required to predict the turning point of business cycle is:
   (a) Leading indicator (b) Lagging indicator
   (c) Coincident (d) All of the above

5. Coincident indicator is not indicated as:
   (a) Inflation
   (b) Industrial Production
   (c) Retail Sales
   (d) New order for Plant and equipment

6. Which of the following is not an external causes of Business Cycle:
   (a) Technology Shock (b) Fluctuations in Investment
   (c) Natural Factors (d) Population Growth

7. According to whom fluctuations in economic activities are due to fluctuations in aggregate effective demand:
   (a) Sclumpeter (b) Pigou
   (c) Keynes (d) Hawtrey

8. Collectively peaks and troughs together is known as:
   (a) Turning Points (b) Contraction
   (c) Expansion (d) A trough

9. Variables that change before the real output changes are called:
   (a) Lagging indicator (b) Leading Indicator
   (c) Concurrent Indicator (d) None of these

10. Economy's historical performance was reflected by:
(a) Lagging indicating (b) Leading indicating
(c) Either (a) or (b) (d) None of these

11. Fluctuations in Economic activities are due to:
(a) Aggregate demand
(b) Aggregate effective demand
(c) Effective demand
(d) None of these

12. During expansion phase of business cycle which of the following does not occur:
(a) Business profits and business confidence tend to increase
(b) Demand for labour increases as employment increases.
(c) Purchase of all types of goods is increased by consumer.
(d) None of these

13. Phase of business cycle are
(a) Expansion, peak, contraction, and trough
(b) Contraction, expansion, trough, and boom.
(c) Expansion, contraction, peak and trough
(d) Peak, depression, bust and boom

14. External causes of business Cycle are:
(a) Money Supply (b) Fluctuations in Investment
(c) Technological Shock (d) None of these

15. Great Depression of 1930's is an example of:
(a) Business cycle (b) Consumer sovereignty
(c) Freedom of choice (d) None of these

16. The Turning point of business cycle is predicted by:
(a) Leading Indicator (b) Coincident
(c) Lagging indicator (d) All the above

17. Modern business activities are based on the anticipations of business community and are affected by waves of optimism or pessimism:
(a) Pigou (b) Schumpeter
(c) Hawtrey (d) Keynes

18. What are the internal causes of business cycle?
(a) Fluctuations in effective demand
(b) Macroeconomic policies
(c) Money supply
(d) all of the above

19. According to Hawtrey trade cycle is a-
(a) monetary phenomenon (b) unplanned phenomenon
(c) fiscal phenomenon (d) all of the above

20. Which of the following describe a typical business cycle?
(a) economic expansions are followed by contractions
(b) inflation is followed by rising income and unemployment
(c) economic expansion are followed by economic growth and development
(d) stagflation is followed by inflationary growth

21. The lowest point in the business cycle is referred to as the
(a) Expansion (b) Boom (c) Peak (d) Trough

22. Economists use changes in a variety of activities to measure the business cycle and to predict where the economy is headed towards is called-
(a) Leading indicators (b) Indicators
(c) Lagging indicators (d) None of these

23. A significant decline in general economic activity extending over a period of time is-
(a) Business cycle (b) Contraction phase
(c) Recession (d) Recovery

24. According to_____ trade cycles occur due to onset of innovations
(a) Hawtrey (b) Adam smith
(c) J M Keynes (d) Schumpeter

25. Economic recession shares all of these characteristics except
(a) Fall in the levels of investment, employment
(b) Incomes of wage and interest earners gradually decline resulting in decreased demand for good and services
(c) Investor confidence is adversely affected and new investments may not be forthcoming
(d) Increase in the price of inputs due to increased demand for inputs

26. A variable that tends to move later than aggregate economic activity is called
(a) leading variable (b) a coincident variable
(c) a lagging variable (d) a cyclical variable

27. Industries that are extremely sensitive to the business cycle are the
(a) Durable goods and service sectors
(b) Non- durable goods and service sectors
(c) Capital goods and non- durable goods sectors
(d) Capital goods and durable goods sectors

28. **"**Housing bubble burst**"** are related to year –
(a) 2000 (b) 1930
(c) 2008 (d) none of the above

29. Business whoes fortunes are closely linked to the rate of economic growth are referred to as:
(a) Cyclical Business (b) Business cycle
(c) fortune business (d) All of the above

30. "Trade Cycle or Business cycle is a purely monetary phenomenon", this statement is according to –
(a) Pigou (b) Schumpeter
(c) Keynes (d) Hawtrey

ANSWERS:-

CLASS QUESTIONS FOR PRACTICE

1	B	7	D	13	B	19	A	25	C
2	B	8	B	14	A	20	D	26	A
3	C	9	D	15	B	21	D	27	D
4	D	10	A	16	C	22	C	28	B
5	B	11	A	17	C	23	D	29	C
6	C	12	A	18	D	24	B	30	D

PAST EXAM QUESTIONS

1	D	21	C	41	B	61	A	81	A	101	C	121	C	141	A	161	A
2	C	22	B	42	A	62	B	82	A	102	D	122	C	142	B	162	A
3	B	23	C	43	C	63	D	83	A	103	D	123	C	143	B	163	D
4	A	24	C	44	C	64	C	84	A	104	C	124	B	144	D	164	D
5	A	25	A	45	B	65	D	85	D	105	B	125	A	145	B		
6	D	26	B	46	C	66	B	86	A	106	B	126	B	146	D		
7	D	27	A	47	A	67	B	87	B	107	C	127	D	147	B		
8	B	28	B	48	C	68	B	88	A	108	C	128	C	148	B		
9	A	29	D	49	A	69	C	89	A	109	D	129	D	149	B		
10	C	30	B	50	C	70	C	90	A	110	B	130	D	150	B		
11	D	31	A	51	A	71	A	91	B	111	D	131	B	151	C		
12	A	32	C	52	A	72	C	92	C	112	D	132	B	152	D		
13	A	33	A	53	C	73	A	93	B	113	D	133	C	153	D		
14	C	34	C	54	B	74	B	94	C	114	D	134	A	154	A		
15	B	35	B	55	C	75	A	95	D	115	D	135	C	155	B		
16	A	36	B	56	B	76	C	96	D	116	C	136	A	156	B		
17	D	37	B	57	B	77	C	97	D	117	D	137	B	157	C		
18	A	38	A	58	A	78	C	98	B	118	A	138	C	158	B		
19	A	39	A	59	C	79	B	99	D	119	B	139	C	159	B		
20	C	40	D	60	D	80	A	100	D	120	D	140	C	160	B		

QUESTIONS FOR YOUR PRACTICE

1	D	11	B	21	D
2	B	12	D	22	B
3	A	13	A	23	C
4	D	14	C	24	D
5	D	15	A	25	D
6	B	16	D	26	C
7	C	17	A	27	D
8	A	18	D	28	C
9	B	19	A	29	A
10	A	20	A	30	D

ADDITIONAL QUESTIONS

1. Which of the following is/are limitation(s) of the wealth definitions of economics given by classical economists?
(A) By considering the problem of production distribution & exchange of wealth, they focused attention on important issues with which economics is concerned.
(B) By restricting the definition of wealth to material wealth & the neglect of immaterial services, they narrowed down the scope of economics.
(C) Both (A) and (B)
(D) None of these

2. According to which of the following definitions, economics studies human behavior regarding how he satisfied his wants with scare resources?
(A) Robbin's definition
(B) Marshall's definition
(C) J.B. Say's definition
(D) Adam Smith's definition

3. Which of the following falls within the domain of Normative Economics?
(A) How national income between different individuals is distributed?
(B) What actual wage rate is determined under monopsony in labour market?
(C) What wage should be paid to the labourers so that they should not be exploited?
(D) None of these

4. _____is concerned with welfare proposition.
(A) Normative Economics
(B) Positive Economics
(C) Both (A) and (B)
(D) None of these

5. Which of the following is/are correct about micro economics?
(A) Micro economics studies the economy in its totality.
(B) In micro economics we make a microscopic study of the economy.
(C) Micro economics deals with the division of total output among industries and firms & the allocation of resources among competing uses.
(D) Both (B) and (C)

6. "If Americans today, for example were to content to live at the level of the Indian middle class people, all their wants would be fully satisfied with their available resources and capacity to produce."
On the basis of the above statement, which of the following conclusion can be made?
(A) The possession of goods and services by USA has enormously increased to exceed their wants.
(B) The affluent and developed countries of USA and Western Europe face the problem of scarcity even today as their present wants remain a head of their increased resources and capacity to produce.
(C) The affluent and developed countries are not facing the problem of scarcity.
(D) None of these

7. If there is no central planning authority to make the fundamental economic decisions and thus to allocate productive resources, how can then free enterprise or capitalist economy solve its central problems?
(A) Through the power of God
(B) On the basis of decision taken by industrial groups.
(C) The free market economy uses the impersonal forces of the market to solve its central problems
(D) None of these

8. The industrialization and economic development of the USA, Great Britain and other Western European countries have taken place under the condition of_____.
(A) Socialism and planned structure
(B) Capitalism and laissez faire
(C) Mixed economic structure
(D) None of these

9. The greater the inequalities in the distribution of money incomes, the_____the inequalities in the distribution of national output.
(A) greater (B) lesser
(C) (A) or (B) (D) None of these

10. "A wise individual or a society likes to provide for its growth of productive capacity." This requires that a part of its resources should be devoted to the production of_____.
(A) Consumer goods (B) Capital goods
(C) Defense goods (D) None of these

11. In the beginning the name of economics was_____.
(A) Economics of wealth (B) Political economy
(C) Welfare economics (D) None of these

12. The word economics has been derived from a _____ word.
(A) French (B) Latin
(C) Greek (D) German

13. Economics is mainly concerned with
(A) the achievement of economic development
(B) the achievement and use of material requirements to satisfy human wants
(C) the exploring more resources to satisfy human wants
(D) the limiting human wants with respect to given resources

14. Business economics is a field in _____ which uses economic theory and quantitative methods to analyze business enterprises.
(A) Welfare Economics (B) Development Economics
(C) Applied economics (D) None of these

15. Business economics is based on micro economics in two categories_____ and_____.
(A) Positive, Normative (B) Qualitative, Quantitative
(C) Both (A) and (B) (D) None of these

16. Economics is a branch of _____ focused on the production, distribution and consumption of goods and services.
(A) Natural science (B) Physical science
(C) Social science (D) None of these

17. "Generally a business manager is concerned with problems of his own business units. He does not study the economic problems of an economy as a whole."
State whether the above statement is_____
(A) True (B) False
(C) Partly True (D) Partly False

18. Business economics is_____ in its approach.
(A) Idealistic (B) Pragmatic
(C) Both (A) and (B) (D) None of these

19. "A business manager must know the external forces working over his business environment." State whether the above statement is_____
(A) True (B) False
(C) Partly True (D) Partly False

20. The scope of business economics includes_____.
(A) Demand analysis (B) Cost analysis
(C) Inventory management (D) All of these

21. A socialist economy is a system of production where goods and services are produced_____.
(A) to generate profit (B) directly for use
(C) Both (A) and (B) (D) None of these

22. Which one of the following statements is correct regarding socialist economy?
(A) Production is planned or coordinated and suffers from the business cycle
(B) Production suffers from the business cycle
(C) Production is planned and does not suffers from business cycle
(D) None of these

23. Which of the following is not a merit of socialist economy?
(A) It provides equal access to health care and education
(B) Workers are no longer exploited because they own the means of production
(C) Profits are not spread equitably among all workers according to their individual contributions.
(D) Natural resources are preserved for the good of the whole.

24. Which of the following is/are the merit(s) of mixed economic system?
(A) Entrepreneurs able to make profit
(B) Progressive taxes to reduce inequality
(C) Government's provision of public goods
(D) All of the above

25. Capital intensive technique of production is used in_____.
(A) Developed Economy
(B) Underdeveloped Economy
(C) Labour surplus economy
(D) Capital surplus economy

26. The desire for a commodity by a person depends upon the_____ he expects to obtain from it.
(A) Utility (B) Pleasure
(C) Taste (D) None of these

27. People know utility of goods by means of_____.
(A) price (B) introspection
(C) demand (D) desire

28. Being utility varies with different persons.
(A) absolute (B) objective
(C) subjective (D) None of these

29. An important generalization about demand is described by_____.
(A) Law of demand (B) Factors affecting demand
(C) Quantity demanded (D) None of these

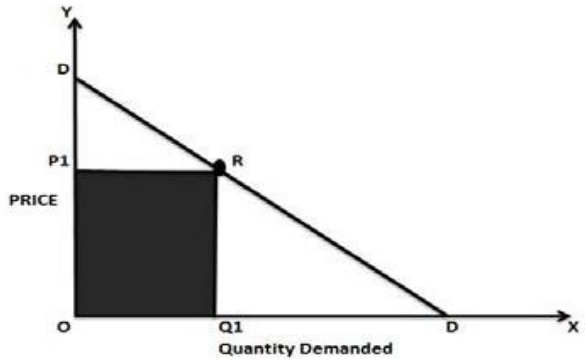
30. Successful business firms spend considerable time, energy and efforts in analyzing the_____ for their products.
(A) Supply (B) Price
(C) Demand (D) None of these

31. By way of an optimal choice, a consumer tends to
(A) save money
(B) purchase large quantity
(C) maximize satisfaction
(D) maximize satisfaction subject to constraints like tastes and preferences.

32. The economist's concept of demand is_____ as desire or need or choice or preference or order.
(A) the same thing (B) not the same thing
(C) (A) or (B) (D) None of these

33. The demand for labour in response to the wage rate is _____ whereas the demand for same labour in response to the price of electronic goods where labour enters as an input is _.
(A) Derived Demand, Direct Demand
(B) Direct Demand, Derived Demand
(C) Individual Demand, Market Demand
(D) Company Demand, Industry Demand

34. In the below figure, if DD is the demand curve and R is a given point on it then the area of shaded portion OP_1RQ_1 is_____



(A) Total Revenue (TR) (B) Marginal Revenue (MR)
(C) Total Cost (TC) (D) None of these

35. Which of the following groups of goods have inelastic demand?
(A) Salt, Smart Phone and Branded Lipstick
(B) School Uniform, Branded Goggles and Smart Phone
(C) Salt, School Uniform and Medicine
(D) Medicine, Branded Sports Shoes and Diamond ring

36. If the price of a commodity raised by 12% and Ed is (-) 0.63, the expenditure made on the commodity by a consumer will
(A) Decrease (B) Increase
(C) Remain same (D) Can't Say

37. A consumer's preferences are monotonic if and only if between two bundles, the consumer prefers the bundle which has _____
(A) more of one of the goods
(B) less of at least one of the goods
(C) more of at least one of the goods and less of the other good.
(D) more of at least one of the goods and no less of the other good.

38. During lockdown due to COVID-19, a consumer finds the vegetable vendors selling vegetables in the street have raised the prices of vegetables than usual prices. She will buy_____ vegetables than/as her usual demand showing the demand of vegetables is_____.
(A) more, inelastic demand
(B) less, elastic demand
(C) same, inelastic demand
(D) same, elastic demand

39. Which of the following is incorrect regarding indifference curve approach of consumer's behavior?
(A) Indifference curve analysis assumes utility is merely orderable and not quantitative.
(B) Consumer is capable of comparing the different levels of utilities or satisfactions from different commodities.
(C) Consumer can say by how much one level of satisfaction is higher or lower than other.
(D) None of these

40. According to ordinal approach of consumer's behavior-
(A) Consumer is able to indicate the exact amounts of utilities that he derives from commodity or any combinations of them.
(B) Utility being psychological feeling is not quantifiable.
(C) The consumer is capable of simply comparing the different levels of satisfaction.
(D) Both (B) and (C)

41. At saturation point of TU curve , the slope of TU curve is_____
(A) 1 (B) Infinity (C) Zero (D) Positive

42. Luxuries are goods that are
(A) Enjoyable and essential
(B) Enjoyable but not essential
(C) Essential but not enjoyable
(D) Neither enjoyable nor essential

43. Commodities such as prescribed medicines and salt have _____and_____ hence, have an_____ demand.
(A) Several substitutes, elastic
(B) Several substitutes, inelastic
(C) No close substitutes, inelastic
(D) No close substitutes, elastic

44. Let slope of demand curve is (-) 0.6, calculate elasticity of demand when initial price is $ 30 per unit and initial quantity is 100 units of the commodity.
(A) 0.5 (B) 5.55 (C) (-) 0.5 (D) (-) 0.18

45. Let $Q_X = \frac{1500}{px}$, the elasticity of demand of the good X when its price falls from $ 8 to $ 2 per unit, will be-
(A) greater than one (B) less than one
(C) equal to one (D) can't say

46. Budget line or price line is downward sloping because_____.
(A) There is inverse relationship between the price and demand of a commodity.
(B) If a consumer wants to buy more of one good, he has to buy less of other good at given money income.
(C) If a consumer wants to buy more of one goods, he has to buy less of other goods as his money income falls.
(D) None of these

47. While drawing budget line of a consumer consuming Nachos chips and Pepsi, if the quantity of Nachos taken on Y-axis and quantity of Pepsi on X-axis. The slope of budget line will be-
(A) P_P / P_N (B) P_N / P_P (C) M / P_N (D) M / P_P

48. If there is decrease in quantity supplied of a commodity, there will be-
(A) Upward movement on same supply curve
(B) Rightward shift in supply curve
(C) Downward movement on same supply curve
(D) Leftward shift in supply curve

49. Relationship between slope of supply curve and elasticity of supply can be defined as -
(A) Product of slope of supply curve and ratio of quantity supply to price
(B) Elasticity of supply is equal to the slope of supply curve.
(C) Product of reciprocal of supply curve and ratio of price to quantity supplied
(D) Elasticity of supply is equal to reciprocal of slope of supply curve.

50. A new technique of production reduces the marginal cost of producing paper. How will this affect the supply curve of writing material like notebook, register & notepad etc?
(A) Upward movement on same supply curve
(B) Downward movement on same supply curve
(C) Leftward shift in supply curve
(D) Rightward shift in supply curve

51. Supply and stock are _____
(A) same things (B) different
(C) having no comparison (D) Both (B) and (C)

52. Elasticity of demand and supply are_____ concepts.
(A) Relative (B) Absolute
(C) Both (A) and (B) (D) Neither (A) and (B)

53. Law of demand is a qualitative concept where as price elasticity of demand is_____.
(A) also qualitative concept
(B) Quantitative concept
(C) Quantitative and qualitative concept
(D) Neither qualitative nor quantitative concept

54. Which of the following statements is correct regarding indifference curve?
(A) Two ICs may not intersect each other.
(B) Two ICs may intersect each other

(C) Two ICs are always parallel to each other
(D) None of these

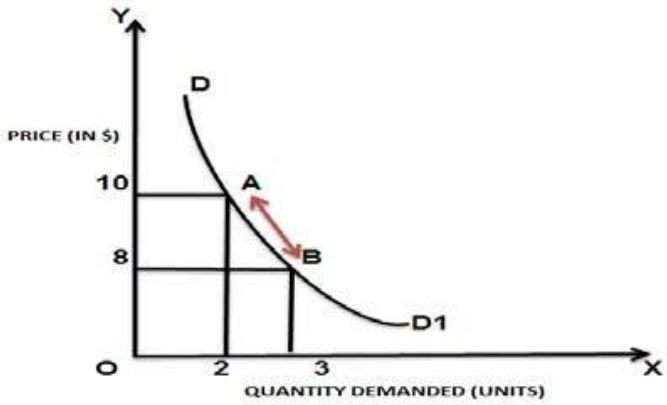
55. The most crucial determinant of demand for an item is_____.
(A) Income of consumer
(B) Prices of other related goods
(C) Taste and preference of consumer
(D) It's own price

56. The price of a piece of jewellery rises, the demand for it may also rise as consumers attach a _____ to owning and displaying expensive items.
(A) money value (B) use value
(C) snob value (D) None of these

57. With reference to Arc elasticity measures the responsiveness of demand_____ on the demand curve.
(A) at one given point
(B) at intercepts on X-axis & Y-axis
(C) between two points
(D) Any of the above

58.

In the above figure, DD1 is the demand curve of a commodity.



There are two points on the demand curve i.e., A and B with (P, Q) as (10, 2) & (8, 3) respectively. If the initial point is A OR initial point is B, the price elasticity of demand will be -
(A) same in both cases by point method of price elasticity of demand
(B) different in both cases by Arc method of price elasticity of demand
(C) same in both cases by Arc method & different by point method of price elasticity of demand
(D) None of these

59. Goods X and Y being independent goods, the cross price elasticity of demand (ignoring the sign) between them will be-
(A) 1 (unit elastic) (B) less than 1
(C) greater than 1 (D) Zero

60. Match the following

LIST-I		**LIST- II**
a.	Cardinal approach	1. Marginal utility
b.	Ordinal approach	2. Alfred Marshall
c.	Hicks& Allen approach	3. J.R.Hicks
d.	Consumer's Surplus	4. Indifference Curve
		5. Revealed preference theory

Codes: a		**b**	**c**	**d**
(A)	1	2	3	4
(B)	1	5	4	2
(C)	1	3	4	2
(D)	1	3	2	4

61. Condition of equilibrium using utility analysis of demand can be expressed as
(A) $MU_X/P_X = Q_X$ (B) $P_X Q_X = MU_M$
(C) $MU_X/P_X = MU_Y/P_Y = MU_M$ (D) $MU_X = MU_M$

62. Law of diminishing marginal rate of substitution is associated with
(A) Marshall (B) Hicks (C) Slutsky (D) Keynes

63. According to principle of diminishing marginal rate of substitution-
a. One commodity must be decreased while other is increased
b. Commodity which is increased has higher marginal significance
c. Commodity which is decreased has higher marginal significance
d. Neither qualitative nor quantitative concept Of these statements:
(A) Only a is correct (B) Both a and b are correct
(C) Both a and c are correct (D) All are correct

64. Which of the following statements is correct regarding property of indifference curve?
(A) Two IC_s may intersect each other.
(B) Two IC_s may not intersect each other
(C) Two IC_s are always parallel to each other
(D) Two IC_s may be parallel to each other

65. MU curve will be below X-axis when
(A) MU is zero (B) TU is falling
(C) MU is negative (D) Both (B) and (C)

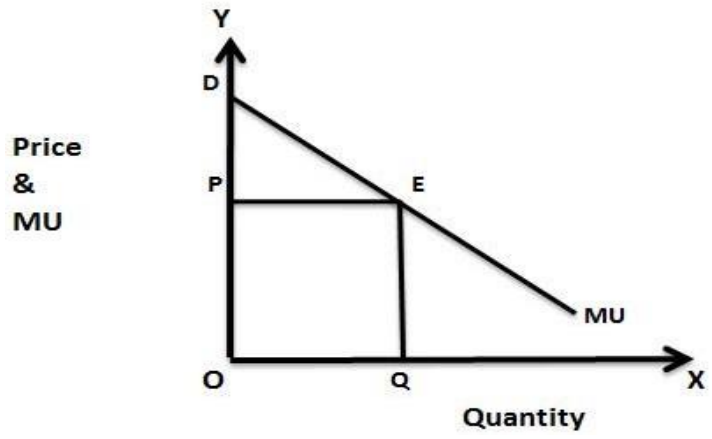
66. Match the following
List I
(a) for a given 10% change in price demand changes by zero percent.
(b) for a given 10% change in price demand changes by 5%
(c) for a given 10% change in price demand changes by 10%.
(d) for a given 10% change in price demand changes by 20%.
List II

1. e>1 2. e = 1 3. e <1 4. e = 0

Codes: a	**b**	**c**	**d**
(A)	3	1	2 4
(B)	4	3	2 1
(C)	1	2	3 4
(D)	2	3	1 4

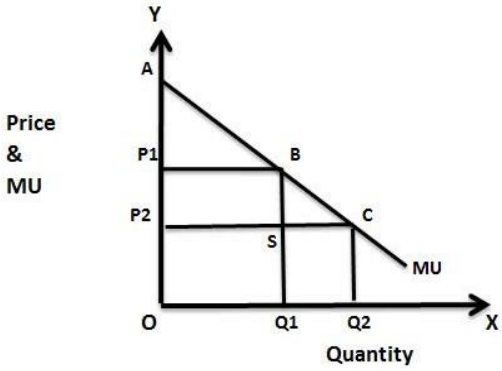
67. A falling MU curve illustrates
(A) The principle of diminishing marginal utility
(B) The principle of diminishing marginal rate of substitution
(C) The principle of equi-marginal utility
(D) Any of the above

68. In the following diagram, consumer's surplus is shown by-



(A) OPEQ (B) ODEQ
(C) PDE (D) None of these

69. In the following diagram, when the price of the commodity decreases from P1 to P2, the gain in consumer's surplus is equal to-



(A) AP_1B (B) AP_2C (C) P_1P_2CB (D) BSC

70. 'Ceteris Paribus' clause in Law of demand does not mean-
(A) The price of the commodity does not change
(B) The price of substitutes does not change
(C) The income of consumer does not change
(D) The price of complementary goods does not change

71. **Assertion (A):** In the short run, a producer operates in only II stage of Law of Diminishing Returns Where average product of variable factor is declining.
Reason (R): In stage I and stage III the marginal product of the fixed and the variable factors respectively are negative.
(A) (A) is true and (R) is false
(B) Both (A) & (R) are true & (R) is the correct explanation of (A)
(C) Both (A) & (R) are true & (R) is not the correct explanation of (A)
(D) (A) is false and (R) is true

72. In the long run which factor of production is fixed?
(A) Labour (B) Capital
(C) Building (D) None of these

73. Cost incurred which has 'no relevance' to future planning is called_____
(A) Marginal Cost (B) Sunk Cost
(C) Book Cost (D) Average Cost

74. Law of diminishing returns to scale is relevant to_
(A) Short period (B) Long period
(C) Market period (D) None of these

75. The Cobb-Douglas homogeneous production function given as: $Q = L^{1/2} k^{1/2}$ exhibits-
(A) Constant returns to scale
(B) Decreasing returns to scale

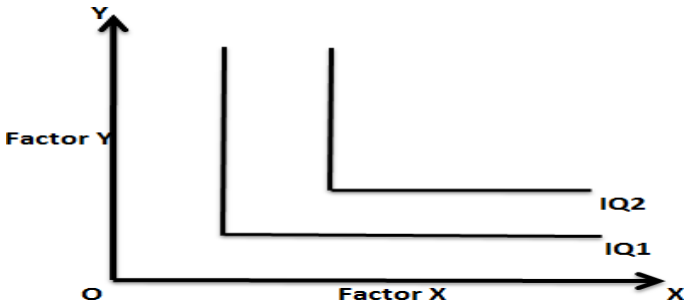
(C) Increasing returns to scale
(D) All of the above at various level of output

76. In second stage of the Law of Variable Proportion-
(A) MP diminishes & AP increases
(B) AP diminishes but MP increases
(C) Both MP& AP diminish
(D) Both MP& AP increase

77. If all inputs are increased in the same proportion, then it is the case of
1. Short run production function
2. Long run production function
3. Law of Variable Proportion
4. Law of Returns to Scale

(A) 1 & 2 only (B) 2 & 3 only
(C) 1 & 4 only (D) 2 & 4 only

78.



Iso-Quants shown in the above figure exhibits
1. Perfect substitutability of factors
2. Perfect complementarily of factors
3. Fixed proportion production function
4. Variable proportion production function

(A) 1 & 2 only (B) 1 & 3 only
(C) 3 & 4 only (D) 2 & 3 only

79. Match List I with List II and choose the correct answer using the codes given below.

	LIST-I	**LIST- II**
a.	MP is larger than AP	I. AP is at its maximum
b.	MP is equal to AP	II. AP is falling
c.	MP is smaller than AP	III. AP is rising

Codes:	**a**	**b**	**c**
(A)	I	II	III
(B)	III	I	II
(C)	II	III	I
(D)	III	II	I

80. Match the following and choose the correct answer using the codes given below.

Average Cost Marginal Cost

a. AC horizontal	I. MC will rise at a greater rate
b. AC rises	II. MC falls but at a higher rate
c. AC falls	III. MC falls at higher rate & then rises at higher rate
d. AC falls first & then rises	IV. MC will coincide with it

Codes:	a	b	c	d
(A)	IV	II	I	III
(B)	IV	I	II	III
(C)	I	II	III	IV
(D)	II	III	IV	I

81. Diminishing returns are due to _____ and increasing returns are due to _____

(A) Internal diseconomies, Internal economies
(B) Internal economies, Internal diseconomies
(C) External diseconomies, Internal economies
(D) Internal diseconomies, external economies

82. Cobb-Douglas function

When, P = Actual output
L = Labour
C = Capital
b = No. of units of labour
k = Exponent of labour
j = Exponent of capital is represented as-

(A) $P = b L^j C^k$ (B) $P = b L^{1/j} C^{1/k}$
(C) $P = b L^k C^j$ (D) $P = 1/ b L^k C^j$

83. **Assertion (A):** An iso-cost line is a straight line.
Reason (R): The market rate of exchange between the two inputs is constant.

(A) (A) is true and (R) is false
(B) Both (A) and (R) are true & (R) is the correct explanation of (A)
(C) Both (A) and (R) are true & (R) is not the correct explanation of (A)
(D) (A) is false and (R) is true

84. Marginal cost is less than the Average Cost when Average Cost falls with

(A) an increase in output (B) a decrease in output
(C) constant output (D) None of these

85. "Returns to Scale" refers to the effect on total output of changes in
(A) a factor
(B) various inputs separately
(C) all the inputs simultaneously
(D) None of these

86. Consider the following statements about the relationship between cost and production-
1. When AP rises, AVC falls
2. When AP reaches at maximum, AVC is minimum
3. When AP falls, AVC rises
Which of the above statements is correct?
(A) 1 & 2 (B) 3 only (C) 1, 2 & 3 (D) 2 & 3

87. Which one of the following is not a national objective of an enterprise?
(A) To provide fair deal to the employees at different levels.
(B) To remove inequality of opportunities & provide fair opportunity to all to work and to progress.
(C) To produce according to national priorities.
(D) To help the country become self reliant & avoid dependence on other nations.

88. An enterprise has social objectives as-
(A) It has to make profit from the society.
(B) It lives in society & it cannot grow unless it meets the needs of the society.
(C) It has a separate legal identity.
(D) None of these

89. Human objectives of an enterprise are-
(A) To provide fair deal to the employees at different levels.
(B) To develop new skills and abilities and provide a work climate in which they will grow mature.
(C) Only (A)
(D) Both (A) and (B)

90. Which of the following is not a problem of an enterprise?
(A) Problem relating to location & size.
(B) Problem of making huge profit.
(C) Problem relating to finance.
(D) Problem relating to organizational structure.

91. After identifying the market, the enterprise has to make decision regarding 4 Ps. Which one of the following is not one of these 4 Ps.
(A) Promotion (B) Place (C) People (D) Product

92. Which one of the following is not an assumption of law of variable proportion?
(A) Technology of production remains unchanged.
(B) Only physical inputs & output are considered.
(C) All units of variable factors are different.
(D) The must be some inputs whose quantity is kept fixed.

93. The schedule given below representing the combinations of two variable inputs (Labour & Capital) for two Isoquants of output 100 and 200 respectively.

	IQ_1			IQ_2		
Combinations	**Output**	**Capital**	**Labour**	**Output**	**Capital**	**Labour**
I	100	90	10	200	85	5
II	100	60	20	200	70	10
III	100	40	30	200	60	15
IV	100	30	40	200	55	20

On the basis of above schedule, which of the following statement is true?
(A) IQ_1 & IQ_2 are parallel to each other.
(B) IQ_1 & IQ_2 are non parallel & intersecting to each other.
(C) IQ_1 & IQ_2 are neither parallel nor intersecting each other.
(D) Can't say

94. Isoquant word is made up of two words i.e., Iso & Quant. Where quant means quantity of output then Iso means-
(A) Maximum (B) Equal
(C) Minimum (D) None of these

95. Isoquant curve is convex to the origin due to diminishing MRTS. If X-axis is labour (L) axis & Y-axis is Capital (K) axis then MRTS = ?
(A) $\frac{\Delta L}{\Delta K}$
(B) $\frac{\Delta K}{\Delta L}$
(C) $\frac{1}{\Delta K}$
(D) (A) and (B)

96. Which one of the following cost curve is rectangular hyperbola in shape?
(A) TFC (B) MC (C) AFC (D) AVC

97. The areas of all rectangles formed by drawing perpendiculars on both axis from different points on AFC curve are_____
(A) same (B) different
(C) (A) or (B) (D) can't be determined

98. The area of a rectangle formed by drawing perpendiculars on both axis from a point on AFC curve is equal to_____
(A) Total cost (B) Marginal cost
(C) Average cost (D) Total fixed cost

99. Which of the following is not a formula for marginal cost?
(A) $MC_N = TC_N - TC_{N-1}$
(B) $MC = \frac{\Delta TC}{\Delta Q}$
(C) $MC_N = TVC_N - TVC_{N-1}$
(D) $MC_N = TFC_N - TFC_{N-1}$

100. Which of the following is incorrect formula?
(A) TC = AC × Q (B) ∑ MC = TC
(C) ∑ MC = TVC (D) ∑ MC + TFC = TC

101. If the price of a product is Rs.20/unit and its price elasticity of demand is (-) 0.25. Its MR will be ₹_____.
(A) 60 (B) 100 (C) - 60 (D) None of these

102. If the price of a product is Rs.10/unit and its price elasticity of demand is (-) 2.5. Its MR will be ₹_____
(A) 10 (B) 6 (C) – 10 (D) 4

103. If the price elasticity of demand of a product is (-) 3, what should be the price of the product for its MR to be ₹ 20?
(A) ₹ 10/unit (B) ₹ 20/unit
(C) ₹ 30/unit (D) ₹ 40/unit

104. If a product has elastic demand, its marginal revenue (MR) will be_. (Given that the price of the product is Rs.5/unit).
(A) Positive (B) Zero
(C) Negative (D) can't be determined

105. Which of the following is an implication of the imposition of price ceiling below the equilibrium price?
(A) Shortages in the market
(B) Problem of allocation of limited supplies among large number of consumer.
(C) Black marketing
(D) All of the above

106. In the perfect competition at short run, the firm is a price _____ and can sell _____ amount of output at the on going market price.
(A) Taker, any (B) Taker, a definite
(C) Maker, any (D) None of the above

107. The size of a monopolist's plant and the degree of utilization of any given plant size depend entirely on the_____.
(A) Factor price
(B) Price of good
(C) Market demand
(D) Market supply

108. Monopoly equilibrium can be reached when_____.
(A) Marginal cost is rising
(B) Marginal cost is remaining constant
(C) Marginal cost is falling
(D) None of these

109. Consider the following:
1. Large number of buyers and sellers
2. Firms produce differentiated products
3. Free entry & exit of firms
4. Perfect knowledge about technology
Which of the above are the characteristics of monopolistic competition?
(A) 1 & 3 (B) 2& 3 (C) 2, 3 & 4 (D) 1, 2, 3 & 4

110. The kinked demand curve theory explains that even when the demand conditions the price_____.
(A) Change, changes
(B) Change, remains stable
(C) Remain stable, changes
(D) Remain stable, falls

111. Which of the following is true at equilibrium in monopolistic competition?
(A) Price is greater than marginal cost
(B) Price is greater than marginal revenue
(C) Both (A) and (B)
(D) Price is equal to marginal revenue

112. Marginal revenue along with marginal cost helps to determine
(A) Profit maximizing output (B) Profit/unit
(C) Price/unit (D) Total revenue

113. Imperfect competition arises when
(A) There is imperfect rivalry among competitors
(B) There are unexplainable imperfections in the market
(C) Competition does not exist
(D) Product variation, ignorance of consumers and distance & transportation costs lead to Imperfection in the competitive market which operates on certain assumptions.

114. Monopolistic competition has features of
(A) Monopoly but not competition
(B) Monopoly and competition with features of competition predominating
(C) Monopoly and competition with features of monopoly predominating
(D) None of the above

115. For a competitive firm, long period normal price will
(A) Equal AC and MC of production
(B) Equal MC of production only
(C) Equal TC of production only
(D) None of these

116. If a monopolist could perfectly discriminate them which of the following statements would be true?
(A) Every increment of the goods would be priced separately so as to capture the entire consumer surplus.
(B) Every increment of the goods would be priced evenly.
(C) Every increment of the goods would be priced higher than the previous one.
(D) Every increment of the goods would be priced lower than the previous one.

117. Which of the following is an essential condition for price discrimination? Choose the correct answer using the codes given below:
1. Existence of two or more than two markets
2. Full control over the supply
3. Communication between buyers in different sectors of the monopolist's market
4. Existence of different elasticity of demand in different markets.
5. No possibility of reselling a commodity at a higher price in another market.

Code:
(A) 1, 2, 3 & 4
(B) 2, 3, 4 & 5
(C) 3, 4 & 5
(D) 1, 2, 4 & 5

118. Match List I with List II and choose the correct answer using the codes given below.

List I	**List II**
a. Perfect competition	I. Differentiated product
b. Imperfect competition	II. Homogeneous or differentiated products
c. Oligopoly	III. Homogenous product
d. Monopoly	IV. Sharply differentiated products

Codes:	a	b	c	d
(A)	I	II	III	IV
(B)	III	I	II	IV
(C)	IV	III	II	I
(D)	I	IV	III	II

119. Marginal cost is equal to marginal revenue, average cost is equal to average revenue, average revenue is equal to marginal revenue and average cost is equal to marginal cost.
This is the condition of-
1. Long period equilibrium for a firm under oligopoly
2. Short period equilibrium for a firm under oligopoly
3. Long period equilibrium
4. Long period equilibrium for a firm under perfect competition
5. Short period equilibrium for a firm under perfect competition

(A) 1 & 5 only (B) 3 & 4 only
(C) 3 & 1 only (D) 2 only

120. At a particular price level, there are no forces tending to move it either up or down means
1. The firm is in equilibrium
2. The price in equilibrium
3. The equilibrium price of the firm
4. The equilibrium price & quantity of the firm

(A) 1 & 4 only (B) 1, 2 & 4 only
(C) 3 & 1 only (D) 4 only

121. Which of the following is not correct?
1. Monopoly form of market organization may be the result of increasing returns to scale
2. Monopoly form of market organization may be the result of patent or govt. decision
3. Monopoly form of market or organization may be the result of control over the supply of raw materials
4. Monopoly form of market or organization may be the result of control over the demand of raw materials

(A) 1 only (B) 2 only
(C) 1 & 3 only (D) 4 only

122. Which of the following assumptions is correct in connection with oligopoly?
1. If an oligopolist increases his price his rivals will follow.
2. If an oligopolist increases his price his rivals will not follow.
3. If an oligopolist increases his price his rivals will lower their prices.
4. If an oligopolist decreases his price his rivals will not react.

(A) 1 only (B) 2 only (C) 1 & 3 only (D) 4 only

123. Price is

	List I	**List II**
i.	Highest	a. Monopoly
ii.	Second highest	b. Oligopoly
iii.	Third highest	c. Monopolist Competition
iv.	Fourth highest	d. Perfect Competition

Codes:

(A) i-d, ii-c, iii-b, iv-a (B) i-a, ii-b, iii-c, iv-d
(C) i-d, ii-a, iii-c, iv-b (D) i-a, ii-c, iii-b, iv-d

124. Demand curve is

List I	**List II**
i. Horizontal	a. Monopoly
ii. Kinked	b. Oligopoly
iii.Downward sloping	c. Monopolist Competition

Codes:

(A) i-c, ii-a, iii-b (B) i-c, ii-b, iii-a
(C) i-a, ii-b, iii-c (D) i-b, ii-a, iii-c

125. An industry comprised of a very large number of sellers producing a standardized product is known as

(A) Monopolistic competition (B) Oligopoly
(C) Pure monopoly (D) Pure competition

126. The demand curve confronted by an individual purely competitive firm is-

(A) Relatively elastic i.e., the elasticity coefficient is greater than unity.
(B) Perfectly elastic.
(C) Relatively inelastic i.e., the elasticity coefficient is less than unity.
(D) Perfectly inelastic

127. For a purely competitive firm total revenue

(A) is price times quantity sold.
(B) increases by a constant absolute amount as output expands.
(C) graphs as a straight upsloping line from the origin.
(D) has all of the above characteristics.

128. A purely competitive seller's average revenue curve coincides with

(A) its marginal revenue curve only
(B) its demand curve only
(C) both its demand & marginal revenue curves
(D) Neither demand nor marginal revenue curve.

129. A firm reaches a break-even point (normal profit position) where,
(A) Marginal revenue curve cuts the horizontal axis.
(B) Marginal cost curve intersects the average variable cost curve.
(C) Total revenue equals total variable cost.
(D) Total revenue and total cost are equal.

130. When a firm is maximizing profit i it will necessarily be
(A) Maximizing profit per unit of output.
(B) Maximizing the difference between total revenue and total cost.
(C) Minimizing total cost
(D) Maximizing total revenue

131. For an imperfectly competitive firm
(A) Total revenue curve is straight upsloping line because a firm's sales are independent of product price.
(B) The marginal revenue curve lies above the demand curve because any reduction in price applies to all units sold.
(C) The marginal revenue curve lies below the demand curve because any reduction in price applies to all units sold.
(D) Marginal revenue curve lies below the demand curve because any reduction in price applies to only extra unit sold.

132. With respect to the pure monopolist's demand curve it can be said that
(A) The stronger the barrier to entry, the more elastic is the monopolist's demand curve.
(B) Price exceeds marginal revenue at all outputs greater than 1.
(C) Demand is perfectly inelastic.
(D) Marginal revenue equals price at all outputs.

133. Because the monopolist's demand curve is down sloping
(A) Marginal revenue equals price.
(B) Price must be lowered to sell more output.
(C) The elasticity coefficient will increase as price lowered.
(D) Its supply curve will also be down sloping.

134. The monopolistically competitive seller's demand curve will become more elastic, the
(A) more significant the barriers to entering the industry.
(B) greater the degree of product differentiation.
(C) larger the number of competitors.
(D) smaller the number of competitors.

135. The kinked demand curve model of oligopoly is useful in explaining
(A) the way that collusion works.
(B) why oligopolistic price and output are extremely sensitive to changes in marginal cost.
(C) why oligopolistic prices might change only infrequently.
(D) the process by which oligopolists merge with one other.

136. The government and industry try to predict the business cycle by using indicators. These are:
(A) Variable that can explain the growth of production capacity.
(B) Variables that precede the actual movements in expenditure and production
(C) The expenditure categories of consumption, investment and exports.
(D) Domestic and foreign indications relating to the business cycle and the tendency.

137. During an upturn in the business cycle the negative output gap does not become much more negative than it was. This is because of the fact that:
(A) Capacity increases because of the rise in investment.
(B) Expenditure decreases because of the rise in the interest rate.
(C) The government lowers the taxes during an upturn.
(D) Labour productivity decreases during upturn.

138. Business cycle emerge in_____.
(A) Socialist economy (B) Free market economy
(C) Mixed economic system (D) None of the above

139. According to British economist J. M. Keynes _____ was the main cause of massive decline in income and employment during Great Depression of 1930.
(A) Lower aggregate expenditure in the economy.
(B) Banking crises and low money supply.
(C) Over debt ness.
(D) Lower profits & pessimism

140. Match List I with List II and choose the correct answer using the codes given below.

	List I	**List II**
a.	Leading indicator	I. Industrial production
b.	Lagging indicator	II. Changes in stock price
c.	Coincident indicator	III Corporate profit

Codes:	**a**	**b**	**c**
(A)	I	II	III
(B)	II	III	I
(C)	III	II	I

(D) I III II

141. _____sector is more prone to the adverse effects of the business cycle.
(A) Agriculture (B) Service
(C) Industrial (D) Can't say

142. Trade/Business cycles occur due to

List I	List II
i. Changes in money supply	a. Monopoly
ii. Innovations take place in the system	b. Oligopoly
iii. Waves of optimism or pessimism	c. Monopolist Competition
iv. Fluctuations in aggregate effective demand	d.Perfect Competition

Codes:
(A) i-d, ii-c, iii-b, iv-a (B) i-a, ii-b, iii-c, iv-d
(C) i-d, ii-a, iii-c, iv-b (D) i-c, ii-a, iii-d, iv-b

143. Cyclical business refers to
(A) The business where demand fluctuates seasonally.
(B) The business which keep on changing their product.
(C) The business whose fortunes are closely related to the rate of economic growth.
(D) All of the above

144. Which of the following statements is correct regarding business cycles?
(A) Business cycles always affect all sectors uniformly.
(B) Business cycles may affect all sectors uniformly.
(C) Business cycles do not affect all sectors uniformly.
(D) None of these

145. Post war reconstruction
(A) will push the economy to slow down because of excess external debts.
(B) will cause pickup in economic activities as the reconstruction pushes up effective demand & in turn employment and income.
(C) can cause boom or recession depending upon the policies for reconstruction adopted by govt.
(D) None of these

146. Cost of living increases when business cycle is _____.
(A) at peak (B) contracting
(C) expanding (D) at lowest point

147. During business cycles the opposite of a trough is_____.
(A) an inflation (B) a hyperinflation
(C) a trend (D) a peak

148. In order to influence spending on the goods and services in the short run, monetary policy is directed at directly influencing_____.
(A) Unemployment rate (B) Inflation rate
(C) Interest rate (D) Economic growth rate

149. An important indicator of a nation's well being is _____.
(A) Gross Domestic Product (GDP)
(B) Gross National Product (GNP)
(C) Gross National Income (GNI)
(D) Growth rate of GDP or GNP

ANSWERS:-

1.	**(B)**	2.	**(A)**	3.	**(C)**	4.	**(A)**	5.	**(D)**	6.	**(B)**
7.	**(C)**	8.	**(B)**	9.	**(A)**	10.	**(B)**	11.	**(B)**	12.	**(C)**
13.	**(B)**	14.	**(C)**	15.	**(A)**	16.	**(C)**	17.	**(A)**	18.	**(B)**
19.	**(A)**	20.	**(D)**	21.	**(B)**	22.	**(C)**	23.	**(C)**	24.	**(D)**
25.	**(D)**	26.	**(A)**	27.	**(B)**	28.	**(C)**	29.	**(A)**	30.	**(C)**
31.	**(D)**	32.	**(B)**	33.	**(B)**	34.	**(A)**	35.	**(C)**	36.	**(B)**
37.	**(D)**	38.	**(C)**	39.	**(C)**	40.	**(D)**	41.	**(C)**	42.	**(B)**
43.	**(C)**	44.	**(C)**	45.	**(C)**	46.	**(B)**	47.	**(A)**	48.	**(C)**
49.	**(C)**	50.	**(D)**	51.	**(B)**	52.	**(A)**	53.	**(C)**	54.	**(D)**
55.	**(D)**	56.	**(C)**	57.	**(C)**	58.	**(C)**	59.	**(D)**	60.	**(C)**
61	**(C)**	62	**(B)**	63	**(C)**	64	**(D)**	65	**(D)**	66	**(B)**
67	**(A)**	68	**(C)**	69	**(C)**	70	**(A)**	71	**(B)**	72	**(D)**
73	**(B)**	74	**(B)**	75	**(A)**	76	**(C)**	77	**(D)**	78	**(D)**
79	**(B)**	80	**(B)**	81	**(A)**	82	**(C)**	83	**(B)**	84	**(A)**
85	**(C)**	86	**(C)**	87	**(A)**	88	**(B)**	89	**(D)**	90	**(B)**
91	**(C)**	92	**(C)**	93	**(A)**	94	**(B)**	95	**(D)**	96	**(C)**
97	**(A)**	98	**(D)**	99	**(D)**	100	**(B)**	101	**(C)**	102	**(B)**
103	**(C)**	104	**(A)**	105	**(D)**	106	**(A)**	107	**(C)**	108	**(A)**
109	**(D)**	110	**(B)**	111	**(C)**	112	**(A)**	113	**(D)**	114	**(B)**
115	**(A)**	116	**(A)**	117	**(D)**	118	**(B)**	119	**(B)**	120	**(D)**
121	**(D)**	122	**(B)**	123	**(D)**	124	**(A)**	125	**(D)**	126	**(B)**
127	**(D)**	128	**(C)**	129	**(D)**	130	**(B)**	131	**(C)**	132	**(B)**
133	**(B)**	134	**(C)**	135	**(C)**	136	**(D)**	137	**(A)**	138	**(B)**
139	**(A)**	140	**(B)**	141	**(C)**	142	**(D)**	143	**(C)**	144	**(C)**
145	**(B)**	146	**(C)**	147	**(D)**	148	**(C)**	149	**(A)**		